

Senco Gold (SENCO)

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The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza ", Bandra – Kurla Complex,
Bandra (EAST),
Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited

Corporate Relationship Department
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BSE SCRIP CODE: 543936

Sub: Earnings Call Transcripts pertaining to the Unaudited Financial Results of the Company for the 2nd quarter and half year ended 30th September, 2023

Dear Sir/Madam,

Pursuant to Regulation s 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Investors' conference call organized on 10th November , 2023 post declaration of Financial Results (both Standalone & Consolidated) for the 2nd quarter and half year ended on 30th September , 2023.

The transcript is also available on the website of the Company:
<https://sencogoldanddiamonds.com/investor-relations> .

Kindly take the same on record and acknowledge receipt .

Yours sincerely,
For SENCO GOLD LIMITED

Surendra Gupta
Company Secretary & Compliance Officer
Membership No. A20666

Enclosed: As above

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"Senco Gold Limited
Q2 FY2024 Earnings Conference Call "

November 10, 2023

ANALYST : MR. DEVANSHU BANSAL – EMKAY GLOBAL FINANCIAL SERVICES

MANAGEMENT : MR. SUVANKAR SEN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – SENCO GOLD LIMITED
MR. SANJAY BANKA – CHIEF FINANCIAL OFFICER – SENCO GOLD LIMITED

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Moderator: Ladies and gentlemen , good day and welcome to the Q2 & H1 FY24 results conference call of Senco Gold Limited hosted by Emkay Global Financial Services . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of management 's briefing Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devanshu Bansal from Emkay Global Financial Services . Thank you and over to you .
Devanshu Bansal : Hi, Good morning everyone. I would like to welcome the management team of Senco Gold and thank them for giving us this opportunity to host their Q2 earnings call on this auspicious day of Dhanteras. We have with us today Mr. Suvankar Sen, Managing Director and Chief Executive Officer and Mr. Sanjay Banka, Chief Financial Officer . Sir, festive greetings and congratulations on a good execution in Q2. Over to you now for your opening remarks! Thank you.

Suvankar Sen: Good morning everyone. Happy Dhanteras and Happy Diwali in advance to all of you . Thank you for joining. When we begin the Q2 FY24 earnings call before that I would just like to set the perspective in terms of the global markets and the outlook as we see the trends in the overall market. If we look at the growth of jewellery industry especially gold for the first half of the year and especially the Q2 FY24 , we have seen that India jewellery demand overall has increased by 7% as per the data that we see from World Gold Council and if we look at the last five years average CAGR it is 19% above the last five years average trend . So, therefore from the perspective of demand from the consumer , there has been an overall interest and increase in terms of demand from the consumer that is one part of it. The second part of it is that if we look at the diamond jewellery industry per se we have seen in the last 2 -3 months there have been a lot of news in terms of the prices of diamonds that have

been having a downward pressure ;and if we go deeper into the details , it is specially the bigger size diamonds (meaning solitaire , i.e. 30 cents and above) that have been under pressure , the smaller size diamonds have not been under that much of a pressure and this reason being the slowdown that we have seen in the US markets and the western markets, the recession situation that we see in the western world and that has been the reason for the price being downward, but that becomes an opportunity for the Indian jewellery industry. We have seen robust demand from the Indian consumers and whatever the price benefits that we as industry can gather during this time through offers and schemes, we have been able to give a better benefit to the consumer and pass on that benefit to the consumer to a certain extent. So ,this is how we are seeing that overall market scenario but if we go deeper into it and if we analyze today being Dhanteras we have seen a

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Page 3 of 18 large amount of foot falls happening at all those stores and just the way we have seen in the first half of the year there have been a decent growth in terms of demand of diamond jewellery which is supported by the 14 carat - 18 carat gold. The carat that is being used for diamond jewellery because the reason being that within the budget the consumer can get their demand fulfilled, the designs are more trendy and western and overall that is going to help in the usage of the consumer and as far as the company is concerned it overall adds to the bottom line as well, so this is a good decent positive situation that we see here and in

terms of the growth of diamond jewellery we have again continued to see more than 30% in terms of volumes and close to 50% in terms of value for Q2 FY24 as well . When it comes to the "rural demand " so last financial year we have seen the company owned company operated stores (COCO) were growing at a much higher level compared to the franchisees which are in the Tier 2/ 3/ 4 cities of the country . But this year H1 ,we have seen that while the company owned company operated stores have grown at 28% odd percent our franchisees have grown at ~15%, so that is a good situation to be in , where we are seeing that while the COCO stores have grown at ~22% for like -to-like (LTL) and with the new additions almost 28%, our franchisees have grown at 11% LTL , so that is a positive sign for the overall market. As far as the geopolitical situation that we see which is impacting the gold prices, we were analyzing that this year the gold price is ~ Rs. 60,000, last year during Dhanteras the prices were about Rs. 50,000 odd so we are seeing almost a 15% - 18% growth in terms of price . So while in this season if we look at the volume growth we do not see much of volume growth happening, it will be maybe in single digits but in terms of value growth together we might get in the range of 18 % - 20% in terms of the overall growth . So this is how we are looking at the overall industry. Now coming to Senco Gold and Diamonds, we have seen that overall we have added nine stores, six stores we had added in Q1 FY24 , three stores we have added in Q2 FY24 but also to add to this current data we would like to say that in the month of October , and as we speak to you today , we have added eight more stores , so we have crossed the milestone number of 150 stores for Senco Gold and Diamonds and currently we stand at 153 stores. So in the coming months, we would like to add around 8 to 10 more stores and that way we will be adding about 25 to 26 stores for this financial year . In terms of overall revenue growth for Q2 FY24 versus Q2 FY23 we have grown by 26% and if we look at the H1 FY24 versus H1 FY23 we have grown by 28% and if we look at the

Q2, PAT overall in

terms of growth we have seen almost 30% growth . So yes, the base has been low, we have always seen in the past trends that Q2 has been a comparatively slow quarter , we do not have too many festivities. We have Adhik Maas in that particular season of Q2, and it is a preparation and the build up to the festivities in Q3 that we see with the Durga Puja , with Dhanteras , Diwali and the weddings that are happening ; and one thing to keep in mind is Senco Gold Limited

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Page 4 of 18 that it has been said by CAIT that in the coming one month we have 35 lakhs wedding and that is a very large number and almost a Rs. 4.5 lakh crore is the likely spend that is going to happen and jewellery industry usually gets a share of 10% to 15% in terms of the overall spend. So therefore , even at what we see the consumers buying here we have seen that a lot of wedding jewellery is getting stones that is almost a 40 % to 50% of the share of whatever jewellery is getting sold and in terms of the daily wear lightweight jewellery that is getting sold. The people who are saving the money to have some amount of buying during this festival season that is about the remaining 40% to 50% . Interestingly out of that we have seen that the 10% or 15% is the kind of growth we have seen for men's jewellery . So, heavy chains that we see in the movies right now , with our Indian sports people wearing chains and bracelets ; and our heroes wearing chains and bracelets , there is that inherent growth in demand of men's jewellery that has seen a substantial growth . So with this I would like Mr. Banka to get into further details of the numbers.

Sanjay Banka: Thank you Sir. So while Sir has briefed about the growth in the business and the revenue ; broadly we have ensured that there is a proper capital allocation to the various zones as we classify India into various zones . We have grown across all the zones in terms of revenue and volume. In fact , we must say that as far as the east region is concerned , east region continues to grow, so while we are talking about a 23% Y-o-Y growth in H1 FY24 for own stores , so the east stores has grown by 32%, West Bengal has grown by 21% , North has grown by 26% , South has grown by 31% and West has grown by 43%. So the future growth story remains intact primarily because as the base is low. So when we talk about the per store sales while the blended per store sales is Rs. 33 crore per store per annum our own store is Rs. 37 crore, thus there is huge potential still for stores across all the India . Our borrowing costs remains range bound despite 450 basis points increase in the FED rate and similarly despite ~200 basis points increase in the MCLR , there was no substantial impact in our borrowing cost . The impact has been 15 to 16 basis points and the blended ROI is in the range of 6.15% . Post the IPO , our debt equity ratio had improved and it had become below 1 so 0.82x is what was the debt equity ratio, but as we said earlier that the funds which we are raising is for the long term capital and borrowing, so we have invested the entire funds raised out of IPO in the working capital. So , the 17 stores which have come up we have deployed for our inventory . Similarly , for our existing stores also we have increased the inventory level further , since we are focusing on the diamond sale, diamond inventory is

also increased. So overall, we are very confident that we will continue to expand at the desired price and the work for favorable region. Thank you.

Suvankar Sen: Just to add to what Mr. Banka said from other aspects of the business, we have been certified as great place to work (GPTW), so our team is highly motivated and working really hard to achieve all the numbers and from the management doing the necessary

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Page 5 of 18 support for their growth. Also from a technology perspective, in this Q2 FY24 we launched the Senco metaverse. We call it Sencoverse.com. It is a pilot project and the version one that has been launched in which through gamification, we would like to showcase our products or jewellery or various campaigns and people can visit and have an experience and with the more evolution we will continue to invest so that we can give customers a much more immersive experience, so that is the kind of technological, futuristic investment our websites continue to get updated with the latest designs and what we see is that customers are looking at the various websites and the product catalogues and then visiting the stores with the demand of buying that kind of jewellery so the Omni-channel strategy and the websites are acting as a tool of marketing to reach out to the customers and inform about the various designs. In terms of the offers in Q2, while it has been a milestone quarter especially a memorable one for Senco Gold and Diamond because we got listed in the month of July 23 and then till August, we had the Independence Day celebration and then we had various anniversaries at the stores to celebrate their one year / two years / five years / 10 years and we kept inviting customers. So, therefore, we kept coming up with new collections under Everlite or under Vivaha for the coming season. So we kept introducing new designs and I think that this Dhanteras along with the attractive schemes and offers that we are giving to our customers, we are getting new designs, new concepts and working hard to give the best of services to our customers and make them happy. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. We will take the first question from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Hi, thank you for the opportunity. So, couple of questions from my side. Number one, given the 28% Y-o-Y growth that we see on the first half and with the shift in festive to the second-half as well as overall category tailwinds and higher store additions, how would you look at what is the earlier guidance of 20% for FY 24 as well as growth over the medium term that would be my first question?

Suvankar Sen: We will continue to guide to our investors that our last 3 to 5 years CAGR growth has been in the range of 18% to 20% and going forward though we see a great potential and we will keep working harder, but our growth expectation will be in the range of 18%.

Videesha Sheth: But Sir, just a follow up on that if we already recorded 28% in the first half itself would not the overall growth for FY 2024 be on a bit higher side?

Suvankar Sen: See, the thing is that the base for Q3 is much higher compared to what we have seen in the H1. So logically we can always say that yes we will continue to grow in the same rate and internally we might put our best efforts but as far as the guidance is concerned we believe in Senco Gold Limited

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Page 6 of 18 having a more conservative approach and rather perform better. So this is my guidance to you. We will again come back after Q3 and that is the most critical quarter and then again we can review and give you a further guidance.

Sanjay Banka: Just to add on it, during the round shows also we talked about 18% to 20% growth, but if you look at the growth in Q1 FY24 it was 29% and Q2 FY24 it was 26% and for H1 FY24 it was 28%, so internally we will strive to work more, but our guidance continues to be 18% to 20% Y-o-Y growth for the full year.

Videesha Sheth: Sure and to the second question when we look at the implied gross margin for the second

cond - half of FY23 that comes to nearly 19%, which seems a bit on the higher side, so just wanted to clarify, was there any one-off in the second-half and what would be the outlook for FY 24?

Sanjay Banka: This is the quality of revenue and that is the trend for the first few years. So even in 2021-22 and 2022-23 the gross margin and PAT were subdued in H1. This is the structure of the industry. Last year if you remember PAT in H1 FY23 was around Rs 30 crore to be precise, which was the result of the lower gross margin percentage; so major part of the gross margin and the PAT comes in H2. So the H1 gross margin which you are seeing is not any one-off, the possibility of one-off is not there; because as we have said that we have hit gross margin below 14% range, so if at all there is an increase in the gold price leading to any gain on the inventory that will be reduced and mitigated by a loss in the hedging. So

since we are having a proper hedging strategy we will neither gain on account of gold price increase nor lose. There will be minor impact due to accounting Rs. 4 or Rs. 5 crore here or there, that is all but there is no substantial one-time impact due to gold price rise or fall in our financials.

Suvankar Sen: Also to add to this, if we look at the consumption behavior, we have the wedding season and also various weddings that have happened in the past so consumers buy jewellery for their anniversaries and also in January & February we have the Valentine's Day, so what we have seen is that the diamond jewellery sales for the H2 kind of is on the higher side compared to H1; and overall the cost remains the same, but the sales and turnover increases in H2 compared to H1 and that is where we have always seen that in H2 the gross margins are comparatively higher compared to H1.

Videesha Sheth: Again, just a follow up to that so given that Senco as a brand is getting more competitive in terms of its sizing, what would be a fair outlook for the second-half of the year, in terms of gross margins?

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Page 7 of 18 Sanjay Banka: See as we said, we have seen the gross margin of the competitors & peers; and we have also said that the gross margin that will be depending upon the franchisee addition, during the road show also we have said that the full year gross margin will be slightly lesser ~14.5% to 15%, so slightly 80 to 120 basis points lower than last year because last year diamond price increased led to slight higher margin. That is point one. Vis-à-vis competitors, we definitely are working in a competitive market but the smart leadership implies that we look at the competition, you adopt your own strategy and that we have seen that despite the competitive pressure we are on number two in terms of return on equity, so we will continue to develop our own strategy while working in a competitive market by increasing our relationship with the customer, the sort of engagement, the BTL activity, the 80 years legacy, the design & Bengal Karigari strength, which will help us to mitigate any competitive pressure. So net-net for the whole year we are looking at ~14.50 to 15% as full year gross margin, while H2 gross margin has to be around 18% to 19% to give that blended gross margin.

Videesha Sheth: Thank you and just the last question from my side; while on overall store addition size we seem to be ahead of guidance from 18 to 20 stores but when we look at store addition in H1 we have just added one franchise store, so for FY24 can you give a ballpark number as to how many stores will be under the COCO versus franchise model? That is all from my side.

Sanjay Banka: In H1, we have added 3 franchise stores one in Arrah, one in Bhagalpur right and one more. So as we are talking today we have a

added 4 franchise stores, Arrah, Bhagalpur, Dmuka, it is a part of our going deep strategy and now that we have got a substantial presence in Bihar and we already have a substantial franchise presence in Odisha, we are now going deep in Bihar. We have Arrah, Bhagalpur and Dhumka. We have recently opened one store in Shantipur. So we have a good pipeline, 3 to 4 more franchise are likely to close by March '24. So 17 stores we already have as of today, so we have 153 stores as of today and 8 to 10 more stores are likely to open, we will be ahead of our guidance of 25 to 28.

Suvankar Sen: Videesha does that answer your question?

Videesha Sheth: Yes, thank you. That is all from my side.

Moderator: Thank you. The next question is from the line of Vishal Gutka from Philip Capital. Please go ahead.

Vishal Gutka: Hi team Senco, congrats on a good set of numbers. I have three questions basically. First is that during the quarter you have converted one of the franchise store into the company owned store just wanted to know the reason behind it or what is the reason that led to the conversion, second question is on the franchise so most of the franchise for you are based

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Page 8 of 18 out of Tier-2 cities. I believe that the reason is that franchise are able to do good business in smaller cities due to lesser competition and secondly they have good connect, so if you can elaborate more on what is the reason that most of the franchise are based out of smaller cities and third question is that we have seen a decent uptick in studded share but the gross margin more or less have remained flat probably the reason could be fall in the diamond prices that could be one of the problem but on the other hand we also had a decent increase in the gold price because the entire inventory is not hedged for you some is open, just if you can just enlighten us and answer on these three questions?

Suvankar Sen: So the franchisee that got converted into own store is in Jajpur, Odisha and unfortunately what had happened in the month of June and then later on we had two more franchisees, they had suffered burglary, so this Jajpur store had to suffer a loss due to burglary and since

they lost a lot of their inventory, but we did not want to lose the market share and the goodwill of the brand. So we decided that that franchise will now be converted into a landlord kind of a situation and we will keep our stock and in the interim, we run the store so that was the reason that Jajpur got converted from a franchise to an own store.

Vishal Gutka : Franchise don't take an insurance cover for this ?

Suvankar Sen: They get insurance cover but insurance companies take a lot of time for processing. There are reports, FIR, there are follow-ups, there are surveyors, and it takes a lot of time for the insurance companies to provide the money back. So, like say for example the franchisee had an inventory of say ~Rs. 9 crore, Rs. 2 crore was the amount that the insurance company gave to them right away, but the rest of the negotiation, dealing, serving discussions are continuously on, so while insurance is there, but the situation is never a very easy one to handle and get sorted so this is how it is.

Sanjay Banka: So we are working on that. As per the IRDA regulation, we are working to get some sort of group insurance policies where all the franchises get the same terms and same offer and if possible to get a higher interim claim. These are the innovations which will take time, but we are working on it and it will not only benefit Senco it will benefit the entire jewellery industry as well.

Vishal Gutka : Got it. What was the quantum of burglary, any quantum of inventory that got stolen off or what is the amount because Rs. 2 crore we got from insurance

company any amount that

you can quantify ?

Suvankar Sen: We do not have the exact figures right now but around Rs. 8 to Rs. 9 crore, that is what we can guide for the Jajpur store and what was that question on Tier 2 / 3 / 4 cities? The relationship that they built with the local customer, right ?

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Page 9 of 18 Vishal Gutka : My question was why most of the franchise are based out of this smaller city, one reason could be lesser competition so that they do good business, second thing is that they themselves could connect within those areas, so if you can just enlighten or throw more light on this what is the basic reason behind it that most of the franchise are based on smaller cities ?

Suvankar Sen: So, in the concept of rural marketing, trust is important. So now while as a brand there is an overall trust that we are building through the processes, through the branding. the local phase connect is very critical and that is where a local partner who behaves like a face of Senco along with the brand supporting him from the back and BTL activity, driving and the local aspect, fulfilling the local sentimental demands. So that is why getting a good franchise fee for the Tier 2 / 3 / 4 cities is a great opportunity and the best of strategies that one can follow. So, this is how it is and the span of control also like say for a small Tier 3 / 4 cities you have to get quality employers and managers to drive the store. So when there is a sense of entrepreneurship from the franchisee, his contribution becomes critical along with the manpower that we are having at in those Tier 3 / 4 cities, so this is how we look at the overall strategy.

Vishal Gutka : One more question from my side that whether franchise operations are viable in metro cities as well given the gross margin profile that we have ?

Suvankar Sen: Currently we have to be very strategic in the thought process that the investment for the franchise in a metro city has to be much higher so that is first point to note, and secondly mentally the franchise needs to believe and be there for the long run, so it is not going to be a 1 year or 2 year story, he has to see that in 3 to 5 years he will get his returns and the break evens and all of that will happen being a franchise so that is where the bigger metro city franchise story should be the second priority; focusing on Tier 2 / 3 / 4 is the first priority. To answer your question on the gross margin, with the diamond jewellery sales going up, so there are 2/3 areas where the gross margin impacts happen one is that what is the share of own store versus franchise then we are seeing growth in the diamond sales and the growth in the gold sales is comparatively lower. We are about 80 % to 85% hedged, so therefore if there is an increase in the gold prices but 80%-85% of it is already covered so you are only left with 10 %-15% of the inventory to enjoy any benefit but that also is a very marginal thing and hedging accounting is a different concept to the hedging aspect. So there is a little bit Hedge accounting impact involved and does not directly flow in to the account. So there are so many aspects of it and lastly that Q2 FY24 has been a special Q2 with the IPO coming in with the overall excitement; and we are building up positively for a great Q3; so therefore we did not much cut down on the expenses and what we have seen but we

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Page 10 of 18 are confident that our Q3 will be much better and we will be able to recover whatever we

have invested in Q2 and what we will invest in Q3.

Vishal Gutka : Got it. Thank you so much for answering the question patiently and wishing the team

Happy Diwali and all the best for the season ahead.

Mod

erator : Thank you. The next question is from the line of Nitin Gosar from B OI Mutual Fund.

Please go ahead.

Nitin Gosar : Hi, good morning. Sir couple of questions, one wanted to understand the buying pattern of our target audience how sensitive it is to the price points that we try and cater to?

Sanjay Banka : Hi Nitin good morning. as we said at the start of the call, while the prices have been high in Q1 FY24 and as well in Q2 FY24, it only fell temporarily in the month of June and

September. Despite high prices, the interest has now come and we see globally in India the

demand is overall higher by 7% and 19% higher than 5-year average as per World Gold

Council Report. In the last nine months period, India has already sold 363 tonnes and full

year target is 500 tonnes. So we see a continued demand and that is getting reflected in our

sales that it has grown to 29% in Q1 FY24 and 26% in Q2 FY24, which gives an average of

28% in H1 FY24. So when the price increase then the customer gets temporarily slow

down and on price stabilization, they come back into buying mode. The central banks are

continuing to buy gold and the gold production is not increasing substantially, so we are

hopeful that the gold price will continue to move northward and the consumer demand will

not come down. So at least the organized sector as we have seen the result declared by other

companies all are going by minimum 20% so that is same range we are confident for the

future growth. Added to this, when we are talking about diamond studded and the future

growth strategy which currently blended is around 11.4% and we are looking at a 15% stud

ratio target in next three to four years. We said that our studded which is higher in our

own store has increased to 13.9%. We also informed that in north market it is 19%. So the

diamond growth also gives this idea of shifting pattern and as we are entering into the new

market that will further add to our topline and the quality of the gross margin and EBITDA.

Nitin Gosar : Got it and how should we check your organization, should we track the volume growth as

an ideal factor or should we track the value growth as an ideal factor just to understand the

underlying demand factor from the consumer, just the backdrop is that you are catering to a

certain price point which can be at times sensitive if the gold price shoots up?

Sanjay Banka : If you look at the other large player this question is classical question. It is not a necessity

product that you have to consume so much. So even when we do the budgeting, or our

annual planning or the long range planning, we look at a revenue growth. Now that revenue

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Page 11 of 18 growth can come either by volume variance or price variance. For example, this 28%

growth which we are talking about a part of it around the 13% to 14% has come on account

of price increase and balance on account of volume, volume in gold and diamond both. So

in future also let us say the price increases to Rs. 70,000 range or Rs. 75,000 range, it will

not reduce the sales, it may impact the volume in short term. So let us look at the revenue

growth in price. Volume is just an indicator to understand how the customer pattern is

improving.

Suvankar Sen: Also one more thing to add here, we have one measurement KPI we say it 'VAVO' (value

and volume). So we are measuring both of it. and historically also we have seen that when

gold prices jumped from say Rs. 3,000 to Rs. 5,000 we saw a hit in volumes, but in terms of

value we continue to grow and then again when gold prices came down say from Rs. 5,500

to Rs. 4,800 we saw a jump in volume and the value also continued to grow at a higher rate,

so this is how you need to judge both; and another aspect of it is that with the increa

se of

sales of diamond jewellery, cartage sold and value so I'd that we are analyzing but the gold

that we are using in diamond jewellery is usually 14 carat and 18 carat gold, so there if we

convert a normalize each and every purity into 24 carat then obviously with 14 and 18 carat

and we normalize it into 24 carat kind of a volume, then you will see a lower volume

growth in 24 carat, so you need to kind of have all the measurements in place and then

analyze it.

Nitin Gosar : Got it and Sir one last question with regard to diamond studded jewellery since there has

been some price disruption in diamond prices what is the environment looking like?

whether the consumers are walking in are seeking for more discount on diamond studded

jewelries or what is the awareness level when it comes to price disruption?

Suvankar Sen: Honestly speaking not all consumers are aware of the situation that we have seen in the

diamond market and we are utilizing this as an opportunity to educate our customers if you

really look at it then it is the bigger size diamonds that have got impacted. So 30 cents, 50

cents, 1 karat, these are the kind of sizes that have got impacted with the disruption. The

smaller size diamond which is like say 1 cent, 2 cent kind of diamond, there the price impact has not been much. So with the Valentine's Day coming in, with the wedding season coming in rather this becomes an opportunity to sell more solitaire and mini solitaire rings and studs and pendants to the consumer. Consumers are positive and that is why we are seeing a good growth in diamond jewellery so this would be my kind of guidance to you.

Nitin Gosar : Got it. Thank you Sir.

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Page 12 of 18 Moderator : Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead.

Harit Kapoor : I have couple of questions first of all you mentioned about men's jewellery growth, Sir if you throw more light on it?

Suvankar Sen: Was he asking on demand for men's jewellery? So, yes what I can guide you all is that during Dhante ras and during this season especially, we have seen that not just the ladies that are coming to the store along with their husbands or family and buying for themselves but I think there is a subtle change happening in terms of the mindset of men and maybe 15 years to 20 years before only in certain cultures buying gold chains and adorning yourself as a man was there but not in all cultures, but with the sports becoming more popular with the movies showing men wearing a lot of jewellery, men have become more bolder and more fashionable and there has been a substantial increase in demand of almost 15% to 20% in terms of the men's jewellery chains and bracelets during this time, which is a trend that we need to analyze more and move forward.

Harit Kapoor : That really answers my question. That is very helpful. Thank you Suvankar.

Moderator : Thank you. We will move on to the next question, which is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal : Hi thanks for the opportunity. Sir you have indicated 15 to 16 more stores in the second-half just wanted to check how many of them will be company owned and how many of them will be franchise owned and whether this addition will entirely be through internal accruals?

Sanjay Banka : Hi, Devanshu so as we have said we have added 9 stores in H1 FY24 one and subsequently 8 more stores have been added, so 17 stores have been added overall, this includes 4 franchise stores, Arrah, Bhagalpur, Dhumka, and Shantipur as of today, so the outlook for the future as we have said is around 5 to 6 own stores and 3 to 4 franchise stores are likely to be done by March '24. So as part of our going deep strategy our focus for franchise

is

particularly in Bihar, so the majority of the stores are likely to come in Bihar so that we have got a sizable and a strong presence in the emerging industrial area, the mining belt, the industrial belt of Bihar, so that is going to be our focus till March '24.

Devanshu Bansal : Yes Sir, thanks for this. Also you indicated that west and south are seeing relatively much stronger growth so does our outlook on expansion in these regions also improve or we will still restrict majority of expansion to north and east?

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Page 13 of 18 Suvankar Sen: We will continue to have our focus on expanding in north and east. See south and west we are all aware that the market potential is huge, but we would want our stores to perform better and better, and more and more; and build further goodwill and traction. We will be opening selectively in south like we are adding one store in Bengaluru or we are adding one more store in Pune but the greater focus is to continue deeper to penetration into eastern India and strategically open stores in northern India so that strategy does not change at all. Like for example, just to add to the point like we have been adding 8 stores in the coming season out of which only 2 to 3 will be in south and west and 5 will be in east and north so we will not want to lose the leadership position in eastern part of the country and the strategic focus in north.

Devanshu Bansal : I just wanted to specifically ask you about your traction in the Delhi NCR region, what kind of investments in terms of team, etc., that you have done in that region and if you could throw some light on that?

Sanjay Banka : We include Delhi NCR in the north, we have a total of 20 stores, 10 in Delhi NCR and 10 in UP. We are seeing a good improvement in the average sales per store in the north the total growth we have achieved is 26% and out of that 25% is the like-to-like growth that is first point. The stud ratio has also increased to 19% no major change between Q1 FY24 and Q2 FY24, so on a pan India basis blended mix including the franchise store is around 12% and in Delhi it is 20% in north it is 19%. So north continues to be major focus area for us in our growth journey. The sales per square feet in north is also improving.

Devanshu Bansal : Thank you Mr. Banka. Thanks for the detailed responses. That's it from my end.

Moderator : Thank you. The next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

Nikunj Gala : Good morning everyone. Thanks for the opportunity. I have just one question Sir. Like what would be our hedge ratio in this quarter in the H1 FY24?

Sanjay Banka : Hedge ratio we have consistently maintained over 80% and that is stated and reflected in various calls from time to time as we mentioned as a strategy. As you are aware a higher hedge ratio in case of rising prices will give negative impact, so while there will be gain in case of inventory and realization that will be negated by higher aggressive but still we are still keeping it over 80%.

Nikunj Gala : So it is similar to the last year number, right? Not much of a change.

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Page 14 of 18 Sanjay Banka : Similar to last year number, yes. In fact if you ask me average ~84% to 85% for the entire H1 FY24. Depending on timing sometimes it touched 92% also.

Nikunj Gala : Yes, we remember in FY23 for the full year we were at 90%, right?

Sanjay Banka : Yes, correct.

Nikunj Gala : So we just come down to 80% now?

Sanjay Banka : So 80% was only on September end but average I said is 84%. I will just want to clarify once again that our hedging percentage is a mix of the gold metal loan unfixed and balance we do heading at MCX and NSE by Sell future, sell call option, buy put option.

Nikunj Gala : Sure Sir and with the incremental inventory we would be building in, considering our expansion plan that incremental inventory would be containing the same ratio right Sir?

Sanjay Banka : So we do hedging for the entire level so inventory which was Rs. 2050 crore so we do the hedging on the entire inventory level.

Nikunj Gala : Thank you. Thanks a lot Sir and all the best.

Moderator : Thank you. The next question is from the line of Mohit Madhiwalla from Envision Capital. Please go ahead.

Mohit Madhiwalla : Hello good morning. Thanks for taking my question. So just two kind of broad questions, number one is from the topline growth that we have seen, could you please shed some light on how much of this growth has come from new customers versus existing customers or maybe even a rough figure of new customer contribution would be helpful and secondly can you also please shed some light on the movement and which transaction value that you have seen from maybe H1 FY 23 to H1 FY24? That is it from my side. Thank you.

Suvankar Sen: So the average transaction value (ATV) overall for H1 FY24 is ~Rs.66,000 compared to the average transaction value of the previous year, which has been in the range of Rs. 54,000 to Rs. 55,000 so this has been the increase.

Sanjay Banka : Your question was how much of the sale comes from the repeat customer and the existing customer. So we like to add 2 factors, the repeat customer sale, the loyalty customers, existing customer, we have been talking about 20 lakh customer base. The repeat customer sale is around 64% which was around 60% in September, balance 36% is new customer, so this clearly shows that our loyal customer value the brand image of the company for 80 Senco Gold Limited

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Page 15 of 18 years; further as the company has got listed, we are getting lot of traction in the market which was not our customer base so consistently our loyalty customer base is increasing and repeat customer base is increasing which means that the marketing spend which we are doing that marketing spend is for retaining the existing customers and bring in new customers and new customer is 36%. Now if you look the same number from a different factor of like-to-like growth. So the growth which we have talked about the retail growth is ~23%, from the existing store it is 19% which means that 16 stores with existing customer continue to grow and this number continues to be high. This number in own store in West Bengal is 22%, east is 20%, north is 25%. So there continues to be a good growth story trajectory improving brand equity. We are very happy to inform you that while we are consistently 2nd most trusted jewellery brand in a recent survey by TRA. We have been ranked 2nd most desired jewellery brand again at No.2, while the overall rank is around 169 out of 1000 but among our peers, we are number two as the most regarded brand. This clearly shows the customer is liking towards our brand.

Mohit Madhiwalla : Superb and just one more question. Could you also please shed some light on the studded share in the north versus what the studded share in the east is currently?

Sanjay Banka : Studded share in the north in our own store is 19% and in east it is 11.8%, in south 12.5%, in central 14%. So north continues to be a very important for us and when we talk about the top players studded ratio of 25% to 27%, so let us say we talked about in our quarterly upgrade, in Chandigarh store we have touched 24%, we have potential to touch 24% in the entire

north is quite high. Let us say we got have two stores in Gurgaon. We have stores in Dwar aka we have started stores so we are starting to increase our set ratio across north to 25%.

Mohit Madhiwalla : Got it and is there any sort of

change in the store expansion guidance for the next 3 years

and the split between how many COCO stores you will open any guidance you can share?

Sanjay Banka : Guidance remains the same that 20 to 25 stores, so let us say 15 to 18 home stores and 8 to 10 franchise stores. So we have already achieved 17 stores in YTD and we are talking about 10 more stores, so 20 to 25 stores every year in next 3 years we clearly see can be achieved and a number of 250 stores in next four to five years is clearly achievable; and for that we will have adequate free cash flow. The free cash flow at the existing debt equity ratio of one is to one (1:1.2) will help us to achieve the rollout of the existing stores and in addition we will be constantly increasing the inventory level and the existing stores also.

Mohit Madhiwalla : Got it. That is it on my side. Thank you so much.

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Page 16 of 18 Moderator : Thank you. We will take the next question from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : Hi team festive greetings to you and everybody in Senco, so on a very interesting comment on the men's jewellery that you made, it was interesting to know. Sanjay Ji a couple of questions could you call out at a blended level, what was the studded share, you went geography wise, but could you call out it at a blended level what was it?

Sanjay Banka : Blended Stud Ratio level for the own store it is 13.9% whereas for the franchise it is 7.8%?

So as you said the franchise are in Tier 2 and Tier 3. They work with a lower inventory level of Rs. 8 to 10 crore so franchise we are trying to improve to the 10% level. So own store is 13.9%, blended is 11.9%, so blended has increased by 100 basis points over last year, but in terms of the volume and value growth of diamond we said 34% and 50% respectively that was Q1 FY24 and we are seeing a similar range at the H1 FY24 level.

Aejas Lakhani : Got it and last quarter studded was 11% which is now you said 11.9%, is that correct?

Sanjay Banka : 11.1% is what I have said last quarter and this quarter we are saying 11.9%.

Aejas Lakhani : Got it and Sir could you just speak about what the inventory hedging losses that were reflected in the gross margin is that one of the reasons why the gross margin is relatively lower and could you just speak a little bit about how we should be thinking about the hedging losses and profits reflecting in the gross margin?

Sanjay Banka : See, as we have said Aejas ji, this is very complex subject. Hedging is expected to mitigate the loss or gain both so with a concept of fair value hedge and the cash flow hedge. Most of our transactions are fair value hedge because we do not indulge in any negative side, so to the extent of the loss on account of inventory there will be gain on hedging but that is on the book side and then there is concept of realized gain and unrealized gain. So while there will be loss on the inventory immediately, but as for hedging is concerned you cannot square off your open position, so there will always be unrealized gain on hedging which do not flow into financials. So it is only the realized gain which flows into financial and when that is applied to inventory on a weighted average cost basis, so there will not be one-to-one exact impact. So having said all these things, in every quarter there will be 4 to 5 crore rub-off impact of inventory hedging. So you can take it to that extent with the gross margin adjusted for H1.

Aejas Lakhani : Got it so Sir you are saying that it could be Rs. 4 to 5 crore higher or lower depending on how your hedge situation has played out, right?

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Page 17 of 18 Sanjay Banka : Yes, so what we

are saying with hedging we are always maintaining above 80% on every single day and average was around 86% in Q2, so while long term outlook on the gold continues to be bullish. Despite that we will maintain minimum 80% and as we said earlier when the price rises and we do hedging, we have to deploy funds towards margin as well. So we will continue to have a very calibrated approach towards this maintaining hedging at minimum 80% hedging.

Aejas Lakhani : So you mentioned that the sale per store at a blended level was about Rs. 33 crore and for your company owned stores it was Rs. 37 crore could you call out the number for the franchisees?

Sanjay Banka : Yes, so franchise average is around Rs. 26 crore, since we are having one of the franchise store in north that is why it is appearing low so Rs. 37 crore average so now with 37 average is also misleading because West Bengal is Rs. 55 crore, East is Rs. 30 crore and so

on.

Aejas Lakhani : Because the sale per franchise in a way we are recording the revenues, it is reflected in the gross margin so was there a higher sale or contribution from franchisees this quarter versus COCO ?

Sanjay Banka : Yes this is a very positive story. So last year , the franchise growth was 2% only and which we have said very clearly and this year we are very happy to say as you said that the growth has been across all channels and across all geographies. The franchise growth for the current year , Y-o-Y growth is 15%, so a higher share of the franchise sale obviously dilutes the gross margin.

Aejas Lakhani : Got it. So you said franchise contribution has been 15%, which has been higher than what the last few years have been, correct?

Sanjay Banka : Franchise growth is 15% YoY , the contribution will be similar around 35% in the total revenue but as we said Q1 and Q2 or H1 gross margin will be raised down, they will be muted because the real impact of the gross margin will come in Q3 and H2 only.

Aejas Lakhani : Yes, I got that.

Moderator : Thank you. Ladies and gentlemen as we will take that as the last question, I would now like to hand the conference over to the management for closing comments. Over to you Sir!

Suvankar Sen: Thank you everyone . It has been a great conversation with Dhanteras around the corner the team is fully working, we are tracking the sales, there are footfalls that are coming to the Senco Gold Limited

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Page 18 of 18 store, customers have booked in advance and they would all want to take the delivery on this auspicious date. The Dhanteras timing starts from 12:35 pm today and continues till around 1:00 in the afternoon tomorrow. So this is for your information because I hope and I pray that you all buy some amount of gold , silver, diamond for this Dhanteras. It is an auspicious time and closing in the remarks there is one thought that while we can see so much geopolitical uncertainties across the world which might have a kind of bullish impact on the gold price and the silver price but if we look at our country and look at the consumer behavior, I think by the blessing of god our country is protected . The consumers might get a little impacted with the price and therefore as discussed that the volumes might not grow to the extent but people have the love for gold and jewellery and they will continue to buy . The wedding season is around the corner I believe that people are coming buying high ticket products for the wedding as well. So the sentiments continue to be positive . The full planning and preparation is being done and we are hopeful that the Q3 which is the whole month, we are already in the middle of Q3 and the numbers are looking positive. There are stores in the pipeline, new products and designs and collections are all getting launched and we are getting a good response. So with full p

ositivity and optimism, we will continue to perform and grow the business. Thank you very much.

Moderator : Thank you very much Sir. Thank you members of the management. Ladies and gentlemen on behalf of Emkay Global Financial Services that concludes this conference . We thank you for joining us . You may now disconnect your lines. Happy Dhanteras to one and all.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy .

Call: Feb 2024

Ref: SEC/SE/2023 -24/63 Date: 21st February , 2024

The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir (s)/ Madam (s),

Sub: Earnings Call Transcripts pertaining to the Unaudited Financial Results for the 3rd Quarter and Nine Months ended 31st December , 2023

Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/ Investors Earnings Conference Call organized on 14th February , 2024 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the 3rd Quarter and Nine Months ended on 31st December, 2023.

The transcript is also available on the website of the Company: <https://sencogoldanddiamonds.com/investor-relations>.

We request you to take the same on records.

Yours sincerely,

For SENCO GOLD LIMITED

Surendra Gupta
Company Secretary & Compliance Officer
Membership No. A20666

Encl: As above
Page 1 of 18

"Senco Gold Limited
3QFY24 Results Conference Call "
February 14, 2024

MANAGEMENT : MR. SUVANKAR SEN - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER - SENCO GOLD LIMITED
MR. SANJAY BANKA - CHIEF FINANCIAL OFFICER -
SENCO GOLD LIMITED

MODERATOR : MS. VIDEESHA SETH - AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Senco Gold Limited 3 QFY24 Earning Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference to Ms. Videesha Seth from Ambit Capital. Thank you and over to you, ma'am.

Videesha Seth: Thank you Riya. Good afternoon, everyone. I would like to welcome the management team of Senco Gold and thank them for giving us the opportunity to host their third quarter earnings call.

We have with us today Mr. Suvankar Sen, Managing Director and Chief Executive Officer and Mr. Sanjay Banka, Chief Financial Officer. Over to you, sir, for your opening remarks. Thank you.

Suvankar Sen: Thank you everyone. Good afternoon. This is Suvankar Sen speaking along with Mr. Sanjay Banka, our CFO

Before we begin, we would like to wish all of you a very happy Valentine's Day. Today is 14th of February and along with that, today is also the auspicious day of Saraswati Puja; and may all of us be driven by more knowledge and more love and have a very happy and successful life.

Now that we come to the numbers, the performance as a team, Senco Gold and Diamonds. We are extremely happy and excited to inform all of you that if you look at our overall performance, quarter three and YTD nine months have been an impressive performance.

This year has been a milestone year for Senco for the fact that we've got our company listed at BSE and NSE, and it is a big responsibility to ensure that the trust and the performance of our team continues to be at its best. Now coming to the numbers, if we look at our quarter three results, we've done a turnover of INR 1,650 odd crores for Q3, FY24 compared to INR 1,339 crores in quarter three of FY23, which means that there has been a 23.3% growth in terms of revenue if you compare on a YoY basis.

And if you look at the YTD numbers, nine months FY24, we've done about INR 4,104 odd crores compared to INR 3,263 odd crores for nine months in FY23, which means that our growth has been in the range of 25.8 to 26% for a nine-month period. Now, what is it that has driven the performance and the top line growth is the fact that quarter three is a quarter of Dhanteras, Durga Puja, festive season, Navratri. We are all aware that we've seen many weddings that have happened in this quarter. We have been speaking of around 35 lakh weddings happening across the country.

Putting everything together, we've seen that there has been a huge response from the consumers in terms of buying and purchases for the festive season. Yes, we've seen that towards the end of quarter three in December, and there has been a slight slowdown with the end of the festive season, which happened around 15 December. But as we moved on to January, we could still see a slight increase in interest amongst consumers in terms of purchases.

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If we look at our EBITDA, Mr. Banka will get more into details. But overall, we've seen that on a nine-month basis, we've grown EBITDA levels at 15.2%. In terms of PAT as well, if we compare to the nine months FY23 to nine months FY24, we've moved up from around 132 odd crores to 148 odd crores. So around 12.4% has been the growth in terms of PAT.

The number of stores that we've added for nine months, we've added around 19 stores under the kitty of Senco Gold and Diamonds. Therefore, our number of stores as I speak to you today, stands around 158 stores as on, 2nd of February 24. In terms of overall, what has been the lever

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that has helped us to perform for the entire year so far, we can say that there has been a steady shift from the unorganized to organized.

We could see that the old gold exchange that we have been getting from our consumers has been approximately 33 odd percent. And the best part is that, a large quantity of old gold that is coming from the consumers, which is approximately 75% to 80% of the old gold that we which does not belong to Senco. That means that consumers have their idle old gold lying with them.

As the purchases that they are doing, they're ensuring that with the hallmarking becoming mandatory, they are converting their old family jewellery that is there and buying new jewellery. In terms of certain exciting new initiatives, we've taken, we have opened two stores as a pilot under the brand name of SENNES, which is the brand that we have launched for lab-grown

diamond jewellery and leather accessories. In the city of Calcutta, we've opened two stores in two malls, one store each. And that would be focusing on driving the lab- grown diamond journey. We want to understand how the consumers will behave. We believe that there is an enormous potential in the future. The overall performance, we've grown by 9% in gold jewellery segment, while we've grown 40% value terms in diamond jewellery segment. If you look at the volume, we've grown by 27% in volume in diamond. So those numbers are doing well.

, What we are seeing is that especially for the smaller ticket size items , consumers are preferring studded jewellery . And that is where our studded ratio has moved up from 11.3 % , 11.4% to 11.8%. And that is the reason what we see is that with 14 carat and 18 carat hallmarked purity of gold that is being used for the studded jewellery , it is becoming more and more affordable for the consumer to shift from buying 22 carat plain gold jewellery for the small ticket size to the diamond jewellery . And that is driving the overall sales for the business of solitaires, pointers. We have seen that there has been no price correction that have taken in the segment of diamonds, which is 30 cents and above. And we as a company have been focusing on ensuring that more consumers can afford to buy solitaires in the natural diamonds category. And accordingly, we are focusing on the same. So, with that, I would now request Mr. Banka to take you through the details of the numbers. And in terms of collections and designs that we have launched, we have seen that, with the wedding season, we had the Vivah a collection that was launched. During Dhanteras, we had launched Shagun collection, which was in the average ticket size of INR 50,000 to INR 1 lakh.

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A lot of designs were launched under the diamond category as well. And very recently, we have launched the Ram Mandir collection with the inauguration of, the Ayodhya temple. So, we were one of the first few jewellers to launch the collection , in the honour and praise of Lord Ram. At the same time, in terms of new initiatives, ONDC is a platform that is being created by our government to ensure that we can penetrate deeper into the Tier 2, 3, 4 cities. And we've been one of the first few jewellers to get ourselves enrolled in the platform to reach out to the customers at large. We've opened 19 stores . The number of franchises out of those 19 stores has been four. The company owned company operated stores have been to the tune of 15. And going forward, we would like to continue with the 18 to 20 stores to be launched year after year. So, the endeavour will be that, yes, we want to open more franchise stores this year , , with the gold prices moving up a little bit. The number of franchises has been comparatively lower. But that is something that we are conscious of, and we'll try to focus on ensuring the number of franchises keeps growing. And

with that, I would now request Mr. Banka to take you through the details of the numbers. Yes.

Sanjay Banka: Thank you very much, sir. While we have given a broad background of numbers, our EBITDA percentage has improved substantially in the current quarter, while it was lower in the Q1 and Q2. We achieved the EBITDA percentage of 11% in the current quarter.

And hence, overall, our nine -month EBITDA improved to 7% as against 7.7% last year .

Similarly, our profit after tax for the current quarter, we achieved INR 109 crores. Till H1, it was around INR40 crores and with INR 109 crores of tax for the current quarter, for the entire year , we have achieved INR 148.9 crores as against INR 132 Crores last year. We have achieved a 15.2% growth in EBITDA and 12.4% growth in PAT . Here it is important to state that EBITDA growth is a function of the investment. As we are growing, we must continue to make investments in scaling up our people in investing their training.

The marketing costs we have consistently fine tuned . And particularly in the current year, we have gone to Tier 3 and Tier 4 towns . Like we have gone to Bhagalpur, Ara, Jaleswar, Dumka , places, such areas where there is huge potential.

And hence, to realize the full potential, we must continue to invest. And that's why you are looking at a 7% EBITDA margin. Similarly, a major part of this growth has come from SSSG, which is in the range of 17%.

Out of the 26% growth, 17% growth is the SSSG growth. What is more important to understand is that this SSSG growth is much higher in the South, where it is 24%. So, zone by zone, as we said, the secular growth, the zones or areas where the per store sales were lower, there we have achieved a higher growth.

Overall, as we said earlier, we continue to look at a minimum 18% to 20% growth As we have grown 15 plus 4 stores in the current year , that has led us to invest in the working capital. So, our inventory has also increased from March 23 versus December 23 by around INR 350 crores to INR400 crores.

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We also have invested in capex for the stores. Overall, we have looked at maintaining the growth momentum, investing in future, and investing in inventory. Incidentally, as we've stated earlier, our blended borrowing costs, which is sum total of gold metal loan, and our working capital borrowing in terms of CC/ WCDL is below 6%.

That helps us to maintain the growth momentum. And as we've said earlier, our debt-equity ratio, our debt is primarily only working capital, will be in the range of 1.2x to 1x. With that, we stop our remarks, and we invite you to ask any pertinent questions so that we can delve more in the performance so far.

Moderator: Thank you very much. First question is from the line of Videesha Seth from Ambit Capital. Please go ahead.

Videesha Seth: Yes, thank you. Can you give some sense on the ongoing demand trends for the current quarter? Has the 20%-25% growth momentum continued? And just as a follow-up to this, what is keeping the jewellery sector insulated from the overall consumer slowdown?

We understand that the category is pseudo asset class side of nature, but just wanted to get your take on how long this growth momentum can continue for you and the overall sector. That was my first question.

Suvankar Sen: Quarter 3, usually with the weddings that were in place, was always having a much better performance. But in this quarter 4, we've been running Valentine's Day offer.

There have been weddings that have been happening in this quarter as well. If you really ask us, as we began our journey in the beginning of the year, we had given an estimate of a growth trajectory of around 20-odd percent. Now that we are ending the nine months and we are at about 26%, so obviously our 20% growth over the last year is very much in the radar.

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And I think that we will be, overall as we end the year, in a very conservative estimate, because we've always been very conservative in giving you the guidance, should be in the range of 23%-24%. That won't be as the same as quarter 3. And we are all aware that in the month of April, May, the elections are going to come up in the economy.

March is a month where the people are busier in terms of paying their taxes and closing their books of accounts. So, the consumer behaviour is a little bit conservative during quarter 4. A Valentine's Day wedding is one trigger for sales.

Women's Day in the first week of the March is another trigger where there are reasons for buying. And then as we end the March, there are usually offers for , Gudi Padwa in certain regions. But then some amount of year-end offers and sales happen. But then the focus for the organization and for the industry shifts to April, May, which is Akshaya Tritiya. And Akshaya Tritiya is on the 10th of May. So, build-up of inventory, planning, reaching out to customers, customers wait for the new year to begin. This is how the journey continues. So, this is what would be my answer to your question.

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Videesha Sheth: All right. Got it. And second question was on our operations in the northern region. Can you share what kind of improvement that the company has seen in the revenue throughput during this quarter or over the last nine months? Basically, has the gap between the revenue throughput in the north has it narrowed versus east? Just trying to understand how far away are we from attaining optimal store throughput in that region?

Sanjay Banka: If you look at the blended, basically , north is mostly the own e store. There's only one franchise store in Aligarh. If we exclude that franchise store, what we have said is that our overall average sale per store is INR37 crores, which was around INR33 crores last quarter . North has seen an improvement. Now north and east average is same, east is INR27 crores, north is INR28 crores per store per annum.

We have clearly seen an improvement. Even south has also reached INR27 crores. As we have said earlier, in various calls, if a store achieves a minimum turnover of INR15 crores, it can be INR13 crores also, then it achieves a break-even at a store-Opex level. And the moment it touches around INR21 to INR22 crores, it becomes a full 100% break-even and it covers the interest cost. This is what is the situation in north. And north has an enormous potential .

Now we have 22 stores in north, almost 10-11 stores in UP and around 10 stores in Delhi NCR , where we see an enormous potential . And that is also signified by a high stud ratio, which we have seen in north. Overall, we are very positive about the north. And that will continue to be cornerstone of our future growth strategy, east and north, as you see.

Suvankar Sen: And one more thing, if we again dive a little bit deeper, while east is growing at around 16% to 17%, north is growing at around 20% to 22%. So, the rate of growth for north, again, because the base is lower compared to east. And we are there as a newer brand in the north and the

potential of growth is that much more.

While in east and in Bengal, there is still scope of growth. It is not that the scope of growth is any way lower, but north, the growth is much higher. So, the focus continues to remain. And the stud ratio in the northern part of the country, as I mentioned before, is almost double of that of the eastern part of the country. So that is also a very strategic focus area for us to focus and ensure that the bottom line continues to remain strong due to the sales in northern part of the country.

Videesha Sheth: Got it. Just one clarification, the 20%, 22% growth rate that you mentioned for north, is it for the current quarter or for nine months ?

Suvankar Se

n: That is for nine months.

Videesha Sheth: Got it. I will get back in the queue for further questions. Thank you.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, hi. Congratulations on a good Q3 performance as well as many firsts that you have introduced in this quarter in terms of lab- grown diamonds, ONDC as well as the Ram Mandir collection. First questions on lab -grown diamonds. So, Suvankar, prices are continuously

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declining for such diamonds. I guess this is more due to commoditization with more and more sort of people entering this space in terms of manufacturing.

So, wanted to check your thought process for entering this category. So, any colour on this?

Suvankar Sen: No, Devanshu, the point is, it is the price going down which is a factor for the increase in supply .

But the demand has not been created to the extent that the supply has been there. One of the reasons for the price going down is that in the last three, four years, I'm aware being a part of the Export Promotion Council, is that there have been large exports of lab -grown diamonds and the US as a market was in high demand for that product .

But over the last six months, there has been a slight slowdown in the US economy, leading to a lot of products that comes back from that country. They give it on sales on return basis and various other options. So, therefore, suddenly there is an excess supply of lab-grown diamonds, where players like us are planning to build up the demand.

We have the customer base. We will reach out to the customer and this commoditization which is happening is an unfortunate phenomenon, because ultimately, there is a demand for studded jewellery. If the lifestyle of the consumer, the way it is changing, people are preferring to wear Western designs more compared to the traditional designs, unless there is a traditional occasion in the family, be it a wedding or a puja or any kind of such auspicious occasion.

But other than that, on a day-to -day basis, it is going to be Western designs that will drive the sales. So, I think it is up to various organizations and brands to focus on designs and that is what we are trying to focus upon, the design aspect of it, the experience, retail experience aspect of it and in that kind of an experience, if we can provide the product to the consumer, I'm sure that the future is bright.

Yes, it will not be a substitute to diamond jewellery, because diamond jewellery is natural, real. It will have its own inherent value to be captured over a period . And lab -grown diamond jewellery will be focusing on the fashion aspect of it. So, we need to play accordingly and cater to the needs of the consumer. But the journey is just beginning.

We have launched two pilot stores . I'm sure others will also follow very soon and then gradually, as the demand gets created, the prices will stabilize.

Devanshu Bansal: Got it. And Suvankar, is there any difference in customer profile for people who purchase lab -grown diamonds and natural diamonds?

Suvankar Sen: See, in our last three, four months, we have seen that those buyers who are buying lab- grown are very much those buyers who have been buying natural diamonds also . So, once you fulfil the need of buying a natural diamond in whichever size or form, then as a second level in terms of variety of diamonds or some kind of requirement and desire to have a bigger size at a lower cost. So, those are the way things are moving. And that's where it is.

Devanshu Bansal: Got it. Second question is on the store opening. We have done very well on company- owned - company operated stores in last 9 months . I guess this would have required incremental capital

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of about INR250- odd crores. So, have we seen s

ome increase in debt, or we were able to meet this capital through these analytics?

Suvankar Sen: Mr. Banka will take on the debt figures, but we also need to keep in mind that we had our IPO in the month of July. Therefore, that cash inflow into the organization was fully utilized in terms of the inventory stocking, whether it be our existing stores or the new stores we have opened. And as far as debt is concerned, Mr. Banka, you can speak.

Sanjay Banka: Devanshu, basically, our inventory level has increased versus March by almost, let's say, around INR400 crores. We have raised the IPO funds around INR270 crores. The incremental inventory and incremental capex, net of internal accruals has been funded by borrowing only.

The borrowing, which has reduced during July-August, after that, it has consistently increased.

Devanshu Bansal: Got it. Can you call out the debt figure at December end? What is the debt level?

Sanjay Banka: In December end debt working capital figure should be around INR1,346 crores. So, when we started the year, it was around INR1,177 crores. And as of December, it is around INR1,346 crores. So, around INR140 crores to INR170 crores of incremental borrowing. So, this incremental INR170 crores plus around INR270 crores of IPO funds and then internal accruals. So, there has been capex involved also.

Devanshu Bansal: Got it. Got it, Mr. Banka.

Suvankar Sen: And to add to that, Devanshu, the average cost of debt for us is in the range of 5.5% to 6%. Because most of the debt that we have taken is in the form of gold metal loan. So, that is how the whole thing is.

Devanshu Bansal: Got it, sir. And so, Suvankar, you mentioned that the franchisee store has not improved because of elevated gold prices. But from peers' perspective, we see that they are opening quite an aggressive number of franchisees. So, any bunching up of franchisee stores that we can expect in the coming quarters for Senco?

Suvankar Sen: All I can say is that there are franchisees in the pipeline. Quarter four project work is on. And there might be one or two stores that gets added in quarter four. And a few more stores that gets added in the quarter one of the next financial year. While our full appreciation and for the effort that has been put by the other fellow jewellers in ramping up the franchising business.

But it just shows all of us the opportunity in which we can also feel the potential that the unorganized to organized play happening. I was personally myself visiting a certain tier 2-3-4 cities to just have an exploration of the market. And I could feel that, yes, the unorganized segments there, are going through their own set of challenges. And it is only opening the opportunity for organized players like us to open more stores.

So, this is a good sign. And we will continue to focus on increasing more franchises.

Devanshu Bansal: All right. Last question from my end. It is a bookkeeping question. Last year, Q3, our gross margins were particularly good at 19%-odd versus full year FY23 level of about 16%. So,

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wanted to check is Q3 a seasonally strong quarter in terms of gross margin due to high studied? Is this a normal seasonality?

Sanjay Banka: I did say that the gross margin, Q3 is the best margin. So, sometimes the gross margin is also impacted by the price movement. Basically, let us look at a stable gross margin of 14%. What we saw in Q1 and Q2 was a lesser gross margin. And we have been compensated by a full gross margin in the current quarter.

So, for an entire year, if you look at the EBITDA margin, we have now a blended EBITDA margin of 7% for the whole year. So, that is what we are giving the guidance. Primarily, this is due to the stud ratio, higher wedding season sales, and partly movement of the gold price as well.

Devanshu Bansal: Got it, Mr. Banka. Thank you.

or taking my questions and all the very best to the entire Senco team. Thank you.

Moderator: Thank you. Next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Suvankar, Mr. Banka. Good afternoon. Thanks for the opportunity and congratulations. I was more curious, you mentioned that SS SG of 17% and south you had a higher SS SG. So, the background is that when we hear the other competition, they have highlighted incremental competition, which has gone up in quarter three, discounting and even the promotions.

And in that context, you have got a better SS SG. So, I just wanted to have a little more colour.

What is it that you did or is it primarily led by the store expansion?

Suvankar Sen: The SS SG part is where we had our stores having more numbers, but the competition is giving the impact in terms of our margins. So, if you look at our EBITDA levels and you will see that it has come down by 30, 40 basis points, which is mainly driven by the offers and discounts that not just us, but overall, the industry is having to give to continue to attract consumers.

And what is happening more is that in the quarter 3 towards the second half of the quarter, there

has been a sudden jump in gold prices, but the wedding season was on. So, how do you continue to attract your consumers is that you are trying to make the offer more attractive. So, till Dhanteras, there was a reason for the consumers to buy because of the auspicious season. And post Dhanteras, there is a need, which is marriages, but what is the trigger?

And that is where, with an increase in gold price, one must give attractive offers. And that is the margin impact that you can see for us. So, even in an SSG part, whether it would be South India, now South India, we have our four to five stores, compared to East India, where the number of stores is that much higher. But at a lower base, the opportunity, the old gold exchange offers.

So, you are giving a 0% deduction on old gold exchange.

That is what triggering the consumer to come with their jewellery. Now there is no biasness that you must go back to your jeweller to get the best value. You can get it from any of the branded jewellers also. So it's on the play of design, the play of offer and the play of relationship. So that is, I think, at overall level, we are working on.

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Sanjay Banka: If we build on the same-store sales growth story and what we have said is that almost 75% to 80% of our total growth is coming from the existing store, which is SSG. Then our average sale per store is still less than INR100 crores. So, we have certain stores which have reached INR100 crores potential.

Till the time each store reaches the INR100 crores potential, which means 155 stores, INR100 crores, INR15,000 crores potential. So, till the time that sort of base is not achieved, we will continue to have a major growth coming from the existing stores. The story will remain intact for next three to four years. That's what we believe.

Shirish Pardeshi: That's helpful, Mr. Banka. Just one follow up here. Do you see a starkly different competition angle in the North versus South during this quarter?

Suvankar Sen: Which quarter are you seeing, quarter 3?

Shirish Pardeshi: Quarter 3 when I'm saying, do you see a competition is becoming more hyper in the South than North or it is equal?

Suvankar Sen: The South has always been a highly competitive market. And as a result, we want to continue to focus on our growth on the eastern and the northern part of the country. And in North, maybe the competition is not as high as South, but the competition surely exists.

And all the organized players are endeavouring and striving to take the share of the market from the unorganized. So that's the journey that everyone is doing. And I guess everyone

is looking

at the coming 10 years, 15 years rather than just a year or two years. So, everyone is looking long term and wanting to acquire customers.

Sanjay Banka: And moreover, Shirish, if we look at our presence in South, we have only five stores, I think two in Hyderabad and three in Bangalore. So, our presence and exposure in South is not high. That is point one. And South, we know is a quite competitive market.

But since our base is low, we are not yet at competition to the South players. So, we continue to have a difference altogether. And we feel that there is ample opportunity for us to grow. So, even in the YTD basis in South, we have grown by 31%. That is against the national growth of 26%.

That's how we look at our core market and our core customers, even in South.

Shirish Pardeshi: Okay, that's helpful. And that's why my second question is that, if things are going right, would you track or would you have any number handy that what is the new buyer contribution into the growth? Or maybe new buyer contribution if you have a number?

Suvankar Sen: The broad number is that suppose X number of transactions we are having for the year, which is around in the range of 5.5 lakhs to 6 lakhs. And out of that, around 2 lakhs are the new buyers that are added to the kitty. So that comes to around 35%.

Sanjay Banka: It's almost 45%. So, what we said earlier, 45% to 50% are the new buyers.

Suvankar Sen: 40% is the new buyers and 60% are your repeat buyers who are already there existing in your system. This is how we are looking at the overall number, which is a good sign. Because as

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much as you are worried and concerned, and we are as well in driving that we need to acquire new customers so that the growth continues to happen in the future. So, this is how it is.

Shirish Pardeshi: Okay. Suvankar, that's helpful. My last question, in our core market during the IPO meet, we had mentioned that we want to increase the ticket size. So, when you compare last year quarter 3 versus this year quarter 3 in the West Bengal market, is there any ticket size growth or the growth has come? And what is the number?

Sanjay Banka: I don't have the exact number comparative. So basically, ticket size last time we had stated around Rs 45,000 units pan India and Rs 65,000 ATV. So, last quarter to this quarter, it has not grown.

But what we saw, there is a major shift versus last year to current year by almost from Rs 35,000 to Rs 45,000, we have moved and that we have indicated in our earnings call presentation also, which is indicative of premiumization, but not in the current quarter. So, the last quarter to this quarter, it has not moved. But earlier year to H1, it has moved.

Suvankar Sen: The ticket size quarter -to-quarter hasn't moved. But because of the gold price increase that has happened in this particular financial year, the average ticket size has grown up by 15% to 17%. from approximately INR45,000, INR50,000, it has moved up to around INR60,000 -odd. So, that has been the movement of ticket size growth.

Shirish Pardeshi: Thank you and all the best to you, sir.

Suvankar Sen: Thank you, sir. , I would like to share that, because we have our growth analysis in terms of volume as well as in terms of value. So, be it in gold or in diamond. Now, while we can say that we have grown by 26%, but to what we understand is that the value growth has been around 15%, 17%, while the volume growth has been around 9% to 10%. And the volume growth for diamond has been 27% and a value growth of 40%. And a value growth of gold has been around 9% to 10% and a volume growth of 3% to 4%. So, this is where we can see that the overall aspect has worked on.

Sanjay Banka: Just kindly allow me to rephrase it. The gold volume growth has been around 8% to 9%. So, out of total 26% growth, we can look at two, three angle

s. How much is SSG and how much is existing? We say 17% SSG, 8% to 9% new store. That is one angle.

Secondly, we look at gold and diamond, we say diamond 12%, gold 86%. Third, we look at volume growth and price growth. So, let's say, last year, Y-o-Y when we look at 26%, there has been a 15% price growth, which means there is a 9% volume growth. So, in gold, I repeat, out of 26%, 9% volume growth, 26% overall growth, which means 9% plus 17%. That is one. And since 26% is a sum of gold and diamond both, so it is not exactly fully mathematically but diamond is around 27% volume growth and 41% value growth. So, both taken together contribute to 26% growth.

Suvankar Sen: My mistake, I said 3% volume growth. What Mr. Banka is saying is the volume growth in gold is around 9%.

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Moderator: Thank you. Next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Yes. Thank you, sir, for taking my question. Just wanted to understand on the expansion for next year FY'25, how many would be franchisee stores and how many would be the own stores? And second would be what would be the sales per store in the South?

Suvankar Sen: So, ma'am, in terms of expansion, while we want to open around 18 to 20 stores, our endeavour would be to open 9 to 10 company-owned, company-operated store and 9 to 10 franchisees. In all our future growth, we want to open equal number of franchisee and own store because that will continue to ensure that our return on capital continues to remain robust.

However, as we saw in this financial year, when there are these sudden jumps in gold prices, the franchisee partners also take a little bit of time to get adjusted to the price and then plan for the investment. But that is our plan. And when it comes to the average sales for the southern stores INR27 crores to INR30 crores is our average sale. And you are aware, ma'am, that in South, there are so many retailers, and they are doing very close to INR100 crores of sales. So, there is opportunity of growth in the future and that is where we see a higher percentage of growth as well happening from southern India. And that is what our effort will be to striving to grow more. However, we continue to be a niche player in South because East and North will be our focus. South will be where we will have stores. We will build up the store. We will try to maximize it. Competition is high in southern India. But so is the plan around it.

Sanjay Banka: Just to add here, when we are giving the average South store, so out of five, three are old and two are new. So, for the old stores, they have achieved maturity. They are breakeven at the opex level and at the inventory level. So, every time we have a new store, it will dilute the average sale per store. So South stores are breakeven, and they are contributing to the bottom line as well. And that is why when we are seeing the maturity of the existing stores, we have opened two more stores in the South.

Pallavi Deshpande: All right. And from the inventory part, how do we see it for the March year-end? Do we factor in this INR400 crores for the year itself increase?

Sanjay Banka: The total inventory against March '23 has already increased by around 300 kg to 400 kg. So, it

is gold and diamond both. But what is more important is the inventory turnover.

Inventory turnover, which we have earlier indicated, there is some revision in the representation which is below 150 days. So, inventory days is below 150 days. And that's why we feel that our inventory turnover is among the best in the industry.

Pallavi Deshpande: Right. Just lastly, what would be the capex number then for next year? We can build in, like you said, only half would be the own store.

Sanjay Banka: You are looking at a capex for the next year, right?

Pallavi Deshpande

nde: Right.

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Sanjay Banka: So basically, when we talk about 15 new stores, as we are now looking at the new store format, which is the modern and the classic format. Let's say 10 to 15 new stores the capex will be at least around INR35 crores to INR40 crores. So that is one of the major capex.

And since we are focused on IT, as you said, that we are a highly tech-driven organization. We have launched [Sencoverse]. Our IT systems, our entire systems are IT. So, we will continue to invest in IT as well. And, some of the stores we can purchase. So, we can say around INR60 crores to INR70 crores can be the capex plan for the next year. INR55 crores to INR65 crores.

Pallavi Deshpande: INR55 crores to INR65 crores.

Sanjay Banka: Rs 55 crores to Rs 65 crores and we have adequate free cash flow for that. So, the future growth, as you say, all our future growth requirement for the capex and for the inventory and for the margins for working capital will be funded from the internal accrual and the borrowing. So, we have consistently maintained that a sustainable level of the debt equity ratio for the next three to four years will be 1.2 to 1.25.

Because our blended borrowing cost is lesser. Since the blended borrowing cost is lesser, so we deliver a ROCE of around 15% and return on equity of around 19% for the existing stores. At blended level, obviously, when you add a new store, it will optically dilute the overall blended ROCE and ROE. But existing stores will continue to deliver, existing portfolio, I mean, that will continue to deliver at least 19% to 20% ROE and 15% to 16% ROCE.

Pallavi Deshpande: Right, sir. Thank you so much, sir.

Moderator: Thank you. Next question is from the line of Videesha Seth from Ambit Capital. Please go ahead.

Videesha Seth: Thanks. So just two more questions from my side. Do you think our current making charges are at par with the industry, or is there more scope to get more competitive to gain market share, especially in newer regions like North?

Suvankar Sen: Videesha, see, the point is, ultimately, for the industry, the making charges is where you are earning your margins. And that is where our gross margins for our company-owned, company-operated stores, with a blended way, maybe gold and diamond put together, is in the range of 16%, 17%, 18%. Now, product-to-product, because we are focusing more on handcrafted jewellery, which is one.

We are confident that, say, we are wanting to develop designs that are selective and something that the consumers can buy. And the balance between achieving growth and achieving

profitability. And, with more of our stud ratio going up, we will be able to leverage margins from the studded category and then pass on that benefit of the profit from studded category by becoming more competitive in the gold category.

So, the options are there. But at the same time, you can reduce your making charges. But what happens when you want to give offers and discounts? And that is an expectation of the consumer.

So, you must be very sure on what is that optimum price, and when the customer will come and ask for some unique offer or offers across the year, then what discounts you can give. Maybe

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1% here and there is an opportunity. And we are keeping a close watch on the market and accordingly optimizing the making charges.

Videesha Seth: Thank you. And the second was on the lab-grown diamond base. What makes you confident that value cannibalization of the current natural studded portfolio won't happen?

I understand that the customer profile or the occasion could be different. But given that Senco has been able to attract consumers with the proposition of low-ticket prices, is there a scope for these sales getting transferred to the LGD offering? That's where I was

coming from. And have

you worked out on the buyback bit given the moderating prices of lab-grown?

Suvankar Sen: There is a buyback policy for the lab-grown because to make anything a success, and especially the mood and the behaviours of the Indian consumer, they would treat jewellery not only as an adornment but also as an investment. So, to win the trust and giving them the confidence of the consumer, you need to have a buyback for your product that you sell.

So that is very much in place. And when it comes to the opportunity of lab- grown, it all depends on the kind of products that you are producing and what you want to sell to the consumer. So, at the everyday wear, lightweight jewellery , when there is a lot of fashion and a lot of design element associated with it, then your small size diamonds become a major factor to create unique designs.

But when it comes to lab -grown, then what really will add value to the customer is the size of the diamond, where you can see much higher benefits. So, there would be certain design differentiation. Ultimately, the ticket size is very critical.

And while I wouldn't be able to disclose too much on the strategy, but we will make sure and what our thought is that through design, we will differentiate between natural diamonds and lab grown .

Videesha Seth: So just one clarification on the buyback bit. So, the buyback would be at existing prices or the prior prices? Because since the prices have been correcting, if we give the buyback at existing prices, won't Senco be incurring losses?

Suvankar Sen: The buyback will be on the current prices. So, it will be 80% value in the future, if the prices go up, then the customer will benefit out of it. If the prices go down, then it will be loss to the consumer. So, it is not at the price at which you're selling, but at the price at which the customer will be there to exchange or to sell. Did you get it? So that is how we are making it.

Videesha Seth: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Rohit from HRP Capital. Please go ahead.

Rohit: Yes. Thanks for the opportunity. So, what is the revenue mix from COCO and franchise stores for this quarter versus this?

Sanjay Banka: Your voice is not clear, Rohit. Can you kindly speak clearly again?

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Rohit: Yes. So, what is the revenue mix for COCO and franchise stores during this quarter versus this?

Sanjay Banka: 65-35 is the revenue mix for company- owned and franchise stores.

Rohit: Okay. And sir, was there any hedging game included at the gross margin or as a penalty?

Sanjay Banka: So, what we are saying is that, no, we can't want to answer this question very specifically . We are following the Ind AS accounting , right? In the Ind AS accounting, which is like derivative accounting of the IFRS, the hedging gains and losses are adjusted to the inventory. And since they are adjusted to the inventory, they will be impacting the gross margin. So, if there is a price rise, there will be hedging loss and vice versa, which will be impacted in the gross margin marginally .

So, net-net, the impact of Ind AS is to nullify the impact of gain and loss. We are fully hedged, which we have maintained regularly. And we are more than 90% hedged for the last quarter. So technically, from a business perspective, we are not a hedge fund. We don't make money from keeping the exposure open. So, to that extent, from corporate government's perspective, we are almost hedged when we say 90% hedged. But yes, Ind AS accounting is a regulatory framework which we must follow.

Rohit: Okay, so 90% of the inventory is hedged.

Sanjay Banka: Yes, 90% of the inventory is hedged. That we confirm. We confirm again.

Rohit: Okay, so on store addition, during the last quarter call . You told that for the remaining financial year, you will have 8 to 10

stores on the base of 150 stores. But in the recent management interview, it was 3 to 4 stores if they added, in 2Q on the base of 150 stores. So, is there a reason for reduction in store addition items?

Suvankar Sen: So, the store addition is a factor of company- owned store and franchisee . Because we have only added four franchisee stores, and we could add the rest as a company -owned, company-operated store, and certain franchisees' opening got postponed to the next financial year or the next quarter. So, we are reducing the guidance on the store opening.

Rohit: Okay, thank you, sir. That's all I have for now. Bye -bye.

Moderator: Thank you. Next question is from the line of Vinod, an Individual Investor. Please go ahead.

Vinod: Hi, sir. I have two or three questions on the group. First, you have about 90 stores in West Bengal alone. In a sense, how many more you can open in the next, say, three years?

Suvankar Sen: Yes. We've done our analysis, and we believe that we can minimum open 10 to 12 Own stores, if not more, because it is not only the stores that you open in the bigger cities. It is also the stores that you open in the Tier 2, 3, 4 markets. And because of our franchisee model, even in the smaller towns, there have been small markets, and there have been unorganized, small -sized

Now with government making hallmarking more mandatory, the supply chain, the sourcing for those jewellers is getting a little more difficult. So, everyone is looking for an opportunity. You know, maybe the existing, any kind of businessman in that town . So, we can minimum add 10 to 12, if not more under franchisee model

Vinod: You're saying 10 to 12 per annum, or cumulative over three years?

Suvankar Sen: No, no, I would say over next two years, 10 to 12 own and 10 to 12 franchisees . Maybe over three years, it could go up to 15 plus also. But let's keep it at 10 to 12, and per annum, it could be 5, 6 minimum.

Vinod: Now looking at the broader East, what will be your market share in the East overall jewellery market today, and what was it three years back?

Suvankar Sen: See, market share is something that, , the numbers are not really, , out in the open. It is all based on estimation. So, number of stores are very much clear and evident. The rest is that when, I guess, all of us must understand that what the other players are selling, if the total market is INR7 lakh crores industry, 15% of that, which is INR1 lakh crores , is your East industry size. And out of that, if 40% to 50% is your organized segment, that is around INR40 to INR50 thousand crores . And then you need to analyse that how much is the share of our other jewellers , where the data is out in the public or from East.

And then our business from the East is around 70% to 80% of our overall turnover. So, then I guess you will get some idea that we maybe hold around 3% or 5%, you know, maybe 10% of the organized segment and 3% to 4% of the overall market. This is our estimate, but the numbers, again, is all, one must do much more analysis to come to the correct figure.

Vinod: Understand. And with the limitations on data that we have, and I believe you are best placed compared to us, you said 3% to 4% of the overall East market. Any sense, based upon estimates and handicapped as they are, what was that number like, say, three years or five years back against this 4% now?

Suvankar Sen: One thing you must keep in mind is that the industry hasn't grown much over the last four, five years in terms of value, it has grown. But in terms of volume, the imports into the country have been in the range of 600 tons to 700 tons on an average, right?

There is a steady shift that is happening from the unorganized to organized in a big way. Again, these are all estimates. So, if today we are at 3% to 4% of the market, I would say th

at maybe

we've been growing 20% minimum year -on-year over the last four or five years, right?

So that means that we've almost doubled. And so, you could say it was 2%, 2.5%, maybe four, five years back. I'm just giving an answer based on the estimates.

Vinod: Right. But I'm just circling back to the older question on the stores you could open in Bengal, you said five to six per annum. Fair to presume that you already sort of earmarked the places that you want to open the stores, not necessarily the location, but the cities or the micro market you want to be in, and therefore you have greater visibility on the locations?

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Suvankar Sen: We won't be able to share the details of the location, but we are studying the market deeply. And it is not just Bengal. We are doing it for the markets in eastern part of the country, because strategically, we want to focus on east, which is where our core competencies and north and the future market potential. So, we have a whole list of locations lined up. And based on the opportunities, we will always try to grow there accordingly.

Vinod: So, you know, I asked this question just to play a devil's advocate here, that you have a strong presence in east, one could always question that what after east ?

Suvankar Sen: Bengal is only one state, then you have four, five more states in east. That's so your one to year journey, say two years journey in a particular state, and then you become the market leader and you capture more from the unorganized. T hen you are focusing on the five, six other states of eastern India.

Parallely you are putting your base. W e believe in the hub and spoke model. So, we've been there in north. We will then start penetrating into the various states. We have already penetrated with more than 20 stores in north India. So, then the brand gets stronger and stronger, and we will penetrate in the north India.

And then, you know, maybe that itself is a three, four-year journey. Then is your journey into central and west, you know, and then the last will be in the south, because south is a highly competitive market. This is the

journey that we see over the next 5 to 10 years.

Sanjay Banka: Sir, if I can build on that, when we talk about east, out of all the stores in East, stores in Bengal are 90, And east is 27, that is 117. So, when we talk about this, we have Bihar, Jharkhand, Odisha, Assam, Tripura, we have store in Tripura and Chhattisgarh also.

So, there is a huge scope in these states So you must understand the difference. Our competition is not to the players with whom you are thinking. We will be a major player in the movement from unorganized to organized. That is tier three and tier four.

So, when we go to Bhagalpur, when we go to Ara, when we go to Jaleswar, when we go to Dumka, so this is in our target list. There is the huge list of such cities and towns where there is a potential. And we will look for these locations in future also.

Vinod: Right. You know, I stressed on this question because if I look at last three -year data for which you have done, you have a total of 43 stores open out of which 21 alone were in Bengal. So, one worry is if Bengal is going to slow down a little bit in terms of new store opening because you are saturating that, could it therefore impact the overall growth in the company at the level of profits that you would like to grow?

Sanjay Banka: These points we have addressed earlier. See, one is the store presence and second is the ASP, ATV, and average sale per store. what you said, there are many stores which have achieved a INR100 crores top line level and our average, overall blended national average is INR37 crores. West Bengal is maybe mid-level.

Senco Gold Limited
February 14, 2024

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There is a scope to improve the ASP, ATV, and average sale per

store before Bengal opportunity

is out. So, we don't see that Bengal opportunity will be out before next 10, 15 years. There are still many cities in Bengal where we must reach.

So, our constraint is only imagination. That's how we can say. That that is only a constraint. The market is unlimited. We are talking about a 40% only organized market. 60% market is huge opportunity.

And we don't see that anybody is at competition. We all will be catering to our respective customer segments and there will be ample and huge opportunity for everyone to grow and serve the customer in tier 3 and tier 4.

Moderator: Thank you. Ladies and gentlemen, due to time constraint was the last question of the day. I now hand the conference over to management for closing comments.

Suvankar Sen: Thank you very much. It is truly a wonderful experience, I would say, and a pleasure on behalf of Senco Gold and Diamonds to, come across, interact with all of you, update with all the numbers. And once again, we are very happy and excited that we've had a wonderful quarter 3, and we look forward to a robust quarter 4, I might say.

At the same time, we need to be conscious that how the coming year will be, the coming calendar year, the coming financial year. We've had Valentine's Day offer, the wedding season is around in quarter 4, and that is what the drivers are towards the sales and the numbers that we are doing for quarter 4. Then comes the quarter 1 of the next financial year, which is, again, we look forward to in terms of Akshay Tritiya and the new year that happens in various states.

But at the same time, we need to be conscious on the consumer behaviours and how the footfalls at the retail will be. There are elections coming up in the country. So that has its own impacts.

Maybe the demand might get crossed over from quarter 1 to quarter 2. We are aware that the wedding season for the upcoming financial year, there are fewer weddings in the first half of the year, and the weddings will be only in the month of November, December onwards. So, the management of SENCO is accordingly planning to ensure that the multiple locations that is there in the first half of the year, we continue to come up with our new offers, schemes, new products, new collections, new designs to ensure that the customers continue to stay excited and buy from the jewellery industry and for our company as well.

And we look forward to meeting, interacting with all of you after the end of quarter 4 as well. And have a great day and happy Valentine's Day and happy Saraswati Puja once again. Thank you.

Moderator: Thank you. On behalf of Ambit Capital that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender has taken effort to ensure high level of accuracy and made minor editorial changes to provide full context.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

TM

Ref: SEC/S814812024-25 Date: 21st August 2024

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcripts pertaining to the Unaudited Financial Results of Q1 FY25 Pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earning Conference Call organized on 14th August, 2024 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the Quarter ended 30th June, 2024.

The transcript shall also be available

<https://sencogoldanddiamonds.com/investor-relations> on the website of the Company:

This is for your information and records

Yours sincerely,

For SENCO GOLD LIMITED

Mukund Chandak

Company Secretary and Compliance Officer

Membership No. A20051

Encl: As above

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GOLD & DIAMONDS

The Manager - Listing

The National Stock Exchange of India

Limited

"Exchange Plaza", Bandra - Kurla Complex,

Bandra (EAST), Mumbai - 400051

NSE SYMBOL: SENCOThe Manager - Listing

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001

BSE SCRIP CODE: 543936

Greet

Place

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Work",

9:00 AM

INDIA Power of Trust 2024 Q1 RA report

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Senco Gold Limited

Q1 FY '25 Results Conference Call

August 14, 2024

MANAGEMENT : MR. SUVANKAR SEN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SENCO GOLD LIMITED
MR. SANJAY BANKA – CHIEF FINANCIAL OFFICER –
SENCO GOLD LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Results Conference Call of Senco Gold Limited, hosted by Emkay Global Financial Services. We have with us today Suvankar Sen, Managing Director and Chief Executive Officer, and Mr. Sanjay Banka, Chief Financial Officer. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Vishal Panjwani from Emkay Global Financial . Thank you, and over to you, sir.

Vishal Panjwani: Hi, good morning, everyone. I would like to welcome the management and thank them for this opportunity. I shall now hand over the call to Mr. Suvankar Sen for his opening remarks. Over to you, sir.

Suvankar Sen: Hello, good morning, everyone. As we begin the day today, I would like to wish each and every one of you a very happy Independence Day in advance, as we will be celebrating it tomorrow. And we have announced our Q1 performance. We had our board meeting two days back and would like to take this opportunity to talk about it with all of you today. If you look at Q1, it's been a very exciting quarter, I must say especially as we have been discussing last time as well, that we know it is a month, a quarter of Akshaya Tritiya .

We had New Years in many different states, and as we begin the financial year, it is very important for us that we should start the year with a big bang and with a lot of excitement. So, we had our launch of a B angle festival and offers related to Akshaya Tritiya . While this quarter was a quarter in which we had the elections and the heat waves were impacting retail sales and footfalls at the stores in many places, we saw that during Akshaya Tritiya , our sales for those 41 days had an increase of almost 20 % to 21% in terms of sales value .

And also, we must mention that this was a quarter in which the gold prices also were extremely volatile, it had shown its upward trajectory, moving upward. So that also kind of impacted overall sentiments of the consumers and therefore, in terms of the sales of volume that we got, the increase of sales in value terms was only 7.5% (consolidated) . And in terms of adding the new stores, in that particular quarter, we added 6 stores, out of which 4 were company owned, company - operated, and 2 were franchisees.

So that 's what it was, we have been planning and aiming to open about 18 to 20 stores for the whole financial year and in Q1 we have open ed six stores out of the 18 to 20 stores and out of that one store in Dubai. So that was also a journey that we began to establish ourselves, our brand, with a global presence, reaching out to customers, not only from the Indian diaspora, but also Calcutta Jewel lery for its popularity and what it is famous for, the handcrafted product is appreciated by consumers of the Middle East, as well as there are consumers in Africa that

appreciate Calcutta Jewel lery. And that is where we wanted to take it and use it as the beginning of our journey and a platform to promote this handcrafted product to the other parts of the world. In terms of the retail sales, we have seen 11% growth , and the same store sales growth was about 4%. So, in terms of top line because of the se multiple circumstances of elections , heat wave and the gold price movement, it was, I would say, a challenging quarter but what went right was the fact that our ATV grew by almost 12% and our ASP grew by 13%. So, despite of the challenges that we have seen, our hedging was much above 90%. So , in those kinds of situations , we tried to mitigate the volatility.

And even as the sal

es continue to happen, we build up stocks for the season, but post Akshaya Tritiya , the market became slower and slower. We were focusing more on ensuring that we kept optimizing the stocks. I must mention here that while our endeavo ur is always to increase the diamond sales and that would add to the margins, but this Q1 did not see that much growth in diamond sales.

Rather, there was a de -growth in diamond sales by about 3 % to 4% as things were difficult, the sentiments of consumer, because when the prices rise, then the consumer, it has its impact on the gold component, the footfalls go down and consumers want to procrastinate and postpone their purchases. In terms of the current si tuation, while the Q1 has now ended and we need to look forward and what we want to see ourselves as, the current recent situation of reduction of duty by almost 9% is a big boost to the industry.

The way consumers were thinking that, oh, gold price is so high, it is not so good. And what we saw in Q1 was that it was the bigger ticket size items that were selling more, those who had to

buy or buying related to weddings, they were more keen to buy rather than the smaller ticket sizes.

But I think this duty cut would make the demand for consumers across wedding and non-wedding category to come and buy the product. And we are already looking at it in a positive way. The footfalls have increased in the last, I would say, 15 days. The sales had gone up and this is a positive thing for the industry.

In our Q1, the trend that, we were seeing more of the wedding customers, though the wedding season wasn't much there, we launched the Gathbandhan collection, which was all about the wedding jewellery, necklaces, bangles. And I think that kind of focused initiative to cater to the targeted customers who are in a mood to buy helped us and enabled us to achieve the sales and attract the consumers. But currently we are seeing that it is all kinds of customers, be it wedding or non-wedding, coming to the stores and buying the products ranging from earrings in gold and diamonds, bangles, necklaces, all kinds of products are being sold.

What I have already discussed and been saying is that, yes, the cut on the duty would have an impact on the valuation of stock because despite of our hedging, how do we hedge? We hedge in two methods. One is hedging by selling on MCX, on the sell side, or we take gold loan from the banks.

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Now, the gold loan from the banks that are being taken, that is duty paid gold. So, yes, the international price movements get hedged by the gold loan, but the duty cut movements for the gold that you have already taken on loan from the banks, that portion of it is not hedged. So for us, that portion that is already bought through gold loan, we are analysing and assuming that approximately 50 crores of financial impact would be there due to the duty that has already been paid and the market value that has been coming down.

But at the same time, I think that the increase in sales, more footfalls, the ability to ensure that we will be able to achieve the numbers, the top line growth of 18 % to 20% will be in pipeline. And in terms of how we manage this particular sudden impact, while on the other side, what position we had taken on MCX, out of there we have been able to protect ourselves and mitigate this duty cut impact and have been able to get the right kind of result. But here, through increase in diamond jewellery sales or ensuring that the discounting aspect of it that we have been seeing in the current market scenario, that players have been unnecessarily being aggressive in terms of their discounts and offers.

And I think that mostly that would go with the fact that gold prices had moved up. So, they were all under the pressure of achieving their targets and growing. And as a result, I think that the offers and discounts were a little more t

han what it was required to be given. But nonetheless, we all need to modify ourselves and ensure that this duty cut impact is rationalized through rational discounting and offers to the customers.

And other cost cutting measures, wherever we feel that, we can control our cost, we would be doing that to ensure that we get minimum impact. And this impact of 50 crores would be, I think, spread over the coming 2nd to 3rd quarters.

You will not be able to see the impact directly in one quarter because the inventory is there. And over a period of time, we will be adjusting it. So, this is what we feel. The wedding season is much in place. We had our exhibition as in the jewellery exhibition, India International Jewellery Show that happens annually during the month of August. I would be happy to tell you that there were a large number of footfalls and there were manufacturers, wholesalers, retailers, big and small and they were all overly excited. There were a lot of business that happened. So I think this duty cut that has been initiated by the government is a good signal and a good support to the industry in terms of the growth prospects.

Moderator: Sorry to interrupt again, sir, your voice is not audible.

Suvankar Sen: And with the wedding season, festive season, preparing for Diwali, Dhanteras and all the stores are now reaching out to customers and all the necessary steps towards a successful festive season is what we are focusing upon. Now, I would request Mr. Banka to further elucidate and take you through the numbers.

Sanjay Banka: Yes, good morning, sir. So, you have given a quite detailed update on everything. So I want to highlight two, three points. One is that despite the challenges of growth and the industry competitiveness, while we grew at 9% overall (standalone), but and retail growth was 11%. And once again, this is the highest ever sale in this quarter. Similarly, we have maintained a good

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control on the opex, the gross margin has also been in a good range, primarily because what we see is that subsequent to the earlier quarters, like last year's Q1, or Q1 FY 22-23, we've seen an improvement in the quality of our business.

We have been constantly learning what is happening in the market and accordingly calibrating our marketing strategy, have kept a good control on our gold prices. While in the market we are

essentially talking about one India, one gold rate and at Senco, we are cognizant that a long-term sustainable business has to be based upon value proposition and the value proposition cannot come simply by giving the price cuts that we maintain. Similarly, when the gold price rises, making charges are usually as a percentage of sales.

So, in a rising gold price scenario, while in terms of percentage or gross margin, it can look same, but in absolute term, we usually get a higher gross margin. So that is one. Similarly, in our pricing strategy for our franchisee, we have made minor corrections, all these changes in our business model have improved and calibrated our inventory valuation. And all this has led to improvement in the gross margin, which we are seeing. As you already said, hedging percentage has been, we said in the press release also, has been ~95%.

So, which clearly means that we are not concerned about the price movement of gold. And even though we knew that the gold price will rise, still we maintained above 80% and reached up to 96%, which led a loss on the hedging position. Because as a company, we are committed to the risk management strategy. So, while there were realized gains on gold, which was procured in Q3 and Q4, that was mitigated or negated by the hedging loss.

And still we managed a good margin, EBITDA margin and PAT margin. So with that, we hand over the call. And to the attendees, the respective investors can ask questions to us, and we will be very much delighted to resolve the queries.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi, Suvankar and Bankaji. Good morning. Thanks for the opportunity and congratulations for a good set of numbers. On slide 41, you mentioned that the revenue growth is 9% and S SSG is 4%. Can you give some colour how this S SSG would have moved or revenue would have moved in April versus May and June?

Sanjay Banka: Basically, in the first 41 days, the growth was 21% during the Akshaya Tritiya and after the prices were increased. It's not that the prices were not increasing in the first 41 days, but there was a momentum. Despite increasing prices, we have achieved 21% growth rate. And suddenly, as 41 days passed, later around 16th or 17th of May, by that time, elections were also at the peak and then the market had taken a dip. So S SSG during that period was certainly more than 10% to 12% as you said that when the growth is 20%, S SSG is usually 60% to 70% of total growth. But overall, in the next period, the market collapsed and that's what you are seeing a 4% S SSG.

Suvankar Sen: Correct. So basically, I think the right way to look at it is that in the first one and a half months of the quarter, it was a good season. The pickup was there. But post the middle of May, things started moving downwards. And that is where the average out S SSG was what we are seeing of

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4% to 5%. So, if that could be, we don't have the exact month wise data, so we are just giving.

But then the April and middle till Akshaya Tritiya, it was more positive. And post Akshaya Tritiya, it was more challenging. That's what we can tell you.

Shirish Pardeshi: Thank you, Suvankar. Just follow up on that. So if that growth is 20% or S SSG growth is 10%, I'm sure the average sales price or ATV would have been higher of 80,000-90,000 because your average is about 74,000.

Suvankar Sen: Yes, in the beginning of the quarter, the ATV & ASP was on the higher side. That's what we were analysing. And there are no qualms about disclosing those facts that we could see that it was most of the wedding jewellery type of products and heavier products that were growing. The necklace segment was growing but smaller ticket size ring, earrings, pendants, and all of those categories were not growing to that extent. The business was happening, but they were 10% on the downward trend.

So we were wondering that what is happening? Why is it that? So then we realized that those consumers with the disposable income and those with the need to buy jewellery for weddings or for their special occasions were still coming and buying. But those ones with their limited savings and funds who had to buy were thinking that, Okay, might wait for some time and buy it later. So I think that's the trend we saw in the Q1.

Shirish Pardeshi: Okay, my second question is that when I look at store openings, six stores and if I look at the depreciation, amortization expansion, which has gone up by 44%. So what explains, is there any one-off we have done or there is some refurbishment of older stores which has happened?

Sanjay Banka: No, I don't think so. I will get back to you. Basically, there is no one-off expenditure.

Shirish Pardeshi: Okay.

Sanjay Banka: There is no one-off expenditure. There is some, basically Rs 12 crores to Rs 18 crores. So during the last year, we had set up around 24-25 total stores and around 15-16 owned stores. So this impact may be due to that factor that we added so many stores and particularly one large-sized store, that we said in Hathi bagan, which was under pivot for more than four to five years. So that was capitalized somewhere in June '23. This may be an impact due to one of the Hathi bagan stores. But there is no one-off, there is

s no great impact that we can assure you.

Shirish Pardeshi: Okay. Banka ji, last question. Your studded has now reached 10%, which was about 10-11%, which has remained steady. So could you spell out what is the target or what is the inputs we are doing to improve the studded ratio? And maybe in Q1, what is the varying part of the business contribution?

Suvankar Sen: In Q1, the studded ratio, sir, came down. Last year, on an average, the studded ratio was about 11.5%. But in Q1, the studded ratio was around 9.6 %~9.7%. So there was a lower traction and sales of diamond jewellery during the Q1.

Sanjay Banka: Going forward, as you said, we have maintained that this Q1 was an anomaly and not only for us, for the entire market. So we have been building the inventory. Despite, we know that there

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are challenges in the diamond sale. So we have built up the inventory, we have built up the work list. And if you look at our total inventory of around Rs 2400 crore s in the balance sheet, to be precise, Rs 2593 crores . So around Rs 450 crores to Rs 500 crores is the diamond.

So we are clearly working out on the strategy. So we said that at least 100 basis points, the studded ratio will increase. So while it has become 9.5%~ 10.0% in the current quarter, our target remains the same. It is only one or two quarters, as you said, do not decide the journey. The journey very clearly remains a confident journey. And more so, since our diamond prices are quite attractive, we are with the competition.

We are sure that we will achieve the 12.5% to 13% this year. But surely, we will touch 12%.

Shirish Pardeshi: Okay. And on wedding, what is the contribution?

Suvankar Sen: Sir, wedding contribution, the definition of how we define a wedding jewellery is very subjective, but we assume that any product that is related to weddings, whether the price is above one lakh or it is specifically like say Mangtika or certain types of bangles that is wedding related, we kind of try to take it. So it's usually around 40 % ~ 45% is what we assume the wedding jewellery share is.

Shirish Pardeshi: Thank you , Suvankar and all the best to you.

Suvankar Sen: Thank you.

Moderator: We have our next question from the line of Ayush from Shravas Capital . Please go ahead.

Ayush: Yes, good morning. I just had one simple question on the gold metal loan. So as far as my limited knowledge, I just wanted to understand how this is not being hedged, because just to give you a gist the gold metal loan is for 180 days, right? Just to give an example. Usually if there's a rate cut, the prices adjust and then the banks are supposed to give back that portion of the loan because the loan to value ratio is not the same rate because that price has reduced. So the bank has to pay off and if the price increases, you have to pay back the extra kind of the cost – I am just trying to understand.

Suvankar Sen: Yes, I will be happy to explain, Ayush. See, when you are taking the gold on a loan from the bank, the dollar rate, the rupee dollar conversion rate and the international gold rate, those remains, open. So with the increase in price or the decrease in price, you can always fix it. And that is the hedging way to do it. But when you are importing gold into the country and you are taking the gold from the bank, then the duty of 15% that you are supposed to pay to the government during the time of import, that is something that you have to pay upfront during the time of taking the gold, even in a loan. So you are hedged against the international price movement.

You are hedged against the rupee dollar movement. But you are not hedged against the duty cut or duty increase. I hope I could explain it.

Ayush: Yes, yes, I did understand.

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Suvankar Sen: So basically, the 15 % duty that was to be paid upfront for all the gold we have taken on a loan for the last six month

s before the duty cut, that is where the impact is happening, the duty, that 15% that you had paid is suddenly 6%. So that 9% difference between the duty paid and the current market rate, you are having to take a hit and you will have to adjust that hit over a period of time.

Ayush: Understood. Just one more question on mine. Could you just quantify what percentage is hedged by GML and what is hedged by MCX, just to give us an idea of the 90 %?

Suvankar Sen: Yes, it is about, I think, the 90 %, you could say 50 -40.

Sanjay Banka: Almost, 95 % of our gold metal loan remains unfixed. So as Sir rightly said, I would say 45 -45, 45 and let's say 50.

Sanjay Banka: So 96%, we have said. So I would repeat that almost 90 % to 95 % of our gold metal loan remains unfixed, that is hedged.

Suvankar Sen: No, no, he's asking that what is out of the gold metal loan and out of the MCX, out of the total hedging.

Sanjay Banka: Almost 50 -45 or 5 5-40. Got the answer?

Ayush: Yes, I'm done. Thank you so much.

Moderator: Thank you. We have our next question from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Yes, hi, good morning. Thank you for the opportunity. The first question was on the demand trend that while qualitatively you mentioned that so far we have increased over the last 15 days. Can you elaborate on the demand or sales trend in the second quarter till date and what kind of growth have you seen as it can now line with the 20% guidance that you've given?

Suvankar Sen: So what I can tell you is that if suppose we were growing at what you saw in Q1, the growth of 11% retail, correct? That growth number as on date can be assumed to be at 18% to 20%. So, that is how you have to look at it,

Sanjay Banka: Which means Videesha that we are growing around 25% to 30% YTD, sorry, in the in the 2nd quarter, till the end of now, so that gives around 18% to 20% YTD growth. And that's what we have said that we are confident that we will achieve overall 18% to 20% growth throughout the year subject to quarterly variances.

Videesha Sheth: Got it. Yes. Second is just a follow-up to the earlier participant's question on opex. There is a 25% to 27% QoQ increase in other expenses. So can you elaborate or clarify on this and is this the run rate to be expected going forward as well?

Sanjay Banka: No, this is not the run rate going to be. One is that last year, first quarter, this year first quarter, more stores came into picture. So there is a volume variance in terms of new stores, rental. So

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let's say total 18 new stores. So first quarter was only three because with the IPO money we raised the store. So one is a volume variance.

And one is that since the market was down in the second part of Q1, we spent a little more money on the marketing. But this is not the run rate. So you don't multiply it by four. So what projections we have said that will be there. This is not the run rate.

Videesha Sheth: Got it. Then on the gross margin movement, if you could just elaborate on the 500 basis point expansion, you also mentioned that there was some correction or some tweak in the franchisee model. So if you could elaborate on that as well.

Sanjay Banka: No, I can't elaborate much on that. These are the business strategy that we are looking at, with our gross margin improvement versus Q1 of last year or Q1 of 2023. But the correct way will be to look at Q3 and Q4. So our EBITDA margin in Q3 was around 11% and Q4 was 7.7%. And we said very clearly that this industry is clearly subject to signal resistance and clearly subject to price volatility.

So whenever price volatility happens in one quarter or other quarter, it will show you EBITDA will get impacted temporarily. So as long as a company is doing a 90% or 95% or 100% margin, there the hedging, sorry, 90% to 100% hedging, they will remain fully p

rotected. But from

accounting perspective, the gross margin may look muted. And hence, it is important to look at the gross margin and EBITDA over two to three quarters, which may not fall within the same financial year. I'm qualifying the sentences.

Videesha Sheth: So for FY25, basically the gross margin would be in the normalized range of 15%, 15.5%, 15% to 16%. Yes.

Sanjay Banka: We have said 14% 14.5% to 15% and EBITDA we have said 7% to 8%. And this is subject to this custom duty impact. And not only us I think the entire industry that custom duty impact has happened. So you can understand 50 crores on that to Rs 30 crores to Rs 40 crores of likely PAT. We will take necessary actions to recover this custom duty impact by multiple actions which will be taken.

Videesha Sheth: Okay, got it. And lastly, given that the gold exchange component has been increasing QoQ since the last few quarters, what would you attribute this to? I mean, one part of it is that, of course, the elevated gold prices and consumer presence for organized retail has gone up...

Sanjay Banka: What is the attribution? Higher gold exchange clearly is for two reasons. One is the increasing gold price and which is a major reason the customer has to buy gold he doesn't have money and he brings the old gold. Secondly, the trust and movement from unorganized to organized in the respective market. So in our market also, as we are market leader, this consistent increase, as you said, that almost a major portion is a non-Senco gold.

So clearly the branding and faith and trust of Senco is improving and we also want to take it to 40%-45%.

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Suvankar Sen: If you remember, just to add to this, that even in the last financial year or last few quarters, we saw an increase in old gold exchange and we also shared some data on non-Senco gold coming into us and people exchanging it, which showed that there is a preference of consumers towards the brands.

Not just us, but all brands, right! Because all the top jewellery brands right now are giving such offers to the consumer that even if they bring their other kind of old gold that has been bought by other jewellers, they will get the same kind of facility if it is above a certain purity level. So

I think that's what is attracting the consumers into the brands.

Videesha Sheth: Got it. Where I was getting at is that at company and brand specific initiatives, we have increased our marketing thrust as well, which has also contributed to the increase in exchange. Would that be a fair conclusion?

Sanjay Banka: No, marketing expenses cannot be linked to old gold, but we are promoting and increasing marketing expenditure. If a customer is coming towards the footfall, which is the objective of the marketing expenses, then he brings his own old gold. For us, old gold is just a good currency. I will say old gold for us is a green currency. It's our commitment to ESG and it is saving of the precious foreign exchange for India. So, it's a good social service. We think that as an organization and citizen, we can do for our beloved country.

Videesha Sheth: That's all from my side. I'll join back the queue. Thank you.

Moderator: Thank you. We have our next question from the line of Avi Mehta from Macquarie Group Limited. Please go ahead.

Avi Mehta: Yes. Hi, Suvankar and Sanjay. First, I want to just pick up on the last question about growth.

Now, the 18 % to 20 % growth that we saw, is there more front-ended due to this custom front-ending of demand due to this custom duty cut that you see? And more importantly, just to understand the demand environment, you pointed towards some weakness in a segment which is concerned about incomes and maybe the entry level. Has that changed?

Suvankar Sen: Yes, in the last 15 to 20 days, after the duty cut, we are seeing a change of the lower entry level ticket sizes. So that is on

the part of the question that you have given. And the front-ending aspect of it is basically that, when there is a sudden reduction in price and internationally if you look at it, that the global uncertainties continue to remain. And the Fed rate cut and all of those aspects are factors that will lead to increasing of the international gold rates.

So I think, from our perspective and Jewellers perspective I think consumers are being made aware of those facts and the possibility of international prices going up. So, they are being pushed or inspired and motivated to come and do their booking, buying for the coming seasons. So this is how it's happening right now.

Sanjay Banka: If I can add here, to what you have said that in the 2nd quarter, the growth will happen. Higher growth is happening in the franchisee stores over the last year. So which clearly indicates that the tier three and tier four town demand is coming back and agriculture sector, good monsoon, stabilization of the economy post elections, faith in the government policy, a pro-farmer policy,

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I think most of them that's why the demand is coming back. And SSSG also, one other participant asked earlier, I think, so as you had said earlier that the SSSG is usually 60 % to 70 % of total growth. SSSG has also improved significantly, especially the franchisee one. So we are on course to 20% total growth, 13 % to 14 % SSSG.

Avi Mehta: Got it.

Sanjay Banka: As you can see today.

Avi Mehta: Okay. Got it. Just a clarification, if I may, has the change in discounting levels also happened after this duty cut or is that something that remains elevated? Because you know what the question, the aspects that you alluded to about gold price rising further. Does that worry you that this discounting is something that can sustain for a longer time?

Suvankar Sen: No, so for the short term, I think that this duty cut has affected every jeweller. So everyone is conscious of the fact and there will be plans and efforts towards rationalizing it. I wouldn't say it will completely stop, but things will get rationalized. So that will happen till the time that if the gold prices again shoot up, very fast in a very short period of time.

High then again, for those short term, attracting of footfalls and customers, it might happen. But if markets remain stable, then I think there will be rationalized discounting. So maybe, my answer is kind of a balanced answer, because very honestly, it's a very dynamic market. But based on situation, things will change. But if the situation remains stable, things will be rational.

Avi Mehta: Got it. And just a second bit, Suvankar was on this lab grown diamond foray. Now, how's the feedback been? And do you see, from a very broader perspective, do you see this, initiation or customer movement towards lab grown in any way hurting the luxury and exclusive feel that typically has been associated with diamond jewellery?

Suvankar Sen: So see, there are two ways to look at it. Yes, there was an aspirational and a luxury feel to diamond jewellery. And I think a lot of effort is being made by the industry towards building up that, continuing and building up it further with the formation of natural diamond council and promoting of natural diamonds. And it is rare. The fact is that it is rare and it takes so much effort to make it. But the lab grown aspect of it is also picking up.

And especially it is in the bigger size diamond that I think the market is getting impacted more because now you can get it at a much lower price and you can fulfil your desire. So I think in the smaller size diamonds, it won't be so much affected. So in terms of fashion and in terms of daily wear and casual wear for the smaller size diamond, the natural diamonds will continue to play a role in terms of modernity and aspiration.

But in the bigger size diamonds, while the people who

will buy for their special occasions of

weddings, or their own weddings, or engagement with the natural diamonds. But for fashion, for the impulsive purchases or for the destination wedding, which is again another segment where people would want to wear exclusive designs, but for natural diamonds, those designs become expensive to carry.

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So those are the segments in which lab grown diamonds and with the wedding season in mind, I'm talking about it will have a role to play. So this is how we have to look at it.

Avi Mehta: Okay, and how's the feedback been? I mean, how are consumers kind of looking at this? Any initial feedback?

Suvankar Sen: So it is, I would tell you that, what we saw, not just with our company, we are also building up the brand, doing pilot with 3-4 stores, trying to reach out to customers because we have to play a very balanced approach right. Though we have created a sub brand and trying to create a different identity, but we have to protect the natural diamonds and ensure that people continue to aspire for it as well as see the consumer behaviour with the lab grown diamonds.

But what I saw in the exhibition, that were we could see various companies, jewellers, big and small, everyone coming, there has been a lot of curiosity and increased curiosity and more acceptance. I think these are the words that should be noted that, is happening in the industry. Now, the information percolation to the consumer will gradually happen. So the future is there, but it will not be able to completely take over the segment.

It will have a small role to play in the fashion segment. I think that's how we have to look at it.

Avi Mehta: Got it, Suvankar. Thanks a lot. That's all from my side. Thanks very much.

Moderator: Thank you. We have our next question from the line of Disha Poddar from Carnelian Asset Managers. Please go ahead.

Disha Poddar: Thank you so much for the chance. I just wanted to understand that you have opened one store in Dubai. So I wanted to understand the strategy of opening further more stores abroad and which regions would you be targeting? And would the economics be kind of similar or how should we look at that?

Suvankar Sen: No, Disha, I'll tell you, this is our beginning and the first step towards increasing the global presence. But we will have a very calibrated approach, and we want to understand, the market and the sentiments. And we would like to play our strategy. As I said, that, taking more product centric and our Karigar centric and design centric and try to reach out to multiple consumers, not only the Indian diaspora.

So there are no such big plans of many, many stores. But we will surely keep our opportunities open if there are the way we have been expanding to our franchisee model in India. We will always look for any kind of opportunities if they come in. But it is more important that we first build a brand and establish ourselves with our products and our services. So I think we will be in a very methodical and a calibrated manner doing our expansion abroad.

Disha Poddar: Understood. And secondly, sir, on the growth that you mentioned that, you'd be targeting about 18% to 20% growth for the full year. So how much of this can we expect to come in from S SSG and how much from the new 18 to 20 stores that we are opening?

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Sanjay Banka: That S SSG will be around 13% to 14%. When we say 18 to 20 between 13 to 14 S SSG. The major contribution anyway comes from the S SSG stores only.

Disha Poddar: Right. Okay. Thank you so much for the answer, sir.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: Yes. Hi. Thank you for the opportunity. So I just wanted to understand, I mean, with respect to the lab grown diamond jewellery store, what sales per store are

we targeting? I mean, have we

even reached breakeven sort of period? Do we need to reach the breakeven levels?

Suvankar Sen: No, it's a very good question. And let me tell you that we haven't reached breakeven yet. Right. It's been a four-to-five-month journey. We are taking efforts to build the awareness. The targets, I might not be very comfortable to share the target right now because of the circumstances. But let me tell you that the breakeven is not reached yet. And it's the early stages of the journey. So yes.

Sanjay Banka: No I want to add once again that we have said very clearly that in the current year, in 24-25, when we talk about the Sennes segment, which consists of lab-grown perfume and the leather bags, the contribution is not likely to be more than Rs 100 crores. I have said earlier Rs 50 crores. I think between Rs 50 crores to Rs 100 crores. So it is not a very important part of our strategy for the current financial year. It's part of our vision to be a lifestyle partner.

Bhavya Gandhi: Right. No, I was just trying to understand because the stud ratio is on a higher side when it comes

to lab -grown diamonds, because your stud ratio is far better than the normal natural diamonds. Right.

Suvankar Sen: So I just want to know how are you seeing it? I don't know. Would you be defining it? I don't know what your calculation might not be correct to look at it that way.

Bhavya Gandhi: Okay. So if you can help me understand, I mean, because lab -grown diamond, I mean, its lesser caratage and daily wear jewellery , most of them that you are targeting. So I believe that the stud ratio is on a higher side or is it not?

Suvankar Sen: No, see, compared to a natural diamond, the stud ratio, is a combination of the how we define stud ratio means we don't mean the stud ratio for the product. What we mean to say is that when we are selling, say, 100 jewellery , when we say it is 11 .5% that means that for us, 11 .5% is the diamond jewellery or studded jewellery . that is how we define a stud ratio.

And many of our clients have achieved much better numbers in terms of 20 % stud ratio or higher. So this is our definition of stud ratio. And I think what that in any particular product is what is the ratio of gold vis -a-vis the stone component. So when the stone is a cubic zirconia or any kind of a semi -precious stone, then the value of the stone is lower compared to the gold value of the product.

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So there, obviously, that would mean, more money that you can earn, lesser money that you can earn from the stone. But compared to a cubic zirconia or a semi -precious stone or American diamonds, as they call it, obviously lab grown is better. But compared to the natural diamond, the value of the lab grown will be lower. So it is going to be a studded jewellery . There will be certain gross margins associated with it.

But the ratio might not be that impactful in the overall stud ratio that we call it.

Bhavya Gandhi: Okay, just let me ask in another way. I mean, I could have rephrased it in a better way. So I mean, you are trying to say that 100 pieces, if you were to sell, and 11% is the stud ratio, that 11% is the diamond jewellery sales, diamond jewellery pieces, I would say. That is how you calculate stud ratio?

Sanjay Banka Let me make it simpler . Let's say we sell around 11 to 12 lakhs jewellery . So when we say 15%, will be 15% of the pieces. So when we say my total is around 5200 crores, 11% is around 550 to 600 crores is the diamond jewellery sales, within 55 % to 60%. So when we look at the statute, we find value at 5 to 6%. When now we start a post listing, we've started using the term stud ratio that is 11%.

Bhavya Gandhi: Okay, fair enough. Last question, if I can squeeze in. So what would be the pecking order for the studded elements? I mean, if you can just throw, I mean, obviously diamonds have to be number on

e, natural diamonds, but post that, what would be the elements of studs? O kay, so diamond, important element, pecking order in the studs, your voice is not audible.

Suvankar Sen: Yes, I think we could say in the studded element of it, the pecking order would be diamonds will be the topmost and highest share. Then there would be emeralds and rubies, right? Those will be there. And I must tell all of you and you would be seeing it soon that colored gemstones combined with diamonds, those have been in trend and those will soon be the, the coming season designs we would see more and more.

So and in diamond, there would be cut and polished diamond and polki also, uncut diamonds.

So that will be there along in the diamond part, then rubies, emeralds. Then there are these other gemstones. Now lab grown is there. Now lab grown can gradually come up and, be in the second or the third position. But that will take some time. So this is how we have to look at it.

Bhavya Gandhi: Got it. Fair enough. Thank you so much. Really helpful. Yes, thank you. And that's it from my end.

Moderator Thank you. We have our next question from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

Vikrant Kashyap: Good morning, Suvankar ji and Sanjay ji. Congratulations on very good set of numbers. First question is on your hedging policies. So you mentioned that 45 or maybe 55 is the hedge ratio between MCX and gold metal loan. But since we have a gold exchange coming in and we have monthly schemes running, doesn't it provide natural hedging to you?

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Sanjay Banka: Yes, so I will explain to you . See, one is that a hedging, when, I'm saying when we are talking about hedging, we are talking about the inventory, not of the daily purchase sale. Let's say, 25 to 30 kg of gold in the market sale that is hedged. But I have an inventory of 2800 kg. So we have to hedge that inventory because if the price falls and if the price remains fallen for forever or for six months, I have to sell my old inventory at a lesser price. Got me . So almost 50% of that inventory, so when we talk about 2800 kg, around 40 % is the gold metal loan with the banks. So the price is not fixed and if the price falls, 50% is gold metal loan unfixed and balance around 45% to 50% is the MCX futures sale.

Vikrant Kashyap: So I now understand your point, Sanjay ji. My next question is, so no it's very clear. The second

part, do we see gold metal loan increasing going forward for us and the mix will change?

Sanjay Banka: We have said earlier that the gold metal loan percentage in our borrowing, we want to take it to 75% so that my blended interest cost also falls. But it is a dynamic which we have to close with the bankers. Intent is very clearly to increase the GML as a percentage of total borrowing.

Suvankar Sen: But we need to keep in mind that GML will not have an impact of that, if there is any further duty cut, then GML will not be the right way to hedge. So we have to balance it. So that is the thing we need to keep in mind.

Vikrant Kashyap: Okay, great. Second question is on the demand side, since we have strong penetration in tier two and below markets in the eastern region. Have you seen any kind of reactions from unorganized players post this duty cut? Had they reacted differently and what kind of impact you have seen on their businesses?

Suvankar Sen: So, till now, we have not seen much of reaction from unorganized players. See, the way I think the organized players, I am saying that the way the organized players are hedging, taking gold low, doing exchange, the unorganized players are not doing so much of hedging. So they would be getting an impact on the financials for sure.

But for now, because of the duty cut, the way we are all so excited and elated that, yes, consumers are coming, and the transactions are happening and, turnover is happening, I think they are also

happy about it, of the fact. And they are positive also and optimistic and thinking that no

problem. Again, the gold prices will gradually go up. So it's a short term impact. And in the long run, it will all work out well. So I think that's the thought process that they are having. And there is no such great reaction from their side.

Vikrant Kashyap: Okay, thank you, Suvankar ji and wish you best of luck.

Moderator Thank you. We have our next question from the line of Devansh Nigotia from Safe Enterprises.

Please go ahead.

Devansh Nigotia: Yes, so thanks for the opportunity. Also regarding the impact that you mentioned for Rs 50 crores only for the duty cut. But I mean, if we look at our closing inventory, even for, March, that is almost Rs 2400 crores and a 9% cut on that translates to almost Rs 180 crores -Rs 200

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crores impact. So why I mean, can you help us understand the math behind Rs 50 crores impact, which you mentioned?

Suvankar Sen: No, so you have to see that gold loan is what percentage of it and the impact on the duty cut on the duty paid gold that you take on gold loan. But the hedging that you are doing on the exchange, there you are not getting impacted, there you are getting a straight benefit. So it is only to that extent and the Rs 2400 crores, just, because see all of you will be doing your mathematics and doing your modelling.

You have to understand that Rs 2400 crores, there are Rs 400 crores to Rs 500 crores of diamond inventory or other stones inventory. Correct. So then you're taking the gold inventory only. And in that gold inventory, partially it is gold loan and partially it is MCX hedge. So then you do your mathematics and you come to a number. So I leave that mathematics and calculation to you and then you come to your number.

Devansh Nigotia: But even diamond inventory has been correcting almost like 10% every quarter for our last one and a half years has been very weak.

Suvankar Sen: See, the bigger size diamond is what has corrected more, what is like bigger size above 50 cents. But, the smaller size diamonds, that correction is very limited. Right. And if you look at our inventory or our sales, 80% is the smaller size diamond. So the impact of the, the diamond value has not been, I wouldn't say it would be much of an impact on the books.

Devansh Nigotia: Okay. And so just one last question on gross margins. I'm still confused because we know that the competition was very high and even gold had corrected in this quarter. Not able to understand the reason behind.

Suvankar Sen: No, gold has not corrected in this quarter. In Q1, gold has not corrected. Q2, gold has corrected. Right. So, you need to ensure that, yes, the competition was high in Q1 and in that competitive intensity, there have been a lot of discounting and a lot of, whatever price cutting that has happened and that pressure on margins was there. But at the same time, you need to understand that optimization of stocks at how are you, you have sold more, but because of the gold price rise, you will not buy to the extent that you have sold.

How do you manage your inventory? There are so many aspects to it. So the price correction is in Q2. So Q2 will be something that you will need to look forward on the impact of it. But Q1 was not so much on the price correction.

Devansh Nigotia: Q2 has impact of custom duty as well as fall in gold price.

Suvankar Sen: Yes, Q2 has impact of custom duty and fall in gold price, but it's more the custom duty that was impacted. More the gold price falling is also getting averaged out. So, yes. And so we mentioned.

Moderator: Sorry to interrupt, sir. May I request you to please re-join the queue as there are several participants waiting? Thank you. Ladies and gentlemen, we have our last question from the line of Dhairya Trivedi from DJT Corporation and Investments. Please

e go ahead.

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Dhairya Trivedi: Hi, sir. Thanks for taking my question. How do you see the net impact of this inventory loss of Rs 50 to Rs 60 crores because of custom duty reduction vis -a-vis the increase? You know, that's an account of so-called falls. So do you think the increased falls will kind of offset the inventory loss of 50 -60 crores?

Suvankar Sen: Yes, we are very positive. And even if it is not going to offset to this extent, but through various methods of rationalizing, discounting and other initiatives of increasing products with higher margins, these are certain broad strategies everyone will be taking. But I'm just calling it out. We will have to manage and reduce the impact. So I'm very optimistic that if not the full part, but a large part will be managed and adjusted.

Dhairya Trivedi: Got it. And what will be the exit guidance, EBITDA guidance for FY25 in terms of margins? Are you looking to maintain or increase margins from last year?

Suvankar Sen: I'm saying that our guidance on 18 %-20% growth on top line will continue, our guidance on 18%-20% growth on bottom line. Ideally, post the duty impact should be muted in the sense that there might be a rather than a growth of 18 %-20%, we should look at a growth of 15 %-18%, if I may say so. But our endeavour will be towards making it higher than 18 %. But because of the impact, we need to understand that there will be some impact. So the growth on bottom line will be 15 %-18% growth. So I think that's how one has to look at it, but yes.

Sanjay Banka: Kindly allow me to share my views. One is that custom duty impact has happened. So whatever sir has said, should be Rs 40-50crores, we are getting into more details. But it's Rs 50 crores impact will happen. Within this year, and we are now working to take the necessary action. A clear picture we will be able to give you after Q3.

So right now, while the original plan was very clear 18 -20% top line and 18 -20% bottom line, right now on the bottom line, it is better to implement the causes and comment on it after significant sales increase. It's a question of 30 to 300 to 400 sales increase, which will counter this risk.

Suvankar Sen: So the efforts will always be there. Efforts will be there, but what a fact is, is a fact, right? So we need to keep that in mind and have a conservative approach. And after Q3, both of us and you all will be more sure of what the scenario is. That is how I think one has to look at it.

Dhairya Trivedi: Right, sir. Got it. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I would now like to hand the conference over to the management for closing comments.

Suvankar Sen: So thank you, everyone, for all the questions on the part of the quarterly earning call. I must tell you that we really look forward to interacting with all of you. And every quarter for the jewellery industry brings in a lot of activity, a lot of excitement. There is the impact of economics, geopolitics, policies. There is the creativity in it. There are new designs, collection, consumer behaviour.

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So it's a wonderful industry to really be a part of. And I'm sure with all of you there, we are always there to hear you out, listen from you; learn from you and hoping for a great Q2 and preparation for Q3, festive season. So thank you and happy Independence Day once again. Vande Mataram. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender has taken effort to ensure high level of accuracy and made minor editorial changes to provide full context and added additional inputs in parentheses

Call: Nov 2024

Ref: SEC/SE/ 73/2024 -25 Date: 21st November 2024

The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex, Bandra
(EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcript pertaining to the Unaudited Financial Results of Q 2 & H1 FY25

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earning Conference Call organized on 14th November , 2024 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the quarter and half year ended 30th September , 2024.

The transcript shall also be available on the website of the Company:
<https://sencogoldanddiamonds.com/investor-relations> .

This is for your information and records.

Yours sincerely,
For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary and Compliance Officer
Membership No. A20051

Encl: As above
Page 1 of 19

"Senco Gold Limited
Q2 and H1 FY 25 Results Conference Call "
November 14, 2024

MANAGEMENT : MR. SUVANKAR SEN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SENCO GOLD LIMITED
MR. SANJAY BANKA – CHIEF FINANCIAL OFFICER –
SENCO GOLD LIMITED

MODERATOR : MR. DEVANSHU BANSAL – EMKAY GLOBAL
FINANCIAL SERVICES

Moderator: Ladies and gentlemen, welcome to the Q2 and H1 FY25 Results Conference Call of Senco Gold Limited hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Devanshu Bansal from Emkay Global Financial Services.

Thank you and over to you Mr. Bansal.

Devanshu Bansal: Hi, good morning, everyone. I would like to welcome the management team of Senco and thank them for this opportunity. We have with us today Suvankar Sen, Managing Director and Chief Executive Officer and Sanjay Banka, Chief Financial Officer. I shall now hand over the call to the management for the opening remarks. Over to you, sir.

Suvankar Sen: Yes, good morning, everyone. Good to talk and meet all of you over the call. We are here today to talk about the Q2 performance of FY24-25 and also the overall H1 FY25 performance for Senco Gold Limited. Before I get into the numbers, I would just like to bring your attention on the way the Q2, which is July-August-September has been. So towards the end of July, we have seen an incident which was the Budget and it was the good initiative of the government to reduce the custom duty on gold price by 9%-10% and that fall in gold price led to a very positive result on the overall sale for the industry as well as for us at the company.

So, that was one of the triggering points for the month of July. If you look at August, I will say, it was a mini-Dhanteras. Usually, Q2 is a quarter which is comparatively slower and lower than the rest of the quarters in the year, but this time we have seen that Q2 numbers, in terms of top line has been a higher number compared to Q1 itself. So, Q1 was a quarter for Akshaya Tritiya and New Year's in many states.

But maybe it was the election, the heat wave for which, despite of the growth a lot of the sales passed on to Q2 and especially with the duty cut happening and the prices coming down. And then, as we ended August and we moved into September, we saw that it was a full focus on the preparation for Diwali, Dhanteras and Navratri season. And on the other hand, we saw that the gold prices were moving towards all-time high in the month of September.

So, while the planning for the festive season was in its entirety, but these price volatilities that happened during this particular quarter did act as a little bit of hindrances for which we had to go ahead and take more gold loans, arrange additional funds and arrange stocks for the festive season. But all in all, coming to the numbers if we look at it, we have registered a 27% retail growth in Q2 and if you want to break it up, you will see that the value growth overall in gold was about 30% and in diamond it was about 9%.

And in terms of volume, when gold prices rise, we see value growth but a decline in volume.

However, in this case, we've experienced a 7% growth in gold volumes, while diamond volumes have declined by 3%. Now, the behaviour of consumers that we saw was that when gold was in

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an upward trend, people who needed to make a purchase preferred buying gold over diamonds, especially since diamond prices were also under pressure.

So that is where we could see that there was an inherent demand from consumers to buy gold, maybe for their wedding, maybe for their self-investment, but that was the scenario. And if we look at the overall H1 of this particular year compared to the previous year, we have seen a 17% growth overall and here if we

look at it the volume growth for H1 overall for gold was only 1%.

In diamond, we have seen a volume degrowth of 8% and of value growth in gold for H1 compared to last year was 22% and of value growth in diamond of 3%, such is one scenario that we need to take care of.

The second part is that here, while Mr. Banka will take you more through the numbers, what I would like to just guide you all is that whatever numbers in terms of EBITDA and PAT that we see you must consider the duty cut that was impacted and we had discussed on it before as well is approximately INR27 crore to INR30 crore of that duty impact has also been taken into account in the quarter 2 results. So that is something we must keep in mind, it was a one time impact which we will be taking over the quarter 2, quarter 3 or quarter 4 maybe. Other than that whatever growth, whatever numbers we see, keep taking that into account as well.

Now, when we speak of diamond and the initiatives that we have taken in terms of launching new collections, we have launched the wedding collection, we have been in the middle of

Independence Day, the festive sales and various kinds of such initiatives were taken to make sure that our diamond sales go up. So, in terms of ATV, ASP we will see that we have grown by about 12%. So that was led by the increase in gold prices and led by the fact that consumers budget was up in for this particular season.

And in terms of number of invoices also we have seen that there has been a 12% growth in terms of number of invoices. One thing that kept this industry growing against the other sectors is the old gold exchange. And we have seen that there has been a ~34% increase in terms of the use of old gold by the consumers. When the gold prices go up, consumers feel that the old gold lying in their houses are something that must be utilized.

And I think through our policies of ensuring that the customer do not lose out anything, when they will bring their old gold, not only from Senco, but from other jewelers or family jewelers that they have bought as well. And I think that is giving a lot of encouragement to the consumers to come and buy and exchange their old gold.

And out of the old gold that was exchanged, we must say that 62% of the old gold that we received continues to be a non-Senco old gold. So, this is a signal that a lot of shifts from the unorganized to organized continues to happen in the current scenario. If we look at the way forward, Dhanteras month is something that we all faced in the month of October.

There was Navratri and Dhanteras, and I'm very happy to share that this October, we achieved the best-ever sales in Senco's history. We surpassed INR 1,000 crore in sales for the month, with Navratri, Diwali, and Dhanteras all falling within the same period.

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And we are very positive towards the wedding season is about to start. We have already seen in the post Dhanteras also with the geopolitical situation and the way the US markets are behaving, the gold prices are on a downward trend, which I would feel that will only encourage consumers to come and buy for the upcoming wedding season more. So, yes, while at one end in terms of the estimates and the thought processes on what kind of growth we are looking for the year, we are looking at around approximately a 18% growth year-on-year.

The gold prices have been on an upward trend but let us assume an 18% growth year-on-year in terms of top line. In terms of bottom line our endeavour from the very beginning was to grow about 15% to 18%, but we just need to keep in mind that this one-time loss for the duty of INR 50 crore to INR 60 crore is there. We are taking all kinds of initiatives, how we can control cost and how we can increase the sales of diamond, but if you look at the Q2 FY25, the diamond growth has not been that much,

still we continue to bring out new design, collections and marketing campaign.

We have done a lot from September itself launching our Aparupa collection, men's jewellery. We are happy to inform all of you that now, along with the fact that we have Vidya Balan and Kiara Advani as our national brand ambassadors. We wanted to focus on men's jewellery in a big way for which we have brought in Kartik Aaryan as the brand ambassador for men's jewellery, targeting the younger crowd and the younger generation.

It is a new segment. It has been last 3 years to 4 years we wanted to always focus on men's jewellery as a category which is about 15% of the overall sales and I think that we need to look at the future, look at the new generation consumer. And with the movies that are coming out and the movies that are getting successful, I think it will have a positive impact as we keep continue to grow all over the country.

And in terms of store openings, one must agree that we have opened one Senco company owned company-operated store, and we have opened about four Senco stores, focusing on the lab-grown diamond jewellery and leather accessories in H1. This particular coming quarter, we will be launching our perfumes range under the Senco brand also. And franchises, we have opened two franchises in H1FY25. There are more in the pipeline, but while the new franchisees getting added were lower this particular quarter.

What we must share with you that in terms of the Q2 growth that we have seen, franchisee growth with the existing franchisees that is there has played a very big role in the overall growth of the business. So be it in terms of diamond sales growth we talk about, in terms of gold jewellery sales growth we talk about, the primary sales to franchisee and the secondary scale that we saw the franchisees getting from their markets, which is usually the Tier 2, Tier 3, Tier 4 towns and cities has been the one which has actually driven the Q2 growth for Senco Gold Limited.

So now I will request Mr. Banka to take you through the numbers and further we are there then to take queries.

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Sanjay Banka: Yes, sir. Thank you very much, sir. A very detailed background has been given and it is the result of the excellent initiatives that the business has taken that they have transformed into good numbers. So, as you have said that the retail business in the quarter had grown by 27% and 19% in H1. So let me give the consolidated results first. So, for H1, including that of Q1, the top line grew by 18.5% from INR 2,452 crore last year to INR 2,904 crore comparing Y-o-Y H1. The EBITDA, Y-o-Y grew from INR 106.7 crore last year in H1 to INR 160.7 crore this year almost a 50% improvement.

Similarly, the PAT which in H1 last year was INR 39.6 crore has grown to INR 63.4 crore, a 60% improvement. And this is despite the fact that we have taken impact of around INR 29.83 crore on account of custom duty. So, our total impact is likely to be around INR 58 crore to INR 60 crore. So now that INR 29.83 crore has come in quarter 2, balance amount impact will come in quarter 3 that is H2. So, this is on account of Y-o-Y consolidated.

If we look at standalone number for quarter 2, they have also improved very significantly from INR 1,156 crore in Q2 last year to INR 1,474 crore in Q2 this year indicating a 30% improvement. And similarly, PAT which was last year a small sum of INR 12.0 crore in Q2 has improved to INR 16.8 crore, a 40% improvement. So overall, the finances are reflective of the various initiatives which we have taken.

Now, if we talk about the balance sheet which we have shared, the balance sheet is also becoming stronger. And as the business has grown, so particularly the balance sheet of the company for September and March, they are prepared ahead of the festive season. So, the

30th September

balance sheet is prepared ahead of the requirement for festive season, that is Dhanteras.

So, our balance sheet primarily has seen movement of borrowing. So, the borrowing has increased by INR 238 crore, but a major part of this increase is on account of gold price rise as well. So, versus last quarter and this quarter, the gold price last quarter rose at INR 7,158. And this quarter rose at INR 7,486 almost a 4% to 5% increase. So that leads to increase in the gold metal loan mark to market pricing and leads to improved increase in the borrowing.

Secondly, there is also increase in trade payable. So, this is on account of the festive readiness.

And these two increases and movement in the balance sheet has primarily been on account of inventory, which has increased by almost INR 301 crore. So that's on account of PL and Balance Sheet.

And as you said about the hedging, we have said that our hedging policy talks about a minimum of 50% hedging, while we have said that we will keep hedging around 80% plus. So as far as this quarter is concerned, our hedging was almost 85% as we ended the quarter. So, with that, I think we can open the floor for question and answer, and we can address your queries. Thank you very much for joining this call.

Moderator: Thank you very much, sir. We will now begin with the question-and-answer session. The first question is from the line of Raj Sarraf from Finvestors. Please go ahead.

Raj Sarraf: Sir as you can see a healthy growth in top line, but EBITDA and PAT took a hit. As you mentioned in the opening remark that the duty cut impacted EBITDA by INR 29.83 crore in this Senco Gold Limited

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quarter. So you also mentioned that the balance INR 30 crore will be in Q3. So we can expect in Q4 a better EBITDA and PAT

Sanjay Banka: So your understanding is correct. So as this impact is based upon the inventory turn. So let us say that 2500 kg or 2800 kg of gold that could not have got sold in the Q3 itself. So ideally, the impact should come within Q3 itself that is what we can say. There may be very small carryover in Q4, but overall impact will come in this year itself. So in March 25, the impact will definitely come.

Raj Sarraf: So the total impact, the leftover impact is INR 30 crore, sir, in this year?

Sanjay Banka: Yes, maximum.

Raj Sarraf: And sir, as you said, we already have a mark of INR 1000 crore sales in October, which is 60% of the last year Q3, sir. Now having very good season, wedding season ahead. Are we not being very conservative in guiding for 18% for the entire year, sir? Are we not seeing any growth in Q4, if we are saying 18%?

Suvankar Sen: No, October has been a very positive month. After Diwali, Dhanteras usually we have 7 days to 10 days of lull, but now the wedding season is in full force. So, I think from our perspective, while in our minds, we want to be as positive and aggressive, but as we come closer to the year we would rather have a conservative approach and then try to perform better than what we are estimating.

So yes, INR 1,000 crore has been a great month . But last year if again to add to that, let me give you another picture. And it is for everyone that last year Dhanteras was on 10th or 11th November. So, if we look at the overall scenario, YTD, then we will see that our growth is around 15 % to 18%. So, I think it's fair and to take an 18% approach and then keep working towards trying to achieve more.

Moderator: Mr. Sar raf, I would request you to kindly rejoin the queue for follow up questions, please. There are others waiting. Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Hi, thank you for the opportunity. Just wanted to clarify that given we've around INR 10 billion odd sales in the month of October, would it be fair to say that we would

have seen a 20% SSG

when we compare this year's festive versus last year's festive?

Sanjay Banka: See, Videesha, the SSG number what we have said is usually around 60 % to 70% of total growth.

So even Q2, when we are talking about around 20% growth, in H1 SSG is around 12 % to 13%.

So similar trend will prevail in H2 and in quarter 3 or quarter 4.

Suvankar Sen: So just what Mr. Banka said is Q2 SSG is 20%, H1 SSG is 12%. So, for the month of October, the SSG will be in the range of 12 % to 15% for Q3, it will be in that particular range.

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Videesha Sheth: Got it. And the second question was on gross margins. How should we look at the GM movement as the studded component has not materially changed and plus last quarter, you'd highlighted that there may be some reversal of the impact on GM in the following three quarters?

Sanjay Banka: See, Videesha , gross margin what we have indicated will be between 15 % to 16%. So, in this quarter in console, you will see in H1, I'm saying H1 gross margin, it is always better to look at the cumulative trend instead of one quarter. So, if you look at H1 gross margin, that is around 14.7% as against 12.2%. Now, if you look at quarter -to-quarter, obviously quarter -to-quarter has come down. So if you look at Q1 versus Q2 movement is significant, but we've always indicated that since our industry is quite dynamic, and due to extreme volatility in the gold prices, despite a high hedging of 95%, the IndAS does not lead to a very symmetric result.

It's always better to look at YTD, where our gross margin is 14.7%. This is net of the custom duty impact. So, if my console revenue is INR 2904 crore and if my custom duty impact is INR29 crores. So, 14.7% is effectively 15.7% gross margin, that is in line with the expectation we have given. And this is despite the fact that the diamond sale across the industry is on a muted side, while we have slightly improved our stud ratio.

So, we have to look at the number in the larger perspective, where we are very confident of what we have promised we are achieving. And we will continue to do more while at the public forum, we'll be giving a slightly conservative estimate. But internally, we are all charged up given the excellent Dhanteras growth and we'll continue to do more than what we promised.

Videesha Sheth: Got it. And just the last question to Suvankar , from an industry perspective, how do you see the studded segment shaping up? And would the consumption be led by the daily wear category or more of the high segment or wedding wear category?

Suvankar Sen: So, what I am observing is that the studded share category is currently driven by the daily wear category. The high segment as a segment in the Q1 and Q2 were buying. It was the smaller ticket size items that were not getting sold as much as the higher value products, which is mostly with two objectives or two reasons. One is the free buying happening and the second was that people who had the disposable income were the ones who were buying more while the general consumers for everyday wear and middle upper middle class of smaller ticket size were buying less.

But going forward, what we saw the change post or during Dhanteras was that there were a lot many more customers buying daily wear and small items. So, if we want the studded share to grow and the strategy to move it forward, we have to focus more on daily wear items. The high value items will remain as it is and is being happening. And those customers are also trying to say that I might as well buy gold it is an investment, but because prices of gold have gone up, 22 carat gold is more expensive. So, people will prefer 14 carat.

Government of India is thinking of bringing nine carats hallmarking also. So that will make the prices more if that hallmarking is allowed. So I hope I am being able to make clear .

To

summarize that the high value segment is what is happening more. The daily wear segment is what will drive the growth in the future.

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Videesha Sheth: Got it. Right. Thank you. I will join back in the queue.

Moderator: Thank you. We'll take the next question from the line of Yash from Stallion Asset . Please go ahead.

Yash: Hi, thank you for the opportunity. So you said that October 24 you've got INR 1,000 crore of sales. So congratulations for that, but obviously, this will have some impact of the price of the gold as well. So what has been the comparable volume growth, if you could tell me for the month of October versus last year?

Suvankar Sen: Yes, I will tell you that the volume growth would be in the lower single digit. So just let me check and get back to you, but yes the value of gold compared to last year October is almost up by 24% to 25%. And let us keep in mind that internationally it is up much higher. It is the duty cut of almost 8% to 9% that is leading to the gold price .

So around INR 5,800 to INR 6,000 was the last year value per gram and this year it is approximately INR 7,200. So, it's almost been a 20% to 22% value increase. So that is where it is. So, it will be around 3% to 4% volume growth.

Yash: Okay. Got it. And just from a growth aspiration perspective, are we satisfied with like a 7% growth in Q2 or do we think that given a brand definition, especially in the East, we can go volume that is 10% or a long those sort of, at least, a low double digit kind of range?

Suvankar Sen: Can you come again. I couldn't get you.

Yash: No, I'm saying that do we target to grow by low double digit in terms of volumes? What is your sense looking at? How is the consumer demand facing? I'm just slightly longer term perspective 3 years to 4 years, I'm saying or do you think that on a sustainable basis, we'll be able to go at volumes by high single digits?

Sanjay Banka: Yes, if I take this question. See in this industry volume growth will lead to asymmetry in understanding because the consumer does not consume by volume. It is not a consumable product. Let's say petroleum product I have to use 20 liters every week for my vehicle come what may. And if I consume less, that means I have stopped my consumption. So, this has to be seen in terms of revenue growth only.

Volume growth discussion, to my humble understanding is an academic discussion. So, the 20 % growth what we are saying is what we are confident. Now, if the price remains stable at this range, let's say price increases only by 5% then the volume growth will be 15% (5% plus 15%), but if the price increases by 25% then you can safely assume that the volume degrowth of 5% will happen. Now, this volume degrowth will happen at existing stores. We give a target to stores, not in terms of volume, but in terms of value that's my view. Our MD can say something.

Suvankar Sen: So, I think from your side, you are trying to create a model. And in that particular model, there are two parts to the model. One is how much will you increase the price year-on-year and how much will you increase the volume year-on-year. So, adding to what Mr. Banka said, that if you take an estimate of 8% to 10 % increase in price year-on-year you must take around 8% to 10%

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increase in volume year-on-year. If the prices go up, then the volumes will come down. If the prices go down, then the volumes should come up.

So, that's how you need to take on the whole scenario point number one. Point number two, new store, matured store and growing store. So, we kind of take an aspect, again on a value term, that some stores are growing at 15 %, 18%, 20%, some stores are growing at 10 % to 12%, some stores will grow at 7 % to 8%. So, that is how we do our modelling . So, on an

average, I think

that 10 % to 12 % overall average increase on same store sales growth basis and 6% to 7% for the new stores that we keep adding to the portfolio is what will drive the business. So, I think I have answered your question as much as I could.

Sanjay Banka: And so, if I build on this. Suppose my top line is increasing by INR 1,000 crore . So, as I say, 70% of this growth will come from existing store. So, let's say INR 5,000 crore versus INR 6,000 crore is 20 % growth. Now, out of INR 1,000 crore s, 70% will come from existing store. That is around 12% to 14%. Balance 30% that is INR 300 crore s will come from new store, i.e. 5% to 6%. So, this INR 1,000 crore , if you keep this theory clear of INR 5,000 crore and INR 6,000 crore , INR 700 crore and INR 300 crore , then it will be very clear. Now, this INR 300 crore will come from new stores of own and franchisee because to the franchisee, we make an upfront one-time sale, but that much sale will come from a store over 5 months to 6 months.

Yash: Got it. Very clear. Thank you.

Moderator: Thank you. We'll take the next question from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

Deepak Lalwani: Hi, sir. Thank you for the opportunity. So, my first question is on the gross margins. So,

historically, our company will maintain the gross margin of 15 % to 16%, but the breakup of this was that the first half was on the lower side and the second half was on the higher side of gross margin.

So, can you explain why this variation has been there? And today, when we have done a higher gross margin in the first half. So, can you also explain why, what has happened in this first half, this time? Is there a material change in the business model? Have you reduced discounts or is there any change of terms with our franchisees? Can you just give a background of these two aspects?

Suvankar Sen: So, what happens is that in the second half of the year, we usually see the festive and wedding season. So, keeping your fixed costs the same, we usually have higher value, higher business, higher volumes. Out of 5 years, I would say 3 years behave in this way. And that is where we always say that, yes, the gross margins go up during the second half of the year. Along with that, with the wedding season, then Valentine's Day, all the wedding season is not only about people getting married, but also people who have already got married and want to give something to their wife.

So, therefore, the probability of diamond jewelry selling happening here is higher. So, these all add on to a higher gross margin on the second half of the year. What has happened in this particular H1 is if you note that Q1, our gross margins went up. Q2, our gross margin has taken

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a hit because of the duty cut, but in general, this particular H1, our gross margin is in the range of approximately 15%. And I think that in H2 with the price volatility, our gross margin will be in that same range. Overall, in the year, we take a gross margin of 16 % to 17%.

So, therefore, I think there will be more of a normalized gross margin for this particular year. Certain quarters give us maybe a higher number. Certain quarters would take away the numbers from you. That is number one. Number two, yes, very rightly pointed out from a franchisee perspective, but that is not going to create much of an impact is where we did our internal rationalization of giving them the margins, either in gold price or making charges. But all in all, our franchisees continue to enjoy a margin in that they were enjoying before.

So, I think it is more to do with the business. And Q2, keeping the fixed cost same the business really went up. And that is where we have seen the benefit, but yes if you see a lower downward pressure, it is because of the loss that we have booked.

Now, if you

you add on to the particular duty cut loss, then you will see that the picture would look much better. That is number one, but at the same time, let us keep in mind that because the duty cut happened, the sales went up. So, these are the multiple moving parts with which we are working. So, I hope I could answer your queries, Bankaji if you want to add something.

Sanjay Banka: Deepak, I will add slightly on this. So, as you say that the gross margin changes because the situation in every quarter is not same. The price volatility is not same. Now, due to this price volatility and situation in the quantity and the exact moment of price rise, so on which date in the previous quarter in Q2 the price changed. So, while this question keeps coming to us, but the process, last year, the growth rate for Quarter 1 was 12.3%, and for Quarter 2 it was 11.7%. However, this year, we achieved a growth rate of 17% in Quarter 1.

And we explained that this is not comparable because then the rub off effect, let me call it the rub off effect of a higher gross margin will come in second quarter. So, now last year we had 11.7% in Q2. So, if you compare on Q2 to Q2 it is 11.9%, but that would be more of an academic explanation which I can convince usually, but then if you look at the custom duty impact, now on a sale of INR 1500 crore approximately we have taken a hit of INR 30 crore. 2% has been impacted on account of custom duty only. So, what you are saying is 12%, it is 14%. So, we suggest that look at the whole year or at least a moving average three to four quarters and you will definitely get 15% to 16%.

Deepak Lalwani: Sure, sir. That is quite helpful. So, one should assume a normalized 15% to 16% margin for the full year and the second half could also be on that side. Well taken, sir. And sir we have as a company taken an enabling resolution for a QIP of about INR 500 crores. So, can you explain the rationale behind that and what are the systems in terms of the usage of the money?

Suvankar Sen: It actually came to our attention in August, when the duty cut on gold prices led to a significant price drop. We immediately noticed a strong surge in demand at the consumer level. So, in the month of August, when we saw the good demand happening and we were all getting extremely frustrated because if we had more stocks and more inventory we could have sold more. So, that

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kind of triggered in our mind that what is stopping us from growing more is the availability of capital.

At one end, we are talking to the banks and trying to arrange for capital and funds, but the banks will take their own time and there is a limit, the debt equity ratio has to be maintained. All those things are one part. And again while we started seeing the good demand in the month of September, just after that we saw the gold prices continue to move up at all time high and again you want to plan, you want to have a certainty, but these movements and most of our gold that we take, ability to take gold on a timely manner, so that we could fulfil the demand, it is just getting hampered.

So, we thought that no, the IPO has happened, it's been 1 year, and we were initially planning for a much higher amount during the IPO, but later on due to the market condition, we had to agree on a much lower amount and plan accordingly. So, now that market has stabilized, and I think that the opportunity of growth continues to remain. So, we have decided that let us raise a round of QIB for the future growth of the company. And Bankaji, you want to add on something?

Sanjay Banka: Deepak if you look at the gold prices, so when we went on road show in the month of April 23, gold prices were around INR 5,972. And currently we are at INR 7,486 or INR 7,800. The gold price has increased almost by 25%. So, if you look at balance sheet of March 23, my in

ventory

was INR 1,877 crore. If we exclude other inventory, let us say, diamond platinum out of INR 1,877 crore, my gold alone was INR 1,407 crore. Since the gold price has increased by 25%, that INR 1,407 crore has also reduced by 25% due to the GML.

So, INR 1,407 crore multiplied by 25%, it will come to again to INR 350 crore to INR 400 crore.

So, INR 350 crore to INR 400 crore is the minimum fund which I require to maintain the same level of gold which was there in April 23. Now, between April 23 and today, we have added at least 18 plus 7 i.e. 25 stores. And now out of that, at least, 12 to 13 are own store. Now, 12 own stores multiplied by INR 20 crore is INR 240 crore. So, INR 400 crore plus INR 240 crore becomes INR 640 crore.

And for next expansion growth, what we discuss in road show for that also we require a fund.

Moreover, due to increase in the gold prices, the hedging margin has increased. So, this QIP is purely in order to maintain the business at the same level and that is why we are raising this fund primarily for the working capital.

Deepak Lalwani: Understood. And sir, any change towards store addition guidance given that we have less capital today? The 18 to 20 stores are possible. Any understanding from you?

Suvankar Sen: No, the store addition target continues to remain the same. Gold prices moving up by 20% to 30% would in effect mean that 20% to 30% more capital is needed to open the same number of stores, or you reduce the number of stores by 20% to 30%. So, there are stores in the pipeline, there are six stores to seven stores, company-owned-company operated stores in the pipeline, there are four to five franchisees in the pipeline.

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I think this price fall is only going to enable the franchisees also to arrange for capital easier, faster and for us also to grow easier and faster. So, I think that 18 to 20, maybe at the end of the year, we will end up doing 15 or 14, but in our mind, we have to manifest 18 to 20 minimum that we want to grow with.

Deepak Lalwani: Understood. Sir, last question I had on our hedging practice, you mentioned that 85% is the hedging percentage. So, is it on sales or is it on the inventory? And secondly, what is the mix between gold metal loan and MCX contract?

Suvankar Sen: So, it is on inventory.

Sanjay Banka: So, Deepak, one is that last year it was almost 90%, average in quarter 1, 90%, quarter 2, 87%, quarter 3, 92%, quarter 4, 90%. This year quarter 1 was 95% and as the prices rose it reduced to 85%. It is on the inventory. Once again, inventory means that total inventory less diamond. So, whatever the total inventory that you see in the balance sheet around INR 2,800 crore and out of INR 2,862 crore, you can reduce INR 400 crore of diamond and other gold platinum. So, INR 2,200 crore to INR 2,300 crore of gold is hedged.

Now, out of that, whatever the GML amount, so let us say the GML amount is almost unfixed.

Balance will do at MCX by future sale. This is the practice which the entire industry follows and we have got a panel of expert advisors who have been working with us, a total team which closely monitors the gold price movement and to de-risk the balance sheet and the risk of investors because for us the interest of the investors and shareholders, that is of paramount importance because we are not running a hedge fund, we are running a business and hence we have to de-risk the metal volatility to our investors fully.

Moderator: Mr. Lalwani, I would request you to kindly rejoin the queue for follow-up questions. We have the next question from the line of Mr. Dhiraj Mistry from Antique Stock Broking. Please go ahead.

Dhiraj Mistry: Yes, hi, good morning and congrats on very good set of numbers. So, my question is a bit broader, how do you see the competition when we saw that there was a gold

price surge during

first quarter and there was a good amount of competitive intensity was increased by the unorganized players. Now that the gold price is still rising, the demand has been good mainly because of the festival period and wedding season, but once that phase out, how do we see that the competitive intensity to remain with gold prices continues to move up?

Suvankar Sen: So, I think that the competitive pressure will remain because the hunger to grow is in all organizations and they are using various strategies and various methods to grow. You have rightly pointed out that when gold prices move up in a very short period of time, then to ensure that the consumer's footfall keeps coming to the store, people take certain more aggressive actions and bring down the prices, give discounts and so that consumers are coming to the stores. And when suddenly you will realize that when gold prices suddenly come down, like it happened in duty cut, then people take a hit that intensity reduces to that extent that automatically consumers are coming and they want to protect their books, but again when it goes up, that

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intensity will again go up. So, for the next 1 year to 2 years minimum, the intensity will remain. That is number one.

But at a much broader perspective, we at the industry level is also of the opinion that this is not sustainable. We all have to create our unique propositions. We have to work on the designs, or we have to work on the service. And that should remain the crux of the business as we continue to grow. So, there has to be a sustainable level of growth, and the rest will be based on the individual performances. So, maybe for 1 year this thing will continue to remain and after 1 year, 2 years, it will normalize. That is what we feel because industry overall is already talking about how to manage the situation.

Dhiraj Mistry: Got it. And just follow up on that, can you throw some light between the demand amongst the region when I compare North versus East? And within the East also, how do we see the demand between urban market and rural market? You can throw some light on that as well, please?

Suvankar Sen: So, see for us, we have to say that our strength is Eastern part of the country. That is where the company originates from and that holds to around 80% of the overall sales from the Eastern part.

North part covers about anything between 10% to 13% of the overall sales and the remaining is done by the South and West. If we look at Q2 particularly and most of the franchises that we have is from the Eastern part of the country. The growth from the Tier 2, Tier 3, Tier 4 towns and the semi-urban or semi-rural markets have been actually the one which has driven the sales for Q2.

So, I think the agricultural sector did very well and that is what the result was in terms of the availability of liquidity and also the inclination to buy more gold and all of it during Q2. So, Dhanteras, Diwali, we also saw an equal demand from the smaller towns as much as also from the bigger cities, but yes because the prices were high I think that many the smaller ticket sizes were selling more in the bigger cities at one end and a very high value products, for weddings were selling at the bigger cities at the other end.

But when it came to the smaller towns, it has been an average ticket size, to give you an example between say INR 70,000 to INR 1 lakh was what the smaller towns might be asking for. And in the bigger cities, we have seen one demand coming at around INR 30,000 to INR 50,000 and the other demand coming at around INR 2 lakh to INR 3 lakh. So, this data will only give you a picture that the bigger cities, there is one group of people for daily wear and one group of people is the one for wedding or high value purchase and the bulk middle is the smaller towns. So, this

is the way that we are seeing the demand.

Dhiraj Mistry: That very well clarifies everything. Just one request, I failed to find PPT on exchange or on your website. A lot of data has been available in that PPT. Can you share that as well, going down the line, please?

Sanjay Banka: We will update it in next two to three days' time. Kindly give us some time. We will update it maximum by tomorrow.

Dhiraj Mistry: Sure. Thank you very much. That's it.

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Moderator: Thank you very much, sir. We'll take the next question from Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Good morning, Suvankar and Banka ji. So, Bankaji, when you look at the standalone business, you said the growth is about 30%, but when I see the other expenses which has grown 39%. So, this INR 98 crore expenses, can you share what is there? And related question on this is that this one-time, whatever loss we are booking, is it a part of other expenses or we have adjusted in some other line item?

Sanjay Banka: See, onetime loss is on account of inventory. See, it is a cost of goods sold. The goods which I purchased at 100 plus 15, I'm selling at 100 plus 6. So, if the impact is coming in the gross margin, that's what we say that what you are seeing the gross margin at 11.9%, it is effectively plus 2% more. So, as it was INR 1,500 crore approximately there is an INR 30 crore of gross margin impact also. That is on the gross margin, which other expenses you are referring to?

Suvankar Sen: So, he's asking that the other expenses have gone up. So, what is mostly your component?

Sanjay Banka: See, other expenses, Shirish ji, I will tell you we have been saying that we have been working on a very agile framework. And we have said that Calcutta is our strategic location advantage. Now, having said that, as our desire to grow we talk internally about minimum USD 1 billion and USD 2 billion over the next 5 years.

We have to build up our system, people process, technology, training and the entire infrastructure. We are also investing highly on the customer experience. We are investing heavily in technology for CRM. We have metaverse. So, this is not expenditure. This is investments toward the future. Although as an accountant, it is coming in financial as other expense, but this is all investment for future.

Shirish Pardeshi: Okay, just one quick follow up on this. So, we have a substantial number of franchisee. So, under this custom duty reduction, have you covered the franchise inventory also?

Suvankar Sen: No. So, when we are hedging, sir, the franchisees inventory is on their books. So, that is not hedged by us. So, that's the plus and minus that the franchisee has to take on their books. So, we are only hedging the inventory that is lying in our books which is either the inventory lying at the stores or inventory lying at various warehouses or head office.

Sanjay Banka: So, franchisees have their own hedging policy. The good thing is that franchisees have made money on account of rising gold price. So, if the gold price has risen by 25% to 28%, they have made money. So, similarly, they have taken a one-time hit, but they are very clear that long term the gold price will continue to grow while we have been encouraging the franchisee also to do the hedging. It is their own business decisions, and they are happy with their business model. And we did not interfere with the franchisee in their business model also.

Moderator: Mr. Pardeshi I would request you to kindly rejoin the queue for follow-up questions. Thank you. We will take the next question from the line of Vikrant Kashyap from Asian Market Securities.

Please go ahead.

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Vikrant Kashyap: Good morning, Mr. Suvankar ji and Sanjayji. I must congratulate you on your performance

YTD. My question pertains to Senes portfolio. So, in the opening remarks, you mentioned that you have added four Senes stores. So, does this mean that you have taken the total account for it? And what is your strategy going ahead for the LGD portfolio?

Suvankar Sen: So, first, the strategy for the LGD would be that we wanted to create Senes as a brand which will fulfil the aspiration of the upper middle class, bringing in products which are of say international design, international quality, but at prices which will be something easy on the pocket. That is number one. Number two is that just bringing out a normal lab-grown diamond jewellery would only not add much value to the jewellery and that is where Senes would come out as a lifestyle and a design kind of branding.

And so, jewellery design, bag design adding to that the lifestyle aspect of perfume. So, this is where overall the Senes brand is a modern, new-age brand that can open stores in malls and cater to the aspirational young generation India is where we wanted Senes to stand because the moment you think of Senco, you think of tradition, you think of trust, you think of the jewellery, the legacy, but you don't think of some kind of modernity in spite of the fact that, we are coming out with brand ambassadors, young generation, all of that.

So, this new brand has to have a new look. So, this is where Senes wants to be positioned themselves as. And in terms of the new stores that got added for Senes, we have stores in Calcutta that we got added and there were two, three stores in the previous quarter that we had in Delhi and Chandigarh and upcoming stores of three more stores of Senes will be added. Now Senes bags are available in many of our Senco stores as a shop-in-shop itself and exclusive stores of Senes, EBOs as we call it, is now that are being created. So, I think total six is there.

So, we have six stores in totality. So, if I may, if I've said four, maybe it is my mistake, it is four.

Sanjay Banka: Mani Square, Forum Mall, City Centre, Airport. Lajpat Nagar and Chandigarh Elante Mall

Suvankar Sen: So, total we have six stores of Sencos and 2 to 3 more in the pipeline. So, by the end of the year, we will have 8 to 10. I think that is what we are looking at.

Vikrant Kashyap: Okay, great. And this is just followed up on the LGD. So, we are looking at affordable price points for lab-grown diamond or we will add some bigger pieces also which of the portfolios we are targeting?

Suvankar Sen: So, mostly bigger pieces, 30 cents, 40 cents, 50 cents and above not the smaller size diamond. The smaller size diamond could be an additional feature to the big size diamond because as we all know that the value difference and the value proposition of lab-grown is in the bigger size diamond and not on the smaller size diamond. So, that is where how we will want to position that.

Sanjay Banka: See, basically, Vikrant, this is for the aspiration of the middle class where they want to own a solitaire of, let us say, 1 carat of, let us say, 4 lakh or 5 lakh and which takes them 10 years. So, a solitaire of 1 carat of a lab-grown diamond can be afforded in INR 40,000 to INR 50,000 also and the margins in the lab-grown diamond are slightly superior to the natural diamond.

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So, it is better that to keep this market also on and not to lose sight of this market and depending upon what the dynamics of growth in this market particularly and second the small size diamond what we said, our stud ratio of 11% to 12%, which we say, majority of them are below 7 cents to 8 cents range.

Now, in 7 cents to 8 cent range, a lab-grown diamond will not make economic sense, where the price differential will not be very low, and then the realization price. So, we are looking at as sir rightly said

more than at least 30 cents to 40 cents as a solitaire product.

Moderator: Thank you. Mr. Kashyap, I would request you to kindly rejoin the queue for follow-up questions, please. The next question is from the line of Devanshu Bansal from Emkay Global Financial Services. Please go ahead.

Devanshu Bansal: Yes, sir. Hi. Congratulations on a good festive in October. Suvankar some of the retailers in other categories like apparel are indicating challenges due to protests in Kolkata. So, I just wanted to check, how should we see your Q2 numbers? Had this incident not taken place, would our growth been even better versus what we have reported?

Suvankar Sen: No, I do not think that the event that has happened in Kolkata had much of an effect on the jewellery category, because jewellery is more planned and people who have to buy will be buying for whatever their occasions are. It is not so much impulsive as the other apparel or other categories would be. So, yes, before the Durga Puja there was some amount of sobriety and little bit of sentiments were low and that picked up much later, closer to the Puja date. And that is why the other brands faced what they had to face, but for us the main season for us is the Dhanteras. It starts during Navratri and it builds up to the Dhanteras.

So, I do not think that had much of an impact. And on the other hand actually while the situation was grim, we participated in various sponsoring, various pujas and whatever be it across the country, various cities and we wanted to be a part of the culture and as a brand belonging from this particular part of the country, we thought that we should support the Durga Pujas all across the country and across the world. So, we did what we had to do. So, I think that we were not so much impacted by it.

Devanshu Bansal: Understood. Last one thing I wanted to understand, one of your comments. So, H1 we have delivered about 20% growth and YTD, if I heard it correctly said it is 15% to 18%. So, if you could just confirm this number?

Suvankar Sen: YTD is 15% and H1 is 17%.

Sanjay Banka: See console revenue if we take the number, Devanshu, it has increased from INR 2452 crore to INR 2904 crore. It is 18.5% console revenue.

Devanshu Bansal: Console revenue is 18.5% versus 18% growth in H1 is what you are saying?

Suvankar Sen: 17% growth in H1 and console is 18.5% and YTD is approximately 15% as of date because the last year Dhanteras was in 10th of November and we are speaking on today, 14th of November.

So, this is just an update.

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Sanjay Banka: I will just add here Devanshu. See, when the festival ends, so as we said that Dhanteras has been excellent for us and Dhanteras sale, this month we did almost INR 1,000 crore. So, obviously,

post Dhanteras 5 days to 10 days will be slow. So, what sir has quoted as 15% is the post Dhanteras effect. So, now that we are talking about some 40 lakh wedding, and a major part of wedding has been shifted to Q3. So, the 15% as of today which sir has said, will again become 18% to 20%.

Devanshu Bansal: So, in this period, there is a larger period that we are including which is leading to some slowdown and things should eventually pick is the right understanding?

Sanjay Banka: It did not slowdown. Let us not call it slowdown. People have bought in huge amount. So, it is just a short cooling off. It usually happens after every festival. So, Akshaya Tritiya post Akshaya Tritiya two weeks will be slow, but at the end quarter, it will be like this. So, at the end of Q3, you will again see 18 % to 20%. I am not saying more than 20. So, I am saying 18 % to 20 % at the end of Q3 for 9 months.

Devanshu Bansal: Understood, sir. Thanks for answering my question.

Moderator: Thank you. We will take the next question from the line of Gaurav Gandhi from Glorytail Capital Management

t. Please go ahead.

Gaurav Gandhi: Thanks for the opportunity. Sir, this is the time in the market where everyone is bullish on the jewelry, fashion jewelry or the business you are starting under Senn es brand. Every company is adding stores and increasing square bits. As an investor, we always have a concern regarding unit economics or per store economics. Growth is good, but it should come effectively with sustainable profits.

So, while growing the new business under the Senn es brand or the existing business, how much do you focus on the unit economics or per store kind of metrics? Your thoughts on this?

Suvankar Sen: Yes. Our focus on unit economics continues to remain. I will tell you how. It is because when we are planning our expansion, we want to continue to expand and penetrate deeper and deeper into the East India market. So, in our growth expansion plans almost 65 % to 70% of the new stores that we add is in East, which is our strength.

Around 15 % to 20% would be North and the rest would be West and South because the balance between economies of scale and leveraging on the brand goodwill so that your profitability remains high has to continue and that is where, even while Senn es as a brand is created with a long-term vision, but we are focusing on expanding in the Eastern market where our strength lies and we will build up the brand, the unit economics.

But again, at the same time, when you launch something new, while Senco is a 85 -year-old legacy brand and whatever profit , growth, goodwill, everything that we are benefiting out of is of the effort put over so many years. When you launch a new brand, a new product, obviously , you will have to invest a little bit with full optimism that over the next 2 years to 3 years, this will become a profitable brand. So, initially it is at an investment stage. That's why we are not going

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all out and expanding rapidly , I would say in a very aggressive way. We are going step by step, 4 stores, 5 stores, 6 stores, 10 stores.

And as we open, we are looking at the consumer behaviour , we are analysing the data, what is the product consumers are asking for. We are rationalizing the marketing expenditure, investing a little bit out of the Senco branding and marketing budget into the Senn es marketing and branding budget, building the website. So, yes, that balance is important . So, 80% is profit, 20% is future growth. I would say that's a good way to look at the overall future strategy.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Suvankar Sen: Thank you. Okay. So, thank you, everyone for the time that you all have spent with us to understand about our company. The coming wedding season with the data that speaks of more than 40 lakh weddings in the month of November, December, January, February up to March, will act as a full trigger. And along with the wedding season, any kind of buying and purchases that is linked to weddings, I think will all act as a great boost to the industry and not only to us, to everyone. We are also very hopeful that the price fall in gold that we have seen over the last 15 days will also act as a boost to the industry.

Many consumers who have been waiting in the sidelines to buy jewelry, if the prices become reasonable, will again want to utilize this opportunity and buy the jewelry. Once again, we are taking our initiatives of expanding or promoting amongst our customer base and also the new customers that we're reaching out to, so that they can come and buy. The new collection, the new campaigns will be starting for the wedding season in November, December . January, February, again, will be a focus on diamond jewelry with the Valentine'

s Day and the

love season as we call it. And also, just to say that we at Senco along with the growth, along with the profitability, we are trying to encourage in terms of the various best practices. In this particular quarter, we had been awarded from MCX as one of the best hedgers in the jewelry industry. In the month of August, we were very fortunate to be a part of the Morgan Stanley Capital Index for the small caps.

So that has been, I would say, a great trust that the investors have posed on us, and we want to live up to their expectation. We have also won an award from Network18 called the Green Ribbon Champions for Excellence because through our business, along with that the way we are promoting old gold exchange, gifting of trees to the consumer and taking certain initiatives for protecting karigars and women empowerment. So, we also were a part of an event called the Shree Shakti.

And it was very important that while we went through the season of Shakti with Durga Puja, Kali Puja that we always, consumers, women consumers are 85% of our customer base and whatever initiatives we can to support women is something that we at Senco believe in. So, we will continue to focus on other aspects along with our business and the lab-grown diamond jewelry will be strategic in nature. We will keep judging how the consumers are reacting.

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There is a demand, there is a market, but it also will need a kind of awareness and push from our side, and we will take a calibrated approach towards the lab-grown diamond and the new products. And as far as diamond jewelry is concerned, we are confident that in terms of pricing, in terms of design that we are creating, we will be amongst the best in the industry. And it is up to us that how much we can penetrate and reach the customers so that this stud ratio that we are currently in can improve. Our endeavour is to take this stud ratio towards 15%.

Currently last year it was 11%. We were aiming that this year we will be closer to 12% to 12.5% due to the market condition. We are stuck at about 10%, but we still have 4 months to 5 month time. And I think we'll put all our effort to increase the stud ratio with the designing as well as the pricing. And as far as competition is there, we must say that the industry overall is doing good. We are trying to support each other, sharing our challenges, our problems and trying to work together towards it.

So, yes, I think consumers are benefiting from the expansion of the industry. It looks that amongst the various sectors, our sector continues to remain attractive because of the returns that the consumers are getting. It is not only adornment, but it is also an investment, but it is not only that amongst these organized players that we are kind of competing against. The unorganized to organized shift continues to happen with the branding effort, with the design effort, with the expansion. And we should all enjoy the benefit of the shift that we see in the industry.

So, thank you once again for your time and look forward. And today is Children's Day. So, while I would say that there is a child in all of us and that enthusiasm and energy is needed so that we can continue to grow in the future. So Happy Children's Day to all of you.

Moderator: Thank you, members of the management.

Sanjay Banka: Thank you, everybody for joining the call. We really are grateful to all our investors for showing faith and trust in Senco growth story. Thank you.

Moderator: Thank you, sir. On behalf of Emkay Global Financial Services, which concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level

of accuracy

Call: Feb 2025

Ref: SEC/SE/ 99/2024 -25 Date: 20th February , 2025

The Manager - Listing

The National Stock Exchange of India

Limited

"Exchange Plaza", Bandra – Kurla Complex,

Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir/Madam,

Sub: Earnings Call Transcript pertaining to the Unaudited Financial Results for the Quarter & Nine Months ended FY25

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earning Conference Call organized on 14th February , 2025 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the quarter and nine months ended 31st December , 2024.

The transcript shall also be available on the website of the Company:

<https://sencogoldanddiamonds.com/investor-relations> .

This is for your information and records.

Yours sincerely,

For SENCO GOLD LIMITED

Mukund Chandak

Company Secretary & Compliance Officer

Membership No. A20 051

Encl: as above

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"Senco Gold Limited

Q3 & 9M FY25 Results Conference Call "

February 14, 2025

MANAGEMENT : MR. SUVANKAR SEN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SENCO GOLD LIMITED
MR. SANJAY BANKA – CHIEF FINANCIAL OFFICER –
SENCO GOLD LIMITED

MODERATOR : MR. DEVANSHU BANSAL – EMKAY GLOBAL
FINANCIAL SERVICES

Moderator: Ladies and gentlemen, good day and welcome to Senco Gold Limited Q3 & 9M FY25 earnings conference call, hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr Devanshu Bansal from Emkay Global Financial Services Limited. Thank you and over to you, Mr. Bansal.

Devanshu Bansal: Yes. Hi. Good morning, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Suvankar Sen, Managing Director & Chief Executive Officer and Sanjay Banka, Chief Financial Officer.

I shall now hand over the call to the management team for the opening remarks. Over to you, sir.

Suvankar Sen: Thank you, Devanshu. Good morning, everyone. Today is the 14th of February, so wishing all of you a very Happy Valentine's Day. Just to inform all of you that yesterday we had our Board meeting. We announced the numbers and in terms of the achievements and in terms of the growth of the company, we are very happy to inform all of you that revenue growth was 27% in consolidated numbers for Q3 YoY and 22% for 9 months in a consolidated manner.

And on a standalone level, if we look and deeply analyse in terms of the growth that we have seen in YTD December, the retail revenue grew by about 19% and for Q3 particularly we have grown by about 22%.

In terms of performance, we can proudly say that we have crossed Rs. 2,100 Cr as a company in Q3 and had the best-ever performance in a particular quarter. Along with the fact that in top-line and revenue, we've had such a great performance. There have been certain impacts on consumer behaviour, in terms of the market forces, the duty cuts, and the fact that consumers have not been so keen to buy more diamond jewellery but were more interested and keener to buy gold jewellery.

As a result, what we have seen is that, in spite of the fact that the top-line growth has happened, the stud ratio, which is how much of the percentage of sales we had on diamond jewellery has not been able to grow. In absolute numbers and terms, we have seen that the sales of diamonds have almost been the same as it was in the previous financial year.

But since the overall numbers grew, that's what we see gold prices moving up in a piece of diamond jewellery. As you know, the price of diamond jewellery consists of the cost of diamonds, gold, and making charges. As gold prices rise, the proportion of gold in jewellery impacts its overall cost, which is not compensated by the diamond component of the jewellery. So, in totality, we have seen that the stud ratio has come down. As a result, it has led its own impact on the EBITDA, on the profit. So that was one.

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In terms of the adjusted EBITDA and adjusted PAT, what we have seen is that we have taken into account Rs.58-60 Cr duty cut impact on the overall numbers. And what we see in Q3 FY25 is that compared to Q3 FY24, where we have seen a much higher performance in terms of EBITDA and PAT in the previous financial year. This particular financial year (9M FY25), we have seen an EBITDA of 4.8% versus 7% and a PAT of 2.1% versus a higher PAT of the previous financial year.

As a company, if we analyse what had happened in Q1 and Q2, if we go back to the past, we will see that in Q1 the numbers were looking at a much higher growth compared to the Q1 of previous year, and we were of the continuous thought and effort that yes, over a period of time, in the

financial year, we will see a 7% to 8% EBITDA and about 3.5% to 4% PAT. So, what happens in a particular quarter of Q1 and Q2 gets normalized in Q3.

And coming to the situation that we are seeing in Q4, there are certain good actions that is happening at the ground level. One is that we are seeing that the diamond sales, which has been slow and low in the first half of the year, have started picking up from the festive season post Dhanteras, December, January, and February.

If you look at the sale of diamond that is happening right now, it is about 59% growth year-on-year that we are seeing in the last 3 months, which will have its positive impact in the coming quarter as we see Q4 coming in.

We are also expecting that the wedding season continue to be extraordinarily strong in February, March, up to April. Akshaya Tritiya season is in April.

So, the robust demand of consumers in spite of the gold prices that has been at all -time high at Rs.8,800 per gram. But continuously we see that the volume impact due to this price increase also has been quite low as we see today. There has only been a very minimum minus 1% volume impact in gold in YTD in spite of the high gold prices.

And in terms of diamond, what it was in the first half of the year or even to the extent of 9 months, the volume of diamonds were at a negative percentage of about minus 3%, but once we have crossed December and we are moving into January and now we are in the peak season, the volume growth of diamond has also been on the higher side and we have covered up for the degrowth that was there and we are now in a positive 2% to 3% growth in diamond value as well.

We always believe that while the top -line is something which is driven by sales, the number of invoices for us till YTD (9 months) had grown by 4. 5%. We have seen that the ATV has gone up by 14. 5%. We have seen the ASP has gone up by 15.5%. So , there have been positive signals in terms of the growth of the sales even though there has been an increase in prices.

Our endeavour has been to open about 18 to 20 stores for the financial year, where we were of the expectation that there will be 8 to 10 own stores and 8 to 10 franchisees . And we have opened about 14 odd stores till now and in the coming quarter for the remaining February and March, there are 5 to 6 stores that are in the pipeline. There are about 2 to 3 company -owned -company -operated stores and 2 to 3 franchisees . So that will allow us to open the target of 18 to 20 stores

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for the coming quarter and end the financial year with the target of 20 stores that we intend to open.

And then going forward for the new financial year, we will continue to endeavour to open about 20 odd stores, 8 to 10 company -owned -company -operated stores and 8 to 10 franchisees . So, these were the broad numbers with which we have seen in the 9 months. The ratio of old gold of the overall sale has continued to be at about 38%.

That has been a way that the consumers have come back and exchanged and taken the new jewellery that they had to buy. In terms of the achievements, we have been launching and had a great Dhanteras with Rs.1,000 crore sale in the month of October.

In terms of the brands, company formation, we had formed Sennes Fashion in the particular quarter as a company, and then gradually, under Sennes we will be opening 3 to 4 lab grown diamonds , leather bags and perfume stores. So those initiatives with a long -term perspective will continue to happen.

In the 9 months and especially for the particular Q3 in the last 3 years, if we analyse usually, Q1 and Q2 remains a muted quarter and Q3 remains a quarter with much higher growth and higher performance, not only in terms of top -line but in terms of bottom -line. But in this particular financial year, due to the price movement, due to the duty cut, due to

the way we have seen that

the sales of diamond as a ratio and a proportion of the overall sales have not grown to that extent.

Q1 and Q2 this particular financial year has been a much more robust quarter compared to Q3.

So that has its own impact on the overall 9 months performance or the Q3 performance. Once again, I would like to reiterate that we're of the firm belief that Q4, which continues to be a robust quarter shall continue. And what we are expecting is that in terms of EBITDA, as we end the year, we will be about 7% to 7.5%.

In terms of top -line numbers, we have already crossed Rs.5,000 crore in the 9 months. So, we should be crossing Rs.6,200 crore as we end the year. And with that, positive growth and positive expectations, we will continue to perform and the team has been giving their best efforts and I'm sure that much like the 18% to 20% growth year -on-year that we continue to project and continue to work towards and we will be doing it in this financial year, and we will continue to give our best efforts and continue to grow at 18% to 20% in the next financial year as well.

Now, I would just request Mr. Banka to share his thoughts and his numbers.

Sanjay Banka: Since you've already covered business financials, EBITDA margin, everything, I think that without any more introduction, we can open the call for Q&A. I want to inform the investors that we listen to you. We have rescheduled the timing considering a lot of queries, which we received. We have sent the press release today morning, and we have uploaded the presentation. So, we had received a few queries last night regarding the variance in the gross margin. So, while sir has spoken on that, I will once again take you through on the same, which we have explained through our presentation and also the press release.

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In the presentation on Slide number 42, we have explained very clearly that the quality of our gross margin does not change quarter-on-quarter. So, what we have been guiding the market is that our gross margin is in the range of 14% to 15% and our EBITDA is 7% to 8%.

In the past quarter-on-quarter, there has been some variations. So, let's say, we have given you a trend of last 11 quarters (standalone) basis. In Q1 FY23 EBITDA was 5.5%, Q2 was 3.6%, Q3 was 12.1%. But I must add here that there was no qualitative change in the margins. In Q3, our volumes are high, this is primarily due to the price variations and the price variations are not same. They are unique for every year.

In FY24 also, incidentally, the trend was same, 5.2%, 3.4% and 11.1%. So somehow it appears that the market expected that in Q3, we will make 11%. But we have been consistently guiding that the gross margin and EBITDA have to be seen over 2 to 3 quarters. And those 3 quarters may not fall in the same financial year. It may be Q4, Q1, Q2 or it can be Q2, Q3, Q4.

When we look at the current year, the reported EBITDA margin was 7.8% for the first quarter as against 5.2%, but nothing has changed. And similarly for quarter 2, it was 3.8% where we've seen that, there is an adverse impact of custom duty around Rs.29 Cr and in quarter 3, we have reported 3.9%.

We have reported an adjusted EBITDA, whereby we have taken a total impact of Rs.57 Cr in YTD and at a PAT level, we have taken a number of Rs.41 Cr. So, my adjusted EBITDA for Q1, Q2 and Q3 is 7.8%, 5.9% and 5.3%. So, the 9 months YTD adjusted EBITDA is 6.2% as against last 2 years EBITDA of 7.1% in FY24 and 7.7% in FY23.

Basically, as against 7.1%, it is 6.2%, a 90-bps gap. So, we have analysed the same. It is primarily due to two reasons. One is the stud ratio. So, we've said that this short-term pressure on the diamond jewellery and the pressure is more on those who sell solitaire. In our case, almost 90% of our diamond jewellery is below 0.11 cent.

There are lower

sales of diamond jewellery in stud ratio that impact is around Rs.15 Cr and the export sale is slightly higher this year, which has also impacted by Rs. 4 Cr to Rs.5 Cr. Overall, we believe our adjusted EBITDA margin of 6.2% aligns with market trends. So, this is one reason.

In slide number 45, we have given some more details once again for the 11 quarters and we have explained that we are following hedge accounting. The Indian hedge accounting that is Ind AS109 is in line with the global standards. We are audited by reputed statutory auditor. So, for last 10 years, we were audited by KPMG that is DSR & company now we are audited by Walker Chandok which is called in common parlance Grant Thornton.

The hedging which we do, we have also informed that we are doing almost 80% plus hedging. So, in Q1 and Q2, it was 95% and 85%. And overall, we have said, it is 80% plus. You are aware that we all know that the gold price will rise.

Being a responsible jewellery company, we could have made decent money by not hedging our position, but we have taken a very concerted call to keep our position hedged. And we have

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explained that hedging we do by way of keeping the whole GML unfixed, and we take same position on MCX future.

Due to MCX future position, we had a loss on account of hedge position. Technically, we can't call it loss, we call it cost of the hedging. And the total impact in Q1 was around Rs. 95 Cr. Overall, Rs.95 Cr to Rs.100 Cr has been the impact in Q1, Q2 and Q3 all taken together. The entire loss due to hedging, as well as a significant portion of the gold metal loan, remains unhedged, so that all costs are loaded on the inventory, while there will be a realization gain on account of increase in the gold prices, it is countered by the loss on account of hedge position. Overall, due to the netting of the hedge accounting impact, the results may not be perfectly aligned within the same quarter.

Due to the hedge accounting, price variations and hedge percentages, the result in the quarter cannot be net-net 0. So even if I hedge 100%, the result cannot be zero. While I understand that other jeweller does not have a major variance, but we are explaining our position of variance.

We have given 2 numbers in the slide number 45. One is the hedging loss, which was Rs.94 Cr in Q1, Rs.2 Cr in Q2 and Rs.6.5 Cr gain in Q3, totalling to a loss of Rs.89 Cr in 9M FY25 and then the custom duty impact in Q2 and Q3. Due to these 2 unique events, the margins of the current year are not in line with the past. We once again say in future also, the margin may not be exactly same with the previous quarter, because the events are entirely different.

Over 3 to 4 quarters, you will always find 14% to 15% gross margin and 7% to 8% EBITDA

margin . So having said that , while our adjusted gross margin for 9 months is 6.1%, which we have explained the reason, we feel that the custom duty impact is always bad. The market is good despite the rising prices, consumers continue to be interested. We hope and are confident that in Q4, we will deliver 7% to 7.5% EBITDA margin . Demand is picking up and with that confidence, we will look at delivering similar gross margin and EBITDA margin in future as well. And one more point which we want to say that the growth which we have achieved in the current year, which we reported at 27% in Q3 and 22% Y -o-Y in 9 months, that growth has been achieved in all the segments.

In gold jewellery , the growth is 21%. In the diamond jewellery, it has grown by 9%. So even though the stud ratio has come down, but since the absolute volume, the total base is increasing, that's why optically the stud ratio is looking down. 35% growth happened in silver jewellery and even our costume jewellery range, which we saw the youngsters and Gen Z, which has also grown by 18%. We are incredibly

happy with the business. Yes, the business cannot be looked from one quarter to other.

We assure you that, we are conducting the business with the best of our efforts and the management team is fully committed hedging is fully done. And then we request that be invest ed in us and if you have any query, we will be very much pleased to address to your queries, particularly on the gross margin variance or EBITDA variance. Thank you very much.

Moderator: The first question is from the line of Praveen Kumar, an individual investor.

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Praveen Kumar : Sir, my question is on your Q3 update versus the current results. In the Q3 update, you mentioned a 22% growth and now you're saying 27% growth. Why is this confusion and deviation. Can you help me understand, please?

And my second question is on your press release, and you said you have new start -ups and subsidiaries. But when I dig it deeper, you have only Sennes Fashion as the only subsidiary. What are those extra subsidiary? Please help me understand.

Suvankar Sen: To answer to the first part of the question, the 22% growth has been the retail sales growth that we have announced in the press release after the quarter ended. But the 27% growth that we are seeing is because it's consolidated. So, there is we have our multiple companies, the mother company, Sennes Fashion, the Dubai company , we have a subsidiary called Senco Artisan, which is running 2 factories. So, all put together, it is 27% growth. So that is the reason why in the press release after en ding the particular quarter, we said 22%, which is mostly retail and that's what we tried to mention and 27% is consolidated.

And the second part is the opening of the company, which is Sennes Fashion. Yes, that is the new subsidiary company that has opened in this particular quarter that I have been speaking about. That is, it. So, this is to answer to your question.

Sanjay Banka : Praveen, just to add here, we have already launched the Sennes brand. We had opened 4 stores also in Calcutta. So, the objective was to keep it as a separate legal entity and have a more focused operation. We have a very long -term plan for our lifestyle business and with that objective, this entity has been created, which will house our aspiration for the lifestyle business.

Suvankar Sen : Sir, you're saying something about the first point?

Praveen Kumar : Yes, sure. Sir, if it was clearly mentioned as a retail growth of 22%, we could have been well aligned with your thoughts as well. But now that led to confusion. But it was 27%. I request you to not to maintain this kind of confusion going forward. My humble request.

Suvankar Sen : Okay.

Moderator: The next question is from the line of Moksh Ranka from Aurum Capital.

Moksh Ranka: My question was on the competitive aspect of the business. What we have observed is that a lot of branded jewellery players have done QIPs, and IPOs and they are using that money to open fresh stores. And when you open a new store, what you have to do is you have to offer discounts. And is that something which is affecting margins as an industry -wise? And this is a temporary phenomenon, and it will subside in the future. So that's my question.

Suvankar Sen: Thank you for your question. So, it all depends on whichever company it is applicable, that in which part of the country you are opening a new store. So if you are opening a new store in an existing market, which is your strong market, there is already a sense of loyalty and a customer base, then your new store does make you give some offer or discount, but not to that extent on a continuous basis to attract footfalls and customers.

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If you open a new store in a market in which you are going there as a challenger brand and you want to capture more market share in that part

icular market, then you will need to give a higher discount and offer and keep your prices lower to attract the consumers and have a market share. It is dependent on that. And as a strategy, what we at Senco are trying to do is that in terms of our expansion, we have always been saying that East India is our strength and North India is our focus market in terms of the future growth potential. Therefore, 60% to 70% of our new stores, we will continue to focus on growing in East India 20% odd we will grow in North India and remaining 10% in West and South.

With that strategy in mind, like for example, in this particular quarter, which is quarter 4 which is running, we have opened 2 stores in an emerging suburb of Calcutta. And just to give you an example we have seen that the numbers of those stores, even though they are new stores, the first day sales have crossed Rs.1 crore or Rs.50 lakhs, Rs.60 lakhs on another store.

Therefore, the consumers will feel happy that, the brand has come closer to their house and in their locality, and that will allow them not to go to another competitive store but visit that particular store.

This is what we see when we open in a strong market area and at the same time when you open, we've opened a store in Dehradun, that is a market which is new for us, our entry into the hill area.

We are having to spend on marketing, brand building, reaching out to customers, giving them offers, and discounts, and talking about the brand and that is taking a little more energy, but it will give us returns in the future. This is how the balancing out is happening.

Moksh Ranka: Okay. My next question was on the pricing scenario for natural diamonds and lab-grown diamonds. And also, like, we plan to be present in both natural as well as lab grown. So, don't we think it would cannibalize in a way? And, due to falling diamond prices, could you help me understand the impact on consumer behaviour because essentially a consumer is buying a natural diamond for the stores of value?

Suvankar Sen: Right. Buying natural diamonds as a store of value is mostly done for the purpose through solitaire, 1 carat and above. What we have seen in the last 1 year is that the prices of solitaires have come down to a large extent, falling almost 25% to 30%, if not more, that is what is impacting the consumer and their faith on diamond solitaire as a store of value has gone down for the short-term, while their faith on gold as a store of value and an asset has gone up to a certain extent. Therefore, a large number of customers at the ground level, when they are being asked to buy diamonds, not everyone is getting convinced, that is the reason why we are seeing that while the overall growth is happening, the growth of diamonds has not happened to the same extent as the growth of overall business and gold in terms of value.

In our business, 90% of it is diamonds which are below 0.50 cents or below 0.30 cents, it is the smaller size diamonds. While this consumer sentiment of emotional attachment towards gold has happened in the last 1 year, the diamond pickup has started happening now that the gold price has gone to an all-time high. People prefer 14-carat and 18-carat jewellery, and this is the Senco Gold Limited

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kind of behaviour we have seen in 2021, 2022, and 2023 where the diamond jewellery sales growth was above 20% - 25%.

I would say, in H1 and to a certain extent in Q3, it was not happening in that manner, but from the end of Q3 and now what we see in Q4. We are seeing the shift of consumers towards diamond jewellery is gradually happening increasingly because gold prices have gone extremely high now.

This is what is happening on the consumer side, and if you ask me as a consumer, with the diamond solitaire prices have come down to a considerable extent. Now that there are talks of the Russia-Ukraine war to be kind of stopped in the coming month, it might have an impact of

gradually the diamond prices will stabilize and move upward.

Now coming to your lab-grown diamond question, we maintain a risk register and we kind of list out all the various risks and the future any kind of event, black swan events or what could happen in the future. And that we have very much consciously noted that lab-grown diamonds will be a stone in the studded share that will continue to gain more traction, especially in terms of fashion jewellery. They will not be considered an investment, but more as a fashion and adornment, and it will have a share of the overall stud ratio.

So, people who will want to invest for the future, for the value and asset will continue to invest in natural diamonds. And that in the overall market is around 15% to 20% of the share. For Senco, it is about 10% to 11% share, which we intend to take towards 14% to 15%. And now

we are taking steps towards that. But over a period of time, though the value of lab-grown diamonds is almost 1/3rd or 1/4th of the value of natural in terms of selling prices to consumers. But it will also gradually take about 2% -3% share of the overall sales over a period of time. So, this is how we see it. And as a company, to hedge our own risk, we are creating a separate identity, separate store, and separate entity, and trying to provide any kind of option, whatever the consumers want, in terms of either being natural or lab grown. So, this is how we would want to look at it.

Moderator: We'll take the next question from the line of Naveen Trivedi from Motilal Oswal.

Naveen Trivedi: Could you please explain a bit more on the gross margin side? I know that you explained about the custom duty impact also was there. So even if we adjust the same, even the gross margins are around 700 bps down versus Y-o-Y.

Even sequentially, where we typically see quarter 2 to quarter 3 more seasonally, gross margins are accretive, we have seen sequentially also it is down. While our stud ratio sequentially was similar in Y-o-Y, it still has seen expansion. So, studded mix actually has become more favourable Y-o-Y. If you can just explain the same?

Sanjay Banka: Yes. Naveen, thank you very much for asking this question. So that's why we have uploaded this slide 45. See, gross margin for jewellery industry is the sum total of primarily making charge. That's a major contributor to the gross margin. And then in our case the margin on diamond. Then there will be a margin on platinum, silver, et cetera, and so on.

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And then margin on gold, if any. So, seeing the competitive scenario today, when we are seeing that the competitors are offering huge discounts on the gold price, we don't understand how the competition is offering discounts on the gold.

So effectively, there may not be any margin on the gold metal as such. Now, over and of that, due to price volatility, as you said earlier if you keep your position unhedged, then you can make money. So, it depends upon how a jeweller hedges his position. But we have been hedging our position more than 80%. So, there is no scope for upside on the gold price rise.

And depending upon the hedge accounting, as we have said earlier also, there can be Rs.15 crore to Rs.20 crore, plus or minus on account of gold metal loans due to the gold hedging and the price volatility. So now we are left with making a charge in a diamond.

So, if you look at our presentation today, making charge percentage we have given, is around 10% to 11% on a total basis. So, when we talk about the balance of, let's say, 4.5% to 5%, that comes from diamond, platinum, silver, and so on.

Your point was that it has been volatile. So, what we have explained to you is that as far as the making charge is concerned, we have said it is consistent over the last

11 quarters. I can get into

more, let's say, last 20 to 30 quarters, but given the past gross margin trend, it is in the range of 10% to 10.5%.

Now, stud ratio has also been standard. What you are seeing, the variance is primarily on account of price volatility, hedging position, unwinding of hedging position, the mark-to-market of the future position and the timing effect which comes due to IndAS.

So, our gross margins are fairly stable, that's what we say. Now in a particular quarter, the sales volume will increase, and the gross margin absolute amount will increase. But we have never guided that our gross margin percentage will increase, or EBITDA margin percentage will increase. EBITDA margin percentage will increase due to operating leverage, but not due to pricing where the competition is intense.

Naveen Trivedi: Yes, but I'm just trying to understand, I can understand about the gold price which is there. Is it that, now you also explained that the making charges are also stable, so I'm assuming that there are no added consumer offers that you have done this quarter, while you are seeing the competition is doing it. So, it still doesn't explain the gross margin dip, both on the Y-o-Y side and sequentially we are seeing. Is there any hedging cost which you had spent during the quarter which was higher than the first half or something of last year?

Sanjay Banka: We had a hedging cost/loss of around Rs.95 Cr in Q1, Rs.2 Cr in Q2, and Rs.6 Cr gain in Q3.

Effectively, ~Rs.90 Cr impact which has come. So, in Q3, there is no loss, there is a gain, right?

Custom duty impact is there. So, the major reason for the difference between this quarter and last quarter is the customs duty impact. We have taken a hit of Rs.29 Cr in Q2 and Rs.27 Cr in Q3. That has probably distorted the difference.

But the question is that the Q3 which we explained in the starting line the EBITDA margin of Q3 FY23 and FY24 have been 12% and 11%. But that is only incidental, coincidental. Even in

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our business, when we make the business plan, we keep the gross margin consistent over every month and all quarters. So, this is just an impact of the Ind AS accounting and price volatility. So, comparing this 3.9%, the reported number or 5.3% adjusted versus 11.1% may not be a correct indication.

Naveen Trivedi: What I understood is that the larger part of the gross margin impact is because of the gold price inflation. Is the understanding, right?

Sanjay Banka: Absolutely.

Naveen Trivedi: And what gives you confidence that in quarter 4, your margin will return to normalized level considering we're still seeing the gold inflation is there. So, what gives you confidence that your Q4 numbers will be at a normalized level?

Sanjay Banka: See, we are at a hedging of 80% plus, okay! So, let's say, if the gold price rises from here, we don't foresee that the gold price will rise from this \$2,950 level, which only touches a high of \$3000, it may not touch beyond \$3,000. And if it falls, then whatever hit will be there, will be covered by our hedging position because we have invested a lot of time and money in our risk management strategy. So that gives us comfort. Our Board closely monitors our hedging practices. These are the two reasons.

We don't give random discounts on the gold metal. So, we don't come under competitive pressure and don't enter into any cut-throat competition even if we lose sales sometimes.

And making charges, we generally remain intact. We don't run discount offers at a very severe risk and we try to rather spend the money on marketing and brand building so that the customers will see our brand as a premium and should not see our product as a discount brand.

Suvankar Sen: So just to add to Mr. Banka, our making charge income percentage has continued to remain at the same level. That is what gives

us confidence. Our income /margin in the diamond part of the diamond jewellery also remains at the same level in terms of the overall percentage.

It is just that the growth in gold jewellery in value terms has been higher than in diamond jewellery for which the stud ratio is looking down. And now that we are seeing that in January, and February, the diamond jewellery sales have gone up and the diamond stud ratio is marginally going up also. So that is also giving us the confidence that nothing in the quality of business changes.

The only thing as we are reiterating is for all of you to look at the numbers, not quarter-on-quarter, look at the numbers over the last 3 to 4 quarters, look at the previous years, full 3 quarters, the years before that full 3 quarters and this full 3 quarters, because gold price movement, the impact of hedging when we take metal gold loans from the banks that we take in August and September to build up the inventory for the Dhanteras festive season.

And then we kind of pick the rate for those flexible gold loans in October and November for Dhanteras. We call it the value differences, the price fixing, and the impact of that on the

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inventory, which is nothing but the hedging processes that we do, which will give certain movement.

So again, maybe I'm reiterating it again and again, but when the numbers of Q1 were looking extremely good, it was the election quarter. The markets were challenging, but because of the comparable situation, the growth percentage looked much higher. We were all very happy that yes, but we tried to guide everyone that over a period of the whole year, we are still expecting an EBITDA margin of 7% to 8% the PAT as it is, and the top-line will be 18% to 20% growth. And we are continuously the firm belief telling all of you that yes, the EBITDA margin will be around 7% to 8%. We are putting our best effort into increasing the diamond jewellery sales, which is going to impact directly on the EBITDA. And I'm sure this normalization of overall numbers is going to happen. So, this is our guidance.

But at the same time, let us also talk about certain of the risks that we see that we must be conscious of and take action upon. One is that the metal gold loans that we are taking as a process of hedging due to the direct initiative by the U.S., the banks are increasing their interest rate, which for us was approximately 2.5% to 3% by 3% to 3.5%.

So the interest on gold loan that for till about, I would say January, which we were enjoying, say, at about an average of 3%, going forward in February and March, we are having to take into account that, that metal gold loan interest will move up to about 6% to 7%, depending from bank to bank, which means that for these 2 months, we will have a higher cost of funding by 0.5% or so, which is going to have an impact of approximately Rs.7 Cr to Rs.8 Cr on the overall numbers. And we need to either have actions in terms of making charges or higher stud ratio and whichever to compensate for the same. So that is one situation which will impact in the coming two months

and even for the full year but again, it all depends on how we look at the entire year . Will this higher interest rate for metal gold loans continue for the whole of next year , or it is only a temporary phenomenon of 3 to 4 months and then it again normalizes back to 3% to 3.5% ? We have to keep on observing and taking updates quarter -on-quarter on the situation. So , these are certain things that we would like to also inform all of you about.

Moderator: We'll take the next question from the line of Chinmay Gandre from Canara HSBC Life Insurance.

Chinmay Gandre: A few questions from my side. What was the studied mix in Q3 of this year versus the same period last year?

Sanjay Banka : Sir, as of Q3, the number being reported, the number

here is 10.5%.

Suvankar Sen: So, our 9 -month stud ratio was 10.5%. And our Q3 stud ratio has been about 11 .0%. And we are seeing that this 10.5%, which was the 9 -month stud ratio, as on February 15, that 10.5% is moving up from 10.7% to 10.8%. So, the stud ratio, as we are moving and we are seeing this whole diamond season and Valentine's Day, is moving up towards 7.7%. But 9 months is 10.5%. The stud ratio for H1 was lower. So Q3 kind of picked up in terms of the stud ratio to close to 11%.

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Chinmay Gandre: Sir, what was it last time in Q3? This 11% like -to-like was how much?

Suvankar Sen: We'll just look at the last quarter. We'll get back to you.

Chinmay Gandre: See, broadly, I mean, what I want to say is that you basically mentioned that the stud ratio was weaker in Q3 versus the previous year, right? So more or less, it will be lower by 1% to 2% at the best, right? Not beyond that. So maybe, I mean, that could have at the max, reduced your gross profit margins by around Rs.10 crore to Rs.15 crore, more or less, okay? But still, then if I adjust for that also, it's like around 6.5% at best case you will reach for the Q3.

So is the rest largely the explanation of the hedging part of it where basically there is a timing difference, which your kind of you is pointing out towards. And that should kind of reverse in the Q4 is how the understanding should be?

Suvankar Sen: Yes. Q4 will have a reversal in terms of what we are seeing in Q3 and a little bit of it will flow into the Q1 of next financial also.

And again, stud ratio is, let me reiterate and since we're having this discussion, what is the diamond jewellery as a total sale of jewellery ? Right, so again we got this number for you, so the stud ratio for December 2023, 9 months was 11.6%, which is 10.5%. So, this is just a comparison.

The second thing that I would like to again state is, that even in diamond jewellery, so stud ratio is the percentage of diamond jewellery in the overall sale. In diamond jewellery , there is a diamond, there is a gold, and there is a making charge. And the gold value is moving up. So, the percentage share of the diamond in the diamond jewellery is also down.

So when we are defining and making a percentage profit or gross margin of diamond jewellery , then because the gold prices of the diamond jewellery have moved up higher than the diamond prices, therefore the margin on diamond jewellery itself is also not the way it was when the gold prices were lower and the share of diamond in the diamond jewellery was higher.

So, these are the 2 impacts. So, our sale of diamonds , just to reiterate, last 9 months was Rs.142 Cr and this particular 9 months is around Rs.143 Cr. So when we see and when we say that, oh, diamond Jewellery sales have gone up by 9% also or this particular year, when are have said that till February it has grown by 59%, we need to delve deeper down and say that what has been the increase of diamond in the overall diamond jewellery and what has been due to the increase of the gold price in the overall diamond jewellery . And the more and more diamond we sell, the margins will be higher. So, I hope I could make myself clear.

Chinmay Gandre: Yes, I got that, sir. So, but broadly, because the gold prices have moved further in Q4, then as you mentioned, the percentage of diamond value becomes lower in our diamond jewellery also and hence the margins become lower because of the weighted average. So that will kind of continue in Q4 also.

Suvankar Sen: So Q4, say Jan -Feb, we are growing 59%, last quarter 4 to now. It's a good number to talk about. Now 59% looks exceptionally good , but we have to break it up.

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How much of that 59% is because of the gold price increase and how much of it is because of the volume increase, right ?

So, a volume increase of diamonds and an overall volume increase

in gold and volume increase due to the price increase. So, to the extent that it is the volume increase of diamond, we will see that, that will have its impact on the gross margin.

Sanjay Banka: I'm trying to explain it voluntarily. So, we have provided some explanation for the hedging variance. I'm trying to explain it once again with reference to Slide number 45, this one is a very important point. And if required, we will update this slide with more visibility.

So, what we have explained in this slide, there is one more dimension to this slide. So basically, the gross margin which we have earned is, let's say, Rs.507 Cr of making charge and the margin on diamond, platinum et cetera, of around Rs.165Cr, total gross margin of Rs.621 Cr.

There is a negative impact of hedging and customs duty. The net impact of the same is Rs.551 Cr. So, the total gross margin, excluding the hedging impact, and I'm putting all these numbers on a YTD basis is Rs.673 crores. That gives me an adjusted gross margin of 13.7%.

Now, this adjusted gross margin of 13.7% is on a YTD basis, Q1 it was 13.5%, Q2 it was 12.9% and in Q3 it was 14.5%. So, the point is that the explanation and detail we provide, the fact remains that there are minor movements in the gross margin quarter -to-quarter, and it cannot be exactly explained. So, we'll try to add an additional slide as a part of the addendum to what we have submitted to the stock exchanges today. That's all from my side, and I invite questions again. The new slide will be numbered as 45A.

Naveen : Sorry, I'm not able to kind of reconcile all the numbers. So once again, I'll try and understand. So, there are 2 effects. One is you're saying that the added mix itself was lower by almost 60 basis points on a year -on-year basis.

The second effect is that within the diamond jewellery, there is a higher gold component and because of the pricing change, that's what has kind of led to a dilution in margin on the diamond jewellery itself. Am I right? Is there any other effect that one should think of? I'm adjusting the impact of custom duty here. So, any other effect one should think of?

Sanjay Banka: Sorry, I missed your question.

Suvankar Sen: So, he was saying that your margin is one because of the diamond stud ratio being lower. Even the margin is impacted because the gold component has gone up. Third is the customs duty. Any other reason for the margin to look lower, which is the hedging.

Sanjay Banka: One is the hedging impact, at the beginning, I explained that one is the hedge accounting impact, customs duty, right? Now what we explained is that my adjusted gross margin is 6.2% as against 7.1% last year for 9 months. That means it gives us a gap of around 90 basis points.

So, 90 basis points on approximately ₹4,900 Cr results in a gap of around ₹45 Cr. Roughly, ₹5,000 Cr multiplied by 90 basis points also amounts to about ₹45 Cr. We were analyzing this through a waterfall approach to identify the gap.

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This gap is primarily due to two reasons. First, while diamond sales have grown by approximately 9%, the stud ratio remains lower. As a result, the lower diamond sales have had an impact of around ₹15 Cr to ₹16 Cr.

Similarly, in the total sales, exports are higher. And due to export being higher, we have seen around Rs.5 crore to Rs.6 crore gross margin is lower due to higher export, because in the export, the margin is lesser vis-à-vis what we sell in our own store. Now, these two are noticeably apparent reasons.

Now what are the other reasons why the margin is lower, the adjusted gross margin is at 6.2% versus 7.1%. It can be due to the product mix. See, as the prices are rising, customers are going for lightweight jewellery. And those customers who are going for a heavy diamond where our margins

are lesser, more than 35%, are going for diamond jewellery with a lesser diamond percentage.

There are a mix of multiple reasons. And then when we talk about EBITDA, there is an Opex element also. In the current year, as the competitive intensity increases, we have to make investments in marketing. We constantly have to make investments in our IT. We continuously have to make investments in our people. And because we don't run the business from quarter to quarter. We have a long-term vision of the company. We are an 85-year-old company. We have a vision for the next 200 to 300 years for the company.

So, we spend money for the future. And hence, these are all investments. I'm an accountant, this can be an accounting concept, but these are investments for Senco, which will yield a long-term dividend for us.

Chinmay Gandre: Right. Okay. And sir, you also alluded to this aspect of higher competition and there are certain players who are probably not hedging, and that's how they are kind of holding on to margins.

From our perspective, I understand we have 80% hedged. The effect of that in terms of either giving customer incentives fully reflected in the gross margin or there is something in operating expenses also?

Suvankar Sen: The duty impact, just to kind of...

Chinmay Gandre: Not the duty impact, sir. Sorry, I was referring to any incentives or discounts you may have given because you mentioned competitive intensity. Is that reflected in the gross margins for, let's say, the 9-month period this year versus last year?

Suvankar Sen: Yes. Because if we give any discounts or any offers, that is given on, say, as a percentage of making charges. So, if that is given, then it will be reflected in the gross margin itself. But again, we want to reiterate that the making charge income from retail sales that we have gained in the 9 months has continued to remain in the range of about 10.5%. So, there has not been any major reduction due to the offers and discounts that we have given.

Yes, in Dhanteras, we had to give or whenever there is an offer we give, but that has not impacted the margins. Again, as Banka ji has said the income that we have received from making charges, which is the margin that is there, the income that we've received by selling diamonds or the

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margin we received from platinum as a metal that particular margin, if we look quarter-on-quarter has remained in the similar range.

It is only the hedging impact, the impact of the gold price, where we are fixing the gold loan. And that move varies from quarter to quarter. So, one quarter would look higher, and the other quarter would look lower. But if you look at 9 months, it is normalized. So that is the impact that it has taken.

And yes, in terms of percentages because the share of diamond jewellery has come down. Therefore, that has taken its own impact. And you see that from an EBITDA of 1% we are at say, EBITDA of 6% for 9 months. And gradually with higher, higher growth of diamond jewellery sales compared to overall jewellery sales, we will be taking this 6% EBITDA to closer to 7% to 7.5%. So that will be our endeavour with higher diamond jewellery sales.

And then in Q3, now if we go below and look at the other opex, marketing, branding, since it's the festive season, we have invested in branding and marketing in Q3. And Q4, obviously, that percentage expenditure towards branding and marketing will be lower. So those leverages will play out, and we will have a bottom line, which will be percentage-wise stronger. So, this is how we are looking at it.

Sanjay Banka: No, I think, sir, let me build on my answers. See, this Rs.51 Cr, which is the sales impact of gold hedging and custom duty and so on. It was Rs.52 Cr gain in Q1, Rs.17 Cr loss in Q2, Rs.55 Cr loss in Q3. That's why this Rs.52 Cr gain in Q1, gave you say,

a higher gross margin in Q1 and

EBITDA margin. In Q2, it was a loss, it was lesser and in Q3 there was a loss.

But the point is that sir, we are consistently explaining that we are not a hedge fund. Our business is not to enter into a hedging position. We don't take a call on the gold. We don't do hedging as a business area. We do hedge purely to cover our risk as a risk management tool. Moreover, we do not determine the timing of accounting for these numbers.

Our job is to run the business, and we do a proper accounting in ERP. And we have got a very reputed auditor firm. It's not that we decide the timing that this will come in quarter 2 or this will come in quarter 3.

So, I'm making it very clear on the earnings call, that this timing of the impact of the hedging when it flows, is not decided by the management or by the company. It is decided by the Ind AS and by the statutory auditor. So that is where it is. And due to this timing gap, which you said is that the gross margin is impacted optically, I will say.

I want to use the word optically. This may not be a cash flow impact. With statutorily, we are not required to provide the cash flow. But for the full year, when we provide the accounts, we will provide a quarterly cash flow also to inspire confidence and trust. That's all I can say. And once again, any other questions, please.

Moderator: We'll take the next question from the line of Sabyasachi Mukerji from Bajaj FinServ AMC.

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Sabyasachi Mukerji: While there has been a lot of discussion on margins, I just have a question on the growth. So, in 9 months, we have crossed Rs.5,000 crore. And for the full year, we are guiding for Rs.6,200 crore. That implies close to Rs.1,200 crores in Q4, which is almost a very low, I mean, growth when we compare to the Q4 of last year close to 5% to 6% of growth, despite you calling out that there has been a 59% growth till date in Q4 in studded, in diamond and there is a good wedding season lined up in Feb, March and beyond. My question is why are we looking for this very low growth in this scenario, in this environment?

Suvankar Sen: So, you are comparing last year's Q4 to this year's Q4. And we see we have had a wonderful Q3 crossing Rs.5,000 Cr. We are saying that we will be crossing Rs.1,200 Cr this particular Q4, taking it to Rs.6,200 Cr or Rs.6,300 Cr. And the growth in diamonds is higher than the growth in, say, gold jewellery. So that is a good sign in which we will see that the quality of business in terms of the higher stud ratio in Q4 will be impacting the bottom line.

But then we also have to say that the gold price is at an all-time high. And then that is where we will see that value-wise, we are growing, the wedding season is there. But obviously, there will be consumers who will kind of wait for the price to stabilize. So, this is how it is. We are looking at a 6% to 7% growth.

And then maybe as we end February and we move towards March, that 6% to 7% growth can move up to 10% growth. But all -in-all, if you look at the overall numbers, from last year's Rs.5,200 crore to Rs.6,200 crore, we will be clocking 18% to 20% growth Y-o-Y. So that is how it is. So maybe in quarter 4, currently, we are being 7% to 8%. That is how we have to look at it.

Sabyasachi Mukerji: So, is there any slowness in demand that you are seeing in gold jewellery? I understand studded, diamond is growing fast, but is there any?

Suvankar Sen: January sales were much higher. The demand was much more robust. And if we look at what has been happening in the last 7 to 10 days in terms of the demand for gold jewellery, obviously, because of the gold prices that have moved up so high in the last 7 to 10 days, there has been a little bit of slowness on demand of gold jewellery. But this is a behaviour of the consumer that we see all the time then when there

is a sudden jump in terms of pricing, consumers are in a wait-and-watch mode. And again, when the prices stabilize, the consumers will start buying again. So, this is how we have to look at it.

Moderator: We'll take the next question from the line of Ali Asgar Shakir from Motilal Oswal Mutual Fund.

Aliasgar Shakir: Sir, you've already given a lot of explanation on your gross margin. But I mean, I just have one observation, sir. So, see, generally, the hedging is done basically to protect your gross margin.

And what you've explained so far, of course, is your impact on your making charge or probably your mix of diamonds being impacted, but the majority of the impact is on the hedging.

Now ideally, your hedging should help you protect your gross margin. In your case, this is the second quarter in a row that we are seeing an extremely high fluctuation in gross margin. So, I'm quite perplexed that actually, your hedging strategy should have helped you in a volatile gold price environment. Instead, on the other hand, it is actually hurting you more.

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Second thing is, sir, I mean, if you look at the other listed companies who all have reported their numbers from one company like P N Gadgil who has not yet fully reached its 100% hedge position or to the other like Titan or Kalyan who is 100% hedge and they have also been able to have a normalized gross margin despite the same volatility in gold prices that you are talking about.

So, I heard you saying that, I mean, you are using the best accounting practices, and you have the best auditors is very much acceptable. But the problem is, sir, as institutional investors, I mean, to be honest, the reason why we prefer gold companies which have fully hedged gold inventory is so that you can have a normalized gross margin, and you don't run the risk of very big impacts on gross margin.

But to be honest, that is not helping. So, you've given a lot of explanation on your multiple slides and disclosures are very high. But this is something which I don't think I'm able to really get my head around the last 2 quarters that why the gross margin impact should be so high, where others are able to manage it. So, I don't know if this point explains my worry, but over to you, sir.

Sanjay Banka: It helped us to mitigate the risk. So multiple companies are talking hedging differently. So, in this public forum, I don't want to talk about the competition.

Everybody is talking hedging in a unique way and kindly read through the statements. So how do you hedge? Let's say, from the rain you can use umbrella. So, we hedge our inventory position. We kindly ask specific questions to others as to what the hedging are.

We have an inventory exposure of, let's say, Rs.2,800 Cr to Rs.2,900 Cr in our balance sheet, if we exclude the diamond. So, when we say hedging, this Rs.2,400 Cr to Rs.2,500 Cr of the gold position is to be hedged.

And when we say 80% minimum, it means at least Rs.2,000 Cr hedging. That means the hedging position should protect me from this Rs.2,000 Cr position, right and which is done.

So, I'm giving you a little ballpark number, so which means that almost Rs.1,000 Cr will be by way of gold metal loan unfixed and balance Rs.1,000 Cr will be by MCX future sale. So, we have been able to protect our position by hedging. But incidentally, in the last 3 quarters, the price has been only going northward.

So, we have the gain on dilution. So, it's not that we've only suffered on account of hedging. We have a gain on realization, and we have a loss on the hedging position. Both have neutralized each other, but it is not in a perfect order. It's not a fully synchronous position. If you say that due to Ind AS accounting, due to the MCX position, realized gain, unrealized gain, mark -to-market hedge , cash flow hedge, it will require one full day to explain, an

d I'm not that expert actually. So, we have not lost on account of hedging. It has been counted by the hedging position, and we are happy with our hedging strategy. But we could have made money by not hedging our position, but we'll never do that.
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And that's why you are seeing the result that is how a conservative and stable company works. We don't want to show number for the sake of pleasing. We believe in corporate governance. And that's sometimes the number you may not like it. But overall , you will know which is a strong company.
Suvankar Sen: And Aliasgar you look at the 9 months YTD, and you will then understand that whatever be the quarterly fluctuations that you are seeing from Q1 to Q2 and Q3, it is normalizing towards the expectation that we are moving towards. So kindly appreciate the effort that we are taking to explain all of this to all of your investors. And this particular year, Q2, the duty rate cut has happened. It has its own impact on pricing.
You have already paid the duty for the gold loans that you have taken. And when you are again selling those gold and you have taken the benefit. Why did Banka ji say that the loss on Q2 was minimum, there was rather a gain from hedging is because we were in a hedge position. And that is why at one end, when the gold prices came down due to the duty cut, we could take some benefit of the hedging. But once duties paid out is paid out. So, you get all of this has its impact. You all have to maybe have the faith and trust in us. We are doing our best to explain the situation, and we are confident that we will be moving towards an EBITDA of 7% and topline growth to be 19% to 20% year -on-year. As per our expectation, we will open 18 to 20 stores for the year as we had told all of you. And next year also plans are on, and we will continue to grow in the same manner of 18% to 20% year -on-year.
Aliasgar Shakir: Just quickly, so 7% margin is what we can model for the full year, right, EBITDA margin and for the coming year FY26 as well?
Sanjay Banka: Ali, this is since we already have a reported EBITDA margin of 5% and adjusted or normalized EBITDA of 6.2%. So, it cannot be fully recovered in Q4. Q4 standalone will be 7% to 8%. Obviously, the 7% to 8% with reported 5% will not give you 7%. But yes, for next year , next to next year, we are consistently looking at and working at 7% to 8% EBITDA margin. But this year FY25 EBITDA margin will be lower. It's a fact. Other listed players have reported massive impact on account of custom dut y.

Moderator: We'll take the next question from the line of Devanshu Bansal from Emkay Global Financial Services Limited.

Devanshu Bansal: Sir, there is some confusion as the numbers that you have spoken about are not visible in the PPT. I would just request you, if you could provide comparable gross margin numbers adjusted for customs duty impact and whatever hedging gain loss that we have seen over the last 6 to 7 quarters, maybe from Q1 FY24 to Q3 FY25, if you could provide the adjusted EBITDA margin number that will sort of help us better understand because these numbers are not visible in the PPT, but you have sort of spoken about this in your commentary?

Sanjay Banka: So, Devanshu, this year we were constrained by the excessive disclosure. But yes, we take your view with very high respect, and we will try to upload the revised slide, as I said, Slide number 45A in next 2 to 3 hours.

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Devanshu Bansal: Understood. But sir, you did mention about 13.7%. So, what exactly is that number, I mean, for 9 months this year, it is 13.7%. What was this comparable number for last year 9 months?

Sanjay Banka: So, this is the adjusted gross margin adjusted for the hedging loss and custom duty, and last year this number was 15% for last full year. Let's do i

t for three to four 15.2% and 14% it will approximately 15% last year adjusted gross margin and the same numbe r for 2022 and 2023 also similar. So out of the adjusted gross margin of 13. 7%, which is 13.5%, 1 2.9%, and 14.5%, the making charge is around 10.5%.

Devanshu Bansal: Understood. And this 130 bps fall on a Y -o-Y basis is largely attributed to all these regions, right, studded mix, exports...?

Sanjay Banka: Yes. So primarily export, product mix, studded ratio, these are the 3 to 4 main reasons.

Moderator: We'll take the next question from the line of Videesha Sheth from AMBIT Capital .

Videesha Sheth: Please accommodate if my questions are repetitive in nature. But number one, on the growth aspect that you mentioned for fourth quarter, it being lower at 6% to 7% on an implied basis.

Can you just share what is the growth in the month of Jan, the Y -o-Y growth in the month of Jan?

Sanjay Banka: Y-o-Y growth in the month of Jan is at least 19% to 20%. But despite the gold price rise, the demand for the gold has not come down, then the festival season continues.

Videesha Sheth: Okay. So, then what leads to this 6% to 7% growth guidance?

Suvankar Sen: So, we are talking of the full year growth of 19% to 20%. Right now, January has been a growth of 21% to 22%. February, we have seen that this 21% to 22% has taken a little hit because of the gold price increase, but the wedding season continues to play on, and we will see that in the entire year , we will achieve 18% to 20%.

But with this price range, we are being expecting a 7% to 8%. If you see only Q4 to Q4, but YTD, we are at 18% to 20%. So, you need to understand that YTD, we will be at 19% to 20%.

Now Q4 to Q4, you will not see that 19% to 20 %.

Videesha Sheth: Just to again double down on this. Is this low growth assuming that footfalls don't come back? Because typically, how customers behave is that if there's a sharp increase in gold prices, they eventually adjust to it and the footfalls do come back because purchases can't be postponed to a large extent?

Suvankar Sen: Correct. No. So the April month, March, all of it will see that the people will be buying. People will be buying, and weddings cannot be postponed. Only personal purchases will be postponed. But let me assure you that this 19% to 20% growth for the whole year and in Q4, while we say that, at the lower end, there will be the 7% to 8% growth, but at a higher end, we will all expect that the 20% growth will continue to happen.

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So let me, I think, modify my statement as to exactly what we were trying to say is that, in terms of value, we will grow by 20%. In terms of volume, that growth percentage will be in single digits. But in terms of value, we will continue to grow at 20%.

Videesha Sheth: Understood. Now coming to the margin front again, this is more of a clarification. On the MCX hedging gain and loss, which is impacting the COGS or the gross margin, is it also a function of the gold volume bought versus what was sold? And just in addition to that, is there going to be any timing led reversal in the fourth quarter as well?

Sanjay Banka: Yes, it's very complex, Videesha. This MCX position is, first of all, we will take at a total inventory position. Now out of that total inventory, part is covered by the gold metal loan, okay? Now gold metal loan also you have to see across multiple banks, multiple expiries. So, there is no fixed formula , so we prefer to do hedging primarily by the driven position.

And then second option is MCX. Now, MCX will depend upon, if you do increase the frequency as you trade in the share market, if you got a trading mentality, if you want to make money once again, hedging is dependent upon whether you call it smart hedging, or you call it a conservative hedging. So, if a person starts trading into MCX on daily basis and they use

it every day, then

they will earn money, and the gross margin will increase, and they will say 80% hedging.

On the other hand, there is a stable investor, you take a hedging position, and you don't look at hedging position and try to match it with the full expiry. So, we have nuances and integrities, and we can go on discussing these things. If someone uses hedging at a treasury desk, then he will make money, his gross margin may be higher. I'm not making any comment against any of my respective fellow industry colleagues.

Videesha Sheth: Understood. So, if I were just to simplify the question, in the fourth quarter, how should we be looking at gross margins and EBITDA margins on a Y -o-Y basis?

Sanjay Banka: Gross margin, as you said, Videesha, 14% to 15% is the gross margin. Now 14% to 15% once again is a function of own store and franchisee store. Own store will be 19% to 20%, franchisee will be 6% to 7%. It will depend upon what sort of product customers pick up in this market when the gold price is at higher and then the export also, we are increasing. But broadly, we've said 14% to 15% gross margin, 7% to 8% EBITDA. And we are working very clearly along those lines.

Suvankar Sen: And Videesha, just to add to Banka ji, let me give you a number, updated number, right. As on date, we have clocked a turnover of Rs.5,700 crore as we speak to you, right? So, if we look at in that aspect, so our expected revenue numbers for the whole of the year should be anywhere between Rs.6,300 crore to Rs.6,400 crore. So, this is the confidence that we would like to give

all of you that in terms of revenue numbers, we will be in the range of Rs.6,300 crore to Rs.6,400 crore. That is number one.

Number two, again, at the cost of reiterating, December, January until now February, we have seen that the diamond jewellery sales growth has picked up to a large extent, which will have a positive impact on the gross margins and on all the numbers, EBITDA, and PAT. And currently, for January, February it has grown by 59% year -on-year for these date range.

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So, the guidance that we would like to give is that adjusted EBITDA is coming to 6% as of now. But due to the positive impact of higher diamond jewellery sales and the gold price hedging impact that Q3 has taken a hit. But the way in Q1 and Q2, the gains that were being made in Q3, it has taken a hit. But again, we believe that it will normalize in Q4 and that will make the EBITDA margins look much better than the adjusted EBITDA of 6% to closer to 7% due to these scenarios that we are seeing.

And yes, the concerns are that gold is at all -time high, but the sales continue to happen for weddings. Diamond jewellery stud ratio is on the rise. And Akshaya Tritiya is in the end of April. So, our endeavour to reach out to the customers to ensure that we take the bookings will begin from March.

And overall, I think the consumer sentiment for the short term due to the price rise has been a little slow in the last 7 to 8 days because of the sudden jump. But consumers inside their heart is happy that gold price is increasing. The old gold exchange that we usually talk about has been about 38% to 39%. And once again, we say that 62% of that is non -Senco gold that comes to us. So, this growth that we see, the same -store sales growth for us has been in the range of 13% to 14% in the overall growth of 1 9%-20%

So while the price movement of gold and hedging and duty cut and this lower diamond ratio in the overall sales has given this YTD adjusted EBITDA of 6% versus 7.1% of the last year for the 9 months, but with the fundamentals to remain strong and with our marketing and branding and sales endeavours , we will continue to grow in the top line. And yes, these headwinds of duty cut or the interest rate changes in gold loan, these will have a short -term phenomenon, which

will be adjusted over a period of time by controlling of expenses or any kind of moving into selling of higher -margin products into this. So, this is how we will continue to do our business.
Videesha Sheth: Is it possible to share the cash flow number for 9 months FY '25 versus 9 months versus the base period?

Sanjay Banka: No, cash flow is not specifically required to be prepared for the Q3 numbers. So that, we have to work separately. We just completed our audit. As far as custom duty is concerned, clearly, there is a cash flow impact, and we wrote in the presentation as well that Rs.57 Cr we expect custom duty impact. So, what we purchased at Rs.115, we have sold at Rs.106, so while Rs.100 could have become Rs.115, but the custom duty part is the clear loss.

And ultimately, this is a foresight and it's a gratitude to government that they have taken this is statement while definitely the industry will be pain, we are pain. But long term for the Indian economy, it's a very, very positive moment that the government is taking steps to stop the unethical practices.

Net-net, these are good in the interest of Indian economy, short -term trends are there. And we as an honest and responsible citizen have to bear the same.

Videesha Sheth: Just the last question from my side on the studded portfolio. So, for peers, their studded portfolio has grown, although the mix would have impacted depending on the NIM. So, what is the reason
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why it did not grow for Senco? Is it the geography exposure? Or are there any other factors that have come into play?

Sanjay Banka: Videesha, we have explained earlier that our stud ratio, one is the own store and franchise store. So, what you look at 10.5% in the own store, it is 14%. And we have said earlier that in the zones like Delhi NCR, it is 17%. So, the stud ratio clearly has a potential to touch up to 17%, right? It is the existing business model.

So, the extent business model started with a focus on the gold. And yes, you are aware that in a diamond jewellery, the inventory turn is lesser. So, one has to take care of all these things. And it is not the stud ratio in itself will give you the high dividend. Had it been so, then you must have compared our financial with others. So, while there are some players footsteps receives higher at more than 25% to 26%, but the gross margin is lesser than us.

Suvankar Sen: I would just like to say that the growth of diamond jewellery has in quarter 3 has been 18%. It is just that the share or the ratio, stud ratio, which we mean to say is the share of diamond jewellery in the overall sales has not grown in the whole of year. I hope I could make myself clear in this, right?

Q3 YTD diamond jewellery sale is 9%. Q3 diamond jewellery sales growth is 19%. So, in the Q1 and Q2, diamond jewellery sales were lower.

But Q3 onwards, diamond jewellery sales are growing at a higher rate. And Q4, as we are moving through it, January and now we are in middle of Feb, again, to reiterate that the diamond jewellery sale is growing at 59% Q4 to Q4. So please try to understand that people in Q1 and Q2 did not buy much of diamond jewellery, but Q3 and Q4 onwards, the sale is increasing.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Suvankar Sen: So, thank you very much to all the partners and investors for being with Senco having the faith. We understand that the movement of gold price, the duty cut and its impact on the overall numbers, there are queries and there are thoughts in the mind that whether this particular fall in terms of margin, the Q3 versus Q3 numbers is something which will continue to happen in the future or not.

But again, as we end the conversation, we would like to request all of

you to look at a longer

period of time. You see Q1, Q2, Q3, and you will see that the adjusted EBITDA and the adjusted PAT normalizes.

The Q1 and Q2 numbers in terms of growth of EBITDA, growth of PAT had been much higher.

In Q3, due to the duty cut and the movement of gold price and the lower stud ratio, it has taken a hit. But again, Q4, the numbers are picking up. So while in terms of top line, we are very proud and happy to say that we have crossed Rs.2,000 Cr, had the best ever month of Rs.1,000 Cr plus sales and consumers continue to get added of, say, 4. 1% more invoice, higher ATV, higher ASP.

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But in terms of the overall numbers as we end the year, we will continue to see the way we are growing 18% to 20%. We will continue to do that in terms of value. In terms of volume, it is going to be low single digit. In terms of value, we will end the year with 18% to 20% and Q4 growth year -on-year also in terms of value will be 18% to 20% minimum. And that will have its own positive impact on the EBITDA and the overall numbers of adjusted EBITDA will move upwards.

So, thank you once again. Happy Valentine's Day and wishing all of you a great next few months ahead.

Sanjay Banka: Thank you, everybody. Thank you very much.

Moderator: Thank you, members of the management. On behalf of Emkay Global Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

*As highlighted in bold, the term "Adjusted Gross Margin" mentioned during the earnings call refers to Adjusted EBITDA.

**Some numbers discussed during the session may have minor decimal variations. Please refer to the published results for accuracy.

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Call: Jun 2025

Ref: SEC/SE/ 18/2025-26 Date: 5th June 2025

The Manager - Listing

The National Stock Exchange of India
Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited

Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcripts pertaining to the Financial Results of Q 4 & FY25

Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earning Conference Call organized on 30th May 2025 post declaration of Standalone & Consolidated Financial Results for the fourth quarter and year ended 31st March 2025.

The transcript shall also be available on the website of the Company .

This is for your information and records.

Yours sincerely,
For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary and Compliance Officer
Membership No. A20051

Encl: As above

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Q4 & FY25 Earnings Conference Call "
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MANAGEMENT : MR. SUVANKAR SEN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – SENCO GOLD LIMITED
MR. SANJAY BANKA – CHIEF FINANCIAL OFFICER –
SENCO GOLD LIMITED
MODERATOR : MR. MADHAV AGARWAL – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Senco Gold Limited Q4 and FY25 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Madhav Agarwal from Antique Stock Broking. Thank

you, and over to you, Mr. Madhav.

Madhav Agarwal: Yes. Hi. Good morning, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today Mr. Suvankar Sen, who is the MD and CEO of the company; and we also have Mr. Sanjay Banka, who is the CFO of the company. I shall now hand over the call to the management team for the opening remarks. Over to you, sir.

Suvankar Sen: Thank you very much, Mr. Madhav, for introducing us. So good morning, ladies and gentlemen.

We would like to welcome all of you for the update call for the performance of Senco Gold Limited for the Q4 & FY 25. We are happy to inform you that the Q4 FY 25 has seen a strong growth in total sales of approximately 21%, where we have seen that in the gold jewellery segment, we have grown by 20% in terms of value. However, due to the rise in gold prices, there was a 6% decline in volume, specifically in terms of gold jewellery units sold. But the good part that has been extremely encouraging is the growth that we have seen in diamond jewellery, where we have seen a 38% growth in terms of value for diamond jewellery and 21% volume growth in diamonds, which has led to an increase in the stud ratio.

As we ended the 9 months, we were declaring a stud ratio of 10.5%. But thanks to the effort by the team and the continuous new designs and collections that kept getting launched in the months of January and February, we have taken our stud ratio to 10.9% as we ended the year. And if we look at the overall FY25, we have seen value growth in diamond jewellery of 15% with a marginal growth of 2% in terms of volume for diamonds.

And for the whole year, the gold jewellery has seen a value growth of approximately 20% with an impact of volume degrowth of 4%. So that has been the broad major category-wise sales for the whole year. We all know that the prices of gold have been on an upward trend for the whole financial year, but while there have been challenges in terms of the volumes getting impacted, we have seen that the consumers were looking for jewellery within their budget, within their weight range.

The weight ranges have been under pressure because prices went up upwards of 30%, but there has also been a shift, along with 22-carat gold jewellery and a tendency of the consumers to buy more 14-carat diamond jewellery or 18-carat diamond or plain gold jewellery. So, there is this gradual shift of purity getting lower to fit it within the budget of the consumers, happening.

And it is especially with the modern Western designs that we are seeing such a shift happening.

Now, coming to the profitability. The adjusted PAT for the standalone numbers has been INR Senco Gold Limited

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207 crore. Adjusting for the impact of customs duty amounting to INR 57.4 crore, which was incurred in July 2024, the adjusted PAT stands at INR 207 crore.

And if we look at the unadjusted numbers, it is INR 165 crore, but something that we are grateful to the team for their efforts and the results that has seen a strong jump of INR 62 crore for Q4 FY25 from the INR 103 crore of PAT that we had seen for the 9 M FY25.

In terms of the opening of new stores, net-net, we have seen 16 stores open for the full financial year. We have opened 6 franchise stores, 9 Senco co

mpany-owned, company-operated stores

and 1 Sennes store, which is the lab-grown diamond, perfumes, and leather bags. So basically focusing on lab-grown diamond, 1 Sennes store. So that's been the 16 stores that we have opened in the full financial year.

Another encouraging number for us to see is that the non-East business has grown by 23% to approximately INR 1,230 crore. So that's the increase in the non-East business. In terms of a number of footfalls, while we have seen that the gold prices have been on an upward trend, people are looking for lighter-weight jewellery. The weight ranges are going down. The wedding has been a segment that has driven the business for a major part of the year as well.

But in terms of measuring the customer footfalls, we have seen that with the LTL and the new stores that have happened, we have got a 17% increase in a number of footfalls overall and a 5% increase in the new invoices. And the new customers that got added have been around 2,53,000 new customers.

The ATV that we have seen, which was INR 63,700 in the previous financial year, has gone up to around INR 73,000. So there has been around a 15% increase in ATV, but here, you can see that the increase of ATV has been 15%, but the gold price has moved up above, and that is where we are seeing the lighter weight jewellery happening. And in terms of the gold rate, we have seen that when we began the year, the gold rate was about INR 6,300, and as we ended the year, it was around INR 9,000.

So that's the overall growth in the gold rate that we have seen from the beginning to the end of the year. In terms of new designs that got added in gold jewellery, we've always been continuously trying to launch new designs. So, we've added more than 25,000 designs in gold jewellery and more than 4,000 to 5,000 designs in diamond jewellery.

Another very interesting aspect, the numbers that we need to look at is the old gold exchange.

So because the prices were on an upward trend, people were feeling the pinch of having a little

lower, I would say, budget, and they would exchange their old gold, and we have seen that the old gold exchanges went up to close to 39% to 40%. So that has been a substantial jump. If I recall, maybe 2 to 3 years back, the old gold exchange was only 25% of the overall sales and that has become around close to 40% of the overall sales.

And so that also has helped, I would say, the business to continue to grow and keep getting the customers coming back to the stores. And if we look at the more initiatives that we have taken in Q4 and what has been the reason for the growth and the numbers in Q4, I will say that the wedding sales, particularly during the months of January, February until mid of March. And

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even the early weddings of April, May, I think, consumers were utilising these months to buy their wedding jewellery for the season.

And also, we had the Valentine's Day and the birthdays and anniversaries of many people. And I think the love season, as we call it, has led to an increase in the sales of diamonds. Even in the month of March, it was Women's Day, and it allowed us to connect to our women customers, and we launched multiple collections throughout the quarter.

To name a few, we introduced the Berry Collection, which features designer jewellery with coloured stones and diamonds, as well as fancy-shaped solitaires, the Ice Cube Collection, lightweight jewellery under the Facets of Love line, Ombre, Rose, and various new designs in the solitaire segment.

I must also highlight the contribution of solitaire diamonds. While 90% of our diamond sales in the last financial year comprised small diamonds, the solitaire segment—accounting for the remaining 10%—saw a notable sales growth of approximately 26% for solitaires above 0.20 carats. This growth can be attributed to a decline in

solitaire prices, which consumers perceived

as a good buying opportunity. And we are also seeing an upward trend in the price of diamonds now that the war is about to be over. And I think consumers are feeling a keen interest in buying solitaires. So, as we are towards the end of May and we look at the numbers and what has happened in the last 2 months of this particular new financial year, we are seeing around an 18% to 19% growth in terms of value.

So I think even though the gold prices are close to their all-time high, the faith and the trust of consumers towards the commodity gold and silver have been strong, and consumers are looking for an opportunity whenever they can buy or the prices are something of within their range. They want to and are planning to buy the jewellery.

Along with that, the encouraging aspect is the interest in diamonds. So, the diamond prices are gradually starting to rise. And even our sales for the diamond jewellery segment, like the way we have seen in the Q4 have continued to perform in that manner. Our aim for the whole financial year, again, to reiterate as we are having the call and we've crossed 2 months of the year, we'll continue to be having a top line growth of 18% to 20%, and we will try to endeavour to increase our bottom line as well, with the focus on improving the diamond sales.

In the last financial year, we have seen that during the first half of the year, the interest on buying diamonds was lesser. But as the year was ending, the interest went up, so our focus and endeavour to improve the diamond sales will continue to remain. And with the high gold price, we will try to bring in more efficiency in the business in terms of analysing the data, what kind of products are selling in which stores, and what price range. And in this high gold scenario, we try to optimise our stock and make -- ensure that the top-performing designs and categories are continuously supplied for higher sales.

And in terms of the endeavour towards profitability, I think we will be working towards having and achieving an EBITDA of anywhere between 6.8% to 7.2% and our endeavour to achieve a PAT of 3.5% to 3.7% shall continue to remain. And I think in this dynamic market scenario, a

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Sanjay Banka: very important thing is to focus on lightweight jewellery and to ensure that our new generation customers continue to engage with us and connect with us.

And as far as the wedding segment is concerned, which will remain about 35% to 40% of the overall business, the handcrafted jewellery, which is the need of the consumers for the wedding segment within their budgets, will be a focus area for us as well. And as far as the franchisees are concerned, we intend to add a minimum of 18 to 20 stores with a higher focus on having more and more franchisees.

So minimum 10 franchisees we will be adding and about 8 to 10 company-owned company-operated stores with a strong focus, as always, we've been mentioning on East India and North India. So, with this, I would like to end my update for Q4 & FY25.

And at the end of it, I would like to thank all of you for your continuous support, encouragement, faith and guidance in terms of how we ensure that in this volatile market scenario and the

geopolitical uncertainties that we see in the world, we will continue to connect with our consumers and acquire more new and new customers. Thank you very much.

And I will request Mr. Banka, our CFO to kindly say a few words.

So, thank you very much, sir. I would like to add one more context. So, we have reported the standalone and consol both numbers. Our consolidated financials include the results of Senco Gold Limited, Senco Gold Artisanship Private Limited, Senco Global Jewellery Trading LLC (the Dubai entity) and Sennes Fashion Limited. So, we are commencing the new Sennes business in Sennes Fa

shion Limited, where the results are just building up.

So, while the standalone top line is INR 6,258 crore and the standalone adjusted PAT is INR 207 crore. In the consol financials, the revenue has increased to INR 6,328 crore, and the adjusted PAT is INR 201 crore. The INR 201 crore is the impact of the 3 subsidiaries. So, this is message number one.

Now, if we look at the adjusted EBITDA, at the standalone number, the adjusted EBITDA has improved from INR 381 crore to INR 427 crore. So, a 19.7% top-line growth, a 12.2% growth in adjusted EBITDA. Similarly, the EBIT has remained range-bound from INR 365 crore to INR 359 crore. Finance cost has marginally increased as the borrowings have increased, and we'll discuss in detail.

And the adjusted EBITDA had improved significantly from INR 188 crore to INR 207 crore.

So, 10.1% growth in adjusted EBITDA, which is 3.3% adjusted PAT margin, and we have given the outlook for the future EBITDA margin, which our MD has said is between 6.8% to 7.5%, which is in line with our early projections and an adjusted PAT of 3.5%.

So, during the year, we have given you updates of 16 stores. Our non-East revenue is INR 1,150 crore, which is around 18% of the total revenue. Stud ratio has given a range bound, and it has grown very significantly in Q4, and we are hopeful and confident that with the growing interest, the stud ratio, which we have been looking for a 15% range in 3 to 4 years, we'll achieve that.

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The rate of interest is a very important factor. So, you are aware that the Gold Metal Loan, there was some scarcity in February and March. So, the Gold Metal Loan rate had increased from around 3.6% to 6.6%, and the blended rate has increased from 5.9% to around 7% in Jan , Feb and March. However, we are confident that the way it is shaping up, there will not be any significant impact on the Gold Metal Loan price.

If we look at the balance sheet, the balance sheet size has increased from INR 3,715 crore to INR 4,733 crore, an INR 1,000 crore increase in the balance sheet level, which is primarily on account of increased inventory. So, inventory has increased by INR 819 crore primarily, it is an increase in inventory and increase in bank FD and margin.

So, the bank FD and margin increases due to the higher borrowing and higher hedging ratio, etc., which has been funded by net worth. So, the QIP funds, which we raised, the QIP funds have been used for working capital purposes , and a part of the QIP funds are still in FD, which we use in course of time.

And Gold Metal Loan has increased by INR 272 crore. A very important point we want to raise is that our Gold Metal Loan, which was earlier appearing in the financing activity in line with the industry patterns and discussion with the statutory auditor, we have reclassified it as a part of operating cash flow, which is visible in the face of the balance sheet. And the operating cash flow has also improved.

So, during the year, there is an increase in inventory. So still , the operating cash flow is good. The inventory quantity has also increased overall, which we'll discuss in detail. The financial ratios, which you see in the presentation, particularly the return on equity and ROCE, optically, will look to have a downward trend. But what we want to explain is that these are the costs of investment.

Whenever you grow, the ROE , the equity will not yield you the 20% or 21% return in the same year. So, we look at our return ratios in a long -term fashion. We are a growing company, while my existing portfolio will give me 20% blended return, but the new portfolio will give me high return.

So, with that, I close my discussion. And if MD sir has to add something , kindly add or we can proceed for any Q&A session now.

Suvankar Sen: No, just to add to what Mr. Banka said , that our same -store sales growth

has continued to be in

the range of 15% to 16%. So that has been a very strong number. And even though the stores have been existing for a long period of time, whether it is our old customers who are coming and buying their products or new customers that are getting aligned to the brand and getting

engaged with the brand, we continue to grow with our same -store sales growth of 15%. And also, as I mentioned to you that the old gold exchanges that had gone up to 40% of the overall sales, out of the old gold that comes into our system, and I've been saying it before as well, more than 60% of the old gold is the non -Senco old gold that is coming to us, which is, again, I would say, reinstating and reimposing the fact that the shift from the unorganized Senco Gold Limited
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segment to the organized brands continue to remain in this scenario as well, and consumers are preferring to buy from brands and organized jewellers .

So, with this, I think we are opening up the discussions for the Q&A. So, feel free to ask questions. Thank you very much.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: So, my first question was, I mean, I do understand that margins need to be looked at from an annual basis, and we have to ignore the quarterly vagaries. But just to understand the cost a little bit better, what led to the 25% or 27% increase in the employee spend? And on the other hand, you've seen a 13% decline in the other operating expenses for the quarter?

Sanjay Banka: So, Videesha , as you said that our turnover, which was around INR 1,362 crore , is one of the highest in the last 3 years. So last year, it was INR 1,130 crore and the previous year it was INR 813 crore Q4 turnover. So, you are comparing this number against Q3 or Q4? That is the first question.

Videesha Sheth: Sorry, I meant on a Y -o-Y basis?

Sanjay Banka: Y-o-Y. Correct, correct. So Y -o-Y itself, the top line has grown by almost 20%, right? So now what we see is that it is never exactly symmetrical because a lot of stores come up at different points of time. So maybe when you are looking at the Q4 number last year and then the cost base has increased.

So when the cost base increases to, let's say, by 16 stores and which also occurred during quarter s 1, 2 and 3 the cost base is not the same. In the previous year, if the store is opened even in Q4 in February or March. So, this year, the impact will be for the full 3 months , then there is an increment because we are investing substantially in our people, in our training.

And also, as the market is competitive, we have to keep our employees motivated with incentives and rewards. So, this is the impact of the overall scheme, which you will see in the financials.

Videesha Sheth: Got it. So just to clarify, would there be any h edging -related expenses on the opex side that's been accounted for?

Sanjay Banka: No. See, hedging -related expenses, we have explained in detail, kindly refer to my document. Hedging expenses, depending upon whether it's a fair value hedge or a cash flow hedge, it will either be adjusted to cost of goods sold or will be separately disclosed in the financials as other income or other expenses. So, if there is no other income or other expenses, they will never be clubbed under the general opex . Kindly refer to my detailed document on hedging.

Videesha Sheth: Sure. Moving to the second question. What led to the increase in inventory days from, I think, around 170 FY24 to 190 in FY25? And how should one look at it going forward?

Sanjay Banka: So, inventory days, we have said earlier that we are a growing company. The number of stores is increasing. Particularly, if you look at the competitor, I understand the inventory days are in Senco Gold

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the range of 170 to 180. This is still 166, right? It has increased from 151. So as we are looking forward to increasing the diamond sales, the diamond inventory days increase .

And as you go hyperlocal, right, with a higher spread outside East, which is 20%, there are experiments which you have to do with a hyperlocal continuously shuffle. So these are the regular processes . But these are, to my understanding, within the industry norms and slightly better than the top players in the industry.

Suvankar Sen: And also, Videesha, because of the increase in gold price, we have seen that the sales have also been seasonal. And like, for example, if I consider the whole year, just to summarise , if we see what has happened throughout the year. In April and May, it was the election season. And we had seen that the overall sales, even though we had grown, it was against the various challenges in the external market.

Then , when we looked at June, July, prices had gone up. In August, the duty got cut , and there was a bumper sale in August, and we were running short of inventory because there was over, I would say, unexpected sales. Then in September, before the festive season, prices shot up and

there was a little bit of slowdown. Then in October, for Diwali and Dhanteras, we had seen very good sales happening, then November, December was the wedding. Then again, January, February, March, the wedding sales continue to happen, and the diamond sales picked up from the month of October, November up to, say, March. So, the whole year has seen a lot of ups and downs in terms of the growth in sales or the slowdown. And with the increase of 30% to 40% in gold price, we can only reduce the inventory at the stores to a certain extent to optimise, but we also need to be ready to cater to the consumer demand whenever the sales are in demand.

So that has been another reason I would say that the gold price rise and the perfect planning that we are continuously trying to do is making this number of days what it is.

Sanjay Banka: Sir, if I can add, like as you rightly said, gold prices, which were in the range of INR 7,639 to INR 7,675 in Q3, they improved substantially to INR 7,689 to INR 9,012. That means INR 7,675 ending increased to INR 9,012. That is one factor. And Videesha, once again, we have to continuously grow.

So the March number is always higher because this is a readiness for Akshaya Tritiya. And we have already talked about our Akshaya Tritiya sales. So the March number and September number will always be higher because September is ahead of Dhanteras. So this is an investment in future. We don't look at it as idle inventory. These are clearly an investment in future. And when we are looking at our long-term goal, we are very confident that we are managing our inventory very efficiently.

Suvankar Sen: And this time, Akshaya Tritiya was also in April rather than in May. So we have to be ready for inventory in the month of March itself.

Videesha Sheth: Understood. So, just as a small follow-up to this. By when do you think the ROCEs could inch back to 18% to 20%? Is it a 3-year, 4-year, 5-year timeline that you have in mind?

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Sanjay Banka: See, we are looking at 16% to 17% in the next 3 to 4 years, right? And even during QIP and IPO, we were cognizant that as we raised funds, we raised the IPO funds and QIP funds and PE funds (so these have got diluted). But yes, our existing portfolio is giving us this return. In 3 to 4 years, it will inch back to 17% to 18%.

Videesha Sheth: Just last one question from my side. Can you just elaborate on what initiatives can be being undertaken to improve the organic growth profile in the non-East region of the country?

Suvankar Sen: So rather than getting too much into the strategy, we will tell you that in terms of brand building,

marketing expenditure, connecting with the consumers, creating designs as per the local taste and preferences. I think these are the ways in which we are continuously gathering and attracting consumers in the non-East segment.

And if you look at the numbers overall, we have grown by 23% in the non-East segment also. And as the brand is getting stronger and the awareness level of the brand is increasing, then the inquiries and the leads for franchisees in the Tier 2, 3, 4 towns and cities of the non-East segment of India is also increasing, and we would like to grow into the smaller towns using our franchisee model as well.

So I think that at one end, we have the brand building, we have the product strategy. And if I may say that in terms of the diamonds, in terms of design for diamonds and in terms of trying to be as competitive in the diamond segment, we are trying our level best to remain attractive to the consumer. So I think that product strategy, branding and distribution. These are the three broad methods by which we are penetrating and growing in the non-East segment.

Videesha Sheth: Thank you. That's all from my side.

Moderator: Thank you. We'll take the next question from the line of Vishal Gutka from ASK Investment Managers. Please go ahead.

Vishal Gutka: A couple of questions from my side. So first was the interest in Gold Metal Loan after seeing a spike up around 6% to 6.5%. Can you give a flavour of what is happening as of now? What are the rates as of now, ongoing rates?

Sanjay Banka: So, Vishal, the ongoing rate was higher because there was a very short supply of gold in the market. It increased from 3.2% in Jan to 5.3% in February and 6.6% in March. In April, it came down by 100 basis points. May we are still talking.

So, there is a good availability and considering all the cold war, which was there, the uncertainty has come down. So the blended interest cost is higher even today at 7% as against 5.9% earlier.

So, we are given to understand from the banks that this will further come down. So max, if I hazard to take a risk for the entire, that will amount to around, let's say, 1% on INR 1,000 crore is INR 10 crore on a base of INR 10 crore on a top line of around INR 7,400 crore, INR 7,500 crore. So, not a major issue now at all.

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Vishal Gutka: Do we expect it to settle down to the original level or it will remain elevated above the original levels?

Sanjay Banka: As I said, it is very difficult to hazard the guess. I think that it will still be 100 basis points higher than the earlier rate. But it may come down. Let's wait and watch. We will give you an update once the quarter ends.

Vishal Gutka: Got it. And second question is on the diamond pricing that Suvankar was highlighting. I think national diamond prices have started moving up. So broadly, Suvankar, if you can highlight what kind of price increase that you have in last 1 year? And what is the exit rate as of now because none of the jewellers have highlighted this point that with regards to, they are seeing a big traction in terms of what you call diamond jewellery sales coming back in fashion ?

Suvankar Sen: But I think that in terms of sales of diamond jewellery , what we had seen in the H1 of the year, H2 of the year has been that much stronger . And the volume growth that you have seen happening in Q3 or Q4 and May, there is this traction. Maybe the others will soon update as and when they think it is fit.

But that shift and that sale that we are seeing is for 2 reasons. One is that the high gold prices making the consumers look at 18 -carat and 14 -carat jewellery with diamond as an option to buy. And the second is that the sentiment, which I again may be repeating that diamond prices are not a good investment, and the prices have come down. Those were the sentiments in the first

half of the year for 2024.

But I think even at the international level, we are seeing a marginal increase in the diamond prices of solitaire. And the smaller size diamonds were not that much impacted in terms of price fall anyways. So, I think that there, again, we are looking at the demand happening and coming back.

So, solitaires have grown in terms of prices, I think, around 4% to 5% from what it was maybe a month or 2 months back. And that is the good sign. Just the public news about diamonds, we had one of the Peer shutting down their lab -grown diamond company, which are small, small signal that they are also want to focus on growing their natural diamond business.

So, this is how I think the market is playing out. Lab -grown diamonds will remain a segment to look at for the fashion segment and natural diamonds will be a segment to look at for your special occasions. And the small -sized diamonds are something that is selling even more in natural diamonds.

And that in terms of design and how people bring out the concept, it will continue to be something to look at. And at such high level of gold price, let me tell you that purity in terms of 14 and 18 carat will only grow and diamond jewellery should be growing at these high gold prices. So that is my take on it.

Vishal Gutka: Got it. Got it. And last question from my side. Suvankar, the growth rate of 18% to 20% looks relatively on conservative side given that we are seeing 30% increase in gold price on a Y -o-Y

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basis. Plus 10% store addition you're planning to do for the entire year. So, your thoughts on this?

Suvankar Sen: See, last year, if I say that we were INR 5,300 crore to INR 5,400 crore, and we had aimed for 18% to 20% growth. And today, we ended the year close to INR 6,300 crore. So that is where we are saying that we will continue to commit in terms of what we feel is possible, and we will try to work hard towards achieving the numbers higher to that.

But as far as the expectations are concerned, the gold prices have moved up. But we are also seeing that the volumes are not moving up yet unless the gold prices correct. And the consumers are looking at jewellery , which is of lighter weight and lower purity. So that is something that we need to also keep in mind. And the new stores will continue to get added. So, it will be wonderful if the growth rate is more than what we say. But for all of your analysis and numbers, I think 18% to 20% is a good number to begin with.

Vishal Gutka : Got it. Thank you Suvankar and team. Wishing you all the best for F Y26.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations on a good execution and an encouraging margin outlook for FY26 as well. Sir, my question is on the growth capital, right . So, balance sheet is a bit stretched due to , obviously, there is a strong spike in gold prices and we are planning to add about 8 to 10 company -owned stores as well, right? So interestingly, with the QIP raise, the debt -to-equity ratio has now come

down to 0.9x versus 1.1x last year.

So I just wanted to check as in from a growth capital perspective, would debt be a more attractive option as of now because our balance sheet sort of allows us the leverage option? Or what is your thought process on the growth capital side?

Suvankar Sen: So Devanshu, from a strategic point of view, obviously, we are aware that opening more and more franchisees is a much wiser thing to do and the correct thing to do in this kind of a scenario. And to give you a kind of perspective that there are a lot of inquiries that are getting generated in terms of franchisees also. We are analysing, checking locations, all kinds of analysis to get the right partners and franchisees.

So, from a strategic point of view, it will always

be better to open more franchisees than your

company-owned, company-operated stores in this scenario. And that will be our plan. But if we need to open 18 to 20 stores, we will make sure that, keeping our policies in place, we will open minimum 10 franchisees. If that becomes 12, then obviously, we will have lesser number of company-owned company-operated stores of, say, 5 to 6.

But we need to get the right partners to get that as well. So if I may say 8 to 10 company-owned company-operated stores and 8 to 10 franchisees, that number can become 6 and 13 or 14 as well. But the balance sheet stress in terms of taking more and more funds. One thing we feel is that in today's day and time, the gold prices have moved up by 30% to 40%.

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So the assets that we are holding in terms of the inventory at the stores, the value of those assets have gone up. But if you look at in terms of quantity of gold that is there at the stores and the stocks that are needed to be there to sell to the consumers, we are not building up higher quantities, but we are rather optimizing in ensuring that, that kind of product is kept at the store, which is most sellable.

So that efficiency and optimization is continuously happening. And so that worry of the balance sheet building up is not really there. And yes, the sales team are focusing on building up more and more franchisees. But we will only inform to all of you on that as and when we are doing it. But as we begin the year, we will try to have a conservative approach of 8 to 10 own stores and 8 to 10 franchisees.

Devanshu Bansal: Sir, fair point. I just wanted to have some basic strategic thought process behind the debt-to-equity comfort levels, right? So currently, obviously, we are at a suboptimal level versus the industry levels also. So as of now, since the cash is limited on the balance sheet, what is the comfortable level of debt-to-equity that the company would be targeting for?

Sanjay Banka: Devanshu, if you look at the peak debt-to-equity, March '23, it was 1.7x, March '22 was 1.3x. And last year, it fell to 1.4x then 1.2x. So it is about what is right at a particular point of time. And this industry being highly cyclical, the decision has to be taken at a moment of time, but the decision has to be taken from the right perspective.

I think if I give you a straight answer, we won't raise any funds by way of equity to meet any demand and pressure for growth. It will be managed from internal accruals and debt-equity ratio and continuous inventory efficiency improvement is the core mantra. So the CRM, hyperlocal inventory efficiency movement, improving inventory turn they will continue to be our strategic pillar to manage the growth aspirations.

Devanshu Bansal: That is pretty clear, Mr. Banka. Secondly, I wanted to touch upon another aspect is around customer growth, right? So we have been expanding stores by almost 9% to 10%. But even if we look for the complete year, I guess, our customer growth or invoice growth has been about 5% to 6%, right?

So, Suvankar, how do you read this? I mean is this just because of inflated gold price? Because the general fear is also that this industry may lose its shield because customers are not coming, maybe they may need to lead for purchasing the jewellery and all those things. So what are the steps that the company is sort of taking to improve the customer level growth or the invoice level growth?

Obviously, gold price increases, volume decreases; that is understandable. But what are the steps that, as a company we are taking to improve the invoice growth?

Suvankar Sen: So Devanshu, it is how you're looking at it. So one is that the number of invoices has grown by 5% to 6%. But if we look at the footfalls of the consumer with the new stores getting added or even in the same-store sales growth that we are seeing

around 14% to 15% in terms of value, the footfalls have gone up by almost 16% to 17%.

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So therefore, the perspective is that the consumers are becoming diverse. There is one set of consumers who are adding to any of the jewellery companies is the wedding customers. They have weddings in their family. So that consumer is coming, they're buying for their wedding or the family is buying jewellery, they're exchanging their old gold and taking a new design. So that is the one segment of customers.

And the other segment of customers is where they are buying gold or diamond for their everyday wear basis or their special occasions. So that has been the diversity of the customer in terms of what they are coming and buying. Volumes have taken a hit because the gold prices have gone up about 30% to 35%.

So people are looking at lighter -weight jewellery. But if I may say, it doesn't really change the broad perspective and fundamentals that, oh my God, prices have gone up, and we will lose customers. Jewellery is something that will continue to remain a very, very strong, I would say, segment for weddings, for gifting.

And Devanshu, one more aspect that you are looking at for us, at least, we are also having a lot of other low ticket size options in terms of silver and fashion jewellery. So that has also been a great opportunity for us to keep on connecting with the customers. If I look at silver as a category, while we have spoken of gold and diamonds, we have seen that the silver utensils and silver items and jewellery has grown by almost 20% and above in terms of volume as well.

So there has been that as a segment also, where consumers are coming and buying in small ticket sizes. We are exploring opportunities of having shop-in-shops in various departmental stores, keeping our silver jewellery segment there. So I don't see it as a worry. We just need to solve the problem of the customer, of creating jewellery, which is within their ticket size and budget. So, footfalls have been mostly growing. And again, I'm telling you that 21% growth in terms of footfalls, even in this challenging time. Therefore, what is happening is that when the prices suddenly shoot up, we see less footfall at the stores. But when the prices correct or there is a special occasion happening, then we see that everyone wants to buy during that period of time. So I think that we need not worry on the way that you are looking at. We just need to wait for the right time, be ready for the right moment. And I think coming this Q2, in this scenario, we need to expect a very positive monsoon. And once the festive season started, so this time, the Navratri start in the end of September, Diwali is in the middle of October.

So once we are over with, say, July, from August onwards, the festive will start, and we are very positive and optimistic about the festive season.

Devanshu Bansal: Understood. Sir, just last small follow-up here. As in gold prices have sort of moderated a bit. So can you shed some light as in, is Q1 so far trending in line with the 18% to 20% expectation for FY26? Just small comments?

Suvankar Sen: Yes, yes. Devanshu, I had said it in my speech as well. So we are growing at around 18% to 19% as we are towards the end of May. This time in April, we had a very good Akshaya Tritiya and New Year. Therefore, it has been a very strong number, and that is how it is.

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Devanshu Bansal: Very clear, sir. All the best for the coming years ahead. Thank you so much for taking my question.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: Sir, my first question is regarding the advertisement and marketing spend for the quarter. Because our revenue grew 21% on a Y-o-Y basis

for this quarter, but our other expenses have fallen 13%. So what has driven lower other expenses? If you can provide some clarity on that front?

Suvankar Sen: Advertisement expenses have fallen, right? Is that what you're saying?

Bhavya Gandhi: Yes. I just want to understand because advertisement is a major component, right?

Sanjay Banka: Yes. So Bhavya, if you look at our total advertisement expenditure, which was INR 103 crore last year, it has increased to INR 106 crore, right? So see, this is one expenditure of the investment where the management had its discretion, and it is calibrated based upon market demand, right? So if we see there is a good demand, then there is no need to spend money. So our expenditure is less than 2%. It has increased. Your question is on the quarter versus last quarter versus this quarter?

Bhavya Gandhi: Yes.

Sanjay Banka: I'm giving response. I'm on Slide number 42, serial number 4, and you are comparing the fourth line. So INR 31 crore last year versus INR 17 crore last year, right -- this year. So, actually, it is

not exactly comparable. There are timings of expenditure. And sometimes if I have already done the brand building in Q3, so there is no need to spend exactly in Q4.

It is a very dynamic expenditure. If I have incurred a good B TL outside Bengal ahead of the entire year, I will not spend in current year. So we prefer to look this expenditure for the whole year. Every expenditure is not same on a quarter basis. So you can look at HR expenditure in the quarter, revenue for the quarter, but not the marketing expenditure.

Suvankar Sen: And also in Q3, we had the Navratri, the festivals, the wedding, everything was there in Q3. And we wanted to ensure that in Q4, we bring in more efficiency. And we could see that there was an automatic traction from the consumer side in January and February. So we were very conscious of bringing efficiency, and we controlled the budget accordingly. So that's how we looked at it.

Bhavya Gandhi: Got it. And sir, just wanted to understand the unhedged portion, which is there in our books basically. And if you can just provide a scenario in which if the gold price remains stagnated or if they are falling, do we see any inventory loss on our books? I understand majority is hedged, but on the unhedged portion, how much is it at the moment? And if you can throw some light on the gold price movement?

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Sanjay Banka: Bhavya, we have discussed a lot about our hedging policy strategy. I would like to request that you kindly look at our detailed document. But to give you an answer, we've always said we are 60% to 80% hedged, right? Sometimes it can cross 80% also. And that is at the inventory level. So there are two aspects of hedging. One is on the inventory level hedging. So when we talk about the losses on the inventory, there will be no loss. It will be an unrealised loss, unrealised gain if the position is squared up in the next quarter. The question is whether, whatever gold you have sold in the current quarter, assuming a 6-ton of gold sales, assuming a 1,500 kg of gold sold in a quarter, whether you have purchased the same quantity or not.

If I sell gold at a higher price and purchase at a lower price, then there will be an unusual realisation gain, which will go into the gross margin, right? So there is no unusual inventory gains or losses or realisation gains or losses. So let us look at the hedging as a part of our gross margin as an integral to our business and not as a separate activity.

Bhavya Gandhi: No. So I mean, logically asking, say, for example, if next 1 or 2 years, if gold prices remain stagnated. I understand that you replenish the quantity of gold in terms of kg. That is the right understanding. Is it right? But if the gold prices remain, if you can just throw some light on the demand, how does th

e demand move in a gold price downward scenario? And overall, maybe

for 2 years, how do we see the gross margins or EBITDA margins for that intermittent period?

Sanjay Banka: So if the gold price falls, there will be immediate demand because customers will come in droves, right? Those who have purchased will remain in shock. But if the gold price remains stagnant, stable prices, then the demand will increase. And in stagnant prices, the hedging impact will be lesser. It will give you a more stable gross margin. So in case of stable gold prices, the gross margin will be stable.

In case of volatile gold prices, there may be a timing gap in the gross margin despite best of the effort, and they can move from one quarter to another. But over a period of 3 to 4 quarters, you will see a smooth margin. So to answer your question, we look at a stable EBITDA margin of whatever our MD has said, 6.8% to 7.2%.

If I can make it slightly better, 7% to 7.5%. So we look at a 7% to 7.5% every quarter, but it may not happen. But if you look at 3 to 4 quarters, it will surely happen. And that is the past trend. So the only anomaly which we saw in the Q2 and Q3 this year was due to the customs duty impact. So that's why you saw a slightly lesser EBITDA margin, which has become stable in the current quarter.

There may be a very one-off impact, let's say, the diamond sale is lower or if there is one season where you have to offer a bigger discount. So that's all. But 7% to 7.5% EBITDA margin, one can very comfortably build in the model. That's our understanding.

Bhavya Gandhi: Fair enough. Thank you so much. I will get back in the queue. Thank you so much.

Moderator: Thank you. We'll take the next question from the line of Satyajit Sen from Value Research.

Please go ahead.

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Satyajit Sen: I just had a couple of questions. First of all, what percentage of the inventory do we get from third-party manufacturing?

Sanjay Banka: Third party, if you look at our presentation, third party is around 20% to 21%. If you look at our quarterly presentation, you will find that number. Around 20% to 21% we buy traded jewellery, the balance around 70% to 75% is from the karigars. So, in-house manufacturing is 4% to 5%.

Satyajit Sen: All right. So another simple question is that some of the third-party manufacturers, one of them is listed, is earning around net margins of around 2% to 3%, similar to our company. So my simple question is that why don't we do our own manufacturing, I mean, to add to our own margins?

Suvankar Sen: So we are doing our own manufacturing to a certain extent. But in order to get the variety of designs and every manufacturer has their own strong USPs in terms of designing and style, and category of jewellery. So like, for example, sitting with our head office in Kolkata, I have always said that we have a big strength in terms of getting access to our karigars.

And for the industry, I think in the long run, that will give us an edge because most of the karigars working across the country come from the villages and small towns in and around Kolkata. So that is a strength in which we are strong in handcrafted jewellery and the access to karigars.

But again, in terms of designing, machinery, and certain new technology, there are other players who have invested in those. So we need to get that variety and design from them. But parallelly also as a company, we have our own units and factory, which is trying its level best to utilise its full capacity and make machine-made and modern jewellery along with the handcrafted jewellery that we are making from the job workers.

So it's there very much in our plan, but it cannot happen overnight. It is going to be a gradual process.

Satyajit Sen: All right. today, it's 5%. Are we planning to increase it to about 10% to 20% maybe in future?

Sanjay B

anka: No, no, I don't think so. As the volume increases, it will be a matter of time, but we have said it will be 5%, maximum 5%. I'm looking at one of the other players. So your question was why not manufacturing? So a B2B business is at risk of trade receivable, okay? So if you look at the one other such player, 80% of their net worth is stuck in trade receivable, 80% of net worth, okay? So that is one.

So it is a matter of cash flow also, then there are other issues. I think everyone has a business strategy, we feel that we are very comfortable. We have run this business. We have competence and expertise in our business. We don't look here and there. And we have a huge opportunity in the current business itself.

We are looking at INR 90 billion market. A B2C market is always better. It is valued more because you have a direct reach to the customer, vis-a-vis a B2B business where you are dependent on a retailer. So I think that is where the market places more value on any business which has direct reach and connection to the customer.

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Suvankar Sen: And from a supply chain perspective, we are only going to grow in the future. We will need stocks in a timely manner. We will need the hyperlocal design as we grow across the country.

So there are pluses and minuses, we need to balance it, but we will need the support of all our fellow vendors whom we consider as vendor partners and we will need to grow together. That is how we are looking at it.

Satyajit Sen: All right. Thank you.

Moderator: Thank you. We take the next question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: Sir, I just wanted to understand the diamond portion of the inventory. Would it be roughly 10%?

Sanjay Banka: The diamond component accounts for approximately 13% to 14% of the total inventory.

Pallavi Deshpande: Right. And sir, this big fall in the diamond prices in the third quarter, which we saw, would we have written down the inventory in the third quarter or was that included in our hedging loss of INR 90 crore that you stated in third quarter?

Sanjay Banka: No. See, first of all, hedging is done only on gold and not on diamonds. Secondly, the big fall, which you are talking about, has not happened in the Star and Melle category, which we sell.

So, almost 85% to 90% of our diamonds are below 0.10 cent to 0.12 cent. There, the price fall has not happened. Price fall has happened in a higher-end, let's say, solitaire. And even if I call 0.30 cent, 0.40 solitaire in that category, it has happened.

So we have not taken any hit on the diamond inventory. Rather, last year, we increased our diamond prices. We've already grown almost 39% plus in Q4. This quarter, we are also growing.

So there is no question of us taking any hit on the diamond price. We have rather built up our diamond inventory during this crisis time. Our strategy is entirely different. When the market goes a different way, we take a controlling view to take the leadership position.

Pallavi Deshpande: Right, sir. Sir, my second question was just again related to this hit in the third quarter that we had of exceptional hit. So that was a hedging loss on the gold jewellery, is what you have?

Sanjay Banka: See, in Q2 and Q3, we have taken a hit of customs duty, and most of the other players have taken a custom duty hit.

Pallavi Deshpande: Apart from that?

Sanjay Banka: Apart from that, I will once again restate the same thing that we do hedging as a part of our business, and we will continue to do hedging. Hedging will always have an impact. We don't call hedging impact a loss. So when the gold price rises, due to the price rise, we will have a realization gain. And since we are doing hedging, there will be an adverse impact due to the hedging.

We don't want to call it a loss. It's a part of the

price rise gain and the hedging impact. And

hence, you have to look at the gross margin and EBITDA from that perspective. Yes, our EBITDA margin has fluctuated earlier, which we've explained in detail, but it was

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disproportionate due to custom duty, it has stabilized, and we are hopeful and confident and we'll try to give a very stable EBITDA margin to the market, but it will all depend upon the extent and momentum of volatility.

Pallavi Deshpande: Right. And sir, I wanted to know what is the promoter stake? I'm having calculating that?

Sanjay Banka: Promoter stake has been disclosed in our quarterly presentation. It is 64.33%, kindly go to our quarterly presentation. It is 64.33% on Slide number 45.

Pallavi Deshpande: Right. And sir, lastly, the franchisee stores, the stud ratio is lower there. So I wanted to understand what the outlook is on the stud ratio. Also in Tier 3 and 4, you're seeing more growth. So will that not impact the stud ratio negatively?

Sanjay Banka: See, the stud ratio, what we informed you is that 10.9% is a blend of own-store and franchisee store and a blend of various zones. So in one of the calls earlier, we said that our own-store stud ratio is around 14%, if I remember correctly, 13.5% to 14% and obviously, franchisee is working in Tier 3 and Tier 4. So there, the diamond demand will be less, right? So 12.2% and 8.6% will be blended.

Incidentally, we have opened a store in the Central region, where the franchisee's stud ratio stands at 17%. That is only a single store, okay? Otherwise, in West Bengal, East and Northeast is around 8.5%. But our own-store, Delhi NCR, is 15.3%. While my national average is 12.2%, Delhi NCR is 15.3%, and my Chandigarh store is very high.

Even in Kolkata, the store is very high. So we clearly look at a very good stud ratio. It can go up to 18% also, while very conservatively, we are saying 15% in the next 3 to 4 years.

Pallavi Deshpande: And the new store openings will be primarily in North or other regions?

Suvankar Sen: Primarily, The new stores opening will be a combination of North and East. So we say that 70% to 80% of the stores will be in North and East of India and the remaining 20% of the stores will be in the West and South of India. So that is how we will be focusing on the growth part because as one of the strongest players in the Eastern part of the country, we will want to penetrate deeper and deeper into the Tier 2, 3, 4 towns and cities of the East.

And North being our next core focus area, through owned stores and franchisees, we will penetrate into the Northern part of the country. So that is how we select.

Pallavi Deshpande: In FY25...

Moderator: Pallavi I am so sorry to interrupt may we request you to rejoin the queue for further questions.

Pallavi Deshpande: Okay.

Moderator: Thank you. We take the last question from the line of Deepak Lalwani from Unifi Capital. Please go ahead.

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Deepak Lalwani: So first question was on Melorra. We entered this master franchisee agreement. So if you can explain how the business model will work, how many offline stores, and how is it online?

Secondly, any investment that we need to do on the store inventory, et cetera? And is there a plan to take up shareholding in this company? This is the first question.

Suvankar Sen: So I just talked about the agreement. It's a short-term agreement that we have done. And here, as a master franchisee, we are managing the stores. You have to understand the strategic initiative that we are taking in an effort to connect and target the new generation Gen Z /millennial customers. So that is the strategic focus. And also through that focus area, we want to increase our diamond jewellery sales and the stud ratio.

So as a company, with that broad thought process, of acquiring new

customers, new generation

customers, increasing the diamond jewellery sales, we are taking various efforts and initiatives, and this is one such effort and initiative. Through the master franchise agreement, this is like one of those types of stores and it is only lightweight, fast-moving, everyday wear jewellery with a higher share of diamond-studded jewellery.

Yes, we will continue to invest in and expand the creation and production of diamond-studded jewellery. And with this high gold price, as I said, we are looking at 14-carat jewellery that is selling more, 18-carat jewellery selling more for office wear, everyday wear. And I think that is where we want to explore the opportunities through this strategic tie-up with Melorra.

And as far as your question on the future is concerned, I think that all I can tell you is that we are doing due diligence, and this is just a short understanding that we have done with them. But on further due diligence and analysis, we will take a future decision. So that is how we would like to look at it.

Deepak Lalwani: Okay. Understood. And if any further decision is taken on this, what kind of capital investment would it be? Do you think that we will be requiring to invest in reviving the brand because this brand has not been in the market for the last 2 to 3 years? So what kind of investment that is one?

And any impact on financials that we should expect because this is loss-making currently? Any impact on Senco consolidated financials that we should expect because of the losses in Melorra in FY26?

Sanjay Banka: See, this is a UPSI information. At this juncture, these are strategic numbers. We will not be able to share the numbers. Let the bridge come, then we'll cross it.

Suvankar Sen: As and when things and decisions are taken, we will keep updating the market. So I think this is too early to expect or forecast how anything will happen. So let us wait and then rest assured, as and when things happen, we will have a discussion and update you on the same.

Deepak Lalwani: Understood. Sir, on the balance sheet part, the debt and inventory, I understand that it's seasonal, but how much more debt and inventory should we expect and budget for the new stores for the full year?

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Sanjay Banka: We are currently looking at an additional working capital requirement of approximately INR 300 to INR 400 crore. Based on our projected PAT, a debt-to-equity ratio in the range of 1:1 to 1.2 is considered comfortable. However, this remains subject to fluctuations in market prices. So when you compare the debt working inventory value, optically, it has increased by INR 821 crore. But a major part of it, almost INR 500 crore out of this is due to rate variance. So out of INR 821 crore, INR 500 crore is only due to rate variance. INR 321 crore is on account of new stores and diamonds.

So very clearly, now this impact has come on the balance sheet, which last year was funded by our QIP funds and borrowing. So if the gold prices remain stable, which we expect them to remain in the range of INR 3,300 to INR 3,500 for FY26, I think maximum INR 350 crore incremental borrowing is what you can look for.

Deepak Lalwani: Understood. Sir, last question on the volume growth in diamond that we saw in this quarter, is it like a onetime phenomenon? Or are we seeing growth continuing in Q1 as well? Why I'm asking this is because has lab-grown given a setback or has volatility in the price given a setback? So just wanted to understand the growth outlook in the diamond sales?

Sanjay Banka: See, the diamond price definitely in Q4 was disproportionate because there was no growth in the earlier quarters. And despite this growth, the stud ratio has remained in the range of 10.8% to 10.9%, which is similar to the last year. So while the value growth has happened, but the volume growth

is only, I think, some 3% to 4% overall.

Similarly, lab-grown diamond, I think one more large player has talked about entering into lab-grown diamond. But long term, we feel that lab-grown diamonds will create a new set of aspirants who will ultimately convert into a real diamond. So overall, as we said, total 18% to 20% growth, obviously, 14% to 15% SSG. So this growth has to be contributed by gold and diamonds both.

So on a safe level, a maximum 15% to 20% diamond growth we can look at, which will purely be driven by the volume. Price increase will not happen. So we can look at 15% to 20% diamond volume growth.

Deepak Lalwani: Understood. Sir, on that number, if you disclose what is our Q4 and FY25 gold and diamond volume growth separately for Q4 and FY 25?

Suvankar Sen: So the Q4 FY25, volume growth in gold was minus 6%, but the volume growth in diamond was 21%. So that is the Q4 numbers.

Sanjay Banka: And sir, full year number I have, full year number gold volume is around minus 3% overall, which means around 38% price rise, 21% value rise, around 3% volume degrowth in the full

year and 2% diamond volume growth. So this 2% diamond volume growth is not fully to our expectations. We look at around, as I said, 15% to 20% volume growth. Otherwise, the growth has to come by increasing the prices, for which the opportunity is not much.

Moderator: We take the next question from the line of Pallavi Deshpande from Sameeksha Capital.

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Pallavi Deshpande: Just wanted to continue on that. Where will the new store openings be -- sorry, where were the new store openings happened in FY25? Which Tier 3 or was it more on metro...

Suvankar Sen: The new store is happening, ma'am, out of the 16 stores that we opened, 6 were franchisees that happened in the smaller towns because that's where most of our franchisees are opening. And 1 Sennes store was in the metro city. And the remaining 8 to 9 stores that we opened have been in the East India, Kolkata, Delhi NCR, and Pune.

Sanjay Banka: Gwalior also we opened, Varanasi Bhelupur, we've opened.

Suvankar Sen: Varanasi Bhelupur is a Tier 2 city. So, but focusing on East and North India.

Pallavi Deshpande: Would it be fair to say that it was more metro and Tier 1, the own stores?

Suvankar Sen: No, not more metro and Tier 1. I think that 6 stores were in Tier 2, 3, 4. 6 to 8 stores in Tier 1, Delhi NCR, Kolkata, in and around Kolkata suburbs. That is how you have to look at it. As a franchisee model that we want to grow, again, the strategy is to focus on the smaller towns. So that is the way that we want to penetrate the market.

Pallavi Deshpande: And this Everlite store will be totally different, right, from the guidance that you've given?

Suvankar Sen: Yes, we recently opened an Everlite store in Ranchi, and in April, we also launched one at the Andheri Metro Station. The Everlite store format is designed either as a franchisee or company-owned model, with a focus on everyday wear and lightweight jewellery. These stores primarily cater to the INR 20,000 to INR 50,000 price range, with a ticket size generally below INR 1 lakh, and a product mix comprising 50% to 60% diamond-studded jewellery. This reflects our strategic approach for the Everlite store format.

Pallavi Deshpande: So that's not included in the 16 number, right? The store number?

Suvankar Sen: It is in the 16 numbers. Ma'am in the 16 number, the Everlite store is there.

Pallavi Deshpande: Okay. So how many Everlite stores are there in FY25?

Suvankar Sen: How many Everlite store was total there in FY25, Bankaji?

Suvankar Sen: 4 to 5 Everlite stores. We will let him confirm the number.

Pallavi Deshpande: And this number will be constant in FY26 also?

Sanjay Banka: So Everlite store is 5, which we have disclosed on Slide number 16. No, Everlite stores will increase.

See, it makes sense as we look for lower ticket items, as you want to reach to the youngsters and Gen Z and millennials, we have to find where they are staying. Are they living in the big housing society or are they on the field?

So that way focus will also be Everlite. You can look at 3 to 4 more Everlite stores out of 20. So 20 is a conservative number. Everlite, our inventory exposure is lower. So if you like, we have opened in Andheri Station, we can open more.

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Pallavi Deshpande: And inventory would be about INR 5 crore to INR 6 crores?

Sanjay Banka: Yes. I request you and other esteemed guests on this call to kindly grace and visit our Andheri Metro, the Everlite stores, where you will get a fairly good idea. We have got other stores as well in Andheri, Lokhandwala. That will help you get a better understanding of our business model.

Pallavi Deshpande: Right. I saw it on the website, nice collection there. Just wanted to understand what any revenue targets for this for the next few years for Everlite?

Suvankar Sen: Ma'am, we are not having any separate revenue target for Everlite. We are right now putting it in within the target, but these are the strategies with which we want to increase our diamond stud ratio. So we haven't specified any particular number yet. But then those stores have their own targets. So as and when the scaling up of the stores will happen and we get set with the business model further strengthened, we will start sharing these separate revenue targets for Everlite.

Pallavi Deshpande: And the pricing, I mean, CaratLane, BlueStone, that would be the peer set, right?

Suvankar Sen: That would be the pricing in terms of the overall kind of designs and products that are there. But in terms of the further breakups, if we get into it, we will stay more competitive than our competition.

Pallavi Deshpande: Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today. I would now like to

hand the conference over to the management for closing comments. Thank you and over to you, sir.

Sanjay Banka: We thank you all, and we are very happy and pleased to report our results. As we said, the EBITDA margin is stable. We continue to look at growth. We continue to look at all the KPIs, particularly return on equity and return on capital employed and are cognizant of our responsibility to give a superior return, which we will continue to work on by calibrating the various business levers, financial, operational, and customer as well. So with that, a lot of thanks from our side and a concluding comment from our MD.

Suvankar Sen: So thank you all for joining the call. Once again, to summarise that our Q4 numbers compared to the previous year's Q4 have remained very strong, with the revenue up by 21%. The EBITDA went up by more than 44% on the previous year's quarter to this year's quarter. And we have seen that with the increased diamond stud ratio, our margin for Q4 has also improved from 7.7% to 9.2%.

Therefore, I think that the importance in today's time is to stay and remain focused. We are aware of the various levers that will drive the business growth and the business profitability. And we are well conscious of the fact that in the increasing gold price, we need to create designs as per the need and the budget of the consumers, which we are very much doing and our sales team is engaging with the consumers.

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And as we enter this new financial year, we have shared with you our ideas, expectations, plans, and we are confident that we will achieve the numbers in top line and the bottom line with the effort that we are making. So thank you very much and all the best.

Moderator: Thank you, members of the management. On behalf of Antique Stock Broking, we conclude this conference.

We thank you for joining us and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy. For financials, notes, and details, refer to the investor presentation.

Call: Aug 2025

Ref: SEC/SE/48/202 5-26 Date: 20th August, 2025
The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir (s)/Madam (s),
Sub: Earnings Call Transcript s pertaining to the Unaudited Financial Results of Q1 FY26 Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 please find enclosed the transcript s of Analysts/Investors Earning s Conference Call organized on 13th August 2025 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the quarter ended 30th June 2025. The transcript shall also be available on the website of the Company:

This is for your information and records.
Yours sincerely,
For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary & Compliance Officer
Membership No. A20051

Encl: as above
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August 13, 202 5

MANAGEMENT • MR. SUV ANKAR SEN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER - SENCO GOLD LIMITED
• MR. SANJAY BANKA – GROUP CHIEF FINANCIAL OFFICER & HEAD IR- SENCO GOLD LIMITED
• MR. DHA V AL RAJA – CHIEF GENERAL MANAGER SALES - SENCO GOLD LIMITED
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• VIDEESHA SETH - AMBIT CAPITAL
• AASHAKA SHAH - SAMEEKSHA CAPITAL .
• BHA VYA GANDHI - DALAL & BROACHA STOCK BROKING LIMITED .
• RUPESH TATIYA - SHRIRAM MANAGERS
• AKASH JHA - AJ WEALTH
• MIDHUN JAMES - MOAT PMS.

- SUBHANU - 3 HEAD CAPITAL
- BHA VYA GANDHI - DALAL & BROACHA STOCK BROKING
- HIMANSHU SHIVHARE - MD INVESTMENTS

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Moderator: Ladies and gentlemen, good day, and welcome to Senco Gold Limited Q1 FY '26 Earnings Conference Call hosted by Anand Rathi Shares and Stock Brokers Limited. As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing. Please note that this conference is being recorded. I now hand the conference over to Ms. Vaishnavi Mandhaniya from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, ma'am.

Vaishnavi Mandhaniya: Thank you. Good morning, everyone. On behalf of Anand Rathi Share and Stock Brokers, it's our pleasure to host the Q1 FY '26 Earnings Conference Call for Senco Gold. From the management side today, we have Mr. Suvankar Sen, MD and CEO; and Mr. Sanjay Banka, the CFO.

And I now hand over the call to the management for their opening remarks, followed by a Q&A session. Thank you.

Suvankar Sen: Thank you very much. Good morning, all my dear esteemed investors. Today, myself, Mr. Banka and many of our team members, namely Mr. Dhaval Raja, who is heading our Sales. We are all joining for the conference call with all of you.

Just to kind of update you that today, I am joining from my home because I'm under the weather. So, my team is in the office. I'm at the home. So, there could be some coordination delays or any kind of thing. So kindly take note of it, and we shall otherwise continue with the call.

The good part is that, as we begin this financial year, and we look at the results and the numbers of quarter 1, on behalf of Senco Gold & Diamonds, we are extremely happy and extremely delighted to inform that overall, the performance of the company in terms of top line, in terms of bottom line has been extremely robust and very, very encouraging.

If we look at the particular quarter before we get into the numbers, and we look at the overall macroeconomic scenario, we are all aware that this quarter, while there was the Akshaya Tritiya and Pohela Boishakh and New Year's in many, many states, which gave a very strong platform as an auspicious season for the consumers to come and buy.

At the same time, there are macroeconomic, geopolitical tensions that we continue to see, and that has led to the increase of gold prices about 5% quarter-on-quarter, and about 30% compared to the previous year's similar quarter. But in spite of the increase in gold prices, we have seen that the consumers have continued to come and buy and purchase Jewellery.

In terms of the growth that we have seen that the revenue has been up for the retail side of upward of 28%. And the same-store sales growth, which is a very good indicator of the loyalty of the consumer of the commitment and the effort that the teams are putting has been upward of 19%. And overall, if we look at the bottom line, the profitability, we have seen that we have seen last year's quarter to this year's quarter profit PAT growth of upward of 100%, where we crossed INR100 crore PAT for this particular quarter. And this reason of a very good PAT that we could

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achieve has been led by 2 to 3 reasons. We have seen that in terms of the diamond Jewellery sales, there has been a very strong demand, and we have had a 35% year-on-year growth in terms of volume, and above 50% in terms of value.

Now there could be a lot of thought processes. We have all been hearing for the past financial year that the diamond prices have been on a downward trend and consumers are losing their faith and trust on diamonds. So that was the situation that we had seen in the previous financial year.

But if we look at it and see how what we are seeing in quarter 4 of the previous financial year

and quarter 1 of this year, that with the gold prices going up so high, there has been a tendency of the consumers to buy diamond Jewellery for their everyday wear basis, or for their special occasions.

So, our stud ratio, which was on an average of 9% to 9.5% in the previous financial year has moved up crossing 11% for this particular financial year Q1 with such a high growth, and that has been one of the major reasons why we could see that there has been a positive impact towards

the profitability.

At the same time, we have also seen that there were certain uncertainties in terms of the gold metal loan interest that the banks were charging, and due to certain of the tariffs, and certain of the policies that Mr. Trump was putting or the U.S. had towards the gold loan, there was a short-term impact of increase in interest rates on the metal gold loan.

And as a proactive measure, what we had done is that in order to mitigate that high gold price, we were trying to mitigate it with increasing the making charges in certain categories. So that, those higher costs could be passed on. And I think that, those timely actions that we have taken by protecting our bottom line, and by being extremely efficient, with our planning has helped us, in order to ensure that we can cover the cost.

And we have seen over a period of time that, those interest rates that were increased at that point of time has gradually over a period of time come down. So that has been one of the major part where we could continue enjoying the benefit of those little higher interest rate. Because what we have seen is that this whole season because of the high gold rate, we had to continue to give discounts to give offers, whether it be for Akshaya Tritiya, whether it be for Rath Yatra, which was in the month of June, or the necklace festival that we did. But because of those, the management of the making charges, I think that there was a lot of intelligent action that we had taken that could help us in increasing our profitability.

Also, one thing that we have done for this particular quarter is that usually, we have been last financial year, maintained a hedging ratio of about 75% to 80%. In this particular quarter, in order to maintain the liquidity, in order to maintain that, yes, we could continue to focus on our business and not get impacted with the increase in gold price giving a higher amount of money towards margin. We had kept our hedging ratios about 55% to 60%. And I think that, that has also worked in favor of the company and helped us to ensure that the liquidity continue to remain strong, and the profitability also continue to remain strong.

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And one very important thing is the focus on efficiency. For the last 6 to 8 months, we have appointed a particular consultant and a tool and a software on which we are continuously working on driving efficiency at the store level, exactly which stock, which design, which is -- what is moving at what store. And especially so more, because with the increase in gold prices. We are seeing that the average ticket size and the weight range that we are selling to the consumer has been on a downward trend. The ability of the consumer to buy Jewellery of higher quantity is getting impacted, and we are proactively looking at the weight ranges that are getting sold. And accordingly, fulfilling that kind of designs and products at the store level. And I think that, that has also worked in our favor on the efficient planning and has led to a higher increase in terms of the margins.

Now, what we could see in terms of certain good achievements for this particular quarter is that our focus on designing has continued to remain very strong. We have created more than 11,000 designs for this particular quarter. And I think that, our design team, our merchandising team are continuously working towards it.

ds it.

We are very much conscious that, with this high gold price, 18 -carat, 14 -carat, 9 -carat, these are the future, and we need to focus, whether be it in diamond Jewellery or plain gold Jewellery, so that we can continue to have the younger generation coming and buying from Senco or people who have a lower ticket size can come and buy from our brand. Because we always, have always stood for design and we have stood for creating Jewellery that could be afforded and bought by everyone and anyone. And we will continue with that pursuit and focusing on the same.

And in terms of the Bridal, which is some kind of a purchase, no matter what the gold price is, consumers will buy. So, we had launched our Khushiyon Ki Reet, the legacy tradition and the legacy collection, focusing on an ad campaign that the grandmother, the mother and the daughter, or rather the granddaughter is buying the Jewellery from Senco, which we stand for. I think that has kind of connected with the hearts of the consumer, and they have continued to stay and buy for the wedding also.

One very important thing that we have seen is the old gold exchange, which has become 40% of the total transaction that we are doing. So the fact that, we are conscious that people might be having lesser liquidity and lesser ability to spend money on cash, we have seen that the old gold exchange was about 25% of the overall business, maybe 2 to 2.5, 3 years back, but that has become almost 40% of the overall transaction that we are doing and is helping the consumer to keep on coming back to the stores.

This particular quarter, we have been able to open 10 stores, including 1 Sennes store. And I think that, our overall aim for the financial year is to open 20 stores. We are very much in the journey of opening 20 stores. And our hope is that we might open 1 or 2 more stores more than

20, but surely, our expected numbers of 18 to 20 stores will be achieved.

If we look at the overall guidance in terms of the numbers that we want to achieve over the period of full year, in spite of the fact that, yes, this particular quarter, we have grown by more than 30%. But as a guidance, we will continue to guide all of you that, yes, 18% to 20% growth

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for the whole financial year shall continue to remain as we cross quarter 2, move on to quarter 3, have the Dhanteras season and experience it and how consumers are behaving on it. We will be in a better position to up our guidance. But for now, I think that we should all aim for looking at a guided number of a 20% growth.

At the same time, if we look at the EBITDA numbers, Mr. Banka shall further on explain to you with all the details. But I think that, we had initially guided about 6.8% to 7.2% EBITDA for the whole year. This particular quarter, we have been able to perform and achieve very good numbers. But I think that, that 7% EBITDA should be a conservative way of looking at the full year guidance. And as we progress with the year, we will keep on updating you.

And before I kind of give my closing remarks, what we want to tell you is that this particular quarter and quarter 2. If we look back to the previous year, particularly this quarter, we had experienced the duty cut by the government on gold, and that had led to a kind of a robust sales in the month of end of July and August. This year, we do not have such an incident of any kind of duty cut unless we see the gold prices coming down.

So, I think that the growth compared to last Q2, this particular Q2 will again remain in the range of 18% to 20%, maybe 16% to 18% as on -date, if you look at it. And going forward, we are all planning for the Q3. We have the Durga Puja, the festivities starting from September.

So, everything has come ahead. Currently, as we speak, we just finished off with Rakhi and then now the Independence Day offers, and collection of

chains have been launched for this particular

Independence Day offer period. And I think the focus on the new collection for the Bridals, for the Men's Jewellery, for Everlite, everyday wear. Also, we have seen that the silver and fashion Jewellery has also had a lot of traction and has growth of upwards of 50%, 60%.

So, in this high gold price, I think that gifting for your loved and near and dear one's fashion, these will all become very, very critical and all aspects of the business has to be looked at. And obviously, in order to ensure that the profitability remains, diamond Jewellery will continue to remain our focus, and we are coming up with new collections in the field of diamond, whether be it necklace or small items.

And with that full planning, this quarter 2 will be more towards gearing up for planning, for customer relationship building and for the fact that we all get ourselves fully prepared for the festive season that is coming up in the first part of quarter 3.

So with this, we would like to sincerely extend our gratitude to all of you for being a part of our team, for being a well-wisher and gratitude to the whole team of Senco for giving their hard work and effort for the wonderful achievement and the wonderful numbers of quarter 1 for financial year 25-26. Thank you very, very much.

Sanjay Banka: Sen, sir. Thank you. So, building on what our MD has said, there are a few incremental points.

One is that you have seen that the growth has been quite satisfactory Y-o-Y 30% growth on top line and EBITDA has grown by 68.8%.

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Our EBIT has grown by 78.3% and PAT has grown by 104%. So, while and similarly, the EBITDA margin has grown from 7.7% to 10.1% Y-o-Y. But if you look at quarter 4, it has moved from 9.2% to 10.1%. Similarly, the EBIT margin, while Y-o-Y have moved up from 7.3% to 10.1%. But on Q-on-Q, it has moved from 8.9% to 10.1%, and PAT has come in the range of 5.7%.

So, while these are the qualitative factors, but as we have guided that on a sustainable basis, we are looking at 6.8% to 7.3%. It can be 7.3% or 7.4%. But so we should see these numbers with a particular quarter perspective.

I'm also happy to announce you that in the month of April, we achieved a top line of almost INR1,000 crores. And in the entire history of last 5 years, only last year, October was around INR1,100 crores. So, this superior achievement is clearly reflected due to our consistent focus on Hyperlocal Jewellery, the new stores we have launched and the Pan-India story. That is point one.

Secondly, it's important to understand that, as we've said earlier, we don't sell any bullion. In our

case, it's only coin sales. So, coin sale out of the total sale is only around 5%. That's why we don't see any dilution in our gross margin.

If we look at other factors, so within the growth if we look at the growth prism, the value growth in diamond is around 54% and volume growth is 36%. So, we are seeing a consistent momentum in the diamond sales.

And I also understand that a few mines have closed abroad, 2 to 3 mines have closed, and the prices are likely to increase. So, this is going to be a major tailwind for increasing the prices.

And when the prices will increase, you will see an improved realization, what you've seen, which is getting reflected in our superior gross margin for this quarter, which is partly ascribed to the making charge increase, the better realization and pricing on the diamond and a certain impact of higher gold price.

And we have also stated that our growth, which has come from owned store and franchisee store, the growth from both are slightly different. But overall, we are looking at this growth, and we are confident that we'll achieve around 20% to 21% growth.

We are also happy to announce that ICRA has confirmed our credit rating for short-term working capital requi

rement at ICRA A2+. Similarly, our investment in inventory is consistently increasing.

If you look at the balance sheet numbers, which we have published, it has increased to around INR3,558 crores as against INR3,300 crores in March '25 and INR2,457 crores in March '24.

So, from INR2,457 crores in March '24 within these 15 months, it has increased almost by 40% to 50%. So, this clearly shows that we have a commitment to growth. We have adequate working capital available with us, and we will continue to grow in the range which you guided.

So, with that, I close my remarks, and thank you all, and then we can start the Q&A session.

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Moderator: The first question is from the line of Mihir Shah from Nomura.

Mihir Shah: Congrats on a good set of numbers. So, I wanted to check on how should one think about the impact of revenue, if contribution of lightweight Jewellery goes up, can it impact the overall revenue growth as value of gold will be much lower for 9-carat, 14-carat and 18-carat? And what percentage of sales are now coming from lightweight for you?

Also, a follow-up is, if you can also share our margins in your lightweight Jewellery very different from your 22-carat and 18-carat? So that's my first question.

Suvankar Sen: So, thank you, Mihir. Mr. Banka, am I audible? Yes?

Sanjay Banka: Yes, sir, you are audible.

Suvankar Sen: Okay. There's a little echo happening, but what I want to answer to the question, maybe I'll give a few to just give a guidance and you all can support with the data, that our average ticket size overall, whether it be the lightweight or heavyweight Jewellery all put together is in the range of INR70,000 to INR72,000. And the good part for us and our products that we are selling to our consumer base is 60% to 70% of the products are below, I would say, 7 grams, 8 grams. So, with an average ticket size of INR50,000, INR60,000.

So, it is not really the lower purity of products that there becomes a risk of the ticket sizes going down because there is a range of INR10,000 to INR20,000 products which is of the lower ticket size of 9-carat and 14-carat, which is in demand for the young generation consumer.

But in general, even if we look at a housewife who is across the age of 30, 35, 40, and we look at her purchasing power and the ticket sizes that she would be looking at, it would be in the range of INR40,000 to INR55,000, INR60,000 in the form of an earring or a pendant or a chain.

And it is only that, the form or the design of the product is changing for the purpose of fitting into the budget of the consumer. But just by making it 9-carat, 14-carat or 18-carat, I do not see it as a big risk that the overall ticket sizes will come down, because consumer's budget over a period of time because the gold prices have gone up by almost 30% year-on-year, the consumer budget can get adjusted by maybe 8% to 10% depending on the growth of the economy, the income levels of the consumer growing.

And we are all confident of the India growth story. So yes, over a period of time, the consumer shall have its increased budget. And the budget, even with lower ticket size in terms of weight has gone up over the past year.

So just to allay your concern that, I do not see it much of a risk. Rather, it is only going to be a solution that we will provide to the consumer by providing Jewellery, most of it Western and modern design in 9-carat, 14-carat or 18-carat. And when it comes to bridal shopping, where the consumers, irrespective of whether it's 22-carat or 18-carat, people go for a higher ticket size item, where it can be above INR1.5 lakhs, INR2 lakhs, INR3 lakhs upwards INR4 lakhs, INR5 lakhs, INR6 lakhs, INR7 lakhs, it goes on like that.

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So there, I think the ability of the consumer for a wedding is that,

yes, a part of it will be given

with their old gold. A part of it will be given with their whatever cash, credit card and all of that.

So, we will see a 10%, 15% downward trend in terms of volume for that kind of bridal Jewellery .

But there, again, 22 -carat, 18 -carat will be the main focus area.

So that's how it is. I do not see that much of impact happening on the overall volume. We need to increase the number of consumers also as a part of the growth story with opening of new stores, or even the same -store sales growth of 19%. So even if the stores can gain maturity, we are encouraging the stores to acquire newer and newer consumers. That is one.

And in terms of the margin, I think that, if it is plain gold Jewellery , whether it's 14 -carat or 18 -carat, it is of a smaller quantity. So, there is not much impact in margin. But what we have seen is that most of the 14 -carat Jewellery or 18 -carat or 9 -carat is studded with either diamonds or other stones and just the way our diamond Jewellery has a higher margin.

So, this 14 -carat or 18 -carat Jewellery will have marginally higher margins than a plain gold Jewellery . So, this is to answer to your question. Mr. Banka, Dhaval, if anything you want to add, please?

Sanjay Banka: Mihir, as sir has explained, if you look at our ASP, ASP has moved up from INR48,000 to around INR52,000. So, ASP has increased by almost 12%. And while the gold prices have increased 30% Y -o-Y and 5% Q -o-Q, customer has to make purchases. So, it slightly moves up in lower size and balance looks at either reducing the type of Jewellery or goes to lower carats. Similarly, ATV has also moved up from INR73,000 to INR79,400. Your question was what is the lightweight Jewellery ? So, this amount itself is lightweight Jewellery , INR52,000 or INR79,000. Now, this is a blended ASP for gold, diamond, platinum and silver.

So, if you look at ASP of silver, that is around INR2,800. So, if you look at ASP of gold Jewellery , if I give you a ballpark number, around 61% of Jewellery in terms of count are in the range of INR25,000. So, 61% of Jewellery , INR25,000, that is a key strength. And similar would be number in the diamond Jewellery as well.

While in terms of value, we can take a number of 33 -33-33. But in terms of quantity, this 61% is around INR25,000, that is our key strength on which we have built a strong moat around our business. I hope that answers your query. Dhaval, you want to add something.

Dhaval Raja : Yes. Mihir, see, on an average, our ASP is INR55,000. So, we are enjoying that dominance in the lighter space. So, average selling 6 -odd grams itself is a lightweight Jewellery . So, introduction of 9 -carat or 14 -carat or 18 -carat will further add to the overall buying pattern of the consumers. But right now, per se, the business that we are driving is driving to the lightweight Jewellery that we have.

Mihir Shah: Understood. Thanks, gents that clarifies. Secondly, I wanted to check

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Moderator: Sorry to interrupt. We have several participants waiting. We request you to please come back in the queue for a follow -up. The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a good set of numbers and Suvankar, wish you a fast recovery. Suvankar, definitely, we are seeing that franchisee interest is definitely picking up with 6 additions already in FY '26 till date. How is the pipeline looking for you for the rest of the year? And can we expect higher than, say, 20 additions that you have planned and that too with a higher mix of franchisees for the current year?

Suvankar Sen: So, thank you, Devanshu, for your wishes. See, our plan as we began the year was 20 stores, 10 owned stores and 10 franchisees. While internally, our effort and plan are that we should try to open more franchisee rather than your

owned stores in order to have a better performance overall.

So, we have already opened 5 franchisee stores, and I can tell you that we have more than 5 franchisees in the pipeline. So hopefully, instead of 10, we shall be able to open maybe 11 or 12 franchisees. And so that is how it is. So, 20 stores are something that we will keep guiding you right now. And maybe after end of quarter 3, we can update you further on it. But our efforts are towards opening more and more franchise.

Devanshu Bansal: Understood. And so, are there any specific initiatives that we have taken, which is helping us gain more franchisees in the non -West Bengal region. So earlier, we were very skewed in terms

of West Bengal, but now we are seeing evidence of franchisees in Maharashtra, U.P., Bihar. So, any initiatives that we have taken, which are helping us there?

Suvankar Sen: So, I think that it's more of brand awareness that is very, very critical. So, our investment into marketing, brand building continues to remain. Our brand ambassadors, most of them have -- they are national celebrities. So, I think that the visibility is growing up, awareness is growing up.

Along with that, our team, there is a dedicated team who are connecting with the potential franchisees. And I think that for the industry per se, it's not just us, but all our fellow jewelers who are in this particular business, it is an opportunity. We have all seen that gold is a good asset to invest for any kind of investor along with real estate and other investments. So, it is all about building the brand and building the relationship.

And then there are potential franchisees are willing to open a store of Senco, plus what is very important is that our manufacturing strength and ability being from the geographic zone that we are gives us that flexibility. And I think that, we are there in the business of franchisee for more than 20 years. And with all our experience, we are giving our best to keep on connecting with the franchisees. So that is what we feel is from our side. Thank you.

Devanshu Bansal: Understood. And sir, studded growth has picked up significantly. This is almost at 35% growth in Q1 versus last year, we did about 5% -odd growth. And when compared with larger peers also, there the studded growth is only 10%, 11%, right? So, what is sort of helping us here because Senco Gold Limited

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this is a segment where our presence was very low, how are we sort of trying to differentiate our margins with peers ?

Suvankar Sen: So, I think that two things majorly. One is that, designing where if you look at our numbers, we have done more than 11,000 designs overall, gold and diamond put together. So, a lot of design development under our Everlite collection is happening. And also, in terms of our pricing, though we don't want to get into any kind of a price competition with others. But overall, I think that we're being able to manage our cost better and have giving a competitive rate to our customers.

And there is a continuous effort by the team in terms of offerings, in terms of schemes. I think when the consumer is coming to the store and then looking at it, and especially with the gold prices going up, if you want to buy a INR40,000 worth of gold jewellery and what you are getting with diamond jewellery, the design attraction is much better. So, we have been able to convert it in a much easier manner. So, I think all put together, this is where we are getting the results.

And last financial year, sometimes the overall situation is such that even with your best efforts, you might not get the results, right? So last financial year, when the gold price was moving up from INR60,000 to INR70,000 to INR80,000, even as we were offering diamond jewellery to the consumer, they were not in a mood to buy.

They were like, "No, no, we will buy gold jewellery only." But what we have

seen from the last

-- Q4 of last year and this year is that the consumer is open to try and convert themselves from gold to diamond Jewellery. And I think our efforts and consumer requirements; both are helping in the growth of diamond Jewellery.

Moderator: The next question is from the line of Videesha Seth from Ambit Capital.

Videesha Sheth: My first question was on the margins, where you talked about the 3 to 4 levers which drove 230 basis points of margin expansion. If you can help us out as to which of breakdown which lever contributed to what percentage of the margin expansion? And how much of it is sustainable going forward?

Sanjay Banka: See, Videesha, as we have said earlier, we have talked about a sustainable margin of 6.8% to 7.3%. So which MD sir said that it can be in the range of 7%. So, on an extremely aggressive side, we can take from 7.2% to 7.5%, but that is on a higher side.

So sustainable EBITDA margin, we are looking at in a range-bound manner only, not what has come in quarter 1. So now the question is what margin is a very complex result of multiple efforts which have been taken from time-to-time, okay? But if I try to pin point it to 2 or 3 reasons, was the making charges.

We had increased our making charges in due to the expected GML price rise. And while the GML price is coming back to an original level, we have not reduced our making charge. And you are saying that with the brand positioning, we are able to charge a better pricing. So that is one. I'm not putting a number to it.

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And similarly, diamond price, since we have built our inventory base of diamond when the prices were lower last year. And as we told that, some diamond prices are moving up and some mines have closed, and customers are coming back to the natural diamond. So, we are able to realize better prices for diamond.

And third is what we already said is about hedging. While we are doing the daily hedging regularly and hedging in the range of 65% to 67% on an average. So, due to lesser hedging also, we have been able to realize the gain on the gold price effectively. So, these 3 are the major reasons which we can say have contributed to the higher gross margin and the resulting higher EBITDA margin in quarter 1.

Videesha Sheth: So, the hedging ratio would remain at 60%? Or how should we think about hedging ratio going forward? While Board policy, we understand is more than ...

Sanjay Banka: Hedging is a very dynamic thing. It will depend upon the risk scenario, the global geopolitics, how the entire demand supply thing is happening. But we are committed to maintain a very robust and dynamic risk management policy. We remain cognizant that while the hedging policy is dynamic and robust, our coverage will consistently remain above 50%.

That is the Board norm. And on a daily basis, we are almost doing 100% hedging at an inventory level since our inventory is only for 6 months. So that's why 6 months inventory, 50% for 3 months, volatility around. So, it will be in the range of 50% to 80%, depending upon the risk perception.

Videesha Sheth: Okay. And the second question was on the competitive landscape. How do you see that evolving? And how does it impact the industry making charges going forward? Will it further come down? Or what are your thoughts on the competitive landscape, please?

Suvankar Sen: So, I think that when it comes to competition, I do not see that making charges would be going down much further. Yes, based on the situation, there could be continuous offerings and special incentives and special schemes. But I think that we have reached almost the kind of the best possible situation of competition.

I think it's better now. I think we all the Jewellery industry players are looking at focusing on design, focusing on brand building, focusing on any kind of innovation in the market rather

than

just play on the part of pricing. I think that's how we are looking at it.

Moderator: The next question is from the line of Aashaka Shah from Sameeksha Capital.

Aashaka Shah: I would like to ask you in your gross margins, what is the share of gains due to higher gold price? That is my first question. And my second question is what is the value of inventory as on June 30?

Sanjay Banka: June 30 inventory is -- we have given the balance sheet as well. The June 30 inventory at INR3,558 crores as against March '25. So, March '25 was INR3,299 crores, which has increased to INR3,558 crores. This inventory clearly includes the gold, diamond, platinum, silver, etc.

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So, let's say, diamond should be around INR450 crores, INR100 crores should be silver, platinum stones, balance is all gold. The inventory is -- the number is the cost or net realizable value. There was some newspaper report also where -- so I'm taking this opportunity to voluntarily clarify that we have been following weighted average cost method for almost 10, 15 years. So, the inventory reported is a weighted average cost and cost or net realizable value duly audited consistently. That is one.

Your second question was -- so this inventory, you have to look at from the inventory turn perspective. So, let's say, as you have said, on the whole year, the total sale will be around 6,500 kg to 7,000 kg depending upon how the prices pan out. That means in 1 quarter, it will be around 1,500 kg or 1,600 kg. So, 2 quarter inventory will be around 3,000 kg. Those are the broad numbers.

Your other question was how much is the impact of lower hedging? See, it's very complex process of hedging. I would suggest that you look at the document, which we published in quarter 3 regarding the hedge accounting impact of fair value hedge and cash flow hedge. But broadly, as I explained earlier, it should be around 100 or 120 basis points impact, which has flowed into the gross margin, but it is purely temporary for quarter 1.

We are not saying that it will happen every quarter. If the volatility increases tremendously, we will go back to the 80% level of hedging immediately. And then these gains will not flow. That's why we are saying 6.8% to 7.3% as a sustainable level of EBITDA margin.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking Limited.

Bhavya Gandhi: A couple of questions. My first question is regarding hedging only. Sir, at what point we decide

to increase. So, I mean, if the price fall is more than 10%, we decide to increase that hedging by 10%. Is there some metric that we internally look at? If you can throw some light on that? That is my first question.

Sanjay Banka: As I just said that we have a very robust risk management policy and we have a risk committee of Board of Directors continuously reviews who continuously reviews risk in ...

Moderator: Sorry to interrupt. We would request Bhavya sir to please mute your line while the management is answering, as there is a lot of background noise.

Sanjay Banka: So Bhavya, we have a very robust risk management policy and framework in our company. And we can take advice and guidance from international experts on hedging as well, then we have Internal Treasury Committee. So based upon the entire framework, the company is committed to maintain a robust risk management framework. That's all I can say.

So, the level of hedging, the percentage of hedging is very dynamic. It is also subject to the working capital availability at a particular moment of time. But the Board policy clearly say minimum 50% hedging. And we've always said that hedging will be between 50% to 80%. Last year at many times up to 88%, 89% and even 100% as well.

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Bhavya Gandhi: Fair enough. Sir, another question is regarding,

is there any arithmetic correlation between stud ratios? If suppose 1% increase in the stud ratio, what impact will it have on the EBITDA margins? If you can throw some light on that as well?

Sanjay Banka: There is no direct correlation. Yes. So, what we have said is that we want to take the stud ratio to 15%. But if the ratio slightly increases to, let's say, one more percent, I think 30, 40 basis points improvement will happen in the EBITDA margin. But then once again, as we grow, we'll have other pressures as well. But I don't think that we can take more than 20, 30 basis point increase in the EBITDA margin.

Bhavya Gandhi: Got it.

Sanjay Banka: And we got a higher stud ratio.

Bhavya Gandhi: Got it. And is it possible to say the secondary sales number for the quarter and this year as well?

Sanjay Banka: Secondary sale, you are saying at the franchisee level. So, what we are reporting the total growth of -- total growth is at the primary level, which we have reported at 30% Y-o-Y and 32% quarter-on-quarter.

And between the -- so what we said is that the owned store growth was 25% and franchisee growth was 34%. We've also said that the SS SG. SSSG was owned store 21%, franchisee 16%, blended 19%. So, the primary -- the secondary sale would be around 85% of the primary sale. I think that is a ballpark, which I can give you, and just give me 1 minute time, if I can check them. Around 85% will be the secondary sale. So, let's say, the franchisee growth, which is 34%.

Dhaval Raja : Secondary is 24%.

Sanjay Banka: 24%. So, the secondary growth -- while the primary growth in the franchisee sale is 34%, secondary is 24%, which effectively same around which I said 80%, 85%.

Dhaval Raja : Because of the growth, we are opening new stores, primary is more.

Suvankar Sen: Yes.

Sanjay Banka: So, what Dhaval is clarifying that since and you'll see this phenomenon in other peers as well.

So, if you open more franchisees, obviously, your primary will be high. So, let's say, this year, we've already opened 5 franchisees. So, to that extent, the primary is more.

Dhaval Raja : So, we have a primary of 34% in the franchisee channel in Q1, which is a growth. And we opened 5 stores, 5 new stores. So, by virtue of opening new stores, we have more primary, whereas the secondary growth in the franchisee channel stands to 24%.

Moderator: The next question is from the line of Rupesh Tatiya from Shriram Managers.

Rupesh Tatiya: Before starting my question, I have one clarification on the opening remarks. Did you say that, for Q2 to Q2, Q2 last year to Q2 this year, we can still expect 16% to 18% growth despite

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deferment of demand from Q2 -- from Q1 to Q2 last year because of duty impact. Did I hear that right?

Suvankar Sen: You're right.

Rupesh Tatiya: Okay. That's good. So, my other -- first question or sort of observation, Suvankar, is, I mean, you are in the business of providing solution to your customers. You are doing so many designs; you're coming up with so many formats. This quarter, if I heard right, you were able to increase your making charges.

So, you're in the Jewellery business. Why play around with this hedging and become -- try to gain from commodity movements. I think, my humble submission is that you should review your hedging policies and get them closer to the market leaders.

You should probably study Titan or Kalyan, or maybe some other global brands. And you should get it closer to that. You are in the business of selling aspiration. You do that. Don't do commodity hedging and try to gain out of it. So, this is my humble submission to you.

Suvankar Sen: Thank you. No, I totally take your submission. But times what is happening is that these liquidity constraints that we get because when you are taking hedging, there are 2 parts to it, right? One is 100% hedging as whatever you

u're selling, you are buying. So that is something that is anyway automatically 100%.

But when it comes to taking a sell side on MCX, or when there is a gold loan that you take from the bank, and the prices are on an upward trend, then because of the liquidity constraint, you are unable to hold on to your position, and then you think of reducing it from an 80% to 60%.

And it is not about gaining profit, but it is about protecting liquidity also. Like last 2 years, it is a fact that, almost INR100-odd crores, while the profits have come, everything has gone. But because of, say, hedging, INR100 crores of liquidity also kind of got out of the system.

So, this time, we are also trying to maintain the liquidity along with the business growth and profitability. But we totally take your point. And whenever we don't -- we are not in the business of kind of speculating and making money out of it. So let me assure you on that part, and we will keep your advice in mind.

Rupesh Tatiya: Okay. The second question, sir, is how is Q3 looking from festive season, from wedding dates?

I know it's maybe a little bit too early to talk about it. But I mean, seasonally, Q3 is strong. How is the preparation? What is the expectation in the market? When there is this tax cut, I think benefit will start flowing into hands of consumers? So, any early outlook, if you can give on Q3?

Suvankar Sen: So, if you ask from an outlook perspective, I think we are being very positive in terms of our planning, in terms of our ensuring that the right inventory comes at the store before the Diwali, Dhanteras season, festive season starts. Those -- all the plans are in place.

And what we have seen is in Q1 or even in Q2 compared to other years, this time, the number of wedding dates have been lesser. And most of the wedding dates now that will come majorly Senco Gold Limited

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will be in Q3 and Q4. And if I'm talking to my consumers also, I think that everyone is in a mood that the moment either liquidity comes in their hands or they feel that the gold price is at the right price to buy, I think the wedding demand will come in a big way.

So yes, Q2 will be a little not so, I would say, robust because of lack of auspicious season. But yes, it is more of the beginning of the auspicious season. And Q3 will be a very good Q3. So, we should be all ready for the season to become strong any moment.

Rupesh Tatiya: Okay. Okay. And then quickly one last one. What was our LGD revenue in this quarter? And any guidance on LGD revenue for FY '26?

Suvankar Sen: LGD revenue has been very -- it has been in the, I would say, single digit, high -- low double digit, single digits. So LGD is still in the phase of -- we have 6 to 7 stores. We are not selling LGD to all our stores. We are creating a separate brand. Consumers are building up the awareness.

And we are very clear that, when it comes to the weddings, people are not buying LGD. It is more from a fashion perspective. But when it comes to weddings or such occasions or emotions are strongly attached and it's once in a lifetime, people are preferring the natural diamonds.

When it comes to fashion or some kind of impulse purchase, people are going for LGD. So that is how it is. So, over a period of time, maybe in 4, 5 years, LGD will keep picking up more. But till now, it is still natural diamonds that is holding the fort.

Rupesh Tatiya: But will it cross, let's say, INR50 crores in FY26.

Suvankar Sen: FY '26, I do not see it from our side crossing, I do not see.

Moderator: The next question is from the line of Akash Jha from AJ Wealth.

Akash Jha: Congrats for a great set of numbers. So first of all, I want to understand early consumer response to our 9 -carat Jewellery as well as the margin per gram compared to 14 -carat and 18 -carat?

Suvankar Sen: So, the consumer response has been, I would say, positive

because the 9 -carat jewellery is

coming to around INR3,500 to INR3,800 per gram. And if it is like a 1 -gram, 2 -gram lightweight everyday wear, then if the budget is anything below INR10,000 or below INR15,000, it is allowing the consumer to kind of buy it within the budget.

And we are also taking, I would say, measured steps. It is not like we can convert all our inventory into 9 -carat and especially it is in the studded sector. It will not be much in the

traditional designs that people will buy 9 -carat. It will be in the modern western design that people will buy 9 -carat.

So, in diamond Jewellery and in lightweight gold Jewellery , we are said, before introducing selected collections and testing the markets and -- but consumers are being positive.

And I must say that it is the young consumers who are more open to the idea that in terms of buying 9 -carat. And I think that once the wedding season will be in full force, even when people

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will have to give gifts to their near and dear family members and friends, then also, I think 9 -carat will become a very important tool to give a gift item to your loved ones. So that's how I'm looking at it. So -- but if you ask me that is it a positive thing response? I will say, yes. The initial responses are positive.

Akash Jha: Okay. And one question related to this, sir. How do you see the organized Jewellery sector's market share changing over the next 2, 3 years due to this 9 -carat hallmarking becoming mandatory?

Suvankar Sen: So, I think the organized sector is in a growth trajectory. And as we look at it, what we have seen in the last 10 years that the organized sector is having -- growing at a higher rate and capturing more market share. I think whether it's 9 -carat, it just opens up the opportunity for, I think, the industry to provide Jewellery and especially so the studded Jewellery in within the budget of the consumer.

And just like diamond Jewellery , even lab -grown diamonds, gemstones, these all will become together along with this 9 -carat, 14 -carat will become a product for the consumers to buy, and the margins also will be strong for the companies also.

So, I think it will help the organized players to grow. And anyway, I think, I mean, unorganized players are -- they're finding it difficult to survive in an unorganized manner, and they are also getting either organized or getting out of the system. So that's how we are looking at it.

Akash Jha: Okay, sir. And one last question, sir. Out of the planned 20 stores, we have already opened around 10 in Q1. So, what would be the trigger for you to consider increasing that total store opening target for this year?

Suvankar Sen: No. So, I will still -- as of now, we'll continue to guide all of you with 20 stores. And when we are closer to the number 20, then we can review on the guidance. But as of now, we will keep guiding on 20 stores.

Moderator: The next question is from the line of Midhun James from Moat PMS.

Midhun James : My name is Midhun James . I represent Moat PMS. So, my first question is more of a slightly a strategic long -term question. So, what do you think is your right to win in this market against the likes of the bigger competitors like, say, Kalyan or Titan? The reason why I'm asking this question is, if I understand it right, it is -- our story is a story of premiumization of maybe advantages of Eastern India karigari.

And when your competitors are sort of planning for starting 70, 80 stores this year, we are still having a moderate plan of about 20 store additions. Despite that, we have despite we are having a very good same -store growth rate of about 19%. So -- and you are not very aptly represented in the Southern part of India, which has got about 40% of the entire gold consumption Pan -India. So that is where I'm coming from. So, can you please respond to t

hat?

Suvankar Sen: Yes, So, see, our focus has been more of Eastern India and Northern India. Our competitors from Southern part of the country, they have been very strong in that part of the country. And we

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wouldn't want to focus there for now. We will work towards getting deeper and deeper into the markets of Eastern and Northern India. So that is one.

And the second part is that, yes, being from the Eastern part of the country and closer to the manufacturing hub of Calcutta, we will try to create new designs, make lighter weight Jewellery . Our competition is also working on designs, but everyone to their own, they are increasing their market share by opening more stores. We will also open our number of stores in the markets in which we are strong, focus on the low -hanging fruits so that our return on capital remains strong. And the right to win is where I think that the market is big enough for everyone to live together.

For a consumer, today's day and time, no consumer is very loyal. They are looking for new designs. They are looking for options. And I can see myself that, the same consumer that is with me is with, say, 2, 3 more Jewellery players. So, they are also trying out many types of Jewellery . So, I think that as long as we can focus on fulfilling the needs of the consumer and creating the

product that they need, consumers will continue to buy.

And most importantly, for the Jewellery industry per se, the unorganized to organized shift that is happening is helping all the players, all of us together to capture more of the market. And I think that's how one has to look at it.

Midhun James : Okay. Right. And my second question is regarding the operating profit margin. So, this quarter, we have clocked about 10%.

Moderator: Sorry to interrupt. Sir, we request you to please come back in the queue for a follow-up.

Midhun James : This is my second question. I'll just ask this question also.

Suvankar Sen: Yes, we'll give answer to you. This operating margin as we have applied earlier.

Midhun James : Sir, no. My question was this, regarding the operating profit margin, if you look at the trend, the last 3 years in quarter 2, it has been almost 4%, 5%. So, is there some seasonality, some impact on operating profit margin in quarter 2? That's the question. Sorry, please go ahead.

Sanjay Banka : No, I will answer this question. See, so we had a slightly aberration in the operating profit margin quarter-on-quarter, and this was a major issue in quarter 3 as well. So, we have looked into our entire process discuss on our accounting.

We have discussed our hedge accounting as well. And then our quarter 4 number, we said, we are confident about the reporting quarter 1 also. So, this sort of aberration, which you've seen earlier, we are hopeful and confident that those aberrations will not happen. Aberrations cannot be more than 100 basis points.

So, because we don't reduce or increase our making charge from 1 quarter to other, there's no substantial change in the product mix. So, one can say that, okay, in the wedding season, wedding will be there.

So, our understanding is that it will -- the difference will not be more than 100 basis points is max variation which can happen, if at all. But for the entire year -- for an entire year of 12

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months, we will earn around 6.8% to 7.3% or maybe, let's say, 7.5%. Quarterly aberrations will reduce substantially. That is the key income.

Moderator: The next question is from the line of Subhanu from 3 Head Capital.

Subhanu Bangal: My first question is how is the demand and footfall are you seeing in Tier 3 and Tier 4 market after this gold price go up?

Suvankar Sen: Dhaval, would you like to answer?

Dhaval Raja : Yes. So, we have seen good traction in Tier 3, Tier 4 towns also. The footfa

lls are up. And if

you see, the way we are moving, we are opening more and more stores in Tier 3 and Tier 2 towns through the franchisee model. So business is up. The traction is good, and we are seeing a positive season ahead with festive setting in, we are seeing Durga Puja and Diwali setting in. We are seeing a good numbers so far.

Subhanu Bangal: And my second question is why your FOFO store growth is much better than FOCO store?

Dhaval Raja : Sorry?

Subhanu Bangal: Why is your FOCO store growth much better than COCO store?

Dhaval Raja : Why our FOCO stores grow better than COCO stores?

Subhanu Bangal: Yes.

Dhaval Raja : No, no. So, if you see our numbers in like-to-like store growth that we have, in fact, our COCO is performing better in terms of same-store growth than the FOCO stores. So, COCO is doing better. It's not that the COCO is not doing better. We are seeing a good traction.

In fact, all the metros that we have, including the Delhi NCR, we are seeing a good 34% growth in the Delhi NCR market. So, our COCO are performing very good right now. Similarly, on the franchisee stores are also having a good same-store growth of 17% to 18% right now.

Suvankar Sen: See, I'll just add to what Dhaval said, what happens with the franchisees is that because they are in the smaller towns, they are able to manage with lower inventories. However, in larger metropolitan markets where our COCO stores are present, the higher level of competition and broader consumer choice necessitate maintaining a deeper inventory, which becomes strategically more important. So that's where the franchisees also with a lower level of inventory, can manage to perform better. That is also one more part of it.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.

Bhavya Gandhi: Thanks for the follow-up. Sir, just wanted to understand your view because we are slightly comparatively weak in terms of liquidity because you said just to manage hedging and liquidity, we are doing lesser hedging ratio. So why not focus fully on FOCO stores and improve the liquidity position and the ROCE metrics? And that is what Kalyan did, and we can see how they've been expanding. So just wanted your view, sir, on this.

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Suvankar Sen: We are conscious of the fact. And that is why our expansion and our strategy to the team is that most of the expansion should be with the focus on opening more franchisees and the offerings and the commission, incentives that we are giving to the franchisee. We are also continuously working on that so that we can make it easier for the franchisee to open more stores. So, we are very much conscious of the fact that you are saying, and we are trying to strategize accordingly and do that.

So once that happens in a very good way and a faster way, as you rightly said, that the liquidity challenges will not be there. So hopefully, in the coming year, next 2, 3 years, our franchisee numbers will also be higher.

Bhavya Gandhi: Sir, just a follow-up on this. So, I mean, can we expect like the further store openings would be more on the franchisee side? If you can just guide for maybe FY '27 store openings and what is our future plan beyond FY '26? That would be really helpful.

Suvankar Sen: So, see, I'll tell you. As per the plans, we always believe in giving you a conservative estimate and an approach. And so, from that perspective, we have always said that we want to open 18 to 20 stores every year, year-after-year, funded by the profits, funded by the equivalent amount of debt that we have. But yes, like we always say 50% franchisee and 50% franchisee and 50% owned stores. But our internal efforts are always that, that 50% -50% can become 70% -- 65%, 70% franchisee and 25%, 30% owned stores. So, this is how we would like to do it in an ideal case.

Bhavya

a Gandhi: So just -- I mean, just wanted to understand, is there any hurdle in terms of opening franchisees, or getting franchisee partners on board that is why the ratio seems to be slightly lower? Or is it our choice that we are opening balance of both COCO as well as FOCO?

Suvankar Sen: There are 2, 3 things. One is that in East India, North India is our focus. So as a brand as we are expanding nationally, obviously, people across the various markets, across the towns and cities. So, we want to grow in a concentrated manner focusing on East India first and the second priority is North India.

So, I guess that it is about finding the right partner and getting the right market, the right location, those are certain critical aspects. And even after finding the right partner, that partner needs to have the adequate capital to open a franchisee store. So banking is one. So, there are various methods to it. So, getting the right partner with the adequate capital is one of the key factors, and then satisfying his needs and getting the right product in place. So that is what it is.

So, I think the hurdle is about getting the right kind of people. And once that effort that we are putting is going on, we will be able to achieve what we will be able to achieve. And I know that, you're being -- you're comparing with the other competitors and the way they have been able to execute and have been able to grow at a faster rate. So, I think that it's a matter of time as and when our performance and our awareness will continue to grow, we'll also be able to do the same manner in the coming 2, 3 years.

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Bhavya Gandhi: Fair enough. Sir, just one last thing if I can squeeze in on the Melorra front, if you can provide some light, are we going to require any capital? What is the outlook there over there on the Melorra front? That's it from my end.

Suvankar Sen: On the Melorra front, with the 9-carat hallmarking, 14-carat with the gold prices going up so high, we feel that to cater to the new generation, it is going to be an important tool and a method to reach out to the new generation customer. So that is where from a brand perspective, we are looking at doing this collaboration.

And when it comes to acquiring Melorra as a brand, most of it, the inventory part of it is not going to be a challenge at all because anyway, there is more than enough inventory that we have with us, be it gold or diamond. It is all about getting a platform to reach out to the new generation customer. So, I don't see much of a challenge. We are in the negotiation stage. And as and when any kind of positive news come out, we will be updating our investors and analysts.

Moderator: The next question is from the line of Himanshu Shivhare from MD Investments.

Himanshu Shivhare: My question is, what is the company's philosophy in terms of corporate governance? Do you want to -- does the company aspire to be in terms of corporate governance in the leagues of your peers like Tanishq? And if you could give me what is the company doing in terms of related party transactions, in terms of independent directors, in terms of transparency -- to increase transparency among shareholders.

And my second question is, if you could give me an insight on what percentage of your Jewellery is generally hedged gold and how is it managed by the company? And what is the overall

company's philosophy in terms of managing the inventory in terms of the -- in conjunction with the supply -- demand supply dynamics?

Sanjay Banka: Thank you for the question.

Suvankar Sen: Banka ji, so you take it. I'll just say that, in terms of the benchmarking, we have a lot of respect for the Tatas and the Titan as a company with which how they are running their business. And Mr. Ratan Tata is one of my role models, and I would like to follow his path and take my company forward. So t

hat is how I would like to look at it, and we will be -- we are doing our

best in terms of various initiatives of corporate governance and the best practices. I'll request

Mr. Banka to explain a few things that we are doing.

Sanjay Banka: Sir, building on what you said, since the -- and in this journey of corporate governance in Senco, while I joined 5 years back, I see this journey for more than 20 years. And while the first private equity funding happened in the company in 2014, we -- the company, the promoters, our Founder, Chairman, Late Sankar Sen has the vision to take the company to the highest level of corporate governance and the journey started appointing independent directors, appointing KPMG as the statutory auditor. KPMG completed 2 terms of 5 plus 5. And then we appointed Grant Thornton that is Walker Chandiok as our statutory auditor.

The investors can look at our independent directors. It's a Board-governed company, very reputed independent directors who have got, excellent experience in their respective field. Mr.

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Bhaskar Sen, he was Chairman of United Bank of India; Mr. Sankar Halder, he has been working with the top company as CFO; Mr. Kumar Sankar Datta; Ms. Suman Varma. So that is one.

We have a strong set of rules and regulations, L ODR policy, very strong governance focus as far as the IFC framework, risk control metrics, risk register, internal controls. So total organization is driven by ERP. We are one of the top customers of Microsoft ERP in India. Our entire organization, most of our activity runs on Microsoft ERP, workflow-driven approvals. And in most of our audit committee meeting, we consistently work at enhancing. And Sir, as you rightly said, I am also admirer of Tata Group, and I've worked in a Tata Group company for 3 years. So, whatever I've learned, we intend to implement all these corporate governance practices, and this is the hallmark of our commitment for transparency, for speed and for governance levels. That is a larger answer.

The second question was on the hedging practices. We have issued a detailed document in quarter 3 on our hedging practices, and we continue to follow the same rules and norms. So, our gold policy talks about a minimum 50% hedging of inventory. So, if you look at our inventory in the balance sheet at around INR3,500 crores, the gold inventory will be around, let's say, INR3,000 crores or INR2,900 crores. 50% of that is always hedged.

Last year, that number ran up to even 95% or average was almost 88%, which we have said in quarter 1 is between 60% to 65%. And hedging is a very dynamic activity. We are cognizant of the risk, which is inherent in the business, and we will follow a very dynamic policy to ensure that we are risk mitigated.

First quarter, due to the extreme volatility and due to the working capital requirement, we have maintained a slightly lower hedging ratio. But yes, and that has moved to the P&L. But -- and that's why we are still giving a guidance of 6.8% to 7.3%, which automatically means and assumes that hedging can go to 80% as well. I hope that this answers the questions.

Himanshu Shivhare: Just a follow-up question. Like what is -- at the moment, what is the hedging percentage, if you could give me a tentative figure, which would be nice.

Sanjay Banka: No, I don't want to give you a specific number. See, it should be around 60% to 65%.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference to management for closing comments.

Suvankar Sen: Thank you very much. I would like to thank all of you for joining the call, listening to all of us.

And I hope that, we have been able to answer as much as possible the queries that you have. Mr.

Banka and our team is always available to answer any more of your queries. You will all get the updates on our website in terms

of the numbers.

One is that we have our official commercial website, which is sencogoldanddiamonds.com, and we also have a corporate website, which is sencogold.com. So, a lot of information on our company and the updates you will be getting there as well.

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So, look forward to meeting and talking to all of you once again, and Happy Independence Day in advance. And hopefully, we'll have a great Q2 and a great preparation for the upcoming Q3 as well. Thank you very, very much.

Moderator: Thank you. On behalf of Anand Rathi Shares and Stock Brokers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Sanjay Banka : Yes. Thank you very much.

Moderator: Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy. For financials, no's, and details, refer to the investor presentation .

Call: Nov 2025

Ref: SEC/SE/ 75/2025 -26 Date: 20th November 2025

The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051
NSE SYMBOL: SENCO The Manager – Listing

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001

BSE SCRIP CODE: 543936

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcripts pertaining to the Unaudited Financial Results of Q 2&H1 FY26

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcripts of Analysts/Investors Earnings Conference Call organized on Thursday, 13th November 2025 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the quarter and half year ended 30th September 2025. The transcript shall also be available on the website of the Company
We request you to take the above on record.

Yours sincerely,
For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary & Compliance Officer
Membership No. A20051

encl.: As above

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Call"

November 13, 2025

Management: • Mr. Suvankar Sen – Managing Director & Chief
Executive Officer - Senco Gold Limited
• Mr. Sanjay Banka – Group Chief Financial
Officer & Head IR - Senco Gold Limited
Moderator: • Mr. Ranganathan – Aventus Spark
Investors and Analysts • Videesha Sheth from AMBIT CAPITAL
• Raj Sarraf from Finvestors
• Ankit Minocha from Adezi Ventures Family
Office
• Devanshu Bansal from Emkay Global
• Naveen Trivedi from Motilal Oswal
• Bhavya Gandhi from Dalal & Broacha Stock
Broking Limited
• Rupesh from Long Equity Partners
• Vijay Chauhan from Right Horizons PMS

- Annanya Singh from Sowilo Investment Managers
- Ranganathan from Avendus Spark
- Himanshu from MB Investments
- Raj Sarraf from Finvestors

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Moderator : Ladies and gentlemen , good day, and welcome to the Senco Gold Limited Q 2 FY '26 Earnings Conference Call , hosted by Avendus Spark.

As a reminder, all participants' lines will be in listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to M r. Ranganathan from Avendus Spark. Thank you, and over to you, sir .

Mr. Ranganathan: Thanks. Good morning, everyone. On behalf of Avendus Spark, it is our pleasure to host the Q2 FY '26 Earnings Conference Call for Senco Gold Limited .

Today , from the Management side, we have Mr. Suvankar Sen – MD and CEO, and Mr. Sanjay Banka, the CFO.

Now, I hand the Conference Call to the Management for the ir opening remarks, followed by a Q&A section. Thank you. Over to you, sir.

Suvankar Sen: Thank you, Mr. Ranganathan. This is Suvankar Sen – the MD & CEO of Senco Gold Limited, and we would like to welcome everyone of you to the Conference Call . And as we begin the call, I would be happy to share the updates.

Primarily, if we look at this Q2, Senco Gold and Diamonds has achieved a very good performance in terms of an increase in profitability, whether you call it adjusted or without adjustments.

So, in terms of PA T, we have increased our PA T by almost 300% compared to Q2 of last year, from INR 12.1 crore to INR 48.8 crore. And if we take the adjustment of the customs duty impact that was there, still there would be an increase in PA T of 43%.

And t his is very important because at this high gold price, when we could see that there were certain headwinds in terms of the sales, especially in the month of September, where consumers were in the mood of postponing their purchase and were confused as to what to do with the increase in gold price. A s a result, we have seen that in a consolidated manner, our revenue growth has been about 2%, so about INR 1,536 crore compared to INR 1,500 crore of revenue in the previous year's quarter. But in standalone financials, we have seen a 6.6% growth for the company.

Now, t here are certain good things that have happened during this quarter that we have been able to continuously innovate with jewellery as per the demand of the consumer. And as a result of

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the planning in terms of marketing, promotion, and product development, we could see that there was a very good response in terms of revenue in the month of October.

We had clocked the highest -ever sales in any single month of INR 1,700 crore s in the month of October , compared to about INR 1,100 crore s of sales in the previous year's October month of the festive season. A nd as we speak to you, we have already crossed INR 5,000 crore s of revenue growth, which makes us strong enough that we are moving towards the target of our revenue growth of INR 7,400 crore s for the whole year.

So, that is one very good sign. And t he momentum post the Dhanteras buying also continues to remain strong. There are a strong number of days for the upcoming wedding season. We can see that whether it be November, December, January, February, right up till March, there are a large number of wedding days , and t here is a sentiment in the consumer's mind that in this volatile gold scenario, the prices of gold could go up, which is making the consumers come and prepone their buying, which is for the next year to this year, and ensuring that the wedding jewellery sales continue to happen.

In terms of average selling price and average ticket price in an increasing gold scenario, we have seen that it has almost gone up by 16% to INR 86,200. So, t hat is o

ne important point to take

note of. The other aspect that we need to take note of is that the old gold exchange in the overall transactions that we do with the consumers, that has gone up to 42% to 43% from a 35% a year back, which shows that consumers are utilising their old gold to exchange for new jewellery that

they are buying.

We are currently seeing year -to-date (YTD) value growth of almost 25% year -on-year.

However, despite this strong value growth, volume growth is minimal remaining in the low single digits or almost zero primarily due to rising gold prices. People are looking at buying lighter -weight jewellery in 22 karat, or in diamond jewellery , we are seeing that there is a tendency to buy 9 karat and 14 karat just to make and fit into the budget of the consumer.

One good thing that has happened which is helping the profitability is that the stud ratio continues to remain strong at about 12%. Our effort and endeavour is, as a company, that we continue to make good designs. We have right now more than 200,000 designs in gold jewellery and 100,000 plus designs in diamond jewellery and the growth that we intend to do, we can be more sure that the 20% growth for the whole year will be very much in the pipeline. Continuing with new designs and working on optimising the stock at this high gold price scenario, we will continue to look at increasing the ROE and the ROC E of the company and take it to a very nice, handsome, robust level.

So, thank you very much. From my side, I will request Mr. Banka to share his thoughts.

Sanjay Banka: Thank you. Just to give once again a sharper background, we have launched six showrooms in Q2 and a total of 16 showrooms we have launched in H1 we are cognizant of the SS SG growth.

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So, while the Q2 growth has been slower, and as he said, this industry sometimes depends upon the gold prices. So, since the gold prices were extremely high in Q2 and the GST cut was very important, people were waiting for the new GST rate to come into effect, and they had withheld their jewellery purchases for the purchase of capital goods.

So, that was one of the major reasons for the slower growth in Q2, coupled with global uncertainty and the rains in Eastern India. Accordingly, the moment these things settled, we saw huge growth in October, which was almost more than 50% growth Y-o-Y in October, INR 1,700 crore plus sales, and YTD growth again is back on track to 25%. And we have given a guidance of around 18% to 20% growth for the rest of the year, which means that 25% plus 18% to 20% for five months, we would be crossing 20% growth for sure for the whole year.

Financial numbers you have seen that the revenue growth in Q2 was 6.6 % on a standalone basis , whereas our consolidated was 2%. But we have to see the number for the TTM growth. So, when we published that TTM number as well, we are very happy to inform you that the trailing 12 months sales have crossed INR 7,400 crore. This is one of good signs which shows that clearly for the whole year, we will be crossing INR 7,400 crore.

Similarly, EBITDA margin for the quarter and for the whole year has been range bound. So, you would see an EBITDA margin improvement of 340 bps from 3.5% to 6.9% on a consolidated basis and similarly, EBIT margin growth Y -o-Y from 3.3% to 6.9%, once again 360 bps growth. And moreover, for Q1 and Q2 both taken together, the PAT is INR 153 crores. This is almost 75% or 80% of last year's PAT. Obviously, the adjusted PAT was slightly higher at INR 200 crores . So, this indicates that the business is quite solid and remains on track based upon the improved stud ratio, the pricing power which we enjoy.

As you are aware, there are a lot of discounting happening in the market, but we maintain the brand image perfectly . We don't indulge in discounting either in the making charges , w

e rather

play in attracting our customers with more new designs and attractive offers. So, this is one part. Similarly, if you look at the balance sheet, you will find an increase in the inventory level from around INR 3,500 crore level to INR 4,200 crore level, which we have explained. This has got two reasons one is the Dhanteras preparedness, and secondly, the gold price rise impact. Similarly, borrowings had also increased, so they have settled down now. But this is a business where the business is hungry for growth, and more and more capital will be required for inventory. When I say capital, I mean capital employed. So that we will continue to infuse in the business in the form of a plowback of profits.

The net debt to equity is also in the range of 0.75. Overall, we are very confident that the business is showing its resilience despite competitive pressure in the market, but we maintain our strength in the market.

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An important point was the GML, whose rate had increased in Quarter 4 and in the beginning two months. The GML rates have come down. So, I think that the slight risk in the profitability, which was there, has also come down. So, that will add another INR 20 crore to the PAT for the whole year. Our working capital limits are in place. Overall, we are very much poised for the wedding season now for Q3 and Q4.

With that, we request to open the call for question and answer, and we will be very happy to answer your queries and curiosity about our company. Thank you.

Suvankar Sen: Thank you, Mr. Banka. Thank you, everyone. I think now we can take questions from all the participants.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: I just had one question. If you all can update on the status of the levels of GML or non-GML borrowing and cash flows as of date, or as of October. Just trying to understand the issue here because typically every 2nd Quarter, as of the first half of every year, the inventory balance would be elevated given the upcoming festive and wedding season. But I wanted to understand what led to the GML mix going down. Were there any issues on the margin side of it, or was it a conscious call if you can please elaborate?

Sanjay Banka: Yes. So, as you said, Videesha, the GML mix was lower in Quarter 1, and that is why from around 65% level, it had come to 51% level. Although GML availability had improved in Quarter 2, but once again, as you are aware, GML is on an unfixed basis. And due to the extreme volatility in the gold prices, we were receiving a lot of margin calls. So, to avoid the margin call pressure, we resorted to CC instead of GML. It was primarily due to the gold price rise, volatility and to avoid the margin calls on the GML.

Videesha Sheth: Just to follow up then to this, what is the approach that you are looking to take going forward? Because gold prices can't be predicted very accurately, right? But on the other hand, you said that you wanted to increase the GML mix. So, how should one think about this forcing mix going forward?

Sanjay Banka: It is a very dynamic situation. See, it cannot be predicted. It is cash flow management on a day-to-day basis. While our ideal target to take the GML to 75% remains there, but as of now, we are again seeing volatility for the last three, four days. So, going forward, we have to see. But in terms of impact, the differential impact is around 6.5, let's say the GML interest rate is 3.5% and CC is around 9%, 6% on the differential will not be a huge amount. So, we weigh the benefit of this higher interest rate on the CC versus the margin call and accordingly calibrate to ensure that our both the profit target, the Opex, as well as the cash flow availability, all these

three

angles are balanced properly. And we will manage it properly.

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Videesha Sheth: And would you be able to share the current GML levels as of October '25?

Sanjay Banka: It is too early. I don't have an exact number, but I think it is around 54%-55% only because the rates remain volatile. The margin call risk is there. There is always a risk of the gold rate moving in either direction. So, it is better to manage the working capital more importantly at this stage.

Videesha Sheth: And the second question was, while you have called out that at the retail level, you have seen 50% plus kind of a revenue growth. Would there be a similar divergence between retail versus company-level sales, or can we expect company-level sales also to be north of 30%-40% for the month of October?

Suvankar Sen: No, I think that the divergence won't happen. This kind of growth that we have mentioned is at a retail level as well as at a company level. Yes.

Moderator: The next question is from the line of Raj Sarraf from Finvestors. Please go ahead.

Raj Sarraf: A couple of questions from my side. So, I just want to understand that every listed gold company has, though they have volume degrowth for this quarter, but the sales number is actually a multiplication of volume and the growth in the gold prices. So, by virtue of that, they have posted at least, as I talk about the biggest peer, that is a north of 20% sales growth. So, I just want to understand whether the spending pattern in the region in which a majority of our branches are also a factor?

Suvankar Sen: So, are you talking about the volume degrowth and the profitability linked to that? Just to clarify what exactly is the question.

Raj Sarraf: I just want to understand that majority of our branches are in eastern sectors so, that is the reason or the spending pattern of that region has actually pushed us to have degrowth in this quarter while our each and every peer has posted some kind of sales growth driven by the gold price spike. So, why didn't we be able to get our revenue at least passing with a good number?

Suvankar Sen: Yes. See, there could be a possibility that 60% to 65% of our stores and business is from the eastern part of the country. And as a result, in Q2, we have seen that the growth has not happened as per our peers.

But overall, if we look at H1 and if we also look at October, we have seen the growth that has happened and also continuing in the month of November, it kind of reinforces the fact that a particular quarter should not really be a matter of concern and worry.

And also, amongst our consumer base we must keep in mind that almost 65% of the business that we get is from our loyal customer base and our repeat customers. So, for them as well,

everyone looks forward to buying something for the auspicious season. And there were continuous efforts and relationship-building exercises during the month of September. And as a Senco Gold Limited
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result, we have seen that in October, we have had a growth of almost 55%- 60%. So, maybe that is one of the reasons why the other peers have not been able to see that kind of growth level in October that we have seen. But all in all, in YTD, again, maybe I am repeating that we are seeing a YTD growth of almost 25% as on date.

Sanjay Banka: Mr. Sarraf, if I can build on this query, West Bengal and the eastern region of India have been, in fact, somewhere I have read that West Bengal is among the top five fastest growing economy states in India. So, to set risk to speculation, eastern states are growing equally. The spendings in eastern states remains the same. This disparity which we are trying to see, whether the eastern states have grown less, whether consumer spending has reduced, that is not the reason. So, maybe Durga Puja could

be one of the reasons. GST 2.0, where customers have suspended their purchases for the purchase of capital goods. So, the cultural pattern varies from region to region. I think that could be one of the reasons. And that is why we have disclosed this Dhanteras sales and 25% growth is there, while 80% of our sales come from the eastern region.

Even from a future perspective, the market is quite strong. The GDP growth in the eastern region is strong. The state governments are stable. Your Bihar results will come soon. So, we think that on a pan-India basis, our business remains de-risked in terms of growth, while there has been a slight difference in growth. But overall, in the long term, we see our portfolio equally distributed and totally de-risked. And we are always confident of 18% to 20% growth year-on-year for the next 5 to 10 years minimum.

Raj Sarraf: The next few questions on, sir, margin this year has been to H1, that is north of 9%. Our sustainable margin is 7%. Though I have gone through the presentation in which there is a mention that this year the margin would be 8%. So, I just want to understand how much hedging has helped us, and how much percentage are we hedged right now?

Suvankar Sen: So, our sustainable EBITDA that we have always been speaking about is anywhere between 7% to 7.5%, and to be more accurate, between 7.2% to 7.5%. And it is a blend of the various channels of sales. It is the blend of the various products, whether it be gold, diamond, platinum, silver, all the various products that we are selling. So, we will continue to reinforce the fact that this year also we should also be clocking an EBITDA between 7.2% to 7.4% on a whole year's level.

From hedging perspective, I would like to say that when it comes to hedging in terms of the sales that we are doing, we are almost hedging 90% to 100%. That is buying as much as we are selling. And if we are looking at the hedging levels of the inventory that we have, as we ended Q2, our hedging percentage has been in the range of 65% to 70%. So, I guess that the hedging might have an impact of 0.4%, 0.5% overall, but all in all, most of the gross margins and the profit that has been earned is from the making charges and from the diamond jewellery sales.

Raj Sarraf: So, just give me a clarification, sir, on Slide #7 of your presentation in the profitability growth para, in the last line, you have mentioned that we have maintained our guidance of a sustainable Senco Gold Limited
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EBITDA margin of 7% range. FY '26, EBITDA may be 8% range higher than our standalone outlook. So, are you standing by these statements, sir?

Sanjay Banka: See, what we have clearly said, like let's say in Quarter 1, it was 10%. In Quarter 2, it is around 7.4%. We clearly stand by our guidance of the range bound of, let's say, 7.1% to 7.4%. So, for H1, since it is more than, I think, blended is more than 8.5%, so for the rest of the year, we are confident of 7% range. And hence, the blended for the whole year will be higher. For future also, we are driving the business clearly with a minimum 7% EBITDA target.

In fact, going year-on-year, as we are looking at improving our stud ratio, it should increase by 20-30 basis points more because with a larger network and with larger brand building expenses, which are our strengths, it will happen.

And let us very humbly highlight that our pricing is amongst the best in the industry without taking any name. We don't discount our product. We don't sell too many bullion. So, if you look at even our coin sales, that is only around 4% to 5% maximum for a whole year. Rest assured of a minimum 7% and in the 7% range, earlier we had 6.8% to 7.3%.

Raj Sarraf: So, thank you very much for the clarification. Sir, just last question from my side. Sir, as you are saying that the consumer must have held themselves for the festive

season, so I have gone

through some of the peers' festive season updates. So, two of the peers have grown even more

than 70%, and one is more than 100%, which is in the southern state. So, the trend is absolutely saying that the festive season has been good for every jeweller.

What I am not able to actually understand in our entire year is why we have not grown on the sales number, whether each and every small and big company have grown at least the sales at least 20%, and we have not grown, sir.

And one more clarification. This is my last question. Year-to-date growth of 25%, it is on standalone basis or consol basis? Because in the last H2 update which you have given, there has been written 6.5% growth, and there has been not written the standalone, consolidated. So, I was expecting at least that the consolidated number to be at least 6% more than the last quarter of the last year. That is what actually more than 2%, and the standalone number is 6.5%. So, sir, please clarify this.

Suvankar Sen: See, if you look at the difference, it is around INR 40 crores to INR 50 crores, right? Between say 2% and 6%. So, around INR 40 crores, INR 50 crores is the difference between standalone and consol. So, even when we are saying INR 1,700 crores versus INR 1,100 crores, it is that we initially speak of standalone. And if there is any deviation, it will be in the range of 2%. So, it is not going to be a major range.

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So, our standalone and consol, as I shared in the previous answer, is at that same level. And this 24%, 25% growth that we are seeing on YTD, primarily it is on standalone, but the difference, even if it is there, will be in the range of 1% to 2%, not more.

Moderator: The next question is from the line of Ankit Minocha from Adezi Ventures Family Office. Please go ahead.

Ankit Minocha: If I look at the sequential numbers for margins, what substantially changed in Q2 versus say Q1 and Q4 previous to that, the EBITDA margins have come down? What would you attribute this to? And could we also say that in Q4 and Q1, there was a higher level of inventory gains that would have not come in this quarter?

Suvankar Sen: Mr. Banka, are you there to take the question? I will just answer this, while we are waiting for him to join, so we have to understand that the 10% that had happened in Q1 was something which we explained in the last earnings call is because of the hedging percentage being on the lower side, we could get some more profit. And we had also determined that was in the range of INR 20 crore to INR 25 crore, and that was the Q1 scenario.

But what we have seen in Q2 is that at the current hedging levels of 70%, the EBITDA number has stabilised. What we always say is that EBITDA will be in the range of 7% to 7.5%. So, here, we are seeing that the EBITDA is at the standard level with the stud ratio at around 12%, and the jewellery has been selling the way it has been selling.

Another benefit that happened in Q1 is that we had done INR 1,800 crore sale and leading to a higher overall absolute numbers of gross margin, which kind of percolated into the overall profitability. But in this Q2, we have had INR 1,530 crores of revenue sale, and that is what the overall impact has been.

And again, Q3 with a much higher sales number, we hope that when the sales number becomes a little higher, the operational leverages come into the picture, and there could be some extra benefit if it happens. So, yes, you could say that Q1 had an extra benefit of having a lower hedge ratio, but Q2 did not see any such extra benefit, and it is on the stable side as per our expectations.

Ankit Minocha: So, how should we understand the inventory gains and losses that could be coming up considering your hedging policy? I mean, if it is, say, changing from quarter-to-quarter, then in that case, the margins

would also be widely different. Also, should we not be seeing stronger EBITDA margins for the next two quarters for H2 considering the strong rise in gold, and that we should expect some more inventory gains?

Sanjay Banka: So, see, in the first place, we are not guiding for a higher EBITDA margin than earlier we had said 6.8% to 7.2%. But even right now, I said 7.1% to 7.3%. Clearly, the market is quite competitive. And see, every quarter, we don't increase or reduce our prices, making charges, or diamond prices, right?

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So, clearly, we are expecting a range bound EBITDA growth in the future. And the pricing sometimes is dependent upon extreme competition. Even some listed players are offering discounts on gold. So, you see that we maintain our pricing policy constant. We ensure that instead of offering discounts on the gold or making charges, we rather attract customers with the new and innovative designs. So, for future, look at similar number.

Yes, Q1 was higher, which we had called out as part of the higher side. So, when the EBITDA

was around 10.1%, we had clarified that a part of the higher EBITDA is due to the hedging, I mean, the realization gain. And you see that there was a huge fluctuation in Q1 in the gold prices, whereas in Q2, the quarter -on-quarter increase in gold prices was only 6%. July and August were almost at the same level as June. And only in September, partially, it has increased. And that is why you have seen a stable EBITDA margin.

Now, looking at Q3, you would have seen that the prices had come down. If the prices remain stable in the same range, then you can certainly look at 7.1% to 7.4%. But if prices rise considerably high, then we have to see what the result is, but minimum will be 7.1% to 7.2%.

Coming to your hedging concern, I think if you kindly look at our presentation on hedging, we have very clearly clarified that hedging has to be seen from two perspectives. One is on the sales hedging, which is almost 90% to 100%.

I would rather go one step ahead, and I will say 105%. Because whatever I sell, I have to purchase on the same day to keep my inventory level. In fact, for the new stores and for the upcoming festive season, I will end up buying more than that. So, I will say 105%. So, that is one very important part of the hedging which can show that at a business level, so I am distinguishing two parts. At a business level, definitely we don't lose.

Now, accounting, once again, is subject to the weighted average cost in there. I think as a suave businessman and as a prudent investor, we have to look at both sides as the inherent strength of the business. I think that should be enough, and we will surely gain confidence in our business model and risk management practices.

Ankit Minocha: Thanks for that. That's quite clear. My second question is with regard to now investment levels that you would have to see for, say, new franchise partners to come on board. I mean, considering how gold has risen, I believe the investment for a new franchisee in the channel would be becoming significantly higher. How are you seeing the impact of this issue currently, and how do you think that this issue could be dealt with in the future?

Suvankar Sen: See, one good thing that we have seen in this financial year is that we have already opened 8 franchisee stores, and the management focus is that we will drive in more and more franchisees. So, we have about 4 to 6 more franchisees that are to be opened in the pipeline, and our effort is towards building connections and having a focus on opening more and more franchisees.

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So, even in the future, when we plan to have our growth journey in terms of number of stores, we will continue to look at seeing the opportunities that are lying in the tier two, three, and

four

towns and cities. And in this increasing gold price scenario, two things have happened. One is that the confidence of not only the consumers, but also the potential franchisee buyers in gold and silver as an asset class has grown, and their interest towards opening franchisees is also very much there.

It is just the ability to have the commercial capital to open the stores. And we have multiple formats of stores for Senco compared to many of our competitors. We have stores in tier two, three, and four towns and cities with various levels of inventory. Also, our Everlite model, which is the INR 6 crore to INR 8 crore of capital required to open a store focusing on lightweight jewellery, is very much there as well.

So, our focus is that the future growth potential will continue to remain strong, and our effort towards opening more stores through franchisees will be there. Yes, as you said, the other competition players are also there. So, I think that the market overall, let us not forget that it is a large market, and India is shifting from an unorganised to organised situation. And in this scenario of a higher volatile gold price, players like us, the organised players, will continue to remain strong and keep opening stores. So, I guess, that is the way to look at it.

Ankit Minocha: And my final question was to understand, say an inverse scenario happens and gold prices were to start going down next year. Now, what is the impact of that on your profitability and considering your hedging policy this year? What kind of scenario should we build in if in case gold prices start dropping slightly next year?

Suvankar Sen: We have a very strong framework, and the hedging team is working as per that strong framework and guideline. And if the scenario of the various scenarios builds up that you are talking about, and the gold prices suddenly are in a downward trend, then this 60%, 65%, 70% hedging can be very comfortably converted into an 80%, 85%, 90% hedging.

And if you look at it, it is only in the last, I would say, six months to nine months in this gold price volatility that we are keeping our hedging ratio at about 60% to 70%. But in the previous financial year, we were at 85%, 90% hedging. There are certain constraints of liquidity of margin calls that force us to reduce our hedging position from 80%, 90% to 65%, 70%. But in your kind of bearish scenario, we will make sure that as per the framework, we will increase our hedge percentage.

Sanjay Banka: But on the sales level, we are at 100%.

Suvankar Sen: Yes. And to again reinforce the fact that at the sales level, we will always remain at 90% to 100%. So, that much confidence and comfort is something that you can take from us.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

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Devanshu Bansal: Congratulations on a good growth pickup in festive and the guidance update on both growth and margin front. Suvankar, I wanted to understand the payables have increased in H1, so we were able to get higher credit period from our vendors. So, what different are we doing now in terms of sourcing versus what we were sort of practicing earlier? So, just your thoughts if there is a strategic change here.

Suvankar Sen: The payables, is that what you are saying?

Devanshu Bansal: Yes. Payables have increased. So, has there been a change in sourcing strategy? Has there been a change in credit terms from vendors? I wanted some thoughts there.

Suvankar Sen: Devanshu, what has happened is that in the month of September, it was just before the peak festive season. And this time, if you see that the Navratri started in the last week of September, and Dhanteras was in the middle of October compared to usually Dhanteras and Diwali being towards the end of October.

So, as a result, with our expansion

of network and the increase in stores, we have tried to ensure that we have enough inventory at the various store levels, and we have taken support from our suppliers and vendors for the festive season to ensure that we have enough and more inventory at the stores.

It is because of that planning that we did from before that we could make sure that the inventory was there in the stores during the peak festive season, and we could achieve the sales that we could have achieved. So, it was more from that perspective rather than any kind of change of policy. It was more in terms of planning. That is the reason why the payables have been on that side.

Devanshu Bansal: So, small follow-up on my first question. So, that implies that debt levels would still have remained at the September end levels, right? Because whatever payable deductions must have happened must have been through internal accrual. So, debt level sort of must be at a similar level as of now.

Sanjay Banka: Yes. Devanshu, at least for December, let's say the debt level has come down now. So, the debt level is always elevated in March and September for the Dhanteras preparedness, and it comes down by INR 300 crores to INR 400 crores. And let's say by December, depending upon the seasonal requirement, as far as March '26 is concerned, the debt level will be slightly more elevated than the September level because we will be stocking for the upcoming Akshaya Tritiya and Pohela Boishakh and a further 20% growth. So, if it is TTM for INR 7,400 crores and 20% you add on that, the debt level will increase. But we have to look at the debt-equity ratio, and net debt-equity is 0.75%. So, with this, we will continue to be range-bound in terms of the financial indicators.

Devanshu Bansal: Yes, sir. I agree with that, it is in a good shape.

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Suvankar Sen: Devanshu, see, business is of the utmost importance. And if you look at it this time in the upcoming season, Akshaya Tritiya is on 19th of April, right? Usually, Akshaya Tritiya happens at the end of April or in May. So, I think for the industry, we need to make enough and more inventory for that particular season and the day. So, that is how we have to keep it in mind.

Devanshu Bansal: So, second and last question from my end. This is in reference to studded sales. There is almost a 25% better realisation that we are able to command for studded sales. So, wanted to check, is it largely due to increase in the gold component in studded sales, or we are seeing better realisations for natural diamonds also within that mix? So, just your thoughts here.

Suvankar Sen: So, I think that in terms of realisation, we have had growth in diamond jewellery as well as value growth in gold jewellery. So, I guess that with the festive season coming in October and the build-up, it has been both sides. And we are also using technology and tools to optimise the stock. And that is of most importance in this high gold price scenario.

I have been saying it in each and every earnings call, that at store level, we are looking at the faster-moving inventory, the top-selling design, all of it. And the merchandising team is working with that. And for the industry, when the gold prices have gone up by 40% to 50%, we have to actually get into the minute levels of what is the budget of the customers is, what the weight ranges are that are moving. The same designs might be selling in a much lighter weight, and we have to keep working on that. So, those kinds of initiatives in terms of building efficiency are being done. And I guess that could be one of the main reasons why you are seeing this kind of

better sales .

Devanshu Bansal: So, Suvankar, I was checking that in October, you mentioned 30% growth in studded, and you mentioned that diamond volume growth is 5%. So, there is a 25% better realisation that

we are

able to command. The question was, what is leading to this 25% rise? Is this largely due to the gold component within the studded sales, or this is also being led by better realisation per carat for natural diamonds? So, that was what I was trying to understand .

Suvankar Sen: The volume caratages have also gone up by, I would say, low double digits. So, there is some amount of caratage growth. And the gold aspect of it in the overall diamond jewellery has also played a role. And along with 18- karat, 14 -karat is of a critical nature. And we have also launched 9-k arat purity products, and we are gradually doing that also to fulfill the demand of having products at the lower ticket size levels of consumers. So, yes, not only has the gold price played a role, but diamond jewellery volume growth has also happened in the low single -digit numbers.

Devanshu Bansal: And lastly, from a realisation per carat of natural diamond, has remained stable? How has that sort of moved , realisation per carat of natural diamond ?

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Suvankar Sen: Realisation per carat of natural diamond has been stable. The prices of natural diamonds have not moved up the same way as it has with the gold prices. So , per carat has been in the similar range.

Devanshu Bansal: Fair enough, sir. Thanks for taking my questions.

Moderator: The next question is from the line of Naveen Trivedi from Motilal Oswal. Please go ahead.

Naveen Trivedi: Just quickly, what was our same store sales growth for this quarter? And my second question is on what are our gross margin for our studded jewellery ? I remember I think earlier we were guiding around 25%-30% sort of a gross margin. So, if you can just give us these two numbers.

Suvankar Sen: So, you have to look at the same store sale growth for the quarter, for the half year, and also YTD. So, first, in terms of SS SG growth of Q2 has been -4%. SS SG growth for six months, H1 has been +8%, and SS SG growth for YTD October has been 17%. So, that is where one has to look at the bigger picture. That is in terms of S SSG. And the other question you had was ...

Sanjay Banka: Naveen , actually, you asked a question on the gross margin on the studded product. I think this is slightly sensitive information and very competitive information. I think let us look at the blended gross margin and blended EBITDA. We can take this call one -to-one.

Naveen Trivedi: I was just trying to understand because our gross margin this quarter and the previous quarter has seen quite sharp sort of a recovery. There can be a little bit kind of because of studded also did well compared to the gold jewellery side. So, just trying to understand the math for the gold jewellery gross margin, how that has kind of seen expansion, and then how the other vessel business has seen.

Suvankar Sen: And then also we can, there are so much more detail in terms of gross margin because of the product mix, because of the channel sales, all of that. So, yes, there are certain things we can share and certain things which are confidential.

Naveen Trivedi: Just last question on the SS SG, you mentioned negative 4%. Do you think that since our customer base is more for the lightweight jewellery and slightly lower on the average order value, they are more sensitive to this gold inflation compared to kind of other players? And thereby, we have seen this kind of a portfolio issue and as well as the volume sort of a kind of a pressure this quarter. Is the understanding right?

Suvankar Sen: See, it is partially right because this quarter is just like something that we could see that in the month of September, the gold prices started shooting up. And we could see that in the minds of the consumer while we were all reaching out and talking to them , there was confusion that is this gold price at these levels sustainable? Let us wait and w

atch, and we will take the purchase decision later on.

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So, that was the overall feedback that we got from our customer base. But these same customers who are in this kind of a situation of wait and watch, when actually in the month of October, as we moved really into the festive season and it was Diwali and Dhanteras , they went and they bought.

So, that has been the behaviour of our consumers for this particular quarter. And that is where we are continuously guiding you all that don't get influenced by just the Q2 numbers, but look at the October numbers, and you will see that it is actually maybe a postponement of sales from

September to October, and that is the reason that has happened with our consumers. That is the way to look at it. And yes, the sensitivity of price is there, but you look at the ATV numbers. That has also grown by 14% to 15%. Volumes have come down. We are also developing products which are within budget, lighter weight, so that our consumers can continue to afford and buy. We are focusing on everyday wear jewellery, not only the heavy wedding demands. So, our whole thought process is how the middle, upper middle class of India can continue to buy jewellery even at these kinds of volatile gold price scenarios. So, that is the way to look at it.

Naveen Trivedi: Just a little bit since we are guiding second half is a very promising outlook. Now, if I look at the gold, again, sort of seeing inflation sort of a trend, when you are guiding this kind of a growth rate for second half, are we seeing that the gold sort of will remain in the lower side zone, and that is why you are kind of optimistic about second half, or you think that the gold can go up and then again customer base can still be in the sidelines and we may see some sort of a destabilization in the guidance compared to the guidance what we have? And that is all from my side.

Suvankar Sen: No, see, my optimistic guidance on the second half is because we have seen a very strong number in October, and we have seen that post-Dhanteras, usually people are in a mode of wait and watch, but this time we are in the middle of November, and we could see that consumers are coming, buying, and the positive movement is there.

Plus, the number of weddings that were not there enough in Q2 this time, there are a large number of weddings that are there in Q3 and Q4. So, that is also giving us the confidence that consumers will be buying, whether it be for gifting, whether it be for wedding purchases, so that will continue to happen. It has nothing really to do with gold price, but more with the other business opportunities related to jewellery buying. And that is how one has to look at it, and we are developing new designs to fulfil the need. So, that is the other strength on which we are banking upon.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking Limited. Please go ahead.

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Bhavya Gandhi: I wanted one clarification. Say, for example if our weighted average cost of inventory is INR 100 and the gold price is currently at INR 150, can we assume that until the gold price falls back to INR 100 or below INR 100, we will not see any loss on inventory because we have to value inventory at cost or NRV? So, is that the correct understanding? So, even if in a rising gold scenario, that INR 100 has become INR 150, if it comes back to INR 130, still we will not see any loss till it reaches back to INR 100, which is the weighted average cost of inventory, which is sitting on your books. Can you provide some light on that?

Sanjay Banka: Bhavya, it is a very long subject, so I would request you to refer to the FAQ which we published in Q3, and even the current slide. It is a much longer discussion. It is very difficult to explain

in

few words. So, particularly, let's say my current inventory of INR 4,200 crore, it has got some rates at INR 12,000 per gram.

Now, the weighted average cost happens on a daily basis. So, if the price comes down, the cost comes down. From that cost, the margin is decided. It is linked to the hedging level also. As we said, if price keeps coming down, we will swiftly increase the hedging ratio to 80% to 90%.

I think that we are more on the accounting issue. Let us understand the business issue.

Whatever I sell today at a lower price, if price comes down to say, INR 9,000 per gram, I will buy at INR 9,000 per gram. The business model remains intact as it is.

Now, accounting may impact the weighted average cost will never ever give a symmetric result for the same quarter. But if you look at two quarters or three quarters, it will normalise, and it will become symmetrical. That is all I can say.

Bhavya Gandhi: Sir, my second question is regarding the OCF. Since last four years, we have seen negative OCF.

So, if you want to maintain 18% to 20% growth guidance for next maybe couple of years, how do we fund our money for the COCO? I understand one on the inventory side, you will be taking GML, but ultimately, you will have to repay GML also. So, on the OCF, if you can throw some light, when can we expect positive signs? Because gold price, let's assume that if it is trending upwards only, then your OCF will continue to remain negative. Then how do you balance growth versus OCF?

Sanjay Banka: Let me make it more simple, Bhavya, because OCF, we are looking at from an accounting angle, operating cash flow. So, if I have to set up, let's say, 10 more stores, 15 more stores next year, I need INR 300 crore. That is all, right? INR 300 crore will be funded from the PAT and the working capital borrowings. That's all.

So, the OCF, what you are seeing is an optically looking negative. I looked at some other players as well. Somebody was positive. Okay. But whenever there is a cash flow crunch, it is met by

test table and for a shorter period for Akshaya Tritiya and Pohela Boishakh and as well as Dhanteras . But the long-term plans are in place. The working capital line, which has been
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increased to INR 2,400 crore for March '26, maybe it will increase to INR 3,000 crore by March '27.

So, every jewellery company, you would see the working capital borrowing rises, trade payable rises, and the capital employed is partly funded by either equity or QIP or by the ploughing back of profit. So, we are in a very comfortable situation, and I want to assure you that OCF will not become an impediment for the growth of the business.

Bhavya Gandhi: And just to follow up on this as well, sir, say, for example, 18% to 20% if gold price remains stable or even if it falls, will we be able to substitute enough volumes? Because I understand you will be adding new stores, 18 to 20 stores every year. Then SSSG will go for a toss for the existing stores because then the gold price rise won't take place. So then how do you get to that 18% to 20% mark on a longer-term basis?

Suvankar Sen: No. We have always been stating the fact that if we consider a stable gold price scenario, our SSSG is in the range of 12% to 14%, and the new stores add about 6% to 8% in the overall growth mark.

So, when the gold prices will be stable or it will be down, and it is not something that we have seen recently, but over the last 15, 20 years, that consumers start buying higher quantities, they get more stable, more customer acquisition, more footfalls, and that will compensate for the stable or lowering of the gold price. So, that is the way moving forward.

So, in an increasing gold price scenario, value will go up. Come down in a decreasing gold price scenario or a stable, volumes will go up, value will be in the same kind of range.

That is the way

to look at it, and we are confident to keep on achieving the same.

Bhavya Gandhi: And just last thing, if I can squeeze in. Hypothetically, let's assume for this entire INR 4,200 crore inventory, if you want to hedge 100%, how much running capital do you require? Maybe like 10% is the margin money that you require, and some you want to have money for mark-to-market. In absolute capital terms, if you can tell me what could be the amount, say for example, INR 500 crores, INR 300 crores, just broad range also will help just for a layman to understand.

Suvankar Sen: Bankaji, I think what he is saying is that right now it is something that cannot be said off the cuff. He will have to do some checking and then get back to you.

Bhavya Gandhi: Sure. That's it from my end.

Moderator: The next question is from the line of Rupesh from Long Equity Partners. Please go ahead.

Rupesh: Most of my questions are answered. I just have two data-keeping questions. First is in Q2, in Q1, you said INR 20 crore was the inventory gain at the gross level. If you can give a similar number for Q2?

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And second question is, stud ratio I think is at 12%, and we are looking at a strong wedding season. So, do you see this number going to maybe 12.5% in, let's say, March, and then maybe we can target 13% next year? These are the two questions.

Sanjay Banka: So, I missed the first question. Kindly repeat. Certainly in Q1, due to the higher EBITDA of 10.1%, based on our working, it was around INR 20 crores we said as a realisation gain. Are you asking what is the realisation gain in Q2?

Rupesh: Yes.

Sanjay Banka: It is around INR 5 crore to INR 6 crore. In the opening remark itself, sir had said that it is around 50 basis points on INR 1,500 crore. So, that is the number.

Rupesh: So, around INR 7 crore to INR 8 crore Okay.

Sanjay Banka: Yes. INR 7 crore to INR 8 crore. So, to put it differently, had we held at 80%, then the EBITDA would have been lower by a maximum of INR 7 crore.

Rupesh: And the stud ratio, sir? Second question.

Sanjay Banka: What was the second question, please?

Rupesh: I said the stud ratio is already at 12% in the first half. We are looking at a strong wedding season Q3, Q4. So, do you feel we can go to, let's say, 12.5% by March and then maybe target 13%, 13.5% next year?

Sanjay Banka: No, we are definitely aspiring. Our whole focus is to delight the customers with more and more jewellery designs. So, the number is just a percentage. Our target is to reach out to more customers with diamond jewellery and why 13.5%. If I have my results, I would like to make it 15%. But yes, for the rest of the year, it all depends upon the market competitiveness.

So, despite the best of designs we provide, we have seen a huge growth in Q3, in Q4, and Q1. It

was slightly lower in this quarter. Plus, some people found it attractive to invest in gold, and they were looking at a huge profit. So, it is a percent of choice versus treating gold as an investment. And we will use a middle path to attract both streams of customers. So, to give answer to your question, yes, we are looking at 13%, 13.5%, for FY '27. Now, for H2, we are ready with a lot of designs with a higher focus on the lightweight diamond jewellery. And as you say, it is a social media world. People focus more on the earrings and the necklace, etc. So, we are prepared for that.

Rupesh: Thank you for answering my questions.

Moderator: The next question is from the line of Vijay Chauhan from Right Horizons PMS. Please go ahead.

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Vijay Chauhan: So, if you can just qualitatively mention about the consumer trends in the wedding season that has started right now. And is there any challenges we are looking at in terms of, let's say, consumer buying pattern

erns? So, that will be quite helpful. So, I am looking mainly for the qualitative point of point and the growth that we have mentioned for the October in the press release. So, are we expecting similar kind of growth in the November, or we see tapering down the growth because it was more of a festival-related sales? So, any verbal or any specific range will be also helpful on that side.

Suvankar Sen: So, the October sales growth is because of the festive season. And we think that the growth will continue to happen, but not in the same rate as we have seen in October. But from a subjective description point of view, we are still seeing growth of 20% and upwards in the current scenario also. That is one.

Second is that consumers are kind of accepting these high level of gold prices. And whether it is from their old gold exchange or from buying with the money that they have, I think that they have realised that, yes, gold will remain in this scenario, and they will have to buy. But at the

other end, we have seen that while the ATV and ASP have gone up by 15% to 18%, but the weight ranges that people have bought on average have come down by 10% to 12%.

So, if, suppose, someone was buying 10 grams worth of jewellery, he is now buying 9 grams worth of jewellery. So, that is the other aspect that we have been seeing from a level of subjectivity. And yes, lighter-weight jewellery, whether not only in terms of small items of rings, earrings, pendant, chain, but then we have also seen that in necklaces and bangles, consumers are trying to opt for something which is lighter, spread-out look, and lighter in weight. I think for Senco Gold and Diamond, that is our strength. And over a period of time, we will be working towards developing more and more in those kinds of ranges.

Also, in terms of purity, 22-karat gold was always in demand. But the Indian consumers in many places are also looking at 18-karat hallmark jewellery. And those are certain initiatives that we are taking to keep those kinds of 18-karat jewellery inventory in certain stores and markets. And in diamond jewellery also, along with 18-carat, we are reducing more and more to 14-karat and experimenting with 9-karat.

So, in these scenarios, what is going to happen over a long period of time is that the volumes in terms of if we convert everything into a 24-karat volume, you will see that the volumes in 24-karat will not see that much growth. But in terms of absolute numbers, in terms of making charges, in terms of diamonds, there should be more growth in those aspects. But it is a much longer-term scenario that I am trying to explain to you all. So, yes, I hope I could answer at least part of the feedback that you were looking for.

Vijay Chauhan: Yes.

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Moderator: The next question is from the line of Annanya Singh from Sowilo Investment Managers. Please go ahead.

Annanya Singh: So, I have a couple of questions. My first question would be, how is the demand shaping up for us after the festive season, particularly with the strong festive sales? And given the festive season sales, what is our strategy for managing working capital in the upcoming months just to ensure smooth operations during the wedding season?

Suvankar Sen: So, the demand for festive season continues to remain strong. As I mentioned before, we are seeing growth momentum upward of 20% that continues to stay. And that is a good sign. The other part in which you are saying that what is the strategy that we have? So, currently, November, December, and January, we will continue to focus on the wedding jewellery as a segment and the wedding buyers and the family of wedding buyers. So, that one remains in that focus area.

And then as we move on to Jan, Feb, it is going to be Valentine's Day, the love season, and the

diamond jewellery focus will continue to

remain. And this is something that we have been doing historically as well. So, that is how one has to look at it. And by the end of January, February, it will be time to plan for Akshaya Tritiya, which is in the middle of April. So, that is one thing that we all need to keep in mind.

And we just want to also kind of keep all our investors aware of the fact that every time there is an election happening in any of the states, we see that during those 15 days to one month, there is a little bit of a slowdown. So, we need to be conscious of the fact that how those kinds of events occur. And for those times, we need to plan from before and ensure that either the inventory is there and the customer reach-out happens in the planned manner. So, this is something that we all should be conscious of.

Moderator: The next question is from the line of Ranganathan from Avendus Spark. Please go ahead.

Ranganathan: Sir, my question is on how is your non-core geography or non-Eastern geographies performing? If you could give us some colour in terms of how the growth has been and also in terms of profitability.

Suvankar Sen: So, it is much easier to share with you the growth that we have seen in the out-of-East India markets. The bases are on the lower side, we have seen growth happening overall in the range of 25% to 30% if you look at the overall numbers. So, there are certain quarters that certain zone does a little better than the others. But all in all, if you look at the YTD numbers, the out-of-East India markets have been growing at around upwards of 25%. So, that is the way to look at it.

And in terms of profitability, it is not about East or out-of-East. It is overall, whenever we open a new store, we usually say that it takes about one year if it is a store in the East India market to break even, and it takes about two to three years for a non-East India store to break even. And

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out of the total number of stores we have, we can comfortably say that 90% of our stores are at operational level break even. And 8%, 10% of the stores are something that we are all working towards having a higher growth and higher sales so that the break-even numbers can be reached.

Ranganathan: That's it for me.

Moderator: The next question is from the line of Himanshu from MB Investments. Please go ahead.

Himanshu: My question is, how are we going forward in the upcoming quarter? So, generally, it's been seen September is quite a subdued quarter for you all. And this time around, it has been quite significant. So firstly, what was the reason for that?

And secondly, going forward, how are we going to tap into the coming wedding season and the engagement season that is going to come in? How is the next quarter you are expecting?

December is generally a good quarter for you. So, is it going to be a significantly good quarter, or is it going to be in the mid-range, or is it going to be bad?

Suvankar Sen: No, see, we have seen a growth of almost 55% to 60% in the month of October itself. And currently, we are seeing a growth of upwards of 20%, close to 25% YTD. So, we are kind of positive and optimistic with a strong Q3 as we see it.

And the question on your Q2, Q2 for us always has been amongst all the quarters a kind of a slow quarter. Only in the last financial year, Q2, because of the duty cuts, had a very strong demand from the consumer side. But other than that, Q2 has always been historically amongst the slower quarters out of all the quarters. So, I guess, that is what we have been seeing in this particular financial year.

And with the wedding season and the focus on diamond jewellery, we will be looking and targeting those consumers that are there for those segments and continue to create products and marketing campaigns around it. We have already launched our wedding campaign, and we will be

launching our new set of collections for diamond jewellery. And that is how we are looking at the days ahead.

Himanshu: Just another follow-up question. I am from Gwalior. I visited your local store in Gwalior, and I visited Tanishq's store. So, I think Tanishq is the benchmark for jewellery in India. How would you differentiate between Tanishq? And what would you say you have a better competitive edge than Tanishq in, say, what is it that goes for Senco as a company?

Suvankar Sen: I think one of the competitive edges for us could be a wider range of jewellery that we provide to the customer, right? So, this is something that we have, what I am saying is from our belief and what we hear from the customer base. So, the range of jewellery from a lower ticket size to a higher ticket size, we keep a wider range. In terms of overall designing, we also try to keep a much more variety of designs. And I guess that is how it is.

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You have reached our Gwalior store. So, I think that what I am aware of is that compared to our Gwalior store and Tanishq store, we have been able to try our level best to build relationships with the customers and give them that variety. And the store has been in a strong growth phase. So, we are able to connect with the consumers there and provide them with the kind of designs that they are looking for.

And in terms of diamond jewellery, I wouldn't want to compare with any particular competitor. They are all our peers, and we respect each other. But we are also working hard to provide diamond jewellery within the budget of the customers and keeping the margins that we have, we are trying to be as competitive as possible. So, that is how we are working towards.

Himanshu: Just another follow-up quick question. Let's say there is a new franchise opening and you...

Moderator: Sorry to interrupt, sir.

Himanshu: One question. Just it's another follow-up question. So, the question is, what is the tentative investment of a full-fledged flagship store, tentatively, whether at any region, you would say, on an average?

Suvankar Sen: No, it is like a flagship store, a value store, there are various levels. For a full-fledged flagship store, we will say not in terms of value, but in terms of kilos, anything around 30 Kg to 40 Kg of inventory would make it a full-fledged flagship store. And in the tier two, three towns and cities, that quantity can come down by a certain extent. There has to be faster replenishment and fulfilment of stock. So, that is how one has to look at it, and this is the model with which we are working.

Himanshu: That will be all from my side.

Moderator: Next is a follow-up question from Raj Sarraf from Finvestors. Please go ahead.

Raj Sarraf: Thank you for giving me opportunity to ask the question as a follow-up. So, just wanted the karat-wise revenue percentage and margin in each karat.

Sanjay Banka: Raj, what do you want to know? Territory-wise margin percentage?

Raj Sarraf: Karat-wise, sir, like gold jewellery, 22 karat, 18 karat, 14 karat, and 9 karat. So karat-wise revenue share and margin in each karat.

Sanjay Banka: I think these are extremely confidential information. We are basically pricing driven by market competition, availability, and competitive edge. I don't think that this should be shared in the earning call.

Raj Sarraf: Just wanted to understand, sir, if you can't share that lower margin, lower karat gold jewellery would have been more margin percentage.

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Sanjay Banka: No, I think these are business secrets.

Raj Sarraf: Then the other question is, sir, how do we see the store addition? Are we planning to diversify more to the South and Western regions?

Sanjay Banka: No, our focus, as we have said, will continue to be East and North. South and W

est will be more

for only specific cases. That is when we talk about South, as of now, it is only Bangalore and Hyderabad. When we talk about West, it is clearly Mumbai, Pune, and Nagpur where we have opened a franchise store. It is a very selective rollout because there is huge potential still left in East and North. Once that is fully captured, then only we will go.

And as we all know, that the margins are very low in South, particularly, where there is huge competition. And if you look at the public result of the players, you will be able to understand it. So, we are highly focused on margins, ROE, and ROC E. And hence, East and North will be our first choice always. And almost 80% of the future growth, if we are looking, let's say, 20 to 25 stores next year, 80% will come in East and North. We have the blueprint ready in front of us.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Suvankar Sen for closing comments. Please go ahead.

Suvankar Sen: I would like to extend my gratitude to all the members who have attended the conference and for continuously encouraging and supporting us and the team in our endeavours. And I would

like to reiterate that as we see currently, the YTD growth is happening at approximately 25%. So, that gives us a lot of optimism and confidence that we should be able to achieve our 20%

growth year-on-year. And we have already crossed INR 5,000 crores of turnover.

So, therefore, we are very much in the journey. And the EBITDA, as we go closer and closer to the end of the year, we will be more and more confident in terms of giving the accurate figures.

But on an estimate basis, we are looking at anything between 7.2% to 7.4% for the rest of the year. And that will show how it will all shape up, and our effort will be towards the wedding jewellery segment and diamond jewellery in the upcoming seasons to capture the best of the consumer demand and continuously creating designs and products that will fit into the budget of the middle and upper-middle-class customers in this kind of a volatile gold scenario.

So, we are sure of the steps that we will take and driving on the efficiencies, looking at the data, exactly what is selling where, and trying our level best to ensure that our investors' need for a very good number of ROCE and ROE is met and will work towards the same. Thank you very, very much.

Sanjay Banka: Thanks, everybody. Grateful to you for your support and trust in Senco. Thank you.

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Moderator: Thank you. On behalf of Senco Gold Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy. For financials, notes, and details, refer to the investor presentation.

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Summary of Earnings Conference Call Company: Senco Gold Limited

Event: Q2 & H1 FY'26 Earnings Conference Call

Date: November 13, 2025

1. Executive Overview Management reported performance for Q2 FY'26 despite market headwinds caused by high gold prices and consumers postponing purchases due to GST. In addition, in case there was higher base effect of Q2, FY 2025 and flood/ excessive rains in Kolkata / West Bengal during last 2 weeks of September impacting sales. While Q2 revenue growth was tepid, the company achieved a sharp recovery in October 27 with the highest-ever monthly sales and YTD growth of 25%. Management has reaffirmed its full-year growth guidance of 18%– 20%. However, based on the YTD October performance, growth could potentially reach around 22% by year-end supported by a strong wedding season pipeline

and continued strategic focus on lightweight and studded jewellery.

2. Financial Performance (Q2 & H1 FY '26)

- Profitability: Consolidated Q2 PAT jumped by nearly 300% YoY to INR 48.8 crore. Even after adjusting for customs duty impacts, adjusted PAT grew by 43%. For H1, PAT achieved was INR 153 crore, approximately 90-95% of the FY 25 PAT.
- Revenue: Consolidated revenue for Q2 grew by 2% to INR 48.8 crore, while standalone revenue grew by 6.6%. The Trailing 12 Months (TTM) sales have crossed INR 7,400 crore.
- Margins: EBITDA margins improved significantly YoY. Consolidated EBITDA margin expanded by 340 bps YoY to 6.9%, and EBIT margin expanded by 360 bps to 6.9%. H1 EBITDA achievement was Rs 290 Cr at 8.6 %
- Ticket Size: Average Ticket Size (ATV) increased by 16% to INR 847.00 due to improvement in Product Mix, Higher Stud Ratio and rising gold prices.
- Recent Trends (October): The company recorded sales of over INR 1,700 crore in October alone (approx. 50% YoY growth) and has crossed INR 5,000 crore in revenue YTD Oct 25. YTD value growth stands at approximately 25%.

3. Operational Highlights

- Store Expansion: The company launched 6 showrooms in Q2, bringing the total to 16 new showrooms in H1. This includes 11 Franchisee and 5 COCO.
- Same Store Sales Growth (SSSG): Q2 SSSG was -4% due to purchase deferment, but H1 SSSG was +8%, and YTD (up to October 25) SSSG stands at 17%.
- Product Mix: The stud ratio remains strong at approximately 12%. Old gold exchange transactions increased to 42% in Q2, while for H1FY26 they contributed 34% to total sales.
- Volume vs. Value: While value growth is strong (25% YTD), volume growth remains in the low single digits or flat due to high gold prices. Consumers are opting for lighter-weight jewellery (weights down 10-12%).

4. Strategic Updates & Balance Sheet

- Inventory: Total Inventory increased from INR 3,500 crore to INR 4,200 crore, driven by Dhanteras preparedness and new stores roll out.
- Hedging Strategy: Sales are hedged 90-100% (effectively 105% with replenishment). Inventory hedging is maintained at 65-70%. Management noted that if gold prices trend downward, the hedging ratio can be swiftly increased to 80-90%.
- Borrowing Mix: The Gold Metal Loan (GML) mix dropped to ~51% in H1FY26 and is currently around 54%-55% to manage margin calls amidst gold price volatility. The company has enough utilised Cash Credit (CC) limits to manage liquidity, noting that the cost differential is manageable.
- Debt: Net debt-to-equity ratio remains comfortable at 0.75.

5. Market & Regional Commentary

- Regional Performance: Eastern India (accounting for ~65% of business) saw slower growth in Q2 due to Durga Puja timing and GST changes, but rebounded in October 25. Non -Eastern markets are witnessing growth of upwards of 25%.
- Consumer Behaviour: There is a noticeable shift towards lightweight designs (18k, 14k, and even 9k in diamonds) to fit consumer budgets.
- Franchising: 8 franchise stores opened this year with a pipeline of 4-6 more. Focus remains on Tier 2, 3, and 4 cities in East and North India.

6. Future Outlook & Guidance

- Revenue Guidance: Management maintains confidence in achieving 18 -20% revenue growth for rest of the year and with 25% growth already achieved, full year growth is likely to cross 22% .
- Margin Guidance: Sustainable EBITDA margin guidance is maintained in the range of 7.2% to 7.4% for the full year, having already achieved 8.6% in H1

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- Stud Ratio Target: The company aspires to increase the stud ratio to 13 -13.5% by FY'27 .
- Wedding Season: A strong number of wedding dates in Q3 and Q4 is expected to drive continued demand momentum.

Call: Feb 2026

Ref: SEC/SE/ 97/2025 -26 Date: 17th February 2026

The Manager - Listing

The National Stock Exchange of India Limited
"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001

BSE SCRIP CODE: 543936

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcript pertaining to the Unaudited Financial Results of Q 3 & 9M FY26

Pursuant to Regulations 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earnings Conference Call organized on Friday, 13th February 2026 post declaration of Unaudited Financial Results (both Standalone & Consolidated) for the quarter and nine months ended 31st December 2025. The transcript shall also be available on the website of the Company. We request you to take the above on record.

Yours sincerely,
For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary & Compliance Officer
Membership No. A20051

Encl.: As above

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"Senco Gold Limited
Q3 & 9M FY26 Earnings Conference Call"
February 13, 2026

Management: • Mr. Suvankar Sen – Managing Director And
Chief Executive Officer - Senco Gold Limited
• Mr. Sanjay Banka – Group Chief Financial
Officer & Head IR - Senco Gold Limited
Moderator: • Mr. Vikrant Kashyap – Asian Markets Securities
Questioners: • Mihir Shah from Nomura
• Bharat from M C Pro Research
• Vijay Chauhan from Right Horizons PMS
• Devanshu Bansal from Emkay Global
• Rupesh from Long Equity Partners
• Raj Sarraf from Finvestors
• Pallavi from Sameeksha
• Jinesh, an individual investor
• Sonal from Prescient Capital
• Abhijeet from Antique Stock Broking

• Venkat from MIT

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of Senco Gold Limited, host ed by Asian Market Securities. As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikrant Kashyap from Asian Market Securities. Thank you, and over to you, sir.

Vikrant Kashyap: Good morning, everyone. On behalf of Asian Market Securities, I welcome you to the Q3 FY '26 Earnings Conference Call of Senco Gold Limited. Today, we have on the call with us Mr. Suvankar Sen, MD and CEO; and Mr. Sanjay Banka, Group CFO and IR Head. Without much ado, I now hand over the call to Mr. Suvankar Sen for his opening remarks. Thank you, and over to you, sir.

Suvankar Sen: Thank you very much, Vikrant. Happy morning to everyone. We would like to start the call by being grateful to all our investors for having their faith in our team and on our performance. And we must say that this particular quarter has been a historic quarter for Senco Gold Limited. We've crossed INR3,000 crores of revenue, an EBITDA of INR404.6 crores and a PAT of INR264 crores in this particular quarter.

So this is something which becomes much more special because we have seen that this particular financial year has been one that has been extremely volatile. The gold prices have reached INR1,40,000 for that particular quarter. Post that, it has gone up further. And currently, it is in the range of INR1,50,000 plus. There has been a growth of almost 65% in the gold rate and about 23% in the quarter itself.

But in spite of the high gold price, what is most encouraging is that the consumers have continued to keep their faith and confidence in gold and jewellery as a category. We had Dhanteras in that particular quarter. The wedding season was in full swing. And keeping all those 2 aspects in mind, we have seen that itself on the Dhanteras month, we have had sales of INR1,716 crores for the month of October.

But very important that we, as a team, have kept in mind is that at these high gold prices, how is the consumer behaving? It is not that the high gold prices are discouraging the consumer. It is rather that their faith and trust in the commodity of gold or silver as a category is increasing. It is only up to us as jewellers to fit into the budget of the consumer , create products, whether it be in 22 -carat, 18 -carat, 14 -carat or even 9 -carat, which became allowed by the BIS agency, by the government of 9 -carat hallmarking.

And I think we can proudly say that Senco Gold & Diamonds has been one of the first few jewellery brands to have introduced 9 -carat jewellery in gold and in diamond jewellery as well. And it is this mindset of trying to understand the pulse of the consumer and fitting to the budget of the consumer, that is allowing and enabling us to continu e to sell and continue to grow.

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Our hyperlocal strategy that we have been pursuing for the last 1 year, 1.5 years, studying very closely on the local consumer needs, the use of technology in analyzing the data as to what is the exact product that is being sold at the store level in terms of design, in terms of budget, I think that all have played onand it has become that much more important in today's day and time in analyzing the data and exactly placing the right kind of product that is going to fit into the budget of the consumer.

Our franchisee revenue out of the total share has been 33%. The company's own stores revenue has been around 65% , and 2% ha

s been on the other channel sales. And I must tell you that this particular quarter, because the share of our own store channels has been higher than that of franchisee, that has been one of the major factors that has led to a higher profitability.

The fact that our diamond jewellery studded ratio sales have also gone up by 38% in terms of value and 10% in terms of volume has also played a pivotal role in adding to the profitability for that particular quarter.

Now in terms of designs, we have launched more than 6,000 designs in gold and more than 3,000

designs in diamond for the quarter, new collections, new ranges, whether it be for weddings, whether it be for everyday wear, or gifting. I believe we have always segmented the various needs of our consumers and designed our offerings accordingly.

Our philosophy and our vision is that Senco Gold & Diamonds should be known as a house of design, whether it be in jewellery or in other accessories. After all, being from a place that is of art and culture, design should be our forte, and that is what should make us continue to grow in the future.

We have also seen that the growth in the Tier 2 and Tier 3 markets has been robust as well. Currently, we have 196 stores in the whole network. And hopefully, by the end of this quarter, we should be reaching 200 plus stores as we end this particular quarter. Looking forward to this particular quarter, we are seeing Valentine's Day, which is tomorrow. Therefore, we are seeing decent traction from the consumers relating to diamond jewellery, everyday wear jewellery and couples coming and buying. The "Elements of Love" campaign is the initiative we have launched.

The wedding season also continues to remain strong, and we are seeing that many consumers are not only having weddings in the close proximity, but also in maybe 6 months, 8 months down the line. But in these volatile gold prices, they are thinking that these could be the good levels to buy, and they are preponing their purchases and buying.

So we continue to see a strong robust growth. This particular quarter, we hope that we will be 25% plus growth that will continue to happen. And going forward, for the coming year, we shall remain focused and strong. We shall want to drive our franchisee model in a much stronger way, work on the diamond jewellery segment so that we increase our stud ratio, continue to work on the operational efficiencies, economies of scale, build the brand, and have a growth of 20% plus for the coming financial year as well.

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So thank you very much for all your ideas, all your encouragements, and inputs. We shall be thankful to our team for the great performance. Please, Bankaji, if you would like to say something.

Sanjay Banka: Yes, sir. Sir, thank you very much. And once again, gratitude to our investors. So as we have said, for the quarter, the revenue has grown by 50% Y-o-Y to INR3,000 crores. The EBITDA increased by 406%, rising from INR 80 crores to INR 404 crores.

. But if we look at the custom duty impact in quarter 2 and quarter 3 last year, then the adjusted EBITDA for last year's quarter 3 was INR107 crores, and this year it's INR404 crores.

So the adjusted EBITDA margin is around 13.2%. And PAT has grown from INR 33 crores to INR 264 crores, a 689% increase. But adjusted PAT, taking the impact of custom duty, it has grown from INR54 crores to INR264 crores. That is 390% for this quarter.

And for the 9-month period, the revenue has grown by 30% consol. Adjusted EBITDA has grown by 133%, from INR 298 crores to INR 694 crores. And the adjusted PAT has grown from INR139 crores to INR417 crores. That is 200%. So it's very important to understand that while we have been talking about a sustainable business margin of around 7.2% to 7.5%, and recently in this quarter, we have given guidance of around 7.5% to

7.8% for FY '27. So that is the full

year margin. But quarter 3 margins are usually higher.

So last year, we had given a detail that our quarter 3 margin in FY '23 was around 12.1% and quarter 3 margin in FY '24 was 11.1%. So if you look at 13.1%, it should be seen in that context because the sales are quite high, whereas the fixed opex remains the same. If you look at it, we have attributed this to two or three reasons. One is the improvement in our product mix.

Secondly, the lightweight jewellery where the customer does not get the same jewellery weight at other jewellers and then he is willing to pay extra prices to us, extra making charges to us. Similarly, the diamond prices, which we are offering, are quite attractive.

Moreover, some impact of the gold price rise has also come.

Overall, this is on the financial side. The working capital requirement has also increased. So, what you have seen is that the inventory value has increased from INR2,963 crores to INR4,602 crores. This has been funded by the borrowing as well as the trade payable.

Importantly, we have focused very highly on the working capital efficiency and inventory management. We have implemented an AI-based software which helps us to monitor the inventory in real time. And our inventory days have remained range bound at 166 to 188 days.

And going forward, we look at a similar trend. In fact, if we look at other players, it is also in the range of 180 days. So as the stud ratio improves, the inventory days is likely to remain in the range up to 180 days.

Moreover, as far as the labour code is concerned, we have analysed the impact of the labour code, and we have taken a one-time extraordinary impact of around INR6.2 crores. That's on the

financial side. So we should see the results for quarter 3 and YTD in the context of custom duty impact of last year.

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Similarly, from the banking side, we have maintained a very good relationship with our working capital bankers. Our working capital limit, which is INR2,400 crores. And our blended ROI during the last year due to this elevated gold price, we had to reduce the percentage of GML , however, it increased. At the same time, the proportion of CC and WCDL also increased, which led to a slightly higher blended ROI. We are pleased to inform that we have received a credit rating from CareEdge for the first time. While our existing credit rating is conducted by ICRA, CareEdge has assigned us a rating of A1. . So they are doing the rating for the balance entire amount . And we are very confident that with the enhanced rating from CARE, we can look at reducing the blended ROI by 30, 40 basis points in next year.

So with that, we pause our discussion and opening remarks. Thank you very much. We now invite your questions.

Moderator: Thank you very much . The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi Suvankar and team. Congratulations on the good performance and improving franchise interest for the brand .

Moderator: Mr. Bansal, are you there? As there is no response, I'm taking the next question from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Okay.. So congrats on a great set of numbers. So firstly, just wanted to check on the guidance of 25% sales growth that you highlighted for 4Q. Given the gold prices where they are and the increase that we have seen during the last quarter and this quarter , it seems the 25% guidance seems quite low given the current momentum. Do you expect a material drop in ASPs in 4Q or a material drop in volumes, which is leading to this lower guidance? So that is question number one.

Suvankar Sen: No, I do not see any material drop in ASPs. If you look at the Q2 performance, you will see that there has been a drop in volumes, even though the ASPs have remained the same.

e . So we are

about 45 days into the quarter. In the month of March, there is Holi, the exam seasons go on. And then we also start looking at consumers behaving in a manner that on 19th of April, we have Akshay Tritiya.

So then consumers start waiting for Akshay Tritiya and the auspicious day to buy. So yes, our guidance of 25% is little on the conservative side. Maybe as we are closer to the end of the quarter, this 25% might become 30% -35%. But we are still giving a conservative guidance of 25% to 30%.

Mihir Shah: Understood. So this is not a function of what you have seen thus far in 45 days of the quarter.

Fair to assume that the growth momentum that we saw in third quarter continues in the first 45 days of the fourth quarter, and it is just the conservative way that you are thinking about it?

Suvankar Sen: Yes, we believe in taking a conservative approach. See, the growth momentum of third quarter had because of the Dhanteras. But Dhanteras doesn't happen every quarter. Therefore, yes, it's that way to look at it.

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Mihir Shah: Understood. Fair point. Second question again is on the margin front. Margin improvement of 7.5%, it was indicated it was a function of the product mix improvement and lightweight having higher margins. So as far as the product mix is concerned, we probably thought if the studded ratio increases, but given that the gold in the stud prices -- gold prices are significantly higher in the studded, the margin profile for studded also goes down. Is that understanding incorrect? And if not, then what is driving the improvement in margin from 7.1% to 7.5%?

Sanjay Banka: See, when we talk about product mix, it is not merely the stud ratio. Obviously, on the diamond jewellery , the margins are higher. But there are different types of jewellery , like you would see in case of other players with high bullion sales. In our case, we do not sell bullion. As mentioned earlier, our coin sales account for around 4% –5% of total sales and, at times, go as high as 7%. And it is about the jewellery as well. There are different types of jewellery at different price points. If I sell more antique jewellery or more polki jewellery and as I mentioned in my opening remarks if I sell more lightweight jewellery, the effective making charge on lightweight jewellery is much higher .

Moreover, if the gold price rise since we charge the making charge on the value, while I would

have paid a lower making charge to the karigar or vendor for getting the jewellery manufactured, let's say, around INR1,10,000 or INR1,20,000 I would have paid in some 4% - 5% but instead of charging 15%, 16% of INR1,20,000, I'm charging 15% -16% on INR1,50,000 or INR1,60,000. So, due to the gold price rise, the making charge also increases. I'm not just talking about the inventory gain.

So that has led to an improvement in the margin profile from from, say, around 7.8% to approximately 8%, as we have indicated. That is one. Secondly, in quarter 3, the mere sales volume itself is quite high, while the opex remains the same. That means rental, manpower, marketing and other opex remains the same. The sales volume has increased. And that's why we said that if you look at the margins in quarter 3 of FY '23 and '24, it was in the range of 12% and 11%. So we said that you can still look 9.5% to 10% as the sustainable business margin for quarter 3. For the whole year, 7.5% to 7.8%.

So if you look at the press release, when the EBITDA margin for 9 months is 10.8%, you can take 7.8% to 8% as far as business margin is concerned, and balance 2% to 2.5%, you can take it to price rise.

Moderator: The next question is from the line of Bharat from M C Pro Research.

Bharat : Congratulations for a great set of numbers. So just one confirmation. You indicated that FY '27 sustainable EBITDA margin for the next fiscal should be in th

e range of 7.5% to 7.8%. Is that correct?

Sanjay Banka: Yes, this is absolutely correct, provided the price range remains elevated. See, we are talking about the current price ranges. Otherwise, between 7.3% to 7.5%, at an elevated price level 7.5% to 7.8%. So there is a gap of only 20, 30 basis points whichever way price moves.

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Bharat : Okay. And sir, next question is what would be the level of inventory hedging that we do currently? And what is the plan? So for 9 months FY '26, what was the hedging proportion? What is the intention for the hedging proportion in inventory hedging proportion in FY '26 and the same for FY '27? If you can provide guidance on the same.

Suvankar Sen: We've been mentioning that our hedging percentage is in the range of 55% to 60% for the last 6 months, 9 months. In the last 2, 3 years, it has been in the range of 80%. There were times when we were up at 90%. But in the last 6 months in this high price gold volatility, there have been pressure on liquidity, there have been pressure on maintaining the margins. And in this kind of a dynamic volatile scenario, based on our prudent hedging policy and guidance, we said that let us keep it at 55% to 60%.

That would ensure that we continue to focus on our business, we continue to manage our inventory well. And also very important here to note is that the old gold exchange of the consumers have also gone up. So the old gold exchange, maybe 2 years, 3 years back was about 25% to 30%. But that old gold exchange today is in the range of 45% to 50%. So when the old gold exchange comes in, then automatically those price risks that we always talk about is partially reduced.

And keeping all those aspects in mind, we've also started to focus on the customer advances with gold rate getting fixed. That itself also starts working as a hedging tool. So keeping all of that in mind, we've kept our hedging ratios in the range of 55% to 60%.

Sanjay Banka: And sir, I just want to complement here. When we are saying about the hedging ratio, it is only considering GML and MCX hedge position. But this customer offer, which we give, where we give a fixed offer to the customer, it is as good as a future sell position. Or when we give a flexible offer to the customer, where the customer can go either way, those are the additional impacts, which we don't get into too much detail. These are the business strategies.

Bharat : Okay. . But sir, roughly, if we -- like if you -- as you said, like fixed offer to customer is also given in the way of customer advances or kind of a gold financing scheme. So what would be that proportion so we can get a sense of how the overall hedging works?

Sanjay Banka: We don't want to discuss those details. See, finally, these are strategic points, and they are calibrated from time to time. We just want to give you the comfort that we are very cognizant of the risk management. The hedging policy takes into account both the risk factors and the balance sheet position. It may vary from company to company.

Let's say, in the recent time when the gold price fell by almost 10% from INR5,500 to INR5,000, even INR4,800, the balance sheet and how much margin call would have come, around INR400 crores to INR500 crores. So it depends upon the jeweller to jeweller. So we have maintained a very fine balance between the risk management, business efficiency and the balance sheet as well. I think I can leave it there, that we are very much cognizant. This policy is approved by the Board, and our large investors are fully aligned with our risk management policies.

Moderator: The next question is from the line of Vijay Chauhan from Right Horizons PMS.

Vijay Chauhan: Congratulations for a good set of numbers. Sir, my question is -- I have basically a question on the inventory

hedging level side. So that has been answered. But is there any component of inventory gain like we highlighted, some -- less than 0.5% in quarter 2. So is there any component that you can provide as a percentage?

Sanjay Banka: I'll explain to you. See, if you refer to our hedging slide in the presentation, accounting is done based upon cost or market price, whichever is lower. That is first point. So there is no inventory gain, inventory gain for future. That means whatever inventory is lying in my balance sheet, it is at a cost price. So there is no hidden inventory gain line. Point one.

Secondly, during a rise in gold prices, when we take positions under GML and on MCX as part of our hedging strategy, the hedge may result in a notional loss. In a rising gold price environment, any company that claims to be 90% --100% hedged will typically record a hedging loss on its inventory rather than a hedging gain. This is because the mark -to-market impact of the hedge offsets the benefit arising from the appreciation in the value of physical inventory, thereby reflecting the true economic position in the balance sheet.

Whatever gain has come, the gain has come to the P&L account. But in a rising price, there will always be a loss. That loss is sitting in the inventory. So in quarter 4, when the price rises, they will have a realization gain and adjusted by the inventory losses that are sitting in the inventory. You can kindly refer to my slide, and it is more of an accounting issue.

Vijay Chauhan: Yes. So going ahead, it is safe to assume that like typically the gross margin that we have, around 19.9% for this quarter 3, so it doesn't have any inventory gain for now , right?

Sanjay Banka: No, sir, 9% is EBITDA margin. Gross margin is more than 15%, 16%. And we are happy to inform you that.

Vijay Chauhan: Yes, I'm talking 19.9% for quarter 3 only. So it is 19.9% for gross profit?

Sanjay Banka: Yes.

Vijay Chauhan: Yes. So it doesn't have any component for inventory gain, right?

Sanjay Banka: It has the impact of realisation gain. So I am using 2 words. One is inventory gain and realisation gain. Realisation gain means whatever inventory has been sold at a higher price in the quarter 3, that we call realisation gain. Yes, it has impact on realisation gain. And I clarified it in the opening remarks itself that 2% to 2.5% for the full year on a INR6,400 crores you can compute the number back of envelop that is on account of price rise. Balance out of I'm again repeating, sir. 10.8% is my EBITDA margin for 9 months.

And out of that, you can take 2.5% as a realisation gain or inventory gain, whatever you are referring to. Similarly, in quarter 3, the EBITDA margin is 13.2%. You can take around 9.5% to 10% as the business margin. Balance you can take as the realisation gain or inventory gain, which you are referring to.

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Vijay Chauhan: Yes, . That answers my question perfectly. The second question is on the -- because we are seeing a lot of shift towards the low carat products and also the studded item side. So , can you provide some breakup of the range? Maybe, let's say, the plain gold jewellery has maybe 20% making charges or some margin and maybe 30% for the stud ratio. So , is there any breakup or range that you can provide so that we understand how the product category movement puts, let's say, positive pressure on the gross margin?

Sanjay Banka: So see, the gross margin is a function of own store sales and franchisee sales . And we have said it earlier and I'm giving you a ballpark number. Let's say, from our own store, we make 20% gross margin. When we make a sale to a franchisee, we make around 7% to 8% margin. So you can take 60%, 35% and 5% on exports and e -commerce. These are the broad 3 areas. I'm repeating , sir, 60% own store sales ; 30%, 35% franchisee sales; balance 4%,

5%, the e -
commerce and exports.

From our own store, we make around 18% to 20%; from franchisee, we make 7% to 8%; from e-commerce and others , we make around 5%. Now , within this 20% of our own store I don't want to give you the breakup. So you can visit the store and understand. The jewellery making charges can vary from 6% to 25%. So if you want to go for antique jewellery or polki jewellery , we can charge around 24%, 25% along with a discount in the respective period.

Vijay Chauhan: Okay. So these are net of discounting this range you are referring to, right, 6% to 25%?

Sanjay Banka: These are the gross amounts. It will vary from time to time, sir. These are based upon market dynamics. These are based on the competitive situation in the market and the competitive advantage. And as you are aware, we are the second most trusted brand. The customers are willing to give us an extra fee for the trust and faith, the comfort and the designs which they get from us.

Vijay Chauhan: Yes. . Correct. And the last part on the any guidance on the next year store addition?

Suvankar Sen: Next year, sir, we continue to focus on 18 to 20 stores. Our focus will be on opening more franchisee stores, broadly 8 to 10 own stores, 8 to 10 franchisees. If possible, we will open more franchisees and fewer of our own stores. But 18 to 20 stores is our next year's guidance.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations, Suvankar and team, on good performance as well as improving franchisee result. Sir, I wanted to understand the traction in schemes for monthly grammage that are there, right? So typically, such schemes gain good traction in times of high gold price and provide some comfort on future growth as well. However, when we see our December '25 balance sheet, the growth in customer advances is somewhat softer, right? So what initiatives are we taking to improve onboarding of consumers under such schemes?

Suvankar Sen: So see, December quarter 3, it being a Dhanteras quarter, most of the consumers who have been doing their advances and savings, they kind of redeem it during the festive season. So that is how it looks low. But going forward, with the targets in place, with the teams in place and with the communications in place, we are putting our best efforts that we continue to raise these

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advances back, which will also help us with the cash flows and also help in the future sales that we can book.

And I think that the traction of the consumer at these is that -see, what had happened previously, 2, 3 years back, was that our advance scheme were more flexible in terms of pricing. And in the last 1.5 years, 2 years, the gold prices kept on going up. So the consumers felt that the savings scheme was not as useful. But now with the fixed rate option coming in, I think consumers know that they can continue to look it as an EMI and fix it at various rates.

We have certain Marigold for big wedding customers, where if they can do some 6 months, 11 months kind of booking, they will get some extra benefit on the discounts of making charges and discounts. So all of that is there. I think we have a certain limit set by the Companies Act, ROC E, and we will try to maximize and utilize as much limits that have been given from the government to raise the advances.

Devanshu Bansal: So Suvankar, just a small follow-up here. So currently, we must be at around INR200 crores of such deposits, right, first customer deposit. But from your equity perspective, I guess, INR500 crores can be raised through such schemes, right? INR25 crores to INR10 crores...

Sanjay Banka: Correct. t. And Devanshu, you are right. First, we need to obtain the credit rating. We are applying for a higher amount, say ₹500 crores. Once we file the return for this purpose, includ

ing

the ROCE details—which we plan to submit by August—the limit will be enhanced to ₹500 crores. s. And we are taking all steps to raise these funds. And we are aware that this Fund Yojana, Fund Sobhagya, Marigold, they give us a good handle because the customer footfall increases. That how we are promoting, we are sweetening the offer without compromising on the margin. So, depending upon the offer, we are sweetening the offer without compromising the margin to increase these limits. You would see a good traction. So in March '26 balance sheet, you will see a higher number because customers will like to redeem during Akshay Tritiya and Pohela Boishakh.

Devanshu Bansal: Fair enough. Sir, last question is on the balance sheet side, which appears to be a bit stretched. I understand that high gold price and festive preparation would have led to increase in inventory. But the phase of strategic focus, right, in terms of inventory optimization -- so what is your thought process around inventory optimization going into the next fiscal? Any targets if you would like to share here?

Suvankar Sen: So Devanshu, see, we are, as I mentioned before, using technology, AI tools, software, data analysis. Our merchandising team is very closely monitoring what is the exact kind of products that are selling, and the reasons for non-conversion. And based on that, we will be making sure that we are keeping the right kind of products, and our supply chain continues to remain strong. With the gold price going up, one has to understand that it is not just about the quantity of gold that you're keeping at the store, but it is also the exact quality of the design and the kind of products that you're keeping it. So we do not want to increase unnecessary stocks. We are analysing those stocks that are not selling beyond a certain number of days. And we are focusing on recycling it and fulfilling those stocks that are selling.

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So we are doing a very scientific approach across the country. And we will ensure that all the number of days of inventory that we have, it does not unnecessarily increase because of the gold price going up, but it remains under control.

Devanshu Bansal: Just a small feedback here, Suvankar. So I take your point that you are taking strategic actions. One, if you could provide some guidance around the number of days of reduction that we are targeting going ahead into the coming fiscal, would be very helpful to sort of better track your performance on inventory optimisation ?

Sanjay Banka: Devanshu, we are not targeting any reduction as such. So we have clarified it earlier also. Targeting reduction is an outcome. What we are targeting is improving the efficiency of inventory sales across all stores across our portfolio in East , North and West, right? And you are aware that there are always regional disparities between the various zones and the pricing. So if you ask me the same question, we are certainly looking at improving inventory efficiency. We are looking at supplying out slow -moving inventory. We have also seen that, as the trend is changing , the high weight inventory, which has been prepared and which is not selling, we will take a call. So you will certainly see an outcome which will be in terms of the number of days. What we are constantly working on is inventory optimisation .

So the answer is that we are looking at this thing, and it will depend upon market dynamics. What you are seeing inventory days is the value. The quantity of inventory remains the same. What inventory quantity per store was there 2 years back, it remains the same now. Due to the elevated price, it is...

Devanshu Bansal: Yes. So Mr. Banka, a limited point that I was sort of indicating is that if the focus is on lightweight jewellery , lower carat jewellery , then in kg terms also at a per store level, that should

see some reduction, right? So that was the limited point. But I can take this offline maybe for other participants to take the questions here?

Moderator: The next question is from the line of Rupesh from Long Equity Partners.

Rupesh: Congratulation on a very good set of numbers. First question, sir, is this 200 -odd stores we have, can you give rough split in terms of mature stores, new stores, maybe in between stores? What kind of annual revenue are they doing? What kind of margins they are doing? What kind of same store sales growth they are doing? Some split would be very helpful?

Sanjay Banka: So basically, Rupeshji, if you look at the definition, when we say same stores, for the current year that means stores set up prior to April '24. So in the last 2 years, you can take around 40 stores which are the new store, right, owned and franchisees taken together. Out of 196, 156 are old stores, ~2 number here and there, 40 are new stores.

Now obviously, as you have said that when you look at the return on equity, the blended return on equity, which has come down due to the IPO fund infusion and subsequently to the QIP, , for our existing stores SSSG refers to the growth of old stores, which number around 155 –156, the growth we have reported is 21%, correct? Out of the total 30% growth, about 70% has come

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from these existing stores. So - if the total growth is 20%, SSG is 14%. If the total growth is 30%, SSG is around 21%.

Suvankar Sen: 39%.

Sanjay Banka: 39% in Q3. But this is this number, because in quarter 3, the growth itself is 50%. So from the 50%, we can look at that -- I'm mostly referring to the YTD number. Now , out of that, you would be happy to know that we have got around 8 to 9 stores which have crossed INR100 crores mark. So we are constantly looking at increasing the store turnover. So we are not looking at this 21% SSSG.

Our target is clearly to take all stores to INR100 crores to INR150 crores level. The new store which we set up in the first year, they give a revenue of INR18 crores to INR20 crores. But I think these are too many details. So obviously, a new store takes time to mature. The momentum is higher in the East and slightly slower in other markets.

Rupesh: Okay. , sir. The second question, sir, is non -East was roughly INR1,100 crores. So that is 9 - month number, I assume. And then where do you see this non -East in FY '27?

Suvankar Sen: So see, the growth rate that we are seeing in the non -East market is as much as -- maybe a little higher than that of the East market because the base is lower. So we are continuously looking at 25%, 30% growth in the non -East market, while an 18% to 20% growth in the East market. So this is how one has to look at the overall numbers.

Rupesh: But this number can go to, let's say, INR2,000 crores in FY '27?

Sanjay Banka: At least around INR1,500 crores to INR1,600 crores, off the top. But maybe -- so we have to recheck the number for FY '27. But INR1,700 crores clearly. So let's say, if it is around INR1,300 crores, INR1,300 crores into 30.

Rupesh: Okay. . And sir, you talked about this realisation gain of 3%, 3.5% in Q3, 2.5% in 9 months of this year. If, I mean, for whatever reason, let's say, gold prices go down from, let's say, \$5,000 to \$4,000, what kind of realisation loss can we see? And then with this 7% to 8% margin guidance number you gave, if there is a realisation loss, can the margin be something like 5%? Or I mean, can you just explain that? What if gold price goes down, what happens to the realisation gain or loss?

Suvankar Sen: So the EBITDA shall continue to remain between 7.2% to 7.8%. This kind of price fall, if it happens, I think based on our prudent hedging policy -- today, our hedging is at 55% to 60%. And then the hedging percentage will go up to 75% to 80%. So in this kind of sudden price fall

as you are expecting to happen, then accordingly our treasury team will take the call and will manage the situation. So I think our EBITDA historically over the last 4, 5 years have continued to remain between 7% to 8%, and we will continue to make sure it remains between 7% to 8%.

Rupesh: Okay. . That is good to know, sir. And final question, sir, you said that studded ratio is not the only high -value business. There are some other parts of the business which are also high value like antique jewellery . So on 9 -month basis, whatever INR8,000 crores, INR8,500 crores

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revenue we have, can you split it between, let's say, regular business and a high -value addition business?

Suvankar Sen: No. See, I'll tell you. As Bankaji said, that the higher margins comes from one is diamond studded jewellery , gemstone jewellery , antique jewellery and also very lightweight jewellery , where if we are creating very nice beautiful lightweight designs within the budget of the consumers, whether it be in 18 -carat, 14 -carat or 9 -carat international designs, there also the consumer is willing to pay a 1% to 2% higher making charges because of the design.

So when it comes to lower making charge items, which are mostly standard machine -made items, those are the ones that bring down the overall making charge scenario. But the moment it is exclusive, handcrafted, very modern, then the premium list goes up by 1%, 2%. So it's very - - I don't think we will be comfortable sharing the ratio of what is premium, what is not premium. Those are strategic in nature.

Our forte is to create lightweight jewellery and cater to the needs of the consumer. And for that, if it is jewellery within INR50,000, a consumer is willing to pay INR50,000. But if that makes that 1% higher making charge and it's a great design, they'll be happy to do so. So that's how it is.

I must mention to you that our ATV this year has gone up to about INR93,000. So gold prices are going up. Now, INR93,000 in today's day and time is what? 5 grams -6 grams. So we've been the masters of creating lightweight, affordable jewellery of various ranges. So that is our USP, and that is what is helping us to grow in these challenging, uncertain markets.

Rupesh: So I get all of that, sir, but my -- I mean, that is the right metric to track. I mean, the studded ratio is an incomplete metric to understand how the business is moving toward higher value addition. So I would request you if you can find some way to figure out to share this number, because that is a right metric to track the business.

Suvankar Sen: We'll keep the point in mind and see what can be done.

Moderator: The next question is from the line of Raj Sarraf from Finvestors.

Raj Sarraf: Yes. So very congratulations for this stellar set of numbers. So though you replied, but I want some more color on that. The rapid gold price fluctuation which occurred in Q4, all the way from almost \$4,500 to \$5,500, and then again sudden drop to \$4,400, and now settling around \$5,000. So , realisation losses, how much that can be and how that is managed?

Suvankar Sen: So I'll just tell you that this sudden volatile price movement happened for a matter of 7 days to 10 days only, right? Therefore , it has not had a great impact in terms of overall purchase , average rate of procurement and rate of sales. It has just created a lot of turbulence in our hedging action, I would say.

Because there was a time -- and we all are a part of the market, have faced it, that everyday based on your hedging percentage -- because you are on the sell side and the prices are going up, you are being called -- having hedge calls on mark -to-market. And that -- based on every day, your

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sales are happening to a certain extent and the mark -to-market calls are of a differen

t -- so it

created a lot of -- those 7 days to 10 days were very much volatile and not a very comfortable situation.

But to assure you that with this sudden movement up and sudden movement down is not something that has created that much of an impact. It is the continuous movement up that has been the one which is creating impact and creating those extra 2.5% to 3% profit for gold price rise. And this current movement has not been of a -- that much of a great impact.

Raj Sarraf: Okay, sir. Sir, while I'm going through the last 3 years, 4 years results, quarterly results, so what I found that we are having a substantially higher operating or EBITDA margin in Q3, and that is north of always more than 10%, to be precise, more than 11 %. So just on steady gold price -- just let assume a scenario, when the gold price next year settle at the same price which is right now, so in that case, what is actually our margins in Q3?

Sanjay Banka: See, margin in Q3, having said that my sustainable business margin is 7.5% to 7.8% ,in Q3, the sales are usually substantially higher. And hence, in Q3, since the sale is higher, gross margin absolute amount is higher, and hence, margin percentage looks higher, at around 9% to 9.5%, it can go up to 10% also. If, let's say, next year, gold price remains the same and if the sales grow by 60%, then my opex remains the same.

Opex will be, let's say, INR200 crores in one quarter, and let's say -- I'm just giving you a ballpark number, INR4,000 crores . INR4,000 crores , 20%, INR800 crores . INR800 crores minus INR200 crores , INR600 crores . Then INR600 crores upon INR4,000 crores , 15% will be the EBITDA margin, without doing anything. So if the sales are higher, absolute EBITDA margin becomes extremely high.

Raj Sarraf: Okay. So it is just the, you see, operating leverage. When we sell...

Sanjay Banka: Yes. . That's what we clarified, sir.

Raj Sarraf: Yes.

Sanjay Banka: Exactly. That is exactly the operating leverage which comes into full play in Q3 and Q1.

Raj Sarraf: Okay. And while Q1...

Sanjay Banka: Sorry. I was again adding, sir. So while these are the figures of Q3 and Q1, we still look at conservative EBITDA margin of 7.5% to 7.8% for the whole year. Which means that if I'm looking at 10% or 11% in Q3, it can be lesser in Q4, so that full year blen ded EBITDA margin of 7.5% to 7.8%. And that is not a quarter -on-quarter variation. I hope that clarifies, sir.

Raj Sarraf: Yes, that clarifies, sir. Just wanted to confirm, sir, on steady gold prices, what is our gross margins? EBITDA margin you already talked about. What is our gross margin at steady gold prices?

Sanjay Banka: 15% to 16%, sir. You can take 15.5% to 16% or you can take 15% to 15.5%. And our intent is to improve it with a higher stud ratio and operating leverage. We have not compromised on our

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making charge so far. And if you look at comparative numbers for the industry, it remains to be superior and superlative.

Raj Sarraf: Okay. North of 15%, you said, sir?

Sanjay Banka: Yes.

Raj Sarraf: Yes. And sir, with rising gold prices, now gold price has been like USD 5,000. So what is the traction in the business right now you are seeing, the footfalls? And any effect -- negative effect due to this rise?

Suvankar Sen: So you are talking about the gold price rise and its impact on the consumer. So the negative effect, if you may say, is that people are looking for jewellery which is of lower weight, so that it is as per the budget of the consumer. So see, what's happening is gold price has gone up by 65%, 70%, but the consumer's budget has not gone up by 65%, 70%. It has gone up by, say, 20%, 25%. So that is where we need to make sure that how we can reduce the gold weight or make the purity of the product lower. That is number one.

Number two is that old gold exchange has gone up because

consumers do not have so much of

liquidity to buy it with their liquid money. So they are utilizing the old gold. And that is also a very strong part of our strategy, and I think it's a strategy for the industry also that how you can utilize and recycle the old gold lying in the households. So that is also another thing that will keep the industry moving forward and make sure that we continue to sell our new products and new designs and serve the cus tomer.

Third is, yes, some consumers are sitting on the sidelines, on the fence. At these high gold prices, people are thinking, what is the point of going to the jewellery store? What can I buy? And it is for them that we have to come up with 9 -carat or like 14 -carat lightweight gold and diamond

jewellery that is within their budget, or even look at other options and make those customers buy.

So footfalls in the -- like I said, the volumes have gone down 10% for the whole year, 3% for this quarter. Footfalls also, if I look and analyse, it has compared to the previous year come down by 10%, 15%. So it is fewer footfalls, but those customers who are buying are buying a little more jewellery, or the prices are making them buy more jewellery, and that's how the business is going on.

Raj Sarraf: Okay, sir. That helps, sir. And the final question is, sir, you are still looking at 25% year-on-year growth in the Q4?

Suvankar Sen: Yes. Q4, yes, correct, very much, sir.

Moderator: The next question is from the line of Pallavi, an individual investor.

Pallavi: Yes, sir, Pallavi from Sameeksha. I just wanted to understand what would be our gross margin guidance for Q 4 given that we have, I think, inventory -- you have disclosed in the presentation cost is INR13,500 approx and gold is at above 150 ?

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Sanjay Banka: Sorry, I missed your question. Can you kindly repeat?

Pallavi: Yes. Thank you for sharing in your presentation first average cost for gold, like you given it INR11,500 in Q 2, INR13,500 in Q 3. So based on that data point, Q 4 also we should see some 100, 150 basis point of realisation gain. Would that be a fair assumption in the gross margin?

Sanjay Banka: No, we don't want to comment on realisation gain for Q4. See, it's all a function of how much price is volatile in quarter 4. We have seen only 45 days where the prices were very high.

Obviously, there will be or would have been a realisation gain in 40 -- in the first 20 days, right?

After that, the prices have come down.

So let entire quarter span out, and then only we can -- I don't want to make any conjecture on rest of 45 days. As you said, this is a function of the market prices, market factors, and also accounting classification of the prices, gains and losses adjusted to create an account, inventory in OCI. But once again, we reiterate, a sustainable EBITDA margin of 7.5% to 7.8%, 20 basis points here and there.

Pallavi: Right, sir. My second question would be, so assuming if we take a call probably by the end of Q4 that gold prices are likely to stay at similar level for the whole of next year, no decline, no increase, so in that situation, we will increase our hedging ratio back to 80%, 90%. Is my understanding correct, sir?

Suvankar Sen: Yes, madam. If the gold price are in a downward trend and all, there is amount of stability and our balance sheet and liquidity is allowing us, we will go back to 80%, 90%. But till that time, it will range between 55%, 60%, 65%, till that stability is achieved.

Pallavi: So it is just -- so our hedging ratio, just to confirm this, is just dependent on the, once we get stability, we take it up so that the margin requirement doesn't fluctuate. It's not even about the decline. It will be more about, the call will be based on stability.

Suvankar Sen: Stability. Exactly, ma'am. Right now, it is not at all in a stable situation.

Moderator

r: The next question is from the line of Jinesh, an individual investor.

Jinesh : Congratulations, sir, for a great set of numbers and amazing PPT. Just one question from my end. What is your current hedging policy as on date? How much percentage are we hedged as on date?

Sanjay Banka: Jineshbhai, we've already explained this question earlier. Now I think repeated questions are coming on the same subject.

Jinesh : Maybe I've missed that, sir.

Sanjay Banka: Okay. So kindly refer to our slide. We are saying that it's a Board-approved policy, it's a prudent policy. We are required to ensure that minimum of 50% is hedged. We have -- during this quarter also, we maintain hedging in the range of 55% to 60%. And due to the elevated gold price, working capital challenges, margin calls, we will remain in this range. And as Pallavi asked from Sameeksha, that if the gold prices are stable or if it falls, we can again take it to 85%

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to 90%. But at the current elevated pressure, due to working capital challenges, it will remain in the range of 55% to 60%. And it's a Board-approved policy.

Moderator: The next question is from the line of Sonal from Prescient Capital.

Sonal Minhas : This is Sonal Minhas. I hope I'm audible.

Moderator: Yes.

Suvankar Sen: Yes, you are audible.

Sonal Minhas : Okay. Sir, I wanted to understand -- from a disclosure perspective, you've given sales realisation , you've given your top line in crores. Just back calculating some numbers. In terms of volume of items sold or, let's say, grammage or tonnage of whatever gold sold, is it fair to assume that the volume is flat Y -O-Y for 9 months, if we measure it in terms of tons of gold, if we measure it in terms of, let's say, items sold? I want to understand the volume growth, basically, for 9 months. I want to understand volume growth for 3 months.

Suvankar Sen: Yes. So the volume -- as I mentioned, the volume degrowth in quarter 3 was minus 3% like quarter -on-quarter. And for the whole 9 months, if you look at it, it is minus 10%. That is for gold. And for diamonds, if you look at just diamonds as a product, then it is up by 12.5% for the 9 months. These are all volume numbers.

Sonal Minhas : Got it. So how do you measure volume, Suvankar, here? Is it in terms of grammage of gold? Or is it in terms of items sold, basically?

Suvankar Sen: No, no, grammage, grammage. We are measuring in terms of grammage?

Sonal Minhas : Grammage of gold.

Sanjay Banka: See, Sonalji, I will like to add here that India import of gold remains at 800 tons -- 800 tons, 850 tons for last 10 years. While the -- and the jewellery consumption remains in the range of 450 tons to 500 tons for last 10 years. And the jewellery market size has increased from INR30 billion to INR120 billion, almost 3x.

So volume is not a factor in jewellery industry. People don't consume jewellery by volume, but by value. So there is a high possibility that even for next year -- and if the gold prices again rises by 50%, 60%, you will not see any volume, because customer budget will not increase by 50%, 60%. So he will end up buying a low weight jewellery , low caratage jewellery . He may go for a silver jewellery with diamonds. He can go for a smaller size jewellery to maintain his pocket size. But we will continue to grow by 20% to 25% and so on, depending upon our SSG as well.

Moderator: The next question is from the line of Abhijeet from Antique Stock Broking.

Abhijeet : Congrats on a very strong set of numbers. So my first question was on the staff cost, you said that there was about INR6.5 crores of impact from the new labour code, right?

Sanjay Banka: Correct, correct.

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Abhijeet : And that has not been separately shown. It's basically a part of the staff cost. So we have to separate it an

d look at the margin?

Sanjay Banka: Yes.

Abhijeet : These are one -time because the customs impact will be far lo wer in the forthcoming quarters?

Sanjay Banka: Yes, yes. Correct, correct. Impact will not be substantial as you've seen in other companies because we have -- the labour code has come around 5 years, 6 years back. We have been aligning and calibrating our structure of the cost for own staff as well as third -party. We have been preparing ourselves for a long time. And as you said, we are an employer of choice. We are a great place to work. Our focus is on social value addition. So we've been preparing ourselves on those lines.

Abhijeet : Okay. So the staff cost during the quarter should be about INR47 crores, INR469 million, if we remove the INR6.5 crores from that.

Sanjay Banka: Correct .

Abhijeet : That is one. And second, sir, if I then look at the fourth quarter and for the year as a whole, EBITDA margin still would be at about -- even if we cut it down, it will still be at about 10% for the year. Correct me if I'm substantially wrong.

Sanjay Banka: No. Correct.. So we have given this number, EBITDA margin for the whole, for the 9 months, right?

Abhijeet : Right.

Sanjay Banka: For the 9 months...

Abhijeet : No, no. I'm saying for the full year, for the full year also...

Sanjay Banka: Yes.

Abhijeet : Even if we don't have a great fourth quarter in terms of margin, the 9-month margin is 10.8%. So the full year margin also should be around that then?

Suvankar Sen: You see, in terms of overall numbers, even if we have been guiding that our EBITDA, sustainable EBITDA, is 7.5% to 7.8%.

Abhijeet : Right.

Suvankar Sen: So that is what we will keep guiding. But with all these numbers and situations and what we will discuss, then the plus, what you can add certain pluses to it, but yes, a sustainable EBITDA margin of our guidance is 7.5% to 7.8%. We will not comment more t han that.

Abhijeet : Yes. Right. That that I agree. And so I was just working around the figures and coming to -- I

mean, this year would be extraordinary year in terms of margins.
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Sanjay Banka: Yes. This is an extraordinary year, and that's why we -- this is -- we are -- so let, so for that that's why we are saying that quarter 4, it's still some details are pending. Next year, we have given guidance of 7.5% to 7.8%.

Abhijeet : Right.

Sanjay Banka: This year so far has been very good.

Moderator: The next question is from the line of Venkat from MIT.

Venkat: This is Venkat from Mirabilis. Just one question on Melorra. How do we see the, I mean, integration over the next 1 year or 2 in terms of the stores that will be acquired? Any color on the store economics and the profitability of those stores will help?

Suvankar Sen: See, we will have a separate -- once the full acquisition is in place, we will have a separate call with the analyst with the strategy. But broadly speaking, we just want to tell you that Senco being a 88 -year-old brand, and over 4 generations we've been serving customers. So Melorra is one of our -- one of the many strategies that we have to connect with the Gen Z, millennial, young generation customers. If you look at it, our average ticket size, even as in traditional Senco business that we have, is in the range of, INR80,000 to INR90,000, which is 6 grams to 7 grams in of today's date and time, right?

Venkat: Right.

Suvankar Sen: So therefore, this will only add to the portfolio of design centric and catering to the young generation. And that is how it is, and then we will -- once the full acquisition is in place, currently it is the Board's approval that has come in place, and the final thing is still pending. So we'll have a separate analyst call and share our ideas in detail.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I now hand the conference

over to the management for closing comments. Over to you, sir.

Suvankar Sen: Thank you very much all of my investors and well -wishers and every quarter, the questions that all of you keep putting on us makes us think about it and formulate our strategies and how we can perform better.

Once again, gratitude to the team that this particular quarter 3 has been a milestone historical quarter. This year has been historical as sir was saying, that with the gold prices, moving up in a way that has not been seen before, we are in the middle of history taking place. I think that as a growing company, our focus is how we can keep growing, keep producing designs and products that we can serve the customers in these times also, and to reach out to the Tier 2, 3, 4 towns and cities.

One thing in the whole scenario, we must remember macroeconomically that still the play of unorganized to organized continues to happen. The more this gold price volatility comes in, more the regulation comes in. Just to inform all of you, government is thinking of how to make hallmarking much more stronger. Traceability will be a key factor going forward. So,

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compliances, rules, regulations, systematic thinking, data analysis, these all will become very, very critical for the business to grow in the future.

And I think that we at Senco Gold & Diamonds are amongst the few jewellers in the country who are preparing ourselves and poised to grow with penetrating into the smaller towns of the country also. Thank you very much and hope to connect with you all again in the next quarter. Thank you and Happy Valentine's Day. Thank you.

Moderator: Thank you. On behalf of Asian Market Securities that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy. For financials, no's, and details, refer to the investor presentation.

Summary of Proceedings: Q3 & FY26 Earnings Conference Call
Financial Performance

- **Historic Quarter:** The company reported a historic performance for Q3 FY26, crossing **₹3,000** crores in revenue, representing a 50% YoY growth.
- **Profitability Surge:** EBITDA rose significantly to **₹404.6** crores (up 406% YoY), and PAT increased to **₹264** crores (up 689% YoY). Adjusted EBITDA margin stood at 13.2%.
- **Margin Drivers:** The surge in margins was attributed to a higher share of own -store sales (65% vs. 33% franchise), improved product mix (including lightweight jewellery), and a 38% value growth in diamond studded jewellery.
- **Credit Rating:** The company received a credit rating of A1 from CareEdge, expected to help reduce blended ROI by 30 -40 basis points in the next year.

Strategic & Operational Highlights

- **Product Strategy:** In response to high gold prices (reaching **₹1.5L+**), the company focused on "fitting into the consumer's budget" by introducing 9 -carat, 14 -carat, and lightweight jewellery. Over 6,000 new gold designs and 3,000 diamond designs were launched in the quarter.
- **Technology Integration:** Implementation of AI -based software for real -time inventory monitoring has kept inventory days range -bound between 166 -188 days.
- **Store Network:** The network currently stands at 196 stores, with plans to cross 200 by the end of the fiscal year. The focus remains on a "Hyperlocal" strategy catering to specific regional tastes.

Market Context & Risk Management

- **Gold Price Volatility:** Despite gold prices rising approx. 65% YoY, consumer sentiment remained robust during Dhanteras and wedding seasons. However, volume (grammage) s

aw a 3% decline in Q3 and a 10% decline for the 9-month period.

- **Hedging Policy:** Due to high volatility and liquidity pressures, the hedging ratio was maintained at 55% -60% (down from historical 80% -90%). Management confirmed this can return to 80% -90% once price stability is achieved.
- **Old Gold Exchange:** Exchange of old gold has increased significantly to 45% -50% (up from 25% -30% historically), aiding sales amidst high prices.

Future Outlook & Guidance

- **Q4 Expectations:** Management provided conservative revenue growth guidance of 25%+ for Q4, citing the upcoming wedding season and Akshay Tritiya.
- **Long -term Guidance:** For FY27, the company targets 20%+ revenue growth and a sustainable EBITDA margin of 7.5% - 7.8%.
- **Expansion:** Plans to open 18 -20 new stores next year, with a balanced mix of own and franchisee showrooms.
- **Acquisition:** The acquisition of Melorra was highlighted as a strategic move to capture the Gen Z and millennial market, differentiating from the traditional Senco portfolio.

Call: Jun 2026

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Ref: SEC/SE/ 20/2026-27 Date: 2nd June 2026

The Manager - Listing

The National Stock Exchange of India Limited

"Exchange Plaza", Bandra – Kurla Complex,
Bandra (EAST), Mumbai – 400051

NSE SYMBOL: SENCO The Manager – Listing

BSE Limited

Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400001

BSE SCRIP CODE: 543936

Dear Sir(s)/ Madam(s),

Sub: Earnings Call Transcript pertaining to Q4 FY26 – Financial Results

Pursuant to Regulation 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Analysts/Investors Earning Conference Call organized on 27th May 2026 post declaration of Standalone & Consolidated Financial Results for the fourth quarter and year ended 31st March 2026. The transcript shall also be available on the website of the Company.

This is for your information and records.

Yours sincerely,

For SENCO GOLD LIMITED

Mukund Chandak
Company Secretary and Compliance Officer
Membership No. A20051

Encl: As above

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Senco Gold Limited
Q4 FY26 Earnings Conference Call "
May 27, 2026

Management: • Mr. Suvankar Sen – Managing Director And Chief Executive Officer - Senco Gold Limited

• Mr. Sanjay Banka – Group Chief Financial Officer & Head IR - Senco Gold Limited

Moderator: • Mr. Vikrant Kashyap – Asian Markets Securities

Total Participants: • Total of 124 participants , including the Speakers.

Active Participants : • Siddarth S from N AFA

• Viraj from Enigma

• Amish Kanani from Knowise Investment Manager

• Kaushik Poddar from KB Capital Markets

• Pallavi Deshpande from Sameeksha

- Anushka Vora from Vimana Capital
- Subhanu Bangal from 3 Head Capital
- Raj Sarraf from Finvestors
- Arvind Dureja, an Individual Investor

Senco Gold Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Senco Gold Limited Q4 FY26 Earnings Conference Call hosted by Asian Market Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Vikrant Kashyap from Asian Market Securities. Thank you, and over to you, sir.

Vikrant Kashyap: Thank you. Good morning, everyone. On behalf of Asian Market Securities, I welcome you all to the Q4 FY26 Earnings Conference Call of Senco Gold Limited. Today, on the call, we have Mr. Suvankar Sen, MD; and Mr. Sanjay Banka, Group CFO.

I now hand over the call to Mr. Suvankar Sen for his opening remarks. Thank you, and over to you, sir.

Suvankar Sen: Thank you very much. Good morning to all. It is a pleasure to be here, and this marks our first investor conference call of the new financial year. We're very pleased to report a strong Q4, crossing INR1,997 crores in revenue with EBITDA of INR274 crores and with a PAT of INR157 crores for the Q4 FY26.

And we are very happy to let all of you know that FY25-26 has been a record-breaking year for Senco Gold and Diamonds from a revenue perspective, where we have recorded a sale of INR8,430 crores, which is almost a 33% year-on-year growth, a great acceleration over last year. There are 2-3 factors that have led to the great performance in terms of growth in revenue. One is that the gold prices have moved up by almost 60% from the beginning of the year.

Despite the increase in gold price, the faith and trust that the customers have placed in us, the new store openings during the year, and the continuous focus that we have put on innovating with new designs and creating jewellery, which will continue to be something that the customers can buy and afford, have been the crux of the matter.

We have been continuously focusing on driving efficiencies, optimising stocks and ensuring that within the resources that we have in this uncertain overall price scenario, we should keep the products that the customer can buy within their budget, and that has led to this amazing performance by the team.

From a macro standpoint, if you've seen that, especially in Q4, the gold price and the silver price have been extremely volatile. There was a time in January when the international prices surged to an all-time high of \$5,600. And again, within a few days, it retracted back to \$4,400 - \$4,500. So, it's been an uncertain time overall.

And if you look at it from an INR point of view, the prices averaged about INR 1.51,000. So, it's been itself a quarter with extreme price volatility. But in that, we have a balancing between the various kinds of risk, the risk of price going up or down, the risk of managing liquidity, with Senco Gold Limited

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the pressure on margin calls. We've kept a steady mind and a steady head and kept our hedging ratio at about 40% to 50% to balance between all kinds of risk.

Now we have seen that even though the gold prices have been volatile. The wedding season was a big trigger, especially for January, February, and March, which led to the kind of sales that we have seen. We had the occasion of Valentine's Day or Mother's Day, which drives the diamond jewellery sales for us. And in this high gold price scenario, we have been focusing on 9-carat and 14-carat jewellery, whether it'd be in gold or in diamonds.

I'm happy to let all of you know that Senco was one of the first players in the industry to launch 9-carat jewellery the moment the government announced their permission for

hallmarking of 9-carat

jewellery, because we firmly believe that jewellery is something that every consumer should be able to wear and by making it much more affordable, it will only increase our customer base and make sure that the young generation as well as those who come from various economic sections of the society will continue to be able to buy gold and silver.

In terms of the expansion, we have been expanding into new geographies. We've opened stores

in Rajasthan, Central Maharashtra and Western UP, whether it be with company -owned company -operated (COCO) stores or even franchises . That will be the focus area, one of our core strengths , East India and Bengal.

We have seen that Bengal is going through a very positive change with the current scenario socioeconomically. So, we are very positive that Bengal will continue to be an engine of growth. Even in East India, we can see that there is a huge potential . There's a lot of growth happening. We're focusing on Tier 2, 3, and 4 towns and cities. and opening more franchises in the smaller towns.

And along with that, our pan -India expansion with a focus on North India and Central India , that will be the core focus. So, with these 3 -pronged planning, we will be able to continue to expand for the future.

We have seen that this lightweight design portfolio that we are building up, creating almost more than 1.5 lakh designs for the year, has been one of the factors that has helped our customers, who are our old customers, loyal customers keep coming back to the stores. Usually, in this particular financial year, what we have seen is that , along with new customer acquisition, one of the reasons for growth has been that our existing customers have kept coming back to us.

We have worked on how to make our old dormant customers active through our various schemes, offers, and that has something that has worked for us in Q3 , where we had a phenomenal performance for our festive season for Dhanteras , and that was also a buildup that we did towards our Akshaya Tritiya season in April as well.

We are also extremely happy to discuss with the Board and propose a final dividend of 20% in addition to the earlier interim dividend of 15% that we had announced. Very importantly, currently , if you have seen our honourable Prime Minister, Shri Narendra Modi ji, talking about how we need to make sure that we promote the old gold exchange. We promote ways and means by which the consumption of imported gold can be reduced.

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It's not really the consumption that is important, but rather that the import of gold into our country should happen in a very rationalised manner. Towards that, over the last 4 –5 months, we have been promoting old gold exchange in a big way, coming up with new campaigns and giving benefits to customers. In the last year itself, we have seen that old gold exchange as a proportion of our overall transactions has gone up to ~44% of total revenue for FY 26 and ~50% for Q4 FY26 .

And that is what creates sustainability. There is an ESG aspect to it also , that we are promoting recycled gold, and it will indirectly help the economy in reducing its imports . We firmly believe that there is a lot of gold already imported and lying in the economy, and we just need to ensure that the household gold can be used in a very optimised manner and used for our exchange, and that will also drive our business.

So that is the reason why we have been able to have our diamond volume growth also increase by 9% by ensuring that the consumers can also exchange their old gold to buy diamonds . We've seen a 32% value growth in the diamond jewellery sales also. So, it is not only that people are exchanging old gold for new gold, but we are also encouraging how they can exchange their old gold to buy diamonds.

As far as the future

is concerned, Senco Gold and Diamond has always looked at every scenario and the opportunities therein. We will continue to remain optimistic no matter what. I must tell all of you that in the month of April, we saw very strong and robust growth compared to last year's April, of close to 40% to 50%.

In May, after the announcement, there has been a little bit of a slowdown. But again, at the same time, for the whole year, we will continue to remain positive. This time, it is Adhik Maas going on, which is an inauspicious season to buy gold. So that could be another reason for the current slowdown.

But our focus of 18% to 20% growth for the whole year , and working on an EBITDA of about 7.5% on average and a PAT between 4% to 4.5%, that will be the kind of guidance with which we will continue to look at the future. 18 to 20 stores is what we would like to open.

And the focus for our team is on how we can open more and more franchisees because that will enable our scalability , and the penetration into the Tier 2, 3, and 4 towns and cities continues to grow. On the other hand , I think that we've been doing a lot of data analysis. We've been using various tools to ensure how we optimise our stocks.

In this high gold price scenario, getting the exact weights, exact designs , and exact products that the consumers will be buying is the key to success, and that will give us the best return on capital, profitability and growth. So, we will continue to work towards optimisation of stocks and focus on exactly the right thing and the right place at the right time.

So, with this, I would like to end my introductory speech. And I would like to thank all of you, all the investors, for firmly believing in our company, in our performance, in our thoughts, in our vision and jewellery making and building the brand is our passion and our love, and we will

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continue to work hard towards achieving our goals and aims and grow the business. Thank you very much.

Sanjay Banka: Thank you very much, sir. As you briefed, I would like to quickly recapitulate that in Q4, we achieved revenue growth of 45% Y-o-Y, EBITDA growth of 116% Y-o-Y and PAT growth of 151% Y-o-Y.

In fact, gross margin and EBITDA were higher than our earlier guidance of 7.5% to 7.8% for the quarter as well as for the whole year, as we have explained earlier that this is due to the price rise in gold and silver and a part of it is due to the improvement in the product mix, premiumization, our movement to North outside Bengal, where our ASP ratings are very high. So basically, for FY26, we achieved the highest ever top line with 33% Y-o-Y growth and 24% CAGR over 5yrs and as we've already said earlier, that coin and bullion sales were marginal at 6% only. So, balance is entirely jewellery.

Similarly, the stud ratio was in the range of 11%, while we have achieved the value and volume growth, which are explained in the presentation. But since the entire site itself has moved, that's why the stud ratio has not moved.

On the working capital front, our total inventory increased 61% Y-o-Y to INR5,296 crores. There are 2-3 reasons for this. One is that the gold price increased, and due to that, the GML and all those things increased. Similarly, there was an increase in inventory for the 7 new showrooms launched. Then we increased the inventory at the existing stores, but most of it was in value terms, not in volume terms.

Our gross margin continues to be among the best in the industry, even now on account of the price rise. It is also due to our 75% handmade jewellery. While we have reported EBITDA at 13.7% for the quarter and 11.5% for the whole year, we are still giving the guidance of 7.5% to 7.8% for the future. Inventory days have increased to 186 days.

Two reasons can be stated. As you said, our inventory always builds

up during September and

March. These are the 2 primary reasons. An extra reason is that for us in the East, Poila Boishakh is one of the most important festivals. While Akshaya Tritiya as Prime India phenomena, Poila Boishakh was one reason.

Secondly, considering the elections and possible disruptions in the logistics, we had to build up extra inventory for the month of April, and that is reflected in the performance of April as well.

In April, during the Akshaya Tritiya and Poila Boishakh, we grew by 67%, and we achieved very high sales. I'm saying at the primary level of around INR1,500 crores. So, there was 67% growth in the Akshaya Tritiya season. West Bengal was almost 69%, East Bengal was 78%, and North Bengal was 75%. Northeast is 64%, Central 162%. So that explains the reason for the inventory buildup.

Moreover, this stellar performance for the year has led to substantial improvement in ROE and ROCE to 25% and 22%, but a word of caution is that this is for the current year, as we are looking at the sustainable EBITDA of 7.5% to 7.8%.

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So maybe in future, the ROC, ROE and ROCE may be in the range of around 15.5% to 16% for the whole year. And we remain very optimistic and confident about our target of a minimum 20% growth, 7.5% EBITDA and 4.5% PAT.

With that, I think we have given you broad guidance, and we welcome you to ask any questions, and it will be our pleasure to respond to you. Thank you.

Moderator: Thank you, sir. First question comes from the line of Siddarth with NAFA.

Siddarth: Congrats on a great set of numbers. So, I'd just like to get some light on what your guided mix is in the future, towards the old jewellery that's currently going on. It's been phenomenal that you've been able to drive around 50% of the Q4 revenue from the old gold exchange program.

If I could just get a light on how much mix would potentially come up in the future, and possibly if there could be a tentative margin for that segment, that would be really helpful.

Suvankar Sen: So, thank you very much for the question. I think that old gold exchange is a minimum 50% of the overall business to move ahead from that, what we are seeing should be something that should be a benchmark, and we should work towards getting it. There are possibilities of

increasing it further, maybe from 50% to 55%.

But I would say that 50% to 55% is the range we will closely monitor. We are all trying to create our campaigns, all our schemes, offers, and reach out to our customers with that in mind. And as far as the impact on margin is concerned, I do not see that there will be such a direct impact on margins for now.

Over a long period of time, yes, initially, what used to happen is that as an industry, when we used to exchange old gold, there were certain melting losses that we used to charge the customer. But currently, we are not charging any kind of melting losses or the whole cost of procuring the old gold from the customer for exchange purposes.

So, there are small minor risks of maybe 0.1%, 0.2%. But I guess that in the overall scheme of things, we shall not be seeing much of an impact on the margins because of the exchange of old gold. And also, one has to look at the broader picture.

If you look at how the old gold exchange has been behaving over the last 3 -4 years, 3 to 4 years back, the old gold exchange had been about 25% to 30%, then it moved up to 35% to 40%. And now it is about 50% , so I guess that it really did not have such an impact on the margins.

Yes, as an organisation , I think we need to bring in more efficiency in terms of ensuring that the old gold is mobilised in a faster manner as much as possible , so that it can be used up, manufactured and replenished into making jewel lery as fast as possible. So that is one aspect we'll all look at, but I do not see mu

ch of an impact on the margin.

Siddarth : Thank you, sir. So, I mean , what's interesting is that the current scaling up that you're doing in this segment would be aligning well with the import restrictions that are being imposed by the government as well. And I wish you the best.

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Moderator: The next question comes from the line of Viraj with Enigma.

Viraj: Sir, my first question is regarding the current inventory. With the customs duty hike that we have seen, what impact will it have on the inventory gain? Because I'm assuming there will be further inventory gains, we'll have this quarter because the pricing of the same gold would have gone up. Is that a correct understanding? And what will be the quantum of that for us?

Suvankar Sen: Yes. As far as the impact of customs duty is concerned , the company has recognised an inventory gain arising from the customs duty revision . But we will keep getting the gain as and when that inventory is sold. So, you will see the gains happening , maybe not in the full first quarter itself, you might see the gains happening in maybe 2 quarters.

But because of the action taken by the government, there was a one -time loss incurred when the customs duty was reduced in the past . So here again, there should be those kinds of gains sitting on the inventory. And with the sales of inventory, we will be able to get some mileage out of it.

Viraj: Right. And sir, what I wanted to understand is when you are saying you will have only 20% growth for the year, because we've already seen 50%, 60% growth this month. And for the quarter, whatever, 20%, 30 %-odd growth, that would mean that for the rest of the year, we are expecting a very low single -digit growth.

That is very counterintuitive to what a lot of other jewellery players are talking about in terms of: we understand the volume degrowth, but the value degrowth we are talking about seems much higher than everyone else. Can you talk about the reason why you feel much less optimistic about the growth this year?

Suvankar Sen: So, actually, I'll tell you that we've always taken a conservative approach. Even in the last financial year, we've been guiding the investors on around 20% to 25% growth. And by the end of the year, we have achieved a growth of 35%. So, this is something that , while others are looking at the trend, there are also those who , today , the gold prices compared to last year's average are on the higher side.

So, similarly , we are guiding you on a very conservative approach of about 20% to 25% growth. But internally, we will all endeavour to overcome and have a higher growth rate. But for you all, I would rather say that a 20% to 25% growth for the business in terms of value.

Yes, volumes will get impacted because of the higher gold price. We are seeing that the average weight range of the products that are being sold is lighter. So that is there, and I think that's how the consumers would behave. But from a guidance perspective, we would like to give you a 20% to 25% growth range.

Viraj: Right. And sir, so you specifically mentioned that post the announcement by the Honourable Prime Minister, we have seen subdued demand. Can you quantify in terms of what the trends are you are looking at in the sense of May, especially post the announcement, are we seeing a decline in revenue? Or has the growth tapered down to 15%, 20%?

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Like, just a ballpark understanding of how the impact has been. I'm not looking for an exact number, but I'm trying to understand, like, how the impact has been on the consumer?

Suvankar Sen: Right. So, see, it's been about 7 to 10 days, and consumers have taken our Honourable Prime Minister's announcement seriously, and they are actually looking at a more wait -a

nd-watch

situation. And along with that, the Adhik Maas, an inauspicious time to buy, also started.

So, if you look at it, as Banka Ji already said, we had a very good performance in terms of growth in April for Akshaya Tritiya. And if you look at May, YTD, just to give you a perspective, in terms of performance of May of this year versus last year, the performance is broadly similar to that of May last year, with growth remaining largely in line with the corresponding period.

So, all in all, YTD, you will still see growth. But in the last 7 to 10 days, the footfalls at the stores have come down. We could also see the heat wave having a great impact, in which the consumers are not getting much out of the house, and only in the evening, they are out.

They are also thinking that, okay, let us not buy right now if there's no emergency. The wedding season is not right there. In June and July, we will again see the wedding season, and the various gifting linked to weddings will start again. I want to tell all of you that we need to look at the long term.

Yes, the last 7-10 days have been a little bit of a slowness in the business, but our planning, back-end tracking, designing, manufacturing and preparing for the future has not stopped because of that. We need to just make sure that we are ready with the product that the consumers will buy when they decide to buy.

So yes, we need to ensure that at these high gold prices, what is the weight range, what is the product, what is the design that we'll sell, and we are doing our homework at this time when things are a little slow.

But in the long run, again, I want to tell you that in a very optimistic manner, we should be able to see that consumers coming back and business will grow at around 20%, 25%. So that's how I would like to look at it.

Viraj: Sure. And sir, my last question is regarding margins. You mentioned that we'll have 25% growth. I'm assuming we are opening only 10 stores, so there will be 5% growth due to the stores. But majorly, I would say, 18%, 20% growth will be SSG-led growth. Now, in an environment where your SSG is increasing, and I'm assuming your gross margins remain the same.

In that scenario, should it be a normalised margin range if you take out inventory gains, even for last year, our margins would be higher than that. So, like in an improving SSG, in a format like yours, we have generally seen margins always uptick.

But we are talking about the same margins that we had even when we had almost 40% lower revenue than what we will have this year. So how does that work? Like, why will we not have any operating leverage?

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Sanjay Banka: Siddharth ji, while we are certainly looking for operating leverage, if you look at the competition, both the organised and unorganised. The organised players of South and West are entering into West; we are entering into West. Then some local players don't do hedging, right?

So, if you look at the competition, go to any market, go to Borivali market, go to any Delhi market, Rajouri Garden market, there is one local player in Delhi who is offering huge discounts.

So, we have to work within the constraints of the market. And hence, we have to balance.

So, prima facie, we are not looking at any substantial, I would say, substantial improvement in margin year-on-year despite operating leverage at full play. And let's say, 10 to 15 bps max, we are looking at as the competition will continue to intensify.

Suvankar Sen: So, yes, while what you all are saying is a very logical way, things will move ahead for profitable growth. But at the same time, in the market forces scenario, we need to ensure that we keep acquiring new customers.

We make sure that our customers keep coming back to us with not only new design offers, but also provide value -for

re-money offerings to the customers. So, a balance between growth and profitability, it is a good thing to have a sustainable EBITDA and a sustainable profit and keep investing for the future and keep growing. So that's how one has to look at it.

Viraj: Right. Thank you so much. So, essentially, I'll just end this conversation. You are saying we'll do anywhere between INR10,000 crores to INR10,500 crores revenue, and we're looking at 4.5%

PAT margin. That's roughly where we'll end , and we'll grow post that 20%, 25% next year. We'll see how it happens. Is that a fair understanding after all this conversation?

Sanjay Banka: Yes, absolutely. That is in line with our guidance. While internally, we'll continue to target more. But I think these are the conservative estimates .

Moderator: The next question comes from the line of Amish Kanani with Knowise Investment Manager.

Amish Kanani: Congrats on a good set of numbers. Sir, growing within West Bengal in Tier 3, Tier 4 towns, as you mentioned, versus growing beyond West Bengal, how do you see opportunities? What are the priorities? So, do you see deep within West Bengal , given the kind of political environment it has been?

Do you see that as a n opportunity, say, on a 12 to 18 -month basis? Or do you see diversifying business beyond West Bengal as more important in terms of building a very strong and stable franchise, which you said North and Central?

Suvankar Sen: No. So , I think we need to understand where our strength lies, and we need to understand where the opportunity for future growth lies. So, for being in Bengal and the Eastern part of India for more than 80, 85 years, there is a strong loyalty , and there is a strong emotional connection with the consumers here.

And as a brand emerging out of this part of the country, we should continue to work towards how we can keep on penetrating into the smaller towns. And I must tell you that , considering Senco Gold L imited

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the changing scenario , and I would say, the positive growing scenario in Bengal and East India, our one core focus will be to continue to focus on growing in the Eastern part of the country and play to our strengths. So that will be one area.

And I would give it a weightage of almost 50% to 60%. And a weightage of 30% to 40%, I shall be giving towards the North and the Central because we all know that the market size, the future growth opportunities, the growth and development in those consumer bases will be there. Our endeavour to increase our diamond jewel lery sales and increase our s tud ratio shall also be achieved through a very strong brand presence and growth in those regions as well.

So, one is to take the low -hanging fruit of where we are already strong. And one is to look a little into the future and grow further. I would say a 60 -40 weightage ratio is the optimum way to grow and put our energy towards.

Sanjay Banka: And to complement what MD has said, we have grown last year into the newer markets. We have gone into Rajasthan (Bikaner) through the franchise route. So that's opened an immense opportunity. In Madhya Pradesh, we have a franchisee. In Maharashtra, Nagpur, we have launched. So those opportunities , we continue to explore. But we have a very strong pipeline for FY27 , which is skewed towards Bihar and UP.

Amish Kanani: Okay, sir. That's very heartening to note. And sir, normally, this wedding and festive season, and you mentioned about Akshaya Tritiya and all. So, the question is, sir, this year vis-à-vis last year, any trends in terms of overall wedding dates come festive season activity on an annual basis?

And if at all, are there some variations that we need to keep in mind on a quarterly basis, which should impact either the positive or negative side for us in the revenue growth outlook? And are we heavier for the wedding versus t

he festival , and wedding plus festival put together versus normal business? Any things that we should know, which give us a better appreciation of the quarterly trend of the numbers, sir?

Sanjay Banka: Yes. So, as you said, Akshaya Tritiya was extremely good for us. And despite the readiness for the election, we achieved around 66% growth. We have seen the growth across all the zones , let's say, West Bengal, East, North, and even Central.

We did not find any major variance in the trend, while we have launched 9 carats, but 9 carats continues to get traction. Obviously, there is a growing skewness towards lightweight jewe llery, and a major part of our jewel lery is already lightweight. Our diamond jewel lery growth has been happening.

So, we did not find any major change other than the movement towards the old gold. And as you mentioned , the customs duty has increased as an appeal made by the PM for the old gold . I think that the momentum of old gold is only going to increase , along with the 9 -carat and lightweight jewe llery.

Suvankar Sen: And just to define that lightweight jewel lery would not only mean jewe llery that you see people wearing every day , office or casual wear. Even when it comes to buying jewe llery for traditional Senco Gold L imited

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locations and weddings, consumers are looking at how they can reduce the overall weightage, or they reduce the purity of the product from 22-carat hallmark to 18-carat hallmark and make it within their budget.

So lower purity, making the weight light for even the heavier-looking product. And we, at Senco, since we are working with the karigars very closely, our effort is to find out how we can keep on making the product look heavy but weigh light. So, there are always ways in which we are trying to provide the product and make the design.

Amish Kanani: Sure, just as a follow-up, sir, is there any trend in the ticket size, so there's a lot of debate between a price rise of 40%, but volume degrowth and all. Should we be looking at a ticket size per customer or per footfall, which we convert as a good proxy of growth, one, in terms of value growth?

And second, within that, one, the expansion of stores as an additional kind of growth. So, if you can give us some sense there as a follow-up, that will be helpful.

Suvankar Sen: So, our ATV, if you look at it, our average ticket size has grown by almost 30% YoY. So, consumers using either the money that they have or the old gold that they have, they are buying the jewelry based on their budget. But the average ticket size has increased by 30%, so that's the way to look at it.

And see, we are talking of now, we have seen it over 25, 30, 40 years that the gold prices were much lower, then also people who are buying jewelry. Now, at these high levels, people will buy. But obviously, the quantities will differ. And that's the way the volume has to be looked at, right?

Moderator: The next question comes from the line of Kaushik Poddar with KB Capital Markets.

Kaushik Poddar: Can you give a sense of how Sennes is doing? I mean, with artificial diamond, that's a different sector altogether. So, can you give a sense as to what your initial aim was for Sennes? And how is it progressing on the goal you must have set for having a completely new brand and new setup?

Suvankar Sen: Right. Thank you very much! Sennes is a brand that is created keeping the lifestyle changes of the consumer in mind. And it was also one of our strategy that how to connect with the young consumer. So, while we are sitting on our strong, loyal customer base, our constant endeavour is to understand how we can keep on innovating ourselves and create new lines, new products to connect with the new generation consumer with the changing lifestyle.

So, it is something that, along with Senco or compared to

o Senco, the volumes and the value are much lower. It is still in a state of getting invested, and we are building the brand. We all know that while increasing the stud ratio is one of the strategies that the jewelry industry has to work towards, increasing the stud ratio will not only happen by increasing the share of diamond sales, but also by increasing the share of other gemstones and lab-grown diamonds.

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We are putting our energy and effort. We've got 12 stores right now. We are building the awareness levels of the consumers with regard to lab-grown diamonds and lifestyle products. The base is still very low. There is not much to talk about except the fact that we believe that in the future, this, along with the other kind of jewellery that we sell.

So, from a Senco perspective, we are selling gold, diamond and platinum. We are also selling silver and fashion jewelry. So, along with that, this will be another line of business of selling lab-grown diamonds. Also, the fact that consumers will look at other products complementing jewelry.

And as a result, we have launched perfumes, leather bags and leather accessories. And we will continue to work on building that base for the future. That's how I would like to kind of share my thoughts with you.

Sanjay Banka: Just to complement. So, while we have 12 exclusive Sennes stores, we are also selling Sennes products from Senco stores, excluding the lab-grown diamond. If I look at the Sennes business as a whole, at the EBITDA level, it is positive. Broadly, that's great news because when you build a great brand, you can invest in the brand up to INR50 crores to INR100 crores.

And within the second year itself, Sennes' business as a whole is EBITDA positive. So, there may be some impact for 1 or 2 years, but we are on a long-term journey in this Sennes brand as a house behind.

Kaushik Poddar: Okay. And see, the point is in order to grow the market, that 9 carat and 18 carat, what percentage of your sales comes from such kind of lower than 22 carat gold?

Suvankar Sen: As of today, I would say that though it won't be the exact figure, I would say anything between 15% to 20%, 15% for sure, which will be lower. If you look at diamond jewelry, gold, and everything put together, it will be around 13% - 15% approximately.

Kaushik Poddar: That's not in substance. That is quite a significant number. So, are you doing something to promote that kind of thing? Because I don't see awareness being built up that this kind of jewellery is available. Are you doing something on that? What are the steps you have taken towards that end?

Suvankar Sen: So, I can only let you know that in all the various communication campaigns on our advertisement medium and digitally, we are continuously sharing with the consumers that 9-carat jewellery is available because even for traditional jewellery designs, people are looking at 18-carat options and not just 22-carat options.

So maybe we can take a point out of your suggestion that maybe we are doing, and maybe we need to do more or make sure that people are more aware of it. But the reality is that most of the diamond jewellery that we are selling, and even gradually the lightweight gold jewellery that we are selling, is put in 9-carat, 14-carat and 18-carat jewellery. But we might need to do a lot more, and we'll take your point, and we'll keep that in mind.

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Kaushik Poddar: And my last question. See, Titan, I mean, the leader in your business is operating, say, at 11%, 10%, 12% margin. And you are operating at 7.5% to 7.8%, as you said. Why this difference?

What will make you bridge that gap?

Suvankar Sen: So, one of the biggest reasons for it is that their share of diamond

studded jewellery. That is

what has been almost all you can analyse the data; it wouldn't be right from my side to say what it is. But that is the biggest difference. And we are working towards increasing our sales of diamond jewellery.

We are creating a lot of innovative designs in lightweight or even for party wear, cocktails and trying to give the most value for money proposition to our customers. And sitting in Calcutta, we have the strength of karigari of artisanship of creating those designs.

So, we are working towards it. And I guess that, see, they have been leaders, and they have been established in the market for a long period of time. And we are also very respectful of the same, and we want to get inspiration and do the best we can to keep on growing the way they have done.

Kaushik Poddar: So, I also happen to be from Kolkata, so I wish you all the best.

Moderator: The next question comes from the line of Pallavi Deshpande with Sameeksha.

Pallavi Deshpande: I just wanted to understand, in the 9 months we had said about the hedging gains contributing to 2.5% of the margin, giving a boost. How much would it be for the 12 months? And the second question would be GML, which is also reduced. Any particular reason for that?

Sanjay Banka: Hi, Pallavi. Good morning, and thanks for asking this question. If you look at the number and the guidance that we are giving, it is partly self-explanatory. So, if you look at the gross EBITDA margin of 13.7% for the quarter and 11.5% for the whole year. And when I'm saying that my margin guidance is 7.5% to 7.8%, at least in the range of 2.5% to 3% is due to the price rise again.

And while it cannot be exactly extrapolated because it is simple to explain, but this is broadly in this range, there is a weighted average cost impact, right? Then there is silver, which has also increased. Premiumization, you are seeing that the ASP and ATV have increased versus last year, almost. So, this is an impact of that, but you can broadly take 2.5% to 3% for the whole year.

Pallavi Deshpande: Right, sir. So then that extra 1% is because of our better product, more handmade and all that. So that should continue, right? So, my point is this margin guidance seems conservative because 11.5%, minus 3%, will give me 8.5%?

Sanjay Banka: See why we are still guiding because it's a very dynamic market. And market to market, we have to see the competition and how they will behave in the next quarter, how the market will take up the PM's appeal, old gold. That's why it is so dynamic; it is fair for us not to give aggressive numbers.

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So, that's why we are still retaining at 7.5%. As we said, we will certainly aspire to increase the margin to bring in more operating leverage, there's a balance between the brand building, serving the customer and still taking the market share.

Pallavi Deshpande: And what would be the target for marketing expenses, now 1.9% of revenue? Are we planning to increase that by 50 bps, 100 bps next year?

Suvankar Sen: No, I think that the marketing expense is 1.8% to 2.2%, we will continue at that kind of thing

that we will invest for the future. 1.8% is something that will be needed for future growth. And I think that is how we will keep on growing. The new brands are coming up. We will keep focusing on the new brands, the lightweight jewellery, and the various categories. But yes, 1.8% is what we would like to look at.

Pallavi Deshpande: Right. And lastly was about the GML portion, why we see a decline this year?

Sanjay Banka: So, GML, Pallavi ji, it declined because of the huge gold price rise, which happened in March. You are aware that in the month of March, the fee went up to almost 180,000, right? At that moment in time, there was a cash flow mismatch, and a lot of positions had to be squared

red up due

to the hedging position taken through GML. The MCX had to be squared off, the GML had to be squared off, and then the payment had to be made.

So that's why it has come down; it is one of the reasons for the increase in borrowing costs for Q4 and maybe in Q1 also. But obviously, we intend to increase the GML portion to 50% plus.

We are short-term business dynamics. That's why we have to understand them. But the intent remains to increase the GML because my borrowing cost on the GML is 3% to 3.5%.

One good thing that I must highlight is that our rating has been upgraded 1 notch by ClearEdge, and the rating renewal is pending with ICRA. And with the improved financials and improved interest coverage ratio of 4.5% and the return on equity of 20% northwards, I mean plus 20%, I think we are expecting an improvement in the credit rating, which would reflect in the borrowing cost.

Moderator: The next question comes from the line of Anushka Vora with Vimana Capital.

Anushka Vora: So, you said that around 50% of the sales in Q4 came from the old gold exchange. So, I just wanted to understand how your order relationship with the manufacturers has been changing.

So, do you give more of an advance gold in respect to the traditional way of placing orders where they themselves buy the inventory, but has your portion of advanced gold to them been increasing?

Suvankar Sen: Right. No. So with the manufacturers, there are 2 parts, almost 70% to 75% of our work is done through job workers or our factories and the manufacturing production is mostly finished goods purchased. Now what we are also seeing is that diamond jewellery, where we used to do a lot of finished good purchases, we are utilising these kinds of goods advances. And this has started in the last, I would say, 1 or 2 months, where we are giving them some of the gold in advance for their manufacturing process.

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So, it's more gradual. It's not a very drastic situation right now. But see, gold is equal to working capital in that manner. And we are utilising this opportunity to give certain of that to the manufacturers. And against that, we'll also get some minor benefit in terms of getting better pricing whenever we are doing it. So, it's a very gradual process. It's not been a very drastic process yet.

Anushka Vora: Right. That's fair. So, how much of your overall production or volumes would you say was through advanced gold?

Suvankar Sen: We don't have the exact numbers right now, but we will analyse, and we'll get back on that. It won't be a very large number, but we'll get back to you. And I think that you will not see the impact much happening in the previous financial year, but maybe in this current financial year, that would be one of the aspects that one has to look at.

Moderator: The next question comes from the line of Subhanu with 3 Head Capital.

Subhanu: Can you tell me what kind of gold volume is kept today?

Sanjay Banka: I could not get you. Kindly repeat.

Subhanu: What gold volume do you currently keep in your gold inventory?

Sanjay Banka: See, I think we should refer to the published number. We are saying by inventory days are 188 days blended. So, the gold volume approximately sold is around 6 tons. So, you can extrapolate from that how much inventory is, yes. 6 tons is the total gold sales by us. You can extrapolate the number accordingly.

Subhanu: Okay. Understand. And as you mentioned, we procured the gold due to political uncertainty in West Bengal. What was the procurement cost at that time?

Sanjay Banka: No, sorry. What we said is that we built up the inventory ahead of elections, right? The model was the same, as we explained to the previous gentleman, we procured 50% from old gold, 20% from the ready-made jewellery, balance from the traders. This is the mode of

procurement of the gold.

Second, thinking is how we get it manufactured. So, 20% is ready-made jewellery, which I explained and balances the old gold or the GML, which we procure from the bank that is given

to Karigars. So, 20% traders, 70% -75% is Karigar and the balance 4% to 5% is our own factory, which will increase in future. We want to take the factory manufacturing to 10%.

Let's say, if I'm selling today 5% of INR8,000 crores, that is INR400 crores. When it becomes INR20,000 crores, 10%, it will become INR2,000 crores. So, from INR400 crores to INR2,000 crores, the size will increase, but the percentage will be below in the range of 8% to 9% of total manufacturing.

Subhanu: Understood, and as you mentioned, we will be maintaining around 50% plus hedging. That means going forward, if the gold price increases further from here on, then we automatically gain margin from this inventory?

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Sanjay Banka: See, what the MD has said is that our policy is to hedge up to 80%, right? So, it is the current scenario. While currently, it is 50% to 60%, it will be in this range. It can go up to 80% also. So, if the hedging increases, it is a good risk mitigation technique. So, if the hedging increases, your sustainable margin will come, and the non-sustainable one-time gains will not come. But as we've always said, the intent of the company is focused on sustainable margin, risk protection, while managing the cash flow mismatch. So, the hedging percentage is linked to the cash flow mismatch.

Moderator: The next question comes from the line of Raj Sarraf with Finvestor s.

Raj Sarraf : So just wanted to understand that inventory must be repriced as the duty hike to 15% now. So, how much effect are we going to have this year, apart from the guided EBITDA or any ballpark number, if you can give?

Sanjay Banka: If you can just rephrase the question, then I will attempt to answer you.

Raj Sarraf : Sir, the inventory must be repriced at the duty hike from 6% to 15%. So, how much effect are we going to have this year, apart from the guided EBITDA or PAT or any ballpark numbers you can give, sir?

Sanjay Banka: Sir, I will say inventory is not repriced. See, the inventory is valued at cost or net realisable value, which is lower. So, inventory is always valued at the cost. Cost means weighted average cost. Now, the weighted average cost is usually lower than the market cost. And in the weighted average cost, hedging losses, the realised and unrealised losses, as well as a mark-to-market impact for the gold metal and MCX, both are added.

I'm reconfirming to you that inventory valuation is as per Ind AS 109. It is audited thoroughly by the auditors. They check the valuation and inventory valuation, which includes the realised and unrealised losses to the extent of inventory unsold, which will be realised in future, and it is lower than the net realisable value.

So, if you are looking at a value of INR5,200 crores of inventory, which is approximately INR4,500 crores of gold, INR500 crores of diamond, platinum and silver, the realisation price is more in the month of April and May. Now, if again, gold prices go up, which it has gone up in April, May and June, then the gain will come.

Raj Sarraf : Sir, just want to understand as a layman, when the duty was reduced from 14%, 15% to 6%, we have an impact of INR57-odd crores in our balance sheet or our P&L. So right now, the scenario has been reversed.

So definitely, if you are not fully hedged, we are going to have an inventory gain. So, at that time, sir, we are having lesser inventory. Now we are having more inventory. So, what is the quantum of gain, what you say is realised gain or anything we will have this year?

Sanjay Banka: No, see, I don't want to give a ballpark number. I'm trying to tell you tha

t this 9% gain, very

simple, 6% to 15% is 9%. 9% on the gold value of INR4,500 crores, you can assume INR450

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crores or INR400 crores, but it is not that simple. So, from a rough out-of-the-envelope calculation, it will be 9% of INR4,500 crores.

But whatever the gain is, it goes into the weighted average cost daily. So, the inventory is getting repriced on a daily basis from 30th June until 30th September. So, this inventory will get sold in quarter 1 and quarter 2, but effectively it should be in the range of at least 6% to 7%, but we don't know what is going to happen in future. It will also depend on how the market is giving a discount on the gold price.

We understand if I am selling gold at a certain price and if in the market, the nearby market, my competition is giving at less, then I can't take that much gain. So, the gain will get reflected in quarter 1 and quarter 2, and we'll disclose what gain has come due to the customs duty impact.

Raj Sarraf : Sir, that we clearly understand. And then the competition kicks in when the gain is so much that I clearly understand. Just wanted to highlight this . Now , sir, we have seen in the past that the negative result of duty reduction, which will eventually come next year, as I guess.

And then we have a negative duty impact of INR57 crores, I think, in FY '25. So , how are we preparing for next year if the duty is reduced from 15% to 6% and 5% in next year? Are we going to hedge our inventory more , or how to mitigate these kinds of scenarios going forward, sir? Because that is eventually going to affect us negatively in the coming year?

Sanjay Banka: You asked a wonderful question. What has come as a one -off gain. Now we have to be more cautious not only for us , but also for the entire industry to be cautious , and whenever it happens, it will be sudden. So, at that moment in time, the gain will convert into a loss if the hedging is not done. Now , hedging can only be done through the MC X.

So last year also, the price fell, and the impact could not be mitigated. Impact would have been mitigated only if the 100% of the position was covered through MC X, a slightly complex subject because you would read that the hedging is done through GML and MC X.

So, in the GML, even in the current year, we will continue to pay customs duty at 15%. That means that risk is uncovered. So, if my 100 kg of inventory is there and if I have purchased 50% through GML, I would have paid the customs duty, which means that I have to take 150% hedging to cover the risk of a gold price rise.

So, thank you for raising this question. You can ask me one -to-one. We are cognizant of that. But I don't think that it will be possible to cover the entire hedging position through MCX because now the MCX margin has increased to almost 25% - 26%, which is becoming a challenge.

We'll issue more details on this during quarter 1 as to what actions we are taking for possible reduction in future.

Raj Sarraf : That's exactly my point, sir ; the inventory hedging is now very important because, sir, eventually, we are going to grow more in the coming year also. So naturally, this INR5,200 crores inventory is going to increase in the coming years also. So that time , having an inventory Senco Gold L imited

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hedge at an amount of 50% will cost us more in our balance sheet and our P&L going forward. So that's my concern is?

Sanjay Banka: Rightly raised , sir. We are certainly thankful to you, but we are aware of this risk, and we will take adequate measures so that the repeat of the previous customs duty fall does not happen. Fortunately, we have a gain, a one-time gain. I think that a part of it will certainly have to be sacrificed, if I'm very plain and blunt.

Raj Sarraf : Okay. Sir, how

is the trend now in coins and gifting jewellery right now? Because some of your peers have also mentioned that now the government has taken a duty hike. So, the gold coins and any investment purpose buying is now being discouraged.

So, I wanted to know the trends going forward in the last 10 days , also when the Honourable Prime Minister announced that call-out. And even the going -forward trend you have seen in the past with your experience?

Suvankar Sen: So, see, coins and bars are around 5% to 6% of our overall business only, right? And previously, it was about 2% to 3%. It has gone up to 5% to 6%. So, I think that we will see some amount of slowdown in coins and bars , and people will not invest as much. But again, from our business perspective, selling more coins and bars doesn't add much of a margin to the business.

So, this is more of a customer service that all the jewellers do and not really a margin -adding situation. So, we'll see, and we will be guided by what the government takes and the policies that are taken.

Our focus is to drive more and more jewellery and designs , and how we fulfill that need of the customer, and we will focus more on that. And so that was your thing on the question of the impact of the current situation on coins and bars.

And as far as gifting is concerned, I think we need to look at the lower caratage jewellery , 9 carat, 14 carat , so that consumers can use it for gifting to their loved ones and make things within the budget. So that is something that we'll keep looking at and keep creating new designs in that segment as well.

Raj Sarraf : My last question is, sorry...

Moderator: Sorry to interrupt , Mr Raj Sa rraf, I would request you to please come back in the queue for further questions. Thank you. The next question comes from the line of Arvind Dureja, an Individual Investor .

Arvind Dureja: Sir, my concern is related to the inventory buildup. If I look at your inventory turns, it has gone down from 2.6x, I think, or 2.7x to now less than 2x. So, what would be the steady -state target for inventory turns?

Because if the inventory keeps inching up and if there are no inventory gains, then our ROCE will keep on declining. And there is also market scepticism because of the past accidents in the Senco Gold L imited
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jewellery sector . I'm not implying that this is the case with us, but this is something that makes the investor worried . Thank you.

Suvankar Sen: So, see, if you look at the inventory days in the previous year, it was around 166 days. And this year, since we had to build up the inventory for the festive season of April, it's looking a little on the higher side, plus the gold prices that has moved up so much has made us look at what is the exact kind of inventory that is selling and gradually changing from a heavier weight to lighter weight to make sure that the consumers can continue to buy.

So, these have been the cases. So, if you look at a benchmark inventory days, I would think that anything around 150 to 160 days is a great inventory days and inventory turns that will look good and is good for the business.

And as far as working towards that is concerned, I think that we all need to look at how the market stabilises , the gold price stabilises , the consumers also get more comfort with stable gold prices and not so much volatility and our effort towards what we are already doing , a lot of data analysis and producing products, making it lightweight, selling what exactly the consumers want.

And together, I think from our side and the consumer side, we'll be able to move towards lower inventory days and make it more efficient. But again, I want to assure you that gold is something that is very much fungible and can easily be manufactured back. The only risk is your manufacturing cost, which is a very low single -digit manufact

uring cost on average.

So, on the broader perspective, unlike other materials, it is not that it will remain the same ; it will lose its value that way. But again, at the same time, we don't want to lose sales. So, for the purpose of sales, we'll need to make sure that the designs are correct and as per the budget of the consumer. So, we are working towards the same.

And the last point I would like to make is just to get the inventory days right as a brand, as we are building the brand for the long run, we are also a little conscious of the fact that we don't want to discount ourselves too much to kind of dilute the brand strength , just to make the sales happen. So, it's a lot of balancing that we need to do and ultimately work towards the 150 to 160 days inventory.

Arvind Dureja: So, can we expect this to be the bottom? I mean , it will not go beyond what you have already reported , and ultimately, it's going to improve from here on .

Suvankar Sen: Yes, that's it. Obviously, that should be our effort and endeavour . We are focusing on building diamond jewel lery and increasing the sales of that. But this should be on the higher side, and we don't want to increase it more than that. So, this is how we can let you know for now. We don't want to do it anymore .

Sanjay Banka: Arvind Ji, if I complement , I do the benchmarking within the industry, it goes up to 220 days also. So, the days are high and at a lower parity at 160 days. So, we would intend to keep it between 160 and 180.

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Some specific actions, we have closed some stores, right? So one is that we are using technology. We are shifting the inventory from intra to intra -zone, interzone own to franchisee, franchisee to intra, all those things we are doing. But yes, we will explore all possible options to ensure that inventory days are in the range of 165 days to 180 days.

Arvind Dureja: So, 165 to 180 ?

Sanjay Banka: Yes.

Arvind Dureja: Okay. And sir, you said that the sustainable PAT margin is 4% to 4.5%, right, in the presentation and also the press release. However, if I look at the past 3 to 4 financial years, you have never touched the target. So, what gives you the confidence that the margin at 4% is sustainable without any inventory gains?

Suvankar Sen: No, because 4% margin will happen as we keep on increasing our diamond sales , and we are charging whatever making charges that we are charging to the customer for the designs and the lightweight jewellery that we are selling. So, I would suggest that this 4% to 4.5% margin. This year, our margins are looking higher because of the inventory gains. But in general, it's been in the range of 3.5% to 4%.

So, I'm confident that with the gold prices going up, there will be an increase in sales of 9 carat

14-carat jewellery . And with the gold prices going up, there will be more sales happening of jewellery with stones to make it much more affordable for the customers at a lower purity. So, with that thought in mind, I'm a little confident that we should be able to achieve the 4% margin.

Arvind Dureja: Okay. Thank you. And my final question is, what are the sustainable ROE and ROCE targets?

Sanjay Banka: See, even earlier, we have said that it should be north of 16%, right? So, what you are seeing for the current year is primarily a price rise. But if the price rise does not happen, incidentally, once again, this year, the customs duty impact will come.

And if the customs duty impact is not negated or if the risk is not mitigated, it may still be high. But I think that we have earlier guided it should be -- we will try to reach to 20% over 2 - 3 years. So, north of 16%, 17% is a good target.

Arvind Dureja: Without any inventory gains?

Sanjay Banka: Without any inventory gain, of course.

Arvind Dureja: Yes. Okay. And sir, final question, sorry, but fina

I question. I mean, I understand that free cash flows have been negative because of the inventory buildup and the rise in gold prices. But any guidance because some of the peers are very close to positive cash flows, but the U.S. is, of course, significantly negative ?

Sanjay Banka: No, I'm not able to give a comment on this. So, we have debated a lot on this , and the numbers are there. So, to me, it does not seem to be easy. That's all I can say. While we are cognizant , when we see the free cash flow of others, at least we are not able to give guidance on this that will become positive in the next 1 or 2 years.

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See, the dynamics of the price range are impacting things hugely , even without disclosing the number . If I say that my inventory per kg at a store has come down, the front -end inventory, the back -end inventory, what you look at in the financial total inventory. We'll try to work on it. We have been aware of this issue for 3 to 4 years.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr Suvankar for closing comments.

Suvankar Sen: Yes. No, thank you very much. It's been wonderful talking to all of you and answering all your queries. We want to, on behalf of the team, Senco would like to assure you that we shall keep working towards growing our business, working on ensuring that we work towards increasing the profitability and getting the best return on capital that we would be employing in our business.

We know that the world is in a little bit of an uncertain situation. There are a lot of events happening. But again, as long as we can keep on continuing and focusing on the fundamental aspects of the business in terms of design and in terms of customers, I'm sure that as a brand, we will keep growing and increasing the business and the brand in the long run.

So, with that aspect, we want to thank all of you and look forward to interacting with all of you again in the future. Thank you.

Sanjay Banka: Thank you, everybody. Thank you very much.

Moderator: Thank you. On behalf of Asian Market Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Senco Gold L imited

Q4 FY26 Earnings Call, Dated - May 27, 2026

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Senco Gold Limited — Q4 FY26 Earnings Call Summary

Date: 27 May 2026

Hosted by: Asian Market Securities

Management: Suvankar Sen (MD & CEO), Sanjay Banka (Group CFO & Head IR)

Operational & Business Highlights :

- Revenue mix: Coins & bullion at just 6%; balance entirely jewellery.
- Stud (diamond) ratio: ~11% by value; diamond value growth 32% YoY; volume growth 9% YoY.
- Old gold exchange: Reached in Q4 FY26 ~50% of total revenue (for FY26 - 44%) , up from 25 –30% a few years ago. We are actively promoting recycled gold in line with the PM's appeal to reduce gold imports.
- 9-carat jewellery: We are among the first to launch post -government hallmarking approval.
- Average Ticket Value (ATV): Grew ~30% YoY.
- Lightweight design portfolio: Over 1.5 lakh designs created during the year.
- Sennes brand (lab -grown diamonds & lifestyle): 12 exclusive stores; EBITDA -positive in its second year. Also selling Sennes products through Senco stores.
- New s howroom launch : 7 new own showrooms launched in Q4 FY26 and 26 in FY 26 ; target 18 –20 showrooms for FY27, skewed towards franchise model.
- New geographies: Entered Rajasthan (Bikaner), Western UP , and Nagpur (Maharashtra). FY27 pipeline skewed towards Bihar and UP.
- Akshaya Tiritiya (April 2026): Achieved ~66 –67% growth; West Bengal +69%, East Bengal +78%, North Bengal +75%, Northeast +64%, Central +162%.
- Credit rating: Upgraded one notch by ClearEdge; ICRA renewal pending — improvement expected.
- Dividend: Final dividend of 20% proposed, in addition to the interim dividend of 15%.

Key Management Commentary :

Gold Price Volatility: International gold prices swung from an all -time high of \$5,600 to \$4,400 –\$4,500 within days during Q4. INR average price ~■1,51,000/10g. The company maintained a hedging ratio of 40 –50% to balance risk and liquidity.

Customs Duty Hike (6% → 15%): Gain estimated at ~9% of gold inventory value (~■4,500 Cr), expected to flow through Q1–Q2 FY27. However, management guided that the reverse scenario (duty cut) could be a risk and flagged the difficulty of fully hedging this via MCX (MCX margins now ~25 –26%).

Post-PM Appeal Slowdown: Post the PM's appeal regarding old gold recycling and rationalising gold imports, the last 7 –10 days of May saw a dip in footfalls. Additionally, Adhik Maas (inauspicious period) is contributing to near -term softness. Management remains optimistic for June –July with the wedding season.

April 2026 Performance: April was very strong, with primary -level sales of ~■1,500 Cr, driven by Akshaya Tiritiya and Poila Boishakh. Built up inventory ahead of Bengal elections to avoid logistics disruptions.

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Guidance for FY27 :

Parameter Guidance

Revenue Growth 18–20% (conservative; internal target higher)

Revenue (implied) ~■10,000 –■10,500 Cr

EBITDA Margin 7.5–7.8% (sustainable)

PAT Margin 4.0–4.5%

Store Openings 18–20 stores (franchise -led)

Inventory Days (target) 160–180 days

Marketing Spend ~1.8–2.2% of revenue

Sustainable ROE/ROCE North of 16 –17% (ex -inventory gains)

Key Q&A Takeaways :

- Old gold exchange is expected to remain at 50 –55% of business going forward; minimal margin impact.
- GML (Gold Metal Loan) declined in Q4 due to cash flow mismatch triggered by a sharp gold price spike in March; intent is to restore GML to 50%+ as borrowing cost is only 3 –3.5%.
- Free cash flows remain negative due to inventory expansion and gold price rise; management acknowledged difficulty in guiding positive FCF in the near term.
- Geographic strategy: 60% focus on East India (core market); 30 –40% on North & Central India.
- Inventory turns: Current 188 days seen as the peak; target to bring it down to 160 –180 days via technology -driven inventory transfer (inter -zone/intra -zone).

- PAT confidence at 4%+: Driven by growth in diamond sales, making charges on lightweight jewellery, and increased lower -caratage product mix.